GCP

CONSOLIDATED ANNUAL REPORT

For the year ended 31 December

2025



Hannover



Cologne

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01

BOARD OF DIRECTORS' REPORT

KEY FINANCIALS

Balance sheet highlights

in €'000 unless otherwise indicated	Dec 2025	Change	Dec 2024
Total Assets	11,503,423	3%	11,218,811
Investment Property	8,940,913	4%	8,628,962
Loan-to-Value	31%	-2%	33%
Cash and liquid assets (including those recorded under held-for-sale)	1,622,506	7%	1,514,674
Total Equity	5,937,587	10%	5,414,205
Total Liabilities	5,565,836	-4%	5,804,606

P&L Highlights

in €'000 unless otherwise indicated	FY 2025	Change	FY 2024
Net Rental Income	428,750	1%	422,693
Adjusted EBITDA	339,588	1%	335,010
FFO I	187,840	0%	187,534
FFO I per share (in €)	1.06	-2%	1.08
EBITDA	609,357	62%	376,707
Profit for the year	587,612	143%	242,131
Basic earnings per share (in €)	2.67	134%	1.14
Diluted earnings per share (in €)	2.67	134%	1.14

EPRA Performance measures

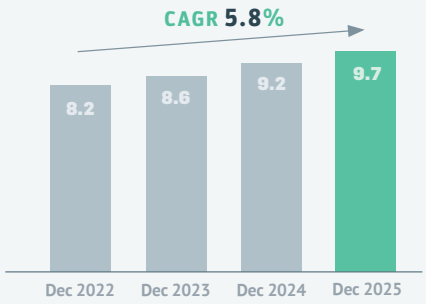
In €'000 unless otherwise indicated	2025	Change	2024
EPRA NRV	5,101,995	4%	4,902,192
EPRA NRV per share (in €)	28.9	4%	27.8
EPRA NTA	4,513,981	5%	4,279,793
EPRA NTA per share (in €)	25.6	5%	24.3
EPRA NDV	4,113,556	9%	3,782,254
EPRA NDV per share (in €)	23.3	9%	21.4
EPRA Earnings	171,442	5%	163,771
EPRA Earnings per share (in €)	0.97	2%	0.95
EPRA LTV	44%	-2%	46%
EPRA LTV (incl. RETT)	41%	-2%	43%
EPRA Net initial yield (NIY)	3.7%	-	3.7%
EPRA "topped-up" NIY	3.7%	-	3.7%
EPRA Vacancy	3.6%	-0.2%	3.8%
EPRA Cost Ratio (incl. direct vacancy costs)	21.4%	0.1%	21.3%
EPRA Cost Ratio (excl. direct vacancy costs)	20.0%	0.4%	19.6%
EPRA Capital Expenditure (*)	304,506	95%	155,987
EPRA Like-for-like rental growth	3.5%	-0.3%	3.8%

(*) including acquisitions and capex, for more details see the EPRA Performance Measures section of this report

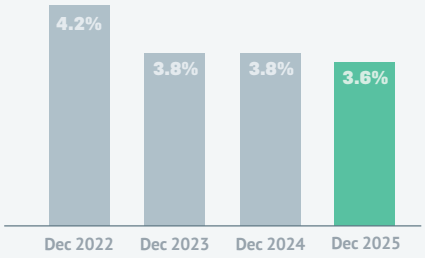
OPERATIONAL PERFORMANCE HIGHLIGHTS

Capturing operational upside potential

In-place rent (in €/sqm)



Strong vacancy reduction

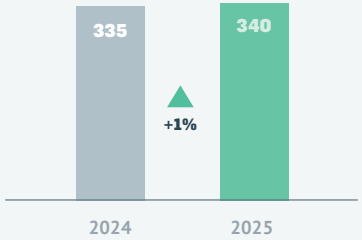


+3.5%
L-F-L

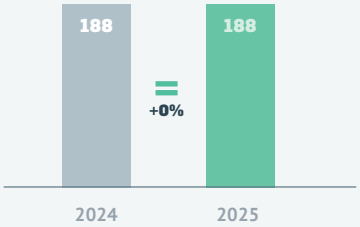
Total net rent growth
Dec 2025

Driving strong operational performance

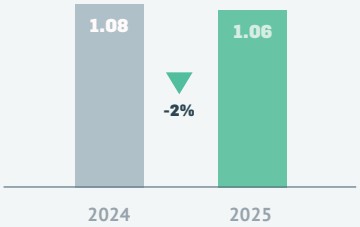
Adjusted EBITDA (in € millions)



FFO I (in € millions)



FFO I per share (in €)



Operational Performance: Driving Profitability and Future Growth

Capturing Upside Through Location Quality and Market Dynamics

- Chronic supply-demand imbalance in portfolio locations
- Historic low vacancy rate of 3.6%
- Strong location quality supporting rental growth

Operational Strength Drives Higher Adjusted EBITDA

- Rental income growth driving adjusted EBITDA growth, offsetting the impact from disposals

Reversionary Potential Unlocks Cash Flow Upside

- High reversionary potential to current market rents
- Internal growth opportunities to sustain cash flow increases

FINANCIAL PROFILE OPTIMISATION HIGHLIGHTS

LOW COST OF DEBT

2.1%

DEC 2025

LTV

31%

DEC 2025

UNENCUMBERED ASSETS

€6.4bn

71% of value

DEC 2025

AVERAGE DEBT MATURITY

4.3y | 6.0y

DEC 2025

Excluding debt covered by cash and liquid assets

ICR

5.2x

2025

STABLE OUTLOOK (S&P)

BBB

STABLE OUTLOOK

(MOODY'S*)

Baa1

*unsolicited

CASH AND LIQUID ASSETS

1.6bn

Cash and liquid assets amount to 37% of total debt

DEC 2025

Strategic transactions underscore strong capital market access and enhance financial flexibility

- **Issuance of €600 million perpetual note at 4.75%, while buyback ca. €600 million(*):**
  - ca. €500 million of higher coupon notes(*) resulting in reduction of annualized perpetual coupon savings of ca. €7 million
  - ca. €100 million of 1.5% perpetual notes with first call date in June 2026
- **Tap of Series H Bond**
  - €250m, coupon 2%, maturity 2032

(*) including redemption after the reporting period

Capital recycling strategy

- In 2025, GCP continued to execute its capital recycling strategy, disposing of ca. €340m of assets at a 20x rent multiple (5.1% yield) mostly across Germany and reinvesting proceeds into ca. €300m(*) of high-quality acquisitions at a 13x rent multiple (7.7% yield), primarily in London.
- These disposals were executed around book value and leveraged GCP's sourcing network to secure off-market deals at attractive pricing, supporting deleveraging and higher returns.

(*) of which around €190 million closed in 2025, and over €100 million expected to close in 2 stages in mid 2026

Letter from the Board and the Management

Dear Stakeholders,

The year 2025 unfolded against a backdrop of geopolitical uncertainty, including trade wars and concerns over global government debt, creating a volatile environment for global markets and also impacting the real estate sector. Despite these challenges, the European economy demonstrated resilience throughout the year. Financing conditions continued to improve in 2025, with base interest rates now showing signs of stabilisation. The improving business environment contributed to restoring confidence across debt capital markets. As a result, debt capital markets continued to stabilise further, positively impacting GCP by supporting our ability to refinance some of our perpetual notes at a lower level as well as providing an opportunity to raise new debt at attractive conditions, with credit spreads coming down. In parallel, transaction market activity continued to increase, enabling accretive capital recycling, while the market capitalization of real estate companies weakened in 2025, with the German real estate sector still trading at a meaningful discount to net asset value.

In 2025, GCP delivered another year of strong operational performance, achieving like-for-like rental growth of 3.5% year-over-year, reflecting the potential of GCP's strong portfolio and the structural fundamentals underpinning the markets where the Company operates. Despite the current strong operational improvement, GCP continues to maintain a high reversionary rent potential of 21%, which underscores the strength of our locations and supports sustainable rental growth in the coming years. On the demand side, population growth in Germany's metropolitan areas and London, ongoing urbanisation, and the rising number of households, among other factors, continued to fuel housing demand. At the same time, supply constraints persisted, with construction activity remaining subdued, permits declining further, and completions remaining well below government targets. As of December 2025, GCP's portfolio is composed of 60 thousand units, predominantly located in Germany's metropolitan areas and in London. During 2025, we succeeded in reducing the vacancy level within our portfolio from 3.8% as of December 2024 to 3.6% as of December 2025, which is at a historic low. The portfolio continues to generate stable rental income, supported by strong fundamentals and the persistent supply-demand imbalance in our markets. These dynamics, combined with our disciplined asset management and selective acquisitions, ensure that the Company remains well-positioned to deliver sustainable growth and long-term value.

The macroeconomic environment continued to improve throughout 2025, extending the positive trend observed in the second half of 2024. The European Central Bank (ECB) implemented four rate cuts during the year, reinforcing its accommodative stance and contributing to greater stability in financial markets. As a result, base interest rates have now reached levels that are expected to remain stable over the medium term, providing a more predictable environment for economic activity. This increased certainty was reflected in higher transaction volumes across the real estate sector, with a broader range of market participants returning. In Germany, sentiment was further supported by the government's announcement of a fiscal stimulus package aimed at investment in key sectors, which we view as a positive step toward strengthening the country's economic outlook. While some uncertainty remains regarding the pace of implementation, as well as the impact of geopolitical uncertainties, we believe the program has contributed to a brighter outlook for growth and economic activity in the coming periods.

During 2025, we continued to take proactive steps to strengthen our financial position. In May, the Board of Directors decided not to recommend a dividend payment for the year 2024, in line with the Company's prudent approach to capital allocation and balance sheet management. During the year, S&P revised GCP's credit rating from BBB+ to BBB, following its Group Methodology. We note that on a stand-alone basis, GCP remains rated bbb+, and the progress achieved in our credit metrics was acknowledged by S&P, as we maintain a comfortable headroom against the relevant thresholds. We continued to actively manage our debt profile, repaying the Series E and Series U bonds with an aggregate nominal amount of approximately €260 million, while raising over €20 million in net

new secured bank financing and tapping our Series H bond, which matures in 2032 and carries a 2% coupon, by €250 million in December 2025. Furthermore, toward the end of the year, the Company issued €600 million in new perpetual notes at a coupon of 4.75%, receiving strong investor demand, as reflected in a peak order book exceeding €2 billion, marking a significant coupon decrease from 6.125% in the April 2024 exchange. In parallel to the issuance, we launched a tender offer targeting existing notes. As a result, we successfully replaced approximately €500 million of higher coupon perpetual notes, and further €100 million perpetual notes with the first call date in 2026. We note that the new notes are considered 100% equity under IFRS and carry 50% equity content under S&P, supporting our credit rating. These measures underscore our proactive and disciplined approach to liability management and our commitment to maintaining a strong and flexible financial profile. Our loan-to-value ratio stands at 31%, remaining well below our internal policy guidance. The Company maintains a strong interest coverage ratio of 5.2 times, underscoring the resilience of our cash flow generation and our operational performance. Our financial profile continues to have a high hedging ratio of 95%, an average debt maturity of 4.3 years, and a low cost of debt of 2.1%.

The improving market conditions during 2025 have manifested asymmetrically among market players. While GCP benefited from its scale and conservative financial profile, smaller market participants continued to face financial pressure. This environment created opportunities for us to act decisively, enabling us to secure acquisitions at attractive pricing and continue executing our strategy. Throughout the year, we remained focused on creating value while maintaining a strong balance sheet. The deleveraging measures conducted in the past periods have positioned us with significant financial flexibility, as reflected in our low loan-to-value ratio of 31%, well below our internal policy guidance. We continued disposing properties, with closed disposals amounting to €340 million in 2025, primarily in NRW, Bremen, Frankfurt, non-core locations in Germany, and in London. The proceeds were strategically deployed, partially for deleveraging and partially for highly accretive acquisitions totalling €300 million, including over €100 million of acquisitions which are expected to close in 2026, primarily comprising of high quality properties in London, successfully executing our capital recycling strategy and supporting future rent generation. After the reporting period, additional acquisition in Germany amounting to €75 million was signed and is expected to complete in the coming months. The improved macroeconomic outlook and increasing transaction market activity were also reflected in property valuations. During 2025, we saw a confirmation of the positive momentum in property valuations, reaffirming the trend that began in the second half of 2024. The Company recorded €277 million in property revaluations for the year, corresponding to a like-for-like value increase of 3.2% across the portfolio, and confirming the trend seen over the last 1.5 years. These positive developments were driven by strong operational growth and sustained solid rental performance, with rent like-for-like increases fuelling valuation like-for-like increase and thus yields remaining stable at 4.9%. FFO I for 2025 amounted to €188 million, in line with our guidance and stable compared to 2024, underscoring the resilience of our business model with strong operational performance and efficiency gains offsetting higher net finance expenses. On a per share basis, FFO I amounted to €1.06. The measures undertaken, and the results we delivered in 2025, together with the improving market environment, allow us to confidently enter 2026.

During 2025, GCP continued to invest in digitalization and innovation, including investments through funds, and these investments support both the Company's operational development by positioning innovation as a key internal growth engine, and its financial investment strategy through selective stand-alone investments with the potential to generate attractive returns. We believe that innovation, AI tools, and digitalisation are the key to further efficiency, and therefore the Company continues to allocate resources to this area.

In 2025, we continued to advance our ESG strategy as a core pillar of our long-term approach to value creation. Our commitment to sustainability remains unchanged, with the Company firmly on track to achieve its target of reducing CO_2 emissions by 40% by 2030 compared to 2019 levels. Using energy audits for energy performance valuation and assessment of relevant refurbishment measures, the Company leveraged this information in the Group's decarbonization strategy, enabling targeted refurbishment opportunities and scalable execution. Between 2024 and 2025, these energy audits and targeted improvement actions reduced the number of high-priority assets in the residential portfolio by 6% and increased the share of "regulation-ready" assets in the portfolio from 78% to 84%. Targeted modernization projects such as heating system upgrades, the installation of energy-efficient windows, and improved insulation, help lower energy consumption, reduce CO_2 tax exposure, and support our goal of cutting emissions by 40% by 2030. They also create more efficient, cost-effective buildings that meet regulatory requirements and tenant expectations.

These initiatives were complemented by ongoing efforts to encourage tenants to adopt sustainable practices, supported by digital tools that provide transparency on energy consumption and promote efficiency.

We also reinforced our commitment to community engagement and tenant satisfaction through a wide range of initiatives designed to foster connection and enhance the living experience across our portfolio. Building on the success of previous years, we continued to organize seasonal events such as summer festivals and local gatherings, creating opportunities for tenants to interact and strengthen community ties.

In 2025, the Grand City Properties Foundation donated €364 thousand to support different local and international charitable projects. One notable contribution was made to a day-care centre which places a strong focus on inclusion and everyday coexistence of children with and without disabilities. Another contribution was made to support a Berlin-based sports and youth organization, whose projects specifically target socially disadvantaged children and young people, particularly those from high-stress or underserved neighbourhoods, using sport as a tool to promote social development, inclusion, and personal growth. The Company also maintained its social day offering, allowing all employees to contribute one workday to social projects and initiatives.

Furthermore, in 2025, the service center was successfully recertified once again, and the team is working intensively on implementing a new tailor-made ticket system. The tenant app is continuously being improved, and in 2025 additional functionality has been added, such as the ability to download rent certificates and rent-debt-free certificates directly from the app or for tenants to review their service charges via the app. These efforts reflect our commitment to support best-in-class tenant service, vibrant communities that deliver a high-quality living environment.

During 2025, 47 apprentices and students were integrated across various departments of the Company, reflecting our commitment to social responsibility. By investing in education, skill development, and early career opportunities, we support and nurture the next generation while reinforcing the Company's long-term organizational strength.

Our progress in ESG has been recognized externally, reaffirming GCP's position as an industry leader. Sustainalytics further improved its rating on GCP, maintaining its low ESG-risk rating and placing the Company among the top performers globally, while we ranked in the top 9% of real estate management and development industry in S&P Global's Corporate Sustainability Assessment (CSA) In 2025, the Company was included for the first time in the Sustainability Yearbook 2026, which features only 848 companies out of more than 9,200 assessed by the S&P CSA, setting the Company apart from its industry peers. We have also improved our rating by ISS, upgrading to B- and maintaining the Prime Status. For the ninth consecutive year, GCP received the EPRA BPR Gold Award and EPRA sBPR Gold Award for excellence in financial transparency and sustainability reporting.

These achievements underscore the effectiveness of our ESG strategy and our dedication to creating long-term value for all stakeholders through responsible and sustainable practices.

In conclusion, we are pleased that the Company recorded a profit of €588 million and FFO I of €188 million for the year 2025. Looking ahead to 2026, we expect further operational improvements, supporting like-for-like rental growth and enhanced cost efficiency, supported by continued cost-saving measures across the operating platform. In parallel, the Company will continue to seek attractive, accretive growth opportunities.

The management wishes to express its sincere gratitude to all our stakeholders for their trust and continued support throughout the year, and would like to recognize the effort of our employees, whose dedication and talent have been the driving force behind our achievements. Together, we have navigated challenges and seized opportunities, laying a strong foundation for sustainable growth. Looking ahead, we remain committed to sustaining an attractive housing offering for out tenants and creating long-term value for all stakeholders.

Luxembourg, 4 March, 2026

Christian Windfuhr
Chairman and member of the Board of Directors

Simone Runge-Brandner
Member of the Board of Directors

Markus Leininger
Member of the Board of Directors

Scott Wardlaw
Independent Director

Monica Porfilio
Independent Director

Refael Zamir
CEO

Idan Hadad
CFO

Michael Bar-Yosef
CCMO



Berlin



Hamburg

The Company

Grand City Properties S.A. and its investees (the “Company”, “GCP” or the “Group”) Board of Directors (the “Board”) hereby submits the annual report as of 31 December, 2025.

The figures presented in this Board of Director’s Report are based on the consolidated financial statements as of 31 December, 2025, unless stated otherwise.

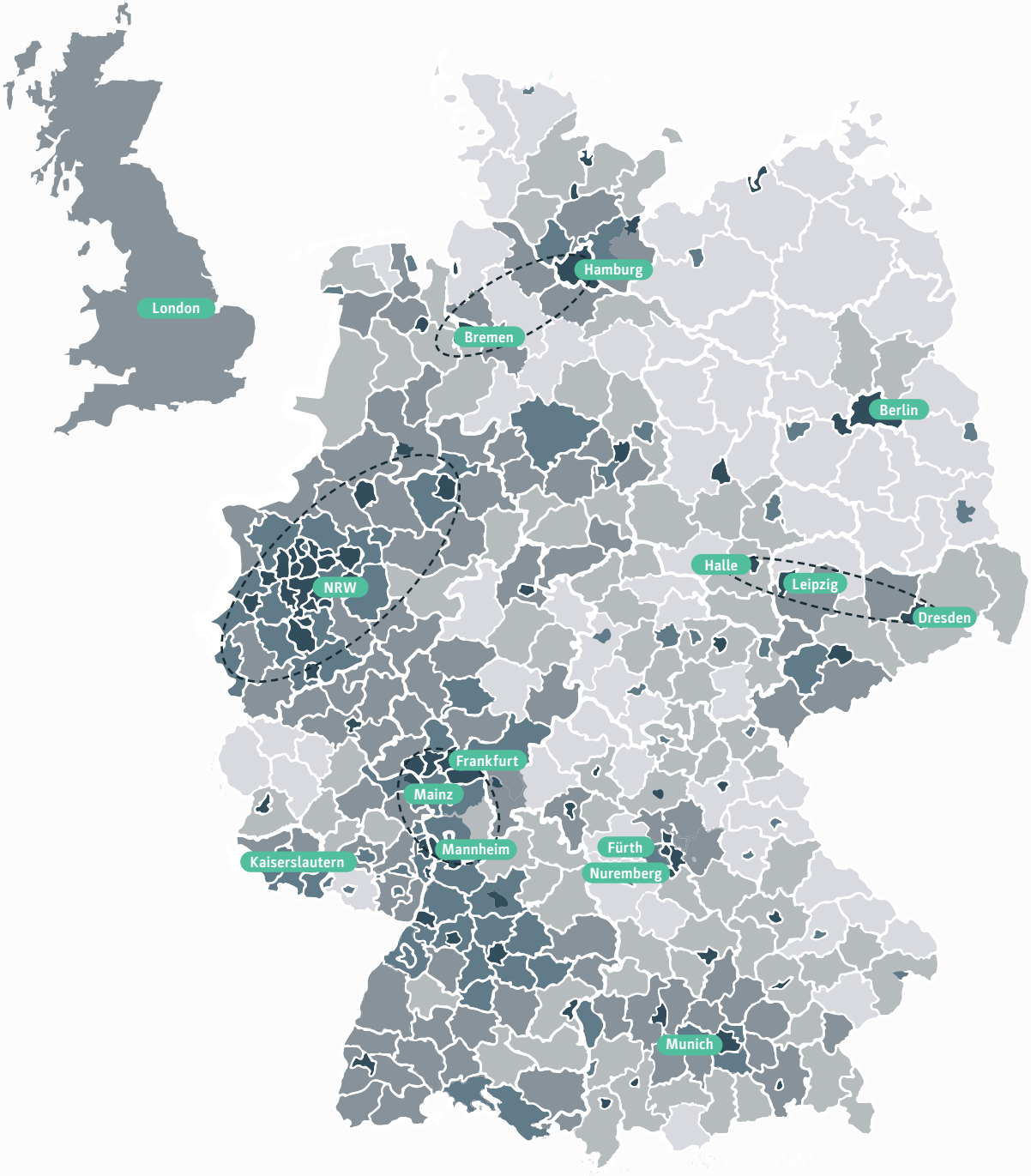
GCP is a specialist in residential real estate, investing in value-add opportunities in densely populated areas predominantly in Germany as well as London. The Group’s portfolio, excluding assets held for sale and properties under development, as of December 2025 consists of 60k units (hereinafter “GCP portfolio” or “the Portfolio”) located in densely populated areas with a focus on Berlin, Germany’s capital, North Rhine-Westphalia, Germany’s most populous federal state, the metropolitan regions of Dresden, Leipzig and Halle and other densely populated areas as well as London.

GCP is focused on assets in densely populated urban locations with robust and sustainable economic and demographic fundamentals, and with multiple value-add drivers that it can pursue using its skills and capabilities such as vacancy reduction, increasing rents to market levels, improving operating cost efficiency, increasing market visibility, identifying potential for high-return capex investments, and spotting potential for significant benefits from the Company’s scale. GCP’s management has vast experience in the German real estate market with a long track record of success in repositioning properties using its tenant management capabilities, tenant service reputation, and highly professional and specialised employees.

In addition, GCP’s economies of scale allow for considerable benefits of a strong bargaining position, a centralised management platform supported by centralised IT/software systems, and a network of professional connections.

This strategy enables the Company to create significant value in its portfolio and generate stable and increasing cash flows.

Portfolio



Attractive Portfolio concentrated in densely populated metropolitan areas with value-add potential

GCP's well-balanced and diversified portfolio is composed of properties in attractive micro-locations with identified value creation potential primarily located in major German cities and urban centers as well as in London.

The Group's well-allocated portfolio provides for strong geographic and tenant diversification and benefits from economies of scale, supporting the risk-averse portfolio approach. GCP's focus on densely populated areas is mirrored by 23% of the Portfolio being located in Berlin, 19% in NRW, 14% in the metropolitan region of Dresden, Leipzig and Halle, and 21% in London, four clusters with their own distinct economic drivers. The portfolio also includes additional holdings in other major urban centres with strong fundamentals such as, Nuremberg, Munich, Mannheim, Frankfurt, Hamburg and Bremen.

Population density in Germany

inhabitants per sqkm inhabitants per sqkm(*)

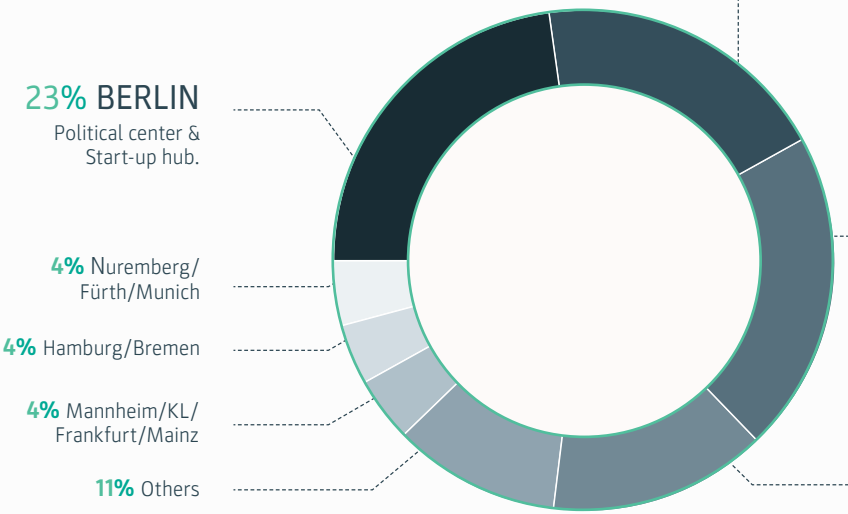
- 1,000 - 4,790
- 300 - 1,000
- 150 - 300
- 100 - 150
- 36 - 100

(*) based on data from Statistisches Bundesamt

Diversified portfolio with distinct economic drivers

Portfolio overview

GCP has assembled a portfolio of high-quality assets in densely populated metropolitan regions, benefiting from diversification among dynamic markets with positive economic fundamentals and demographic developments



December 2025	Value (in €M) [1][2]	Area (in k sqm)	EPRA vacancy	Annualised net rent (in €M)	In-place rent per sqm (in €)	Number of units	Value per sqm (in €)	Rental yield [3]
Berlin	2,028	621	3.5%	75	10.1	8,433	3,265	3.7%
NRW	1,718	1,049	5.0%	88	7.1	15,181	1,638	5.1%
Dresden/Leipzig/Halle	1,256	809	2.7%	60	6.3	13,925	1,552	4.8%
Mannheim/KL/Frankfurt/Mainz	359	156	4.0%	18	9.6	2,722	2,300	5.0%
Nuremberg/Fürth/Munich	299	77	4.4%	12	13.1	1,378	3,873	3.9%
Hamburg/Bremen	364	227	3.4%	21	7.7	3,434	1,603	5.6%
London	1,843	203	2.9%	102	43.1	3,941	9,082	5.5%
Others	939	629	3.8%	53	7.3	10,636	1,494	5.7%
Development rights & Invest	135							
Total	**8,941**	**3,771**	**3.6%**	**429**	**9.7**	**59,650**	**2,335**	**4.9%**

(1) The Company obtains its property valuations from internationally recognized valuers such as JLL, CBRE, PWC and Savills. Such reports are updated semi-annually and are based on international RICS standards, which uses mainly common market figures for similar properties in similar locations.

(2) The portfolio is including commercial assets which account for 11% of the total portfolio value in 2025.

(3) Rental yield is calculated by dividing the Annualised net rent by the Investment property value, excluding properties classified as development rights & invest. For more details please see page 177 of the Alternative Performance Measures section of this report.



Halle

December 2024	Value (in €M) [1][2]	Area (in k sqm)	EPRA vacancy	Annualised net rent (in €M)	In-place rent per sqm (in €)	Number of units	Value per sqm (in €)	Rental yield [3]
Berlin	1,951	619	3.9%	73	9.8	8,387	3,150	3.7%
NRW	1,744	1,140	4.4%	92	6.8	16,674	1,530	5.3%
Dresden/Leipzig/Halle	1,149	788	3.0%	56	6.1	13,757	1,458	4.9%
Mannheim/KL/Frankfurt/Mainz	346	160	3.5%	18	9.2	2,793	2,159	5.1%
Nuremberg/Fürth/Munich	292	80	4.1%	11	12.5	1,430	3,666	3.9%
Hamburg/Bremen	340	227	4.6%	20	7.6	3,434	1,496	5.8%
London	1,723	181	2.8%	91	42.7	3,469	9,509	5.3%
Others	896	637	4.9%	52	7.2	10,876	1,407	5.8%
Development rights & Invest	188							
Total	**8,629**	**3,832**	**3.8%**	**413**	**9.2**	**60,820**	**2,203**	**4.9%**

(1) The Company obtains its property valuations from internationally recognized valuers such as JLL, CBRE, PWC and Savills. Such reports are updated semi-annually and are based on international RICS standards, which uses mainly common market figures for similar properties in similar locations.

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GCP diversifies within the residential asset class into additional living concepts



Senior Homes

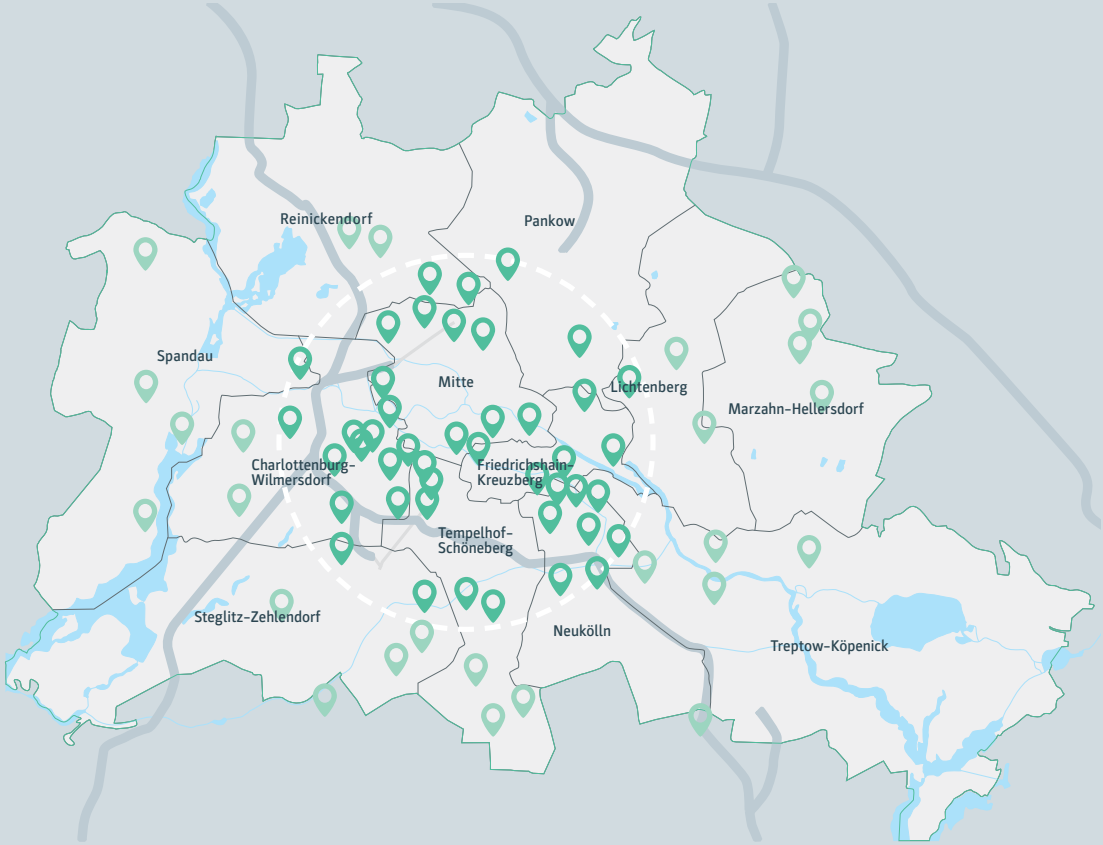
- The asset class provides diversification and stable income, benefitting from strong fundamentals, with the largest location in Berlin
- 6.1% of GCP's total rental income comes from Senior Homes
- The assets are operated by experienced third party operators with fixed rental contracts (e.g. Curata, AlexA, Maternus, Korian, Pro Seniore, Giomi), of which Curata Senior Homes is the largest, amounting to 2.3% of GCP's total rental income



Short Stay / Serviced Apartments

- GCP unlocks additional value from short stay or serviced apartments, let through long term fixed leases and/or management agreements with third party operators
- 1.8% of GCP's total rental income comes from short stay and serviced apartment tenants. Bob W. is the largest tenant, representing 0.4% of GCP's total rental income

Berlin - GCP's Largest Location



70%

of the Berlin portfolio is located in top tier neighbourhoods: Charlottenburg, Wilmersdorf, Mitte, Kreuzberg, Friedrichshain, Lichtenberg, Neukölln, Schöneberg, Steglitz and Potsdam.

30%

is well located primarily in Reinickendorf, Treptow, Köpenick and Marzahn-Hellersdorf.

KEY DRIVERS

Largest city by population in Germany.

German capital and centre of national political decision making.

Berlin is the leading start-up and innovation hub attracting young skilled professionals.

Berlin continues to have the lowest home ownership rate in Germany.

Chronic supply-demand imbalance with estimated shortfall of over 100,000 apartments, which continues to widen as new supply falls well short of demand.(*)

Completion rates in residential construction remain considerably below average at 76% in Berlin driving up rental prices.(**)

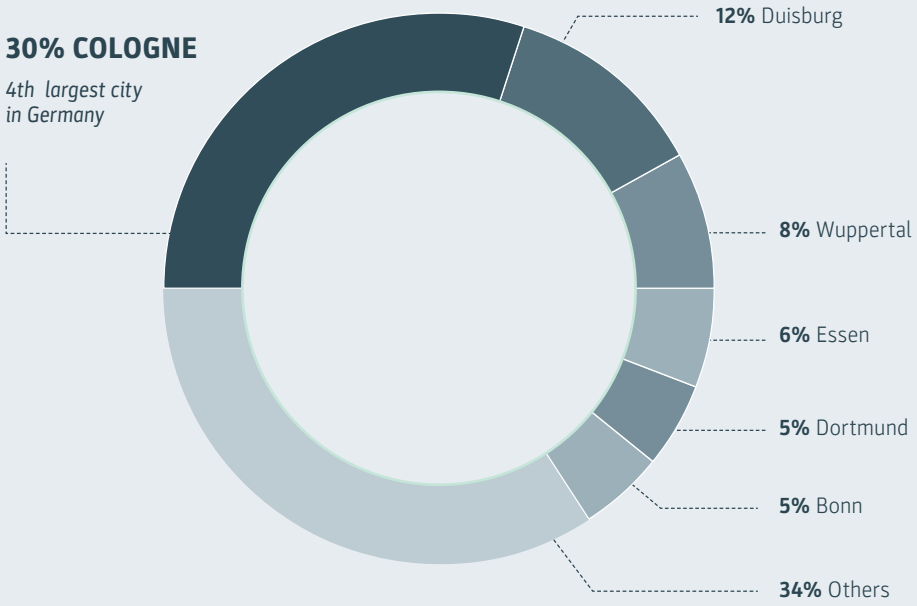
(*) Senatsverwaltung für Stadtenwicklung, Bauen und Wohnen;
(**) Colliers Residential Market Germany 2025/2026

23% of GCP's portfolio

December 2025	Value (in €M)	Area (in k sqm)	EPRA vacancy	Annualised net rent (in €M)	In-place rent per sqm (in €)	Number of units	Value per sqm (in €)	Rental yield
Berlin	2,028	621	3.5%	75	10.1	8,433	3,265	3.7%

North Rhine-Westphalia (NRW)

Well positioned in the largest metropolitan area in Germany



The portfolio distribution in NRW is focused on cities with strong fundamentals within the region. 30% of the NRW portfolio is located in Cologne, the largest city in NRW, 12% in Duisburg, 8% in Wuppertal, 6% in Essen, 5% in Dortmund, and 5% in Bonn.

KEY DRIVERS

Both the most populous and densely populated state in Germany.

Generated the highest gross domestic product of all German states and accounts for one fifth of the GDP of Germany as a whole, and 4.8% of the EU's GDP.

More than 24,000 international companies have presence in the NRW region, that is around one fifth of all multinational enterprises in Germany.

Mix of large corporations and SMEs, and home to many of Germany's leading companies, with 17 of the top 50 grossing corporations based in North Rhine-Westphalia.

Number 1 in the environmental economy across Germany.

Source: nrw.Global Business

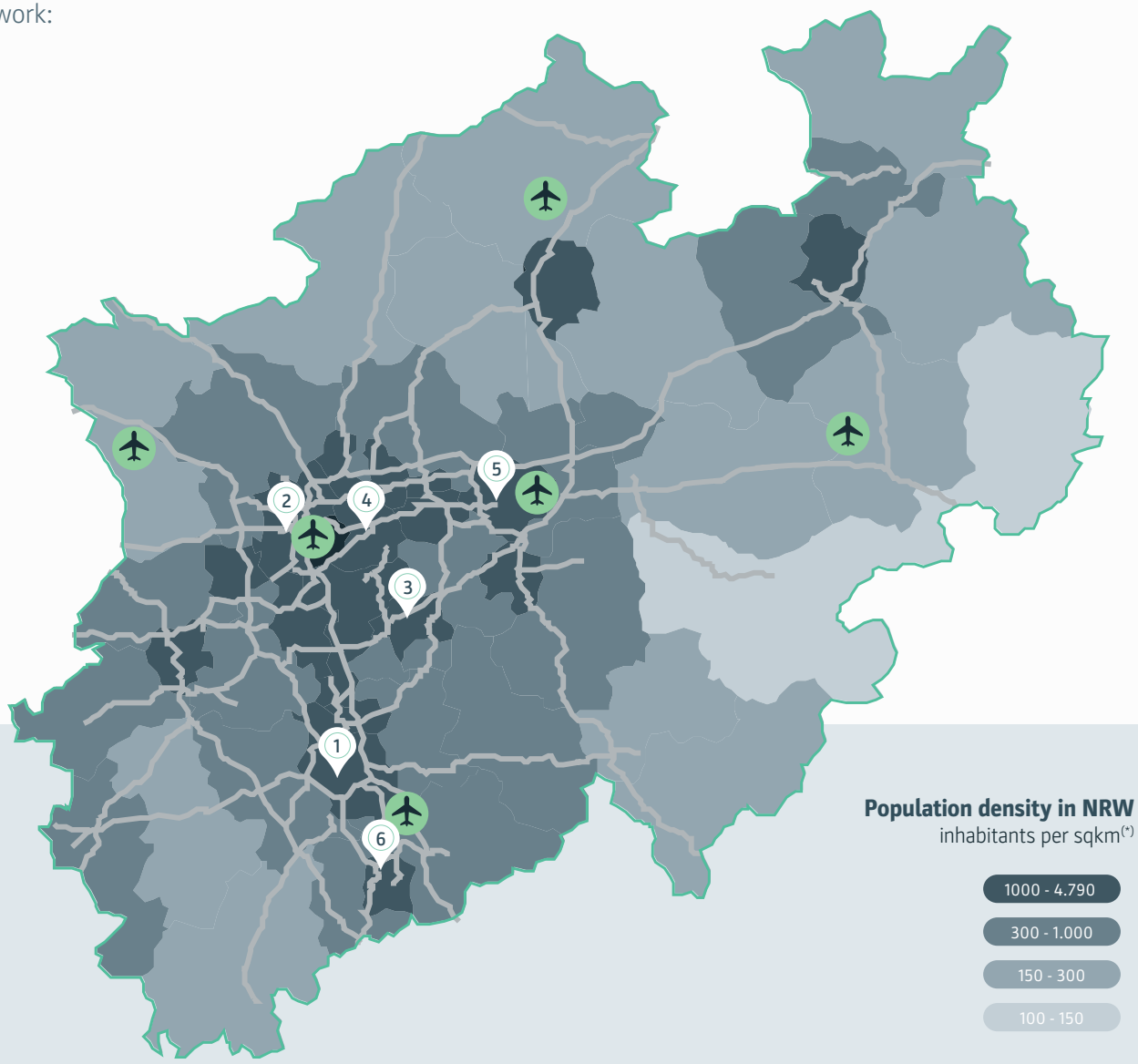
19% of GCP's portfolio

December 2025	Value (in €M)	Area (in k sqm)	EPRA vacancy	Annualised net rent (in €M)	In-place rent per sqm (in €)	Number of units	Value per sqm (in €)	Rental yield
NRW	1,718	1,049	5.0%	88	7.1	15,181	1,638	5.1%

Population Density In NRW

Dense and diversified transport and logistics network:

- Dense and diversified transport and logistics network:
- Densest rail network in Germany with about 6,000 kilometers of tracks.
- Well connected to global maritime trade through 120 ports which include the world's largest inland port in Duisburg.
- Well connected to global air travel with two major international airports (Düsseldorf Airport and Cologne Bonn Airport) and four other airports (Dortmund, Münster/ Osnabrück, Paderborn/Lippstadt and Weeze/Niederrhein) which connect the region to all major domestic destinations as well as many international cities.
- More than 2,200 km of highways and 17,600 km of federal and provincial roads that seamlessly link into the wider European interstate road network.



1. Cologne
2. Duisburg
3. Wuppertal
4. Essen
5. Dortmund
6. Bonn

Source: nrw.Global Business

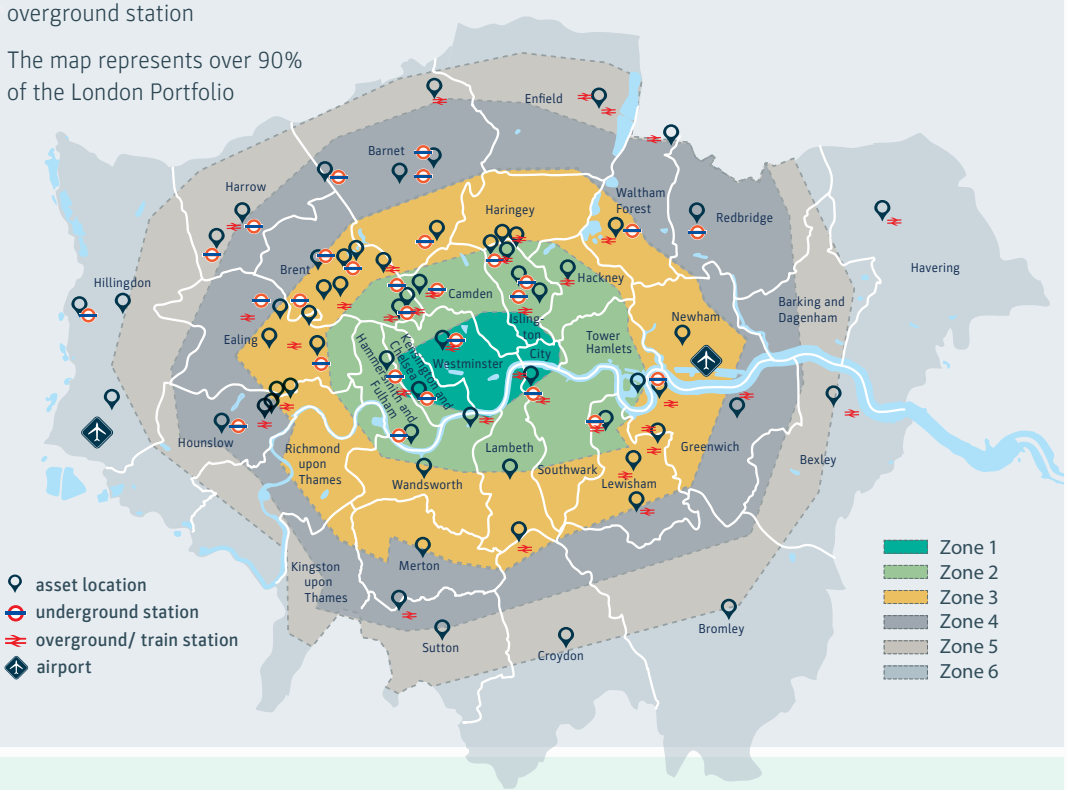
London Portfolio

Located in strong middle-class neighbourhoods

The total London portfolio, including high quality assets, social tenants as well as pre-marketed units, amounts to approx. 4,000 units and approx. €1.9 billion in value.

Over 80% of the portfolio is situated within a short walking distance to an underground/ overground station

The map represents over 90% of the London Portfolio



Social tenants provides additional value:

Social Tenants/HMO in the London portfolio provides additional cash flow diversification, with houses rented to local operators and rents usually index linked

Rents are backed by local increasing demand, as well as 50 local authorities within the London social tenant market

These assets represent 9% of GCP's total rental income, with the largest tenant, Stef&Philips, accounting for 7.4% of total rental income. Stef&Philips is a well established local company with two decades of deep knowledge and experience within the London social tenant market, including partnership with over 60 local authorities, charities and housing associations.

Stef & Philips

KEY DRIVERS DRIVING INCREASED LETTING DEMAND

Large number of higher education universities including some of the oldest and world-famous colleges resulting in access to high quality talent.

Positive demographic fundamentals with a very high population density and low a median age.

London's labour market remains robust, with relatively high employment rates and continued job creation supporting strong economic fundamentals.

Leading fintech hub with strengths in areas for growth potential such as, blockchain, digital banking and alternative lending among others.

London's economy is heavily weighted toward high-value service sectors, such as professional services, information & communication, and finance, strengthening employment prospects and demand for housing.

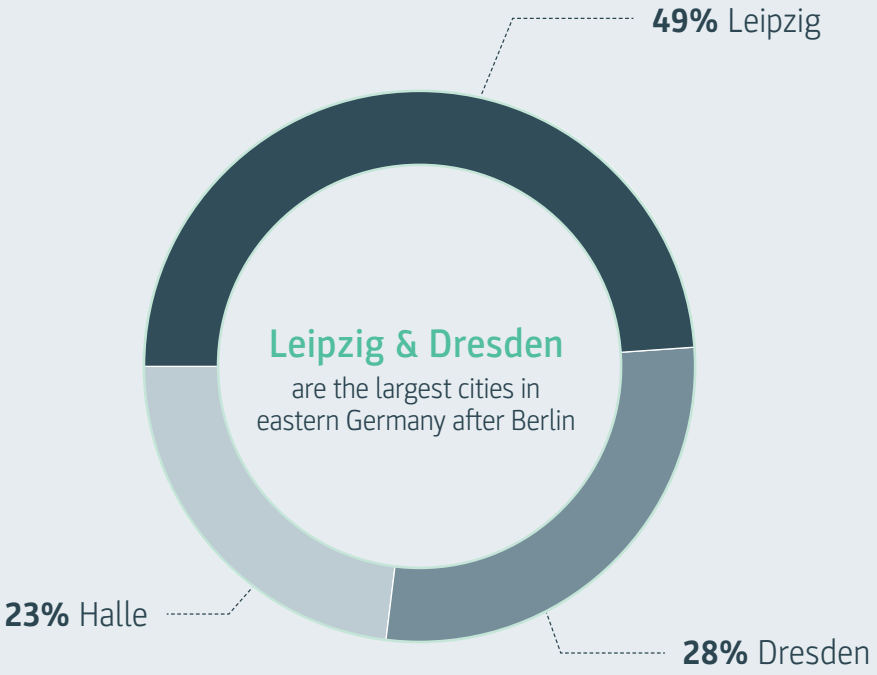
Leaner regulatory environment provides faster repositioning turnaround times and ability to achieve market rent potential.

21% of GCP's portfolio

December 2025	Value (in €M)	Area (in k sqm)	EPRA vacancy	Annualised net rent (in €M)	In-place rent per sqm (in €)	Number of units	Value per sqm (in €)	Rental yield
London	1,843	203	2.9%	102	43.1	3,941	9,082	5.5%

Quality East Portfolio

Located in the growing and dynamic cities of Dresden, Leipzig and Halle



KEY DRIVERS

Dresden is a leading hub for the technology industry in Europe, with a strong presence in semiconductors, communication technology, and software development.

University cities with a wide appeal attracting students from around the world. Leipzig's university, founded in 1409, is one of Europe's oldest.

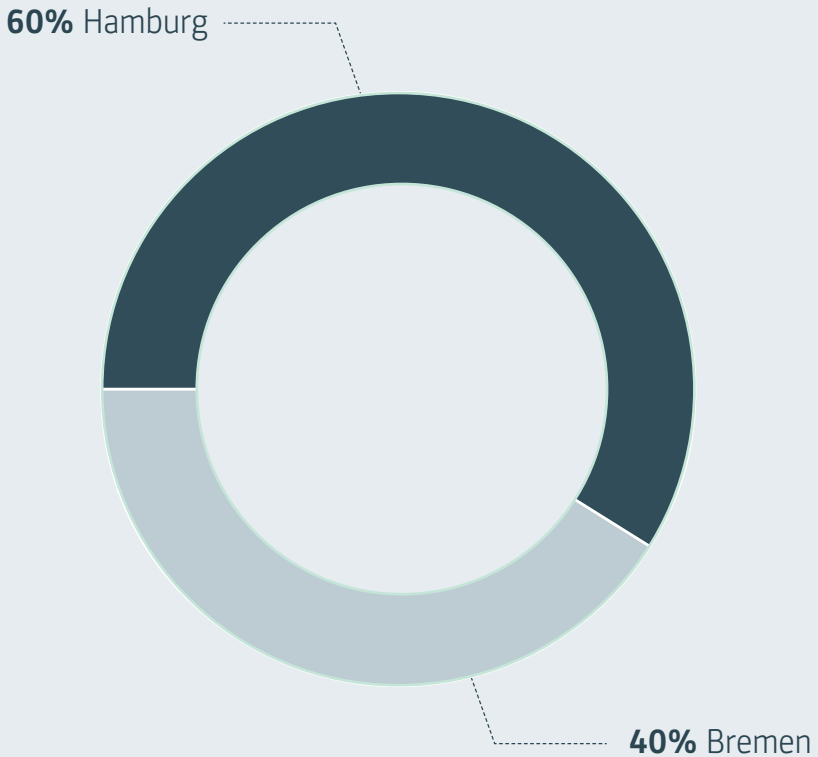
Strong demographic fundamentals, with increasing urbanisation over last decade and young population compared to surrounding regions, with Leipzig expected to be among the cities leading population growth in Germany through 2030.

14% of GCP's portfolio

December 2025	Value (in €M)	Area (in k sqm)	EPRA vacancy	Annualised net rent (in €M)	In-place rent per sqm (in €)	Number of units	Value per sqm (in €)	Rental yield
Dresden/ Leipzig/ Halle	1,256	809	2.7%	60	6.3	13,925	1,552	4.8%

Quality North Portfolio

The North portfolio is focused on the major urban centers of Hamburg and Bremen – the largest cities in the north of Germany.



KEY DRIVERS

Hamburg port is a leading driver of the regional economy.

Hamburg is Germany's 2nd largest city by population.

Bremen's economic development, particularly in sectors like logistics and manufacturing, has created jobs and attracted workers, thereby boosting rental demand.

Bremen's ports are important logistical hubs in Germany and much of Germany's trade is executed through the city's ports.

Bremen is an industrial hub with a strong connection to well-known local research institutes.

4% of GCP's portfolio

December 2025	Value (in €M)	Area (in k sqm)	EPRA vacancy	Annualised net rent (in €M)	In-place rent per sqm (in €)	Number of units	Value per sqm (in €)	Rental yield
Hamburg/ Bremen	364	227	3.4%	21	7.7	3,434	1,603	5.6%

Strong Financial Position

Conservative financial policy

GCP follows a financial policy in order to maintain and improve its strong capital structure:

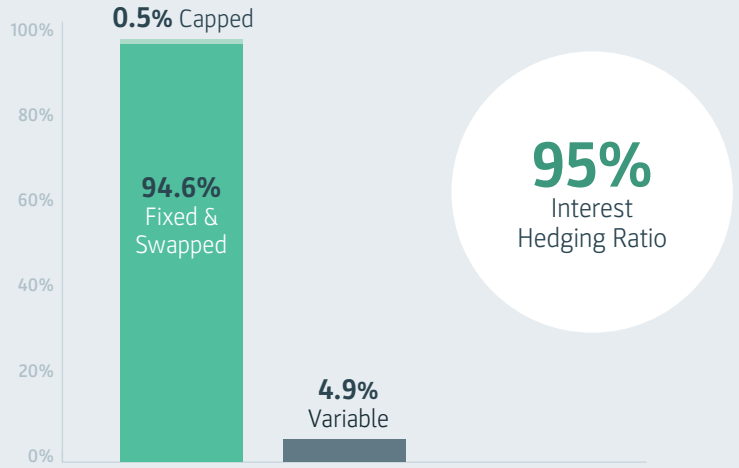
- LTV guidance below 45% on a sustainable basis
- Debt to debt plus equity ratio at 45% (or lower) on a sustainable basis
- Maintaining conservative financial ratios with a strong ICR
- Unencumbered assets above 50% of total assets
- Long debt maturity profile
- Good mix of long-term unsecured bonds and bank loans
- Dividend distribution of 75% of FFO I per share(*)

The Company has a conservative financial approach, maintaining a strong liquidity position providing for valuable financial flexibility. The strong liquidity position is reflected by €1.6 billion in cash and liquid assets at year-end 2025.

(*) * dividend distributions remain subject to market condition and AGM approval

Interest hedging structure

December 2025



- GCP's bank loans are spread across many loans from many different financial institutions.
- In accordance with the Company's conservative capital structure, as of December 2025, 95% of its interest is hedged.
- As part of GCP's conservative financial policy, bonds issued in foreign currencies are hedged to Euro until maturity.

Credit Rating

GCP holds an investment-grade credit ratings from both Standard & Poor's (S&P) and Moody's Investors Service (Moody's), with current long-term issuer ratings of BBB (Stable) and Baa1 (Stable), respectively. S&P's rating is based on S&P's group rating methodology, the Company's stand-alone credit profile ("SACP") is bbb+. Additionally, S&P assigned GCP a short-term rating of A-2. Since 2021, Moody's maintains its public rating on GCP on an unsolicited basis.

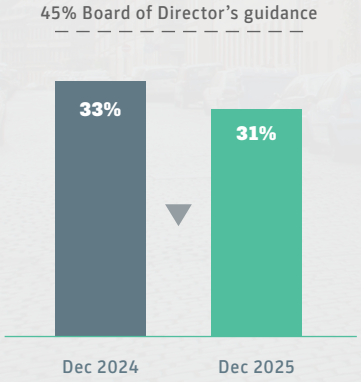
Loan-To-Value

GCP strategically maintains its strong financial profile characterised by long debt maturities, high proportion of hedged interest rates, excellent financial coverage ratios, and a low LTV. The LTV as of December 31, 2025 is at 31%, well below the management guidance of 45%.

Interest Cover Ratio

GCP's financial flexibility remains strong over time due to its high profitability, which is reflected in consistently high debt cover ratios. For the year of 2025, the Interest Cover Ratio was 5.2x

Low Leverage (Loan-To-Value)



ICR

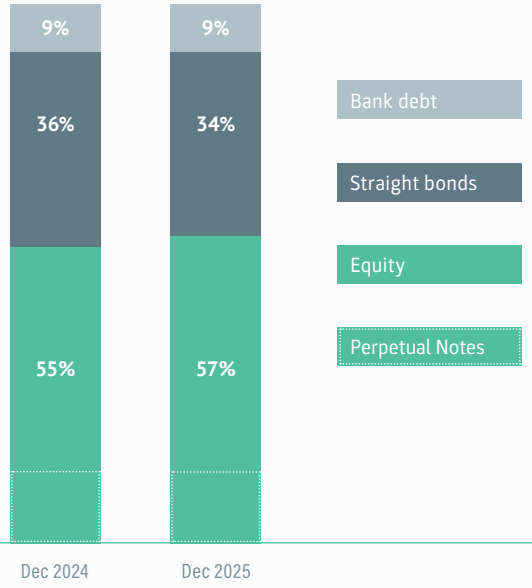


Nuremberg / Fürth

Financing Sources Mix

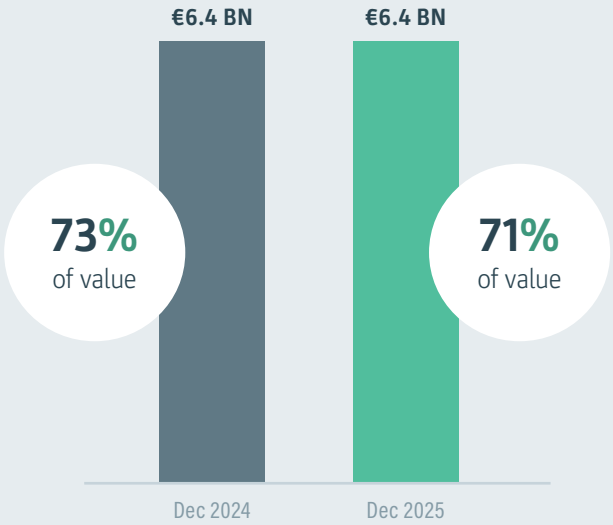
An important component of GCP's financial structure is a strong diversification of funding sources, reducing the reliance on any single source and resulting in a diversified financing mix. This is enabled by the Company's wide reach and proven track record in issuing instruments across various capital markets: straight bonds, convertible bonds, perpetual notes and equity capital. Moreover, GCP's diversity is further improved through issuances in various currencies, issuing straight bonds in CHF, JPY and HKD. The nominal amount of all foreign currency issuances are swapped into Euro until maturity. Issuances in various currencies increase the investor base and provide expansion into a wider range of markets to attract funding.

In addition, the Company maintains lasting relationships with dozens of banks and financial institutions, providing for access to bank financing.



Unencumbered Assets

The Company maintains as part of its conservative financial policy a high proportion of unencumbered assets to provide additional financial flexibility and contribute to a strong credit profile, with €6.4 billion in unencumbered assets as of December 2025, representing 71% of the total portfolio value.



Company Strategy and Business Model

The following section contains information that also covers reporting requirements under the ESRS.
Data points: ESRS 2 SBM-1 Paragraph 40 a i, ESRS 2 SBM-1 Paragraph 42.



01

Deal-sourcing network established since 2004.



02

Due Diligence & negotiation of best possible deal terms.



03

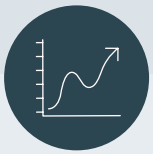
Acquisition.

TAKE OVER



04

Repositioning + Capex Increase: Rent + occupancy. Decrease operating costs and non-recoverable costs. Improve tenant satisfaction. Centralised IT/software.



05

Yield & Value increase.



06

Capital recycling through disposals and channeling proceeds into quality properties and/or debt repayments.

Focus on extracting value-add potential in attractive, densely populated regions, while keeping a conservative financial policy and investment-grade rating

GCP's investment focus is on the German and London residential markets that it perceives to benefit from favourable fundamentals that will support stable profit and growth opportunities for the foreseeable future. The Group's current portfolio is predominantly focused on Berlin, North Rhine-Westphalia, the metropolitan regions of Leipzig, Dresden and Halle and London, as well as other major cities and urban centers in Germany. The Company follows a selective acquisition criteria and benefits from internal growth potential from the acquisitions of high cash flow generating and under-rented properties with upside potential.

Cash flow improvements through focus on rental income and cost discipline

GCP seeks to maximise cash flows from its portfolio through the effective management of its assets by increasing rent, occupancy, and cost efficiency. This process is initiated during the due diligence phase of each acquisition, through the development of a specific plan for each asset. Once taken over, and the initial business plan is realised, GCP regularly assesses the merits of ongoing improvements to its properties to further enhance the yield on its portfolio by increasing the quality and appearance of the properties, raising rents and further increasing occupancy. GCP also applies significant scrutiny to its costs, systematically reviewing ways to increase efficiency and thus increase cash flows.

Taking into account sustainability matters, understanding the interest of key stakeholders and maximise tenant satisfaction

GCP's strategy and business model take into account the varied interests and viewpoints of its stakeholders, including its valued employees, tenants, local communities and municipalities in which GCP operates, suppliers and business partners, and investors, and constitutes a significant aspect of its approach for achieving sustainable growth. GCP understands that the support of its stakeholders is crucial for executing its strategic goals. Therefore, for understanding and addressing the needs and concerns of these stakeholders, ongoing communication, active engagement, and a commitment to ethical business practices are required. Regular feedback mechanisms, community involvement, and a proactive approach to problem-solving contribute to building trust and long-lasting relationships with all stakeholders. These practices are integrated throughout the business operations to ensure that the concerns and interests of stakeholders are acknowledged and addressed. GCP's upstream value chain consists of its investors, its construction and development partners, and its suppliers. GCP takes the next position in its value chain, with its employees, tenants and local communities and municipalities making up its downstream value chain. More information on GCP's value chain can be found under SBM 1 - Strategy, Business Model and Value chain section of the consolidated sustainability statement, on page 51-52. GCP's business strategy also takes into account the sustainability matters identified as material during its Double Materiality Assessment. Whether these relate to its own workforce, its supply chain or the energy efficiency of its assets and other environmental matters, GCP adapts its strategy and underlying processes where necessary to reflect the impacts and importance of its material sustainability topics.

Tenant satisfaction is also a key pillar of GCP's strategy and helps explain the Company's success since its foundation. GCP primarily meets customer service requests in two different ways. Firstly, through the GCP service center, customer care agents individualise solutions for each tenant and provide support in several different languages. Tenants are ensured prompt responses to queries and can expect to hear back within a maximum timeframe of 24 hours. Furthermore, urgent requests are taken care of within a time frame of under an hour. The GCP service center has received independent validation for its performance and quality. TÜV Nord recertified the center for 'service quality' in 2025, and TÜV Hessen certified it for ISO 9001:2015, recognizing its quality management system.

Another key point of contact for tenants are the GCP tenant app and tenant portal, developed to streamline and digitalize various processes, contributing to improved tenant satisfaction. These services provide tools for prospective and current tenants, such as apartment searches, and submitting service or maintenance requests. Tenants can also track the status of their requests and receive updates, enhancing process transparency. The functionality is continuously improved with features like direct communication for tenant notifications, rent reminders, and consultation scheduling. The number of app downloads in 2025 went up by 15% compared to 2024. These updates have encouraged more tenants to use digital channels, with the proportion of tenants contacting the Company through the app, portal, chat, or email increasing from 37% in 2023 to 44% in 2024. Additionally, the Company has introduced a tenant loyalty program that allows tenants to earn points for timely rent payments, rental duration, active green electricity contracts, and participation in specific activities and programs. The tenants can redeem their points on their tenant account.

The Company focuses on improving the quality of life and environment for its tenants through various initiatives. GCP aims to foster a sense of community among tenants by installing playgrounds, enhancing property accessibility, organizing family-oriented events, and supporting local associations, among other efforts. Regular tenant events

include activities such as Easter celebrations and the “GCP Cinema Summer Festival” held in 2025. Additionally, the Company has taken steps to provide study areas for children, support local organizations that encourage creativity, and arrange youth programs, mother-baby groups, and senior citizen gatherings to create a welcoming and inclusive community environment. Through its foundation, GCP supports social projects across Germany, including providing cold buses in Berlin during the 2025/2026 winter season to assist homeless and vulnerable individuals. The Company also collaborates with local authorities to identify opportunities for improving community infrastructure, contributing to a better living environment and making neighbourhoods more attractive.

Operations supported by centralised IT/software

The Group’s integrated centralised IT/software plays a significant role in enabling GCP to achieve its efficiency objectives. The key to this system is the detailed information that it provides not only on the portfolio but also on existing and prospective tenants, which staff can access on and off the road. This all-encompassing data processing enables the Group to track and respond to market rent trends, spot opportunities for rent increases, and manage re-letting risks on a daily basis. Implementation of digital processes for letting activities allow for paperless signing of leases, improving the speed and efficiency of the letting process for GCP and tenants while integrated service request through GCP’s tenancy app improve the efficiency and transparency of maintenance and service requests for tenants. GCP’s IT/software provides management with the detailed information necessary to monitor everything from costs to staff performance.



Duisburg

Capital markets

Investor relations activities supporting the strong capital markets position

The Company continues to proactively present its business strategy and thus enhance perception, as well as awareness, of the Company among capital market investors. GCP seizes opportunities to present a platform for open dialogue, meeting hundreds of investors in dozens of conferences around the globe as well as hosting investors at the Company's offices or via video conferences. The improved perception leads to a better understanding of GCP's business model, operating platform and competitive advantage, and leads to strong confidence from investors. GCP's strong position in equity capital markets is reflected through its membership in key stock market indices, including the SDAX of the Deutsche Börse, the FTSE EPRA/NAREIT Global Index series and GPR 250

Placement	Frankfurt Stock Exchange	
Market segment	Prime Standard	
First listing	Q2 2012	
Number of shares (as of 31 December 2025)	176,187,899	ordinary shares with a par value of EUR 0.10 per share
Number of shares, excluding suspended voting rights, base for KPI calculations (as of 31 December 2025)	176,125,646	ordinary shares with a par value of EUR 0.10 per share
Shareholder structure (as of December 2025)	Freefloat Aroundtown SA	37% 63%
Nominal share capital (as of 31 December 2025)	17,618,789.90 EUR	
ISIN	LU0775917882	
WKN	A1JXCV	
Symbol	GYC	
Key index memberships	SDAX FTSE EPRA/NAREIT Index Series GPR 250	
Market capitalisation (as of 3 March 2026)	1.8 bn EUR	

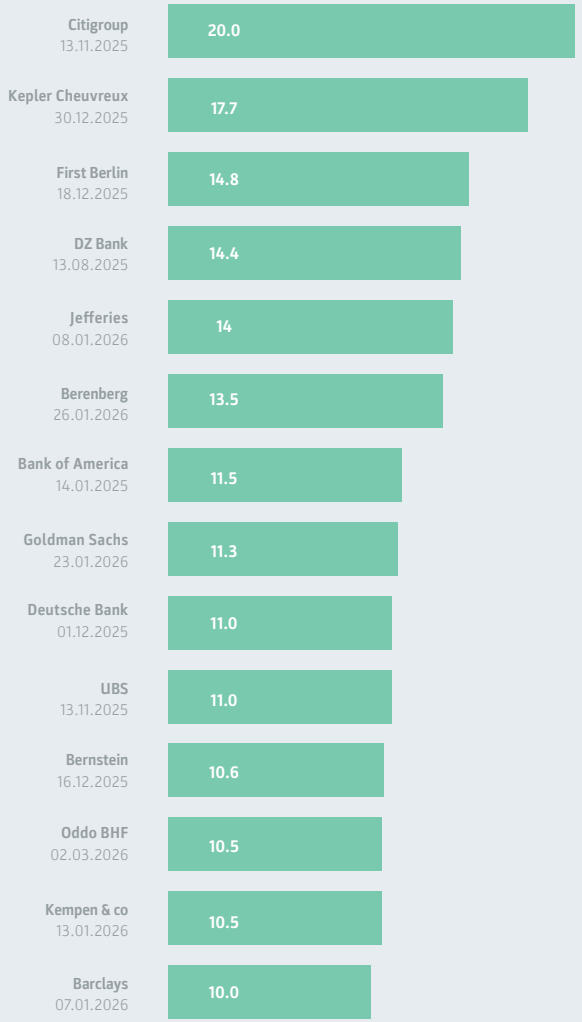
Vast and proven track record in capital markets

The Company has established over the years an impressive track record in capital markets, continuously accessing various markets through its strong relationships with leading investment banks in the market, supported by two investment-grade credit ratings (BBB Stable from S&P and Baa1 stable from Moody's). Since 2012, GCP has issued approx. €11 billion through dozens of issuances of straight bonds, convertible bonds, equity and perpetual notes. The Company launched an EMTN programme, providing significant convenience and flexibility by enabling the issuance in a short of time of financial instruments of various kinds, sizes, currencies and maturities.

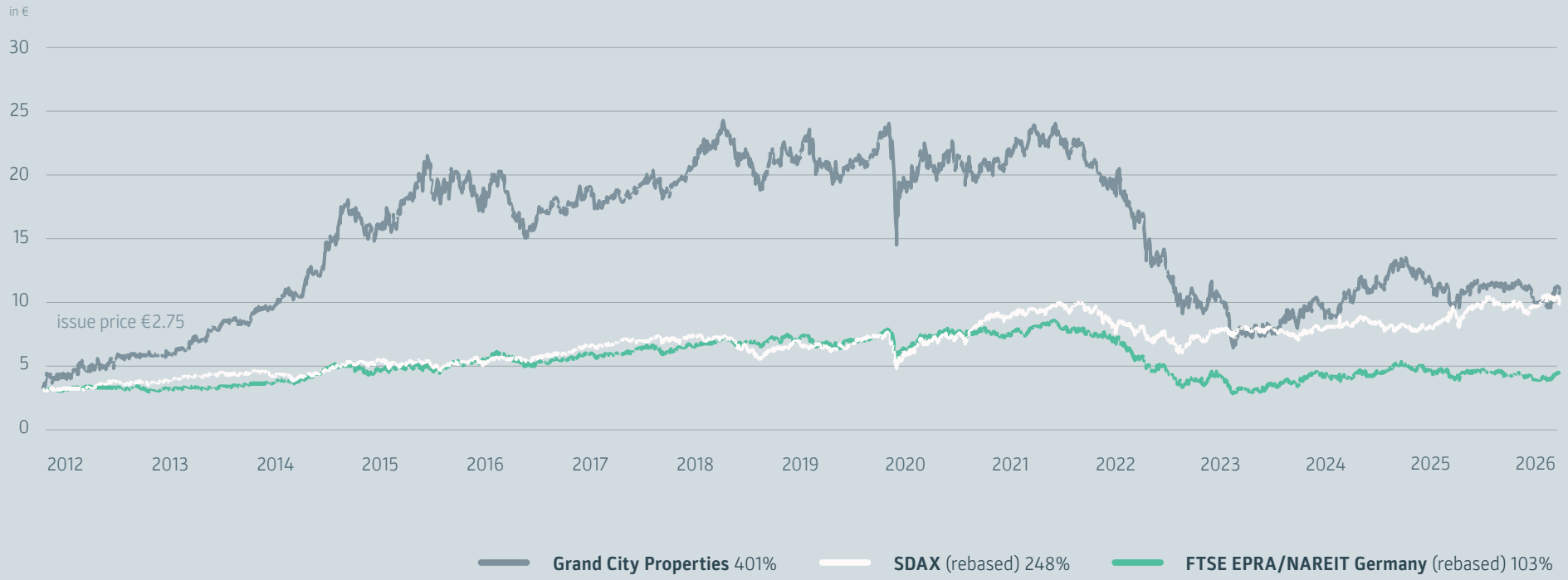
Analyst coverage

GCP's shares are covered by several different equity research analysts on an ongoing basis, who regularly publish updated equity research reports.

Analyst recommendations



Share price performance and total return comparison since first equity placement (19.07.2012)



Corporate Governance Statement

Grand City Properties S.A. (the "Company" or "GCP") places a strong emphasis on corporate governance together with a high standard of transparency. This culture of corporate governance is mandated by the Company's board of directors ("Board of Directors" or "Board"), which includes a majority of independent directors, as well as by the Company's management. The Company focuses its efforts on maintaining the trust it receives from its shareholders and bondholders. GCP is proud of the high degree of confidence of its investors, and GCP's shares and bonds are regularly and successfully placed with international leading institutional investors, major global investment banks and sovereign funds.

In order to maintain the Company's corporate governance and transparency standards, the Board of Directors has implemented a Risk Committee, an Audit Committee, a Nomination Committee, a Remuneration Committee, an ESG Committee and Advisory Board. Moreover, the Company ensures that its Board of Directors and its senior executives have significant experience and skills in the areas relevant to its business and industry.

The Company has two Codes of Conduct in place, one of which applies to business partnerships and the other to its employees. The Employee Code of Conduct addresses issues and prohibitions related to corruption, bribery, human rights abuse as well as discrimination. The Employee Code of Conduct also sets out a reporting framework for any potential violations. Additionally, it also provides for disciplinary measures as may be required in case of violations. The Employee Code of Conduct has been updated with a focus on improved transparency as well as reporting lines, which are now supported by the Compliance Department and the availability of a whistleblower system.

In addition, GCP has a Diversity Policy in place. GCP's Diversity Policy promotes a fair and inclusive workplace culture, advancing equal opportunities and eliminating discrimination based on gender, ethnicity, disability, age, and other personal attributes. The Diversity Committee oversees the implementation and integration of diversity initiatives across the organisation. The Diversity Policy is accessible via the Company's website as well as through the compliance intranet. The Diversity Policy outlines specific goals and measurable objectives to track progress in diversity and inclusion. Regular assessments and reports are conducted to ensure transparency and accountability. Employees are encouraged to participate in diversity training programmes to foster a more inclusive environment. GCP is committed to the representation of women on the Board of Directors and to ensuring a diverse mix of professional backgrounds and expertise. Board members are selected on aspects such as their years of experience in the real estate sector and other relevant industries. Good progress has been made in strengthening the number of women in leadership. In 2025, women held 44.6% of management positions across the Group, compared to 42.4% in 2024. As of December 31, 2025, women held two of five positions on the Board of Directors.

The Company is not subject to any compulsory corporate governance code of conduct or respective statutory legal provisions. In particular, the Company is currently not required to adhere to the "Ten Principles of Corporate Governance" of the Luxembourg Stock Exchange or to the German corporate governance regime, the latter of which are only applicable to listed companies incorporated in Germany. Solely for purposes of section 4.1.1.1 of the Guide to the DAX Equity Indices of STOXX Ltd., the Company declares that it does not deviate from recommendations C.10 (with sole reference to its applicability to the Chairperson of the Audit Committee), D.8 and D.9 of the GCGC, in each case applied accordingly to a public limited liability company with a one-tier governance system under Luxembourg law. In general, the Company already complies with most of these principles and continues to take steps to implement environmental, social and corporate governance best practices throughout its organization.

Annual General Meeting

The Annual General Meeting of the shareholders of Grand City Properties S.A. ("AGM" or "Annual General Meeting") was held on 24 June, 2025 in Luxembourg. All of the items on the agenda were carried by a majority, including the approval of the statutory annual accounts of the Company and approval of the consolidated financial statements of the Group for the year ended 31 December, 2024.

The AGM for 2026 is intended to take place on 24 June, 2026, in Luxembourg.

Compliance, Code of Conduct And Data Protection

The Company has incorporated a high degree of compliance with statutory laws as well as Company guidelines into its management and corporate culture. This has also the benefit of

mitigating reputational risk, which the Company considers to be a significant risk. Employees are provided with initial as well as on-going training related to issues connected with the Employee Code of Conduct. The Company's compliance and risk management framework includes the corresponding control procedures and covers all areas of the business including transactions, property and asset management, administrative and operative functions.

Internally, the Company's Employee Code of Conduct is a mandatory component of employment contracts and incorporates policies such as the Anti-Corruption and Anti-Bribery Policy, the Anti-Discrimination Policy, the Whistleblowing Policy and a Data Protection Policy. Externally, business partners are required to adhere to the strict Business Partner Code of Conduct. The Business Partner Code of Conduct sets out the legal and ethical framework to be followed and includes references to a number of important issues such as prohibitions on corruption and bribery, the health and safety of employees, environmental protection, anti-money laundering practices, respect for human rights, prevention of child labour as well as forced labour, data protection and recognition of employees' rights pertaining to freedom of association.

The Company's Employee Code of Conduct includes a prohibition of insider dealing. The Company is subject to several obligations under Regulation (EU) No. 596/2014 (Market Abuse Regulation, "MAR"), as amended. Therefore, a Company's insider register has been established as well as a process to ensure that persons on such list acknowledge their duties and are aware of sanctions. Pursuant to Article 19 para. 5 subpara. 1 sentence 1 of MAR, the Company notifies all person discharging managerial responsibilities of their obligations in the context of managers' transactions. Trainings for directors and managers as held and information is distributed, and the Company has also established a Guideline relating to dealing with inside information and prohibition of market manipulation.

One of the Company's key objectives has been to ensure the best possible protection of company data and personal data from unauthorized access or abuse. In this regard, the Company utilizes various modern technologies to implement high standards of data privacy and security. Employees are also trained on the topic of data protection through video training modules. Displaying its proactive nature, the Company has also prepared clearly communicated standard operating procedures (SOPs) which assist all stakeholders in their daily operations involving data as well as ensure the effective protection of Company data.

Board of Directors

The Company is administered by the Board of Directors, which is vested with the powers to manage the Company and to act in its best interests.

The Board of Directors represents all shareholders and makes decisions solely in the Company's best interests and independent of conflicts of interest. The Board of Directors and senior management regularly evaluate the effective fulfilment of their remit and ongoing compliance with strong corporate governance standards. The Audit Committee and the Risk Committee also play an important role

The members of the Board of Directors are elected by the shareholders at the AGM for a term not exceeding six years and are eligible for re-election. The directors may be dismissed with or without cause at any time and at the sole discretion of the shareholders at a General Meeting of the shareholders.

The Board of Directors, a majority of whom are independent, resolves on matters by way of simple majority, in accordance with the Company's articles of association. The Board of Directors chooses amongst the directors a chairperson who shall have a casting vote in the event of a tied vote.

At the AGM in 2025, the renewal of the mandates of Mr. Scot Wardlaw, Ms. Monica Porfilio and Mr. Markus Leininger as independent directors were approved for a period of one year respectively. Their mandates will automatically expire on the date of the AGM to be held in 2026.

At the AGM in 2025, the renewal of the mandate of Ms. Simone Runge-Brandner as a non-executive member of the Board of Directors of the Company was approved for one year. This mandate will automatically expire on the date of the AGM to be held in 2026.

The renewal of the mandate of Mr. Christian Windfuhr as executive member of the Board of Directors was also approved at the 2025 AGM for one year. This mandate will automatically expire on the date of the AGM to be held in 2026.

Members of The Board of Directors

Name	Position
Mr. Christian Windfuhr	Director, Chairperson
Ms. Simone Runge-Brandner	Non-Executive Director
Mr. Markus Leininger	Independent Director
Mr. Scot Wardlaw	Independent Director
Ms. Monica Porfilio	Independent Director

CEO

In October 2020, the Board of Directors resolved to delegate the daily management of the Company to Mr. Refael Zamir, as Daily Manager (administrateur-délégué) of the Company under the endorsed denomination (Zusatzbezeichnung) of Chief Executive Officer (CEO).

CFO

In January 2023, the Board of Directors additionally resolved to delegate the daily management of the Company to Mr. Idan Hadad as Daily Manager (administrateur-délégué) of the Company under the endorsed denomination (Zusatzbezeichnung) of Chief Financial Officer (CFO).

CCMO

In November 2025, the Board of Directors appointed Mr. Michael Bar-Yosef under the endorsed denomination (Zusatzbezeichnung) of Chief Capital Markets Officer (CCMO) of the Company.

Advisory Board

The Board of Directors has established an Advisory Board to provide expert advice and assistance to the Board of Directors. The Board of Directors decides on the composition, tasks and term of the Advisory Board as well as the appointment and dismissal of its members. The Advisory Board has no statutory powers under Luxembourg law or the articles of incorporation of the Company. The members of the Advisory Board can be a source of guidance when making strategic decisions.

Audit Committee

The Board of Directors has established an Audit Committee for which it decides on the composition, tasks and term as well as the appointment and dismissal of its members. The Audit Committee shall be composed of at least two members who are independent directors. The responsibilities of the Audit Committee relate to the integrity of the annual accounts and the consolidated financial statements, including reporting to the Board of Directors on its activities and the adequacy of internal systems controlling the financial reporting processes and monitoring the accounting processes. The Audit Committee is also tasked with monitoring the effectiveness and adequacy of the internal control and risk management system. Where appropriate, the Committee may delegate specific monitoring tasks to the Company's Risk Committee In addition, the Audit Committee also regularly reviews the compliance program of the Company in light of the changing regulatory environment.

The Audit Committee provides recommendations to the Board of Directors on the audit of the annual accounts and the consolidated financial statements of the Company and, in particular, shall monitor the independence of the independent auditor, the additional services rendered by such auditor, the issuing of the audit mandate to the auditor and determination of auditing focal points.

Risk Committee and Risk Officer

The Board of Directors has established a Risk Committee. The Risk Committee exercises its functions relating to the internal control and risk management system within the scope of authority delegated by the Company's Audit Committee. The Risk Committee can support the Board of Directors in fulfilling its oversight responsibilities relating to the different types of risks to which the Company has exposure, review of the risk management structure, including its organization and processes, and assessment and monitoring of the overall risk management to ensure that key risks are properly identified and mitigated.

The Risk Committee shall comprise of at least two members of the Board, of which membership at least half shall be independent, and is supported by the Risk Officer. The Risk Officer's responsibilities are determined and monitored by the Risk Committee and are guided by the Risk Committee as part of its oversight role pursuant to the Rules of Procedure of the Risk Committee, with the objective of bringing a systematic and disciplined approach to evaluating and improving the Company's culture, capabilities, and practices integrated with risk management.

The Risk Committee also reviews the Company's risk assessments as well as the scope and effectiveness of the Company's risk management and internal control systems in mitigating risks and in identifying, assessing and monitoring risks.

Remuneration Committee

The Board of Directors has established a Remuneration Committee. The Remuneration Committee submits to the Board its recommendations regarding the remuneration of directors and executive management to the Board, taking into consideration whether these proposals are in accordance with the remuneration policy adopted by the Company and the performance of the persons concerned, among other factors considered.

Nomination Committee

The Board of Directors has established a Nomination Committee. For directorships and significant senior management positions to be filled, the Nomination Committee will make an evaluation of the existing and required skills, knowledge and experience of candidates. Based on an assessment of the role, together with the skills, knowledge and experience

required, the Nomination Committee shall make recommendations in respect of prospective appointments to the Board. As such, the Nomination Committee shall act in the best interests of the Company, and among others, assess succession planning of outgoing directors and senior management, evaluate the required skills, knowledge, and experience for roles, consider proposals from shareholders, the Board and senior management, and make recommendations in respect of candidates to the Board of Directors.

ESG Committee

The Board of Directors has established an ESG Committee in order to supervise the Company's ESG processes. In addition, the Committee reviews and assesses the Company's efforts in respect of sustainable development. The ESG Committee shall be composed of at least two members of the Board. The chairperson of the Committee shall be independent.

Internal Controls and Risk Management Systems

The Company's internal controls and risk management systems ("RM System") are designed to ensure that key risks, financial and non financial, are identified, assessed, managed, and mitigated in a structured and consistent manner across the Company. Oversight rests with the Board of Directors, and primary responsibility for the RM system rests with the Audit Committee, which delegates certain responsibilities to the Risk Committee in accordance with the Audit Committee's rules of procedure. Senior management, the Risk Officer, and designated risk owners are responsible for the implementation and daily operation of the system.

Governance and framework

The RM System is embedded into strategic planning, operational processes, and reporting cycles. The Board has approved a Risk Management Policy which defines the Company's risk appetite and tolerance levels, including zero tolerance areas.

Internal controls

Internal controls ensure reliable financial reporting, compliance with laws and policies, and effective operations. They include segregation of duties, approval and authorization processes, reconciliations, and budget to actual analyses, supported by documented procedures. Management performs regular monitoring, and the statutory auditor verifies the consistency of the management report with the financial statements and applicable reporting requirements.

Risk identification and assessment

Risks, comprising both internal and external risks, are identified through a thorough risk assessment. Each business unit has risk owners who document risks across strategic, operational, financial, legal/regulatory and ESG dimensions. Risks are assessed using standardized criteria for potential impact, financial and non financial, and likelihood. The outcomes feed into a consolidated risk inventory and heat map, which support prioritization and monitoring. Emerging risks are identified through ongoing environmental scanning.

Risk response and control activities

For material risks, the Company applies appropriate response strategies such as avoidance, limitation, reduction, transfer, or acceptance. High criticality risks require specific mitigation actions and periodic updates by risk owners, reviewed by the Risk Officer. Control activities may include contractual safeguards, insurance solutions, financial limits, or operational adjustments.

Monitoring and reporting

The RM System is reviewed at least annually. Risk owners complete assessments at year end and the Risk Officer validates and consolidates the results into Company level reporting for the Risk Committee, and, where relevant, the Audit Committee. The Risk Officer reports on significant exposures, control issues, and the status of recommendations. Immediate risks are escalated through a dedicated reporting template for urgent attention.

The Risk Committee periodically evaluates the effectiveness of the RM System, and the Risk Officer maintains a quality assurance and improvement program to ensure alignment with leading practices and evolving business needs.

Internal control checks conducted by the Compliance Officer and compliance department further assist the Audit Committee in monitoring and evaluating the effectiveness and correctness of the RM system.

For further information regarding Grand City Properties' risk management objectives and policies, see Note 25.3 (Risk management objectives and policies).

Shareholders' Rights

The Company respects the rights of all shareholders and ensures that they receive equal treatment. All shareholders have equal voting rights and all corporate publications are transmitted through general publication channels and are also available in a specific section on the Company's website. The Company discloses its share ownership and additionally discloses any shareholder position above 5% when it is informed by the respective shareholder. Shares held and/or acquired by the Company, either directly or through subsidiaries, pursuant to its buy-back program (currently inactive), are suspended from their voting rights.

The shareholders of Grand City Properties S.A. exercise their voting rights at each General Meeting of the shareholders, whereby each share is granted one vote. The Annual General

Meeting of the shareholders of the Company ("AGM") takes place within 6 months after the end of the financial year at the registered office of the Company, or at such other place as may be specified in the notice of the meeting. At the AGM, the Board of Directors presents, among other items, the management report as well as the statutory and consolidated financial statements to the shareholders.

The AGM resolves, among others, on the statutory and consolidated financial statements of Grand City Properties S.A., the allocation of the statutory financial results, the appointment of the approved independent auditor, the discharge and the (re-)election of the members of the Board of Directors. The convening notice for the AGM of the shareholders contains the agenda and is publicly announced in the Recueil électronique des sociétés et associations in Luxembourg (RESA), in a Luxembourg newspaper and on the Company's website at least thirty days before the AGM and in accordance with applicable Luxembourg law.

Compliance To The Transparency Law

The Company is in line with the Transparency Law (as defined below) and in particular in relation to the disclosure requirements, i.e. disclosure to the public of regulated information within the meaning of article 1 (10) (the "Regulated Information") of the Transparency Law. The Company provides public, equal and timely access to such Regulated Information and fulfils the complex disclosure obligations. The quarterly and annual financial reports and investor presentations, press releases and ad-hoc notifications are available in the English language on the Company's website. In addition, the Company provides on its website information about the organisation, its management and upcoming and past shareholder meetings, such as AGMs. The Company's website further provides a financial calendar announcing the financial reporting dates as well as other important events. The financial calendar is published before the beginning of a calendar year and is regularly updated.

Information According To Article 11(2) Of The Luxembourg Takeover Law

The following disclosure is provided pursuant to article 11 of the Luxembourg law of 19 May 2006 transposing Directive 2004/25/EC of the European Parliament and of the Council of 21 April 2004 on takeover bids, as amended (the **"Takeover Law"**):

a) With regard to article 11 (1) (a) and (c) of the Takeover Law (capital structure), the relevant information is available on page 27, in the table below, and note 17 of this Consolidated Annual Report. In addition, the Company's shareholding structure showing each shareholder owning 5% or more of the Company's share capital is available on page 27 of this annual report, in the table below and on the Company's website, where the shareholding structure is updated on a regular basis.

b) With regard to article 11 (1) (b) of the Takeover Law, the ordinary shares issued by the Company are admitted to trading on the regulated market of the Frankfurt Stock Exchange (Prime Standard) and are freely transferable according to the Company's articles of association (the **"Articles of Association"**).

c) In accordance with the requirements of Article 11 (1) c of the Takeover Law, the following significant shareholdings were reported to the Company, as of 31 December 2025:

Shareholder name	Amount of Shares [1]	Percentage of voting rights
Edolaxia Group Ltd [2]	110,180,680	63%

(1) Total number of Grand City Properties S.A. shares as of 31 December 2025: 176,187,899
(2) Edolaxia Group Ltd is a wholly owned affiliate of Aroundtown SA

d) With regard to article 11 (1) (d) of the Takeover Law, each ordinary share of the Company gives right to one vote according to article 8 of the Articles of Association. There are no special control rights attaching to the shares. The voting rights attached to shares acquired by the Company, either directly or indirectly through subsidiaries, pursuant to the buy-back-program are suspended.

e) With regard to article 11 (1) (e) of the Takeover Law, control rights related to the issue of shares are directly exercised by the relevant employees. The key terms and conditions in relation to the Company's incentive share plan are described on note 18 of this annual report.

f) With regard to article 11 (1) (f) of the Takeover Law, the Articles of Association impose no voting rights limitations. However, the sanction of suspension of voting rights automatically applies, subject to the Luxembourg law of 11 January 2008 on transparency requirements for issuers, as amended (the "Transparency Law") to any shareholder (or group of shareholders) who has (or have) crossed the thresholds set out in the Transparency Law but have not notified the Company accordingly. In this case, the exercise of voting rights relating to the shares exceeding the fraction that should have been notified is suspended. The suspension of the exercise of voting rights is lifted the moment that the shareholder makes the notification.

g) With regard to article 11 (1) (g) of the Takeover Law, as of 31 December 2025, the Company was not aware of any agreements between shareholders that would lead to a restriction on the transfer of shares or voting rights.

h) With regard to article 11 (1) (h) of the Takeover Law, according to article 9 of the Articles of Association, the members of the board of directors of the Company (the "Board")

shall be elected by the shareholders at their AGM by a simple majority vote of the shares present or represented. The term of the office of the members of the Board shall not exceed six years, but they are eligible for re-election after such term. Any member of the Board may be removed from office with or without specifying a reason at any time. In the event of a vacancy in the office of a member of the Board because of death, retirement or otherwise, this vacancy may be filled out on a temporary basis until the next meeting of shareholders, by observing the applicable legal prescriptions. Further details on rules governing the appointment and replacement of a member of the Board of Directors are set out in Articles of Association of the Company.

i) According to article 18 of the Articles of Association, any amendment to the Articles of Association made by the general meeting of shareholders shall be adopted with a quorum and majority pursuant to article 450-3 of the law of 10 August 1915 on commercial companies, as amended (the "1915 Law").

With regard to article 11 (1) (i) of the Takeover Law, the Board of Directors is endowed with wide-ranging powers to exercise all administrative tasks in the interest of the Company including the establishment of an Advisory Board, an Audit Committee, a Risk Committee, a Remuneration Committee, Nomination Committee and an ESG Committee. Further details on the powers of the Board are described on page 31-33 of this annual report.

According to article 5.1 of the Articles of Association, the Company may redeem its own shares to the extent and under the terms permitted by law. The shareholders' meeting held on 26 June 2024 authorised the Board, with the option to delegate, to buy-back, either directly or through a subsidiary of the Company, shares of the Company for a period of five (5) years not exceeding 20% of the aggregate nominal amount of the Company's issued share capital.

j) With regard to article 11 (1) (j) of the Takeover Law, the Company's perpetual notes, bonds and security issuances under the EMTN programme (listed in notes 17.7 and 19.2) contain change of control provisions that provide noteholders with the right to require the Company to repurchase their notes upon a change of control of the issuer. The Company's ISDA master agreement securing derivate transactions with regard to its listed debts contains a termination right if the Company is financially weaker after a takeover.

k) With regard to article 11 (1) (k) of the Takeover Law, there are no agreements between the Company and members of the Board or employees according to which, in the event of a takeover bid, the Company may be held liable for compensation arrangements if the employment relationship is terminated without good reason or due to a takeover bid.



Bremen

Consolidated Sustainability Statement

GENERAL INFORMATION

ESRS 2 General Disclosures

High-Level Overview of Disclosure

Standard	Indicator
ESRS 2 General Disclosures	BP-1 – General basis for preparation of the sustainability statement
	BP-2 – Disclosures in relation to specific circumstances
	GOV-1 – The role of the administrative, management and supervisory bodies
	GOV-2 – Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies
	GOV-3 – Integration of sustainability-related performance in incentive schemes
	GOV-4 – Statement on due diligence
	GOV-5 – Risk management and internal controls over sustainability reporting
	SBM-1 – Strategy, business model and value chain
	SBM-2 – Interests and views of stakeholders
	SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model
	IRO-1 – Description of the process to identify and assess material impacts, risks and opportunities
	IRO-2 – Disclosure Requirements in ESRS covered by the undertaking's sustainability statement

Grand City Properties S.A. ("GCP", "the Company", "the Group") has assessed whether the relevant sustainability topics are material. For any material topics identified, GCP provides information on the assessed matters, their integration into the business model and strategy, related policies, actions taken, progress towards targets, and relevant metrics. The Consolidated Sustainability Statement has been prepared in line with the Corporate Sustainability Reporting Directive ("CSRD") and the European Sustainability Reporting Standards ("ESRS"). As there is no Luxembourg transposition of the CSRD yet, and the Omnibus process and ESRS simplification are ongoing, 2025 CSRD reporting can still be considered as a first application. Therefore, GCP has decided to apply the phase-in provisions in accordance with Appendix C of ESRS 1. GCP is committed to a full disclosure of these data points in the coming years, as required. The sustainability information and related disclosures for the year ended 31 December 2025 were voluntary subject to assurance procedures in line with the CSRD.

BP-1 - BASIS FOR PREPARATION OF THE CONSOLIDATED SUSTAINABILITY STATEMENT

GCP has prepared this Consolidated Sustainability Statement for the reporting year 2025 in compliance with the ESRS, as mandated by the CSRD. In alignment with these requirements, the Company adheres to key reporting principles, ensuring that its disclosures are relevant, comparable, verifiable, and understandable, while providing a faithful representation of its sustainability performance.

Integration of Data and Governance in Reporting

The preparation of this Consolidated Sustainability Statement integrates both qualitative and quantitative data collected from across GCP's operations as well as upstream and downstream value chain data. The reporting process is closely aligned with financial reporting procedures and governance frameworks, ensuring consistency and accuracy in disclosures. Input is gathered from internal stakeholders, including the ESG Committee and the Sustainability Department, while indirect feedback from external stakeholders, such as investors and business partners, is also considered. The Sustainability Department is responsible for overseeing data collection and verification, while the ESG and Audit committees conduct a high-level review for quality assurance and best practices in ESG reporting and also approve the final report, reinforcing the governance structure supporting the sustainability reporting process.

Scope of Consolidation and Reporting Boundaries

The scope of consolidation for this Consolidated Sustainability Statement mirrors that of GCP's consolidated financial statements, in accordance with International Financial Reporting Standards. However, disclosures under ESRS E1 (Climate Change), specifically regarding Scope 1, 2, and 3 greenhouse gas ("GHG") emissions and energy consumption, follow an

operational control approach as defined by the GHG Protocol and as opposed to the ESRS specific requirements for a company to follow when determining its GHG organisational boundary [ESRS E1.46, AR40, ESRS 1.62], discussed in more detail in the second paragraph of subsection E1-6. This means that only assets and operations under GCP's direct operational control are included in these disclosures. For all other sustainability-related data, the scope aligns fully with the financial consolidation framework, ensuring transparency and consistency across reporting structures. For the reporting year 2025, no subsidiaries within GCP's financial consolidation scope have been exempted from consolidated sustainability reporting.

Additionally, the Consolidated Sustainability Statement extends beyond the Company's direct operations - except for GHG emissions and energy consumption data - to reflect material sustainability impacts, risks, and opportunities across its upstream and downstream value chain.

- Upstream activities encompass deal sourcing, due diligence, financing arrangements, procurement of materials and services.
- Own operations include property management, asset management, marketing and leasing, ESG compliance and risk management, as well as refurbishment and development.
- Downstream activities encompass consolidated reporting, investor relations, exit strategies, asset sales, and interactions with real estate brokers.

The Company's value chain also incorporates key suppliers, contractors, and service providers, such as construction and maintenance personnel, who are required to comply with GCP's Code of Conduct for Business Partners and undergo periodic risk assessments. Due diligence processes and structured ESG questionnaires help monitor adherence to sustainability standards across the supply chain. Additionally, the impact of tenants is reflected in Scope 3 GHG emissions reporting, ensuring that the Company captures indirect environmental influences.

Disclosure of Intellectual Property and Developments under Negotiation

GCP has not exercised the option to omit specific information related to intellectual property, know-how, or results of innovation. All relevant disclosures, including those pertaining to technological innovations in energy efficiency and tenant engagement platforms, have been fully incorporated into this statement to maintain transparency.

Similarly, the Company has not made use of exemptions under articles 19a(3) and 29a(3) of Directive 2013/34/EU, which allow for the omission of disclosures on impending developments or matters under negotiation. All materially relevant developments, including those associated with technological advancements and sustainability initiatives, have been disclosed in this Consolidated Sustainability Statement, further reinforcing GCP's commitment to transparency in its ESG reporting.

BP-2 – DISCLOSURES IN RELATION TO SPECIFIC CIRCUMSTANCES

GCP applies the same short, medium, and long-term time horizons as those defined under ESRS 1, article 6.4. This alignment ensures consistency in sustainability reporting, facilitating comparability across disclosures while maintaining transparency in how sustainability risks and opportunities are assessed over time.

In relation to metrics that incorporate value chain data, certain sustainability performance indicators, particularly those related to energy consumption in tenant operations, are based on estimates derived from indirect sources. These estimates are obtained through supplier reports, industry averages, and benchmarking studies, ensuring a comprehensive representation of sustainability impacts across GCP's upstream and downstream value chain. The methodology used for these estimations is outlined in the relevant sections of this Consolidated Sustainability Statement, ensuring clarity and transparency in reporting.

Changes in Preparation or Presentation of Sustainability Information

The following section summarises any changes or restatements to GCP's 2024 Consolidated Sustainability Statement:

- During the 2025 review of the comprehensive Double Materiality Assessment ("DMA") that was conducted in 2024 for GCP, it was found that the previous material topic, E2 Pollution, was not material for the Company anymore. This conclusion was based on a closer review of stakeholder interviews, analysis of peer and real estate industry research on material sustainability topics. Therefore, E2 Pollution was removed from GCP's material topics and from this CSRD reporting.

Reporting Errors in Prior Reporting Periods

Errors in prior reporting periods and restatements of information are mentioned in the respective sections of this report. Please refer to section E1-6, subsection *Methodology and EPRA sBPR Data Preparation Notes*, where restatement of information is also covered.

Table 1

Metrics Including Value Chain Data Estimations	Description	Description of Basis for Preparation of Metrics That Include Value Chain Data Estimated Using Indirect Sources	Description of the Level of Accuracy of Estimations and Planned Actions to Improve Accuracy in Future of Metrics That Include Value Chain Data Estimated Using Indirect Sources
E 1-6_AR 46i	Scope 3 Category 13 GHG emissions calculations	Measured landlord-obtained energy consumption data in buildings is allocated to tenants. Additionally, variations in tenant behaviour and energy use in common areas are difficult to account for without accurate data. The Company allocates consumption to tenant areas outlined in the *Landlord and Tenant Boundaries* subsection of section E1-6. There are instances where estimations are required in light of missing Energy Performance Certifications ("EPCs") as outlined in the *Estimation of Landlord-Obtained Utility Consumption* subsection of the E1-6 section. Regarding tenant-obtained electricity, legal data protection barriers prevent landlords from accessing information falling under direct contracts between tenants and utilities. As such, the Company can only rely on generalised assumptions used in estimations outlined in the *Landlord and Tenant Boundaries* subsection of section E1-6. Additionally, the slow smart meter installation by grid operators outlined in the *Landlord and Tenant Boundaries* subsection of section E1-6 is another source of uncertainty. In instances where available heating data is not representative for the full reporting year, estimations were calculated as outlined in the *Estimation of Landlord-Obtained Utility Consumption* subsection of section E1-6.	The Company is simultaneously pursuing several actions to improve data collection, with some being intermediary solutions while others are longer-term actions. This involves semi-automated data collection technologies for property managers, non-invasive digital measurement instruments on main and submeters that work in real-time, and working to receive data digitally from larger-scale energy suppliers. A 2025 pilot programme of non-invasive and invasive digital meters is still ongoing at more than 40 entrances. Thus far this data is not being used in emissions calculations The Company is also exploring data-scraping solutions to take data directly from invoices, however the challenges from the billing systems mentioned here have yielded limited success thus far.
E1-1 14 Disclosure of Transition Plan for climate change mitigation	Climate factors used to estimate future heating demand	The German National Meteorological Service ("DWD") does not publish projected climate factors for future years, since this is a dataset of historical data for specific locations in Germany. To estimate climate factors for the future year 2030, the 2025 climate factor is multiplied by a factor of 1.02 in order to assume a general 2% increase in temperature levels. Assumptions on future temperature increases reflected in the climate factor are based on internal analyses of trends observed in historical data. Due to the two-month lag on publication of climate factor data and accelerated reporting timelines, the full reporting year cannot always be used in each report, as explained in the *Estimation of Landlord-Obtained Utility Consumption* subsection of section E1-6.	The Company considers its estimated future climate factors to be reasonably accurate as historical data is the best basis for deriving assumptions given the lack of future climate factors. GCP will continue to monitor available data in case better data sources can be identified.

Disclosure of Quantitative Metrics and Monetary Amounts Disclosed That Are Subject to High Level of Measurement Uncertainty

Metrics affected by high levels of measurement uncertainty are:

Table 2

Quantitative Metric and Monetary Amount Subject to High-Level of Measurement Uncertainty	Description	Source of Measurement Uncertainty	Assumptions, Approximations, and Judgements Made in Measurement
E1-6 AR 43-45	Scope 1 and 2 GHG Emissions calculations	GCP primarily tracks floor area of its assets in the form of Net Lettable Area ("NLA") based on areas demarcated in lease contracts, meaning that common areas in assets are not precisely recorded, as this information has no significant business relevance. In some cases, measured data for the full reporting year were not fully available in time for publication for the same reasons regarding the utility invoicing practices referenced in *Landlord and Tenant Boundaries* subsection of section E1-6. For a small proportion of properties within the operational control portfolio, EPCs are not available, as outlined in the *Estimation of Landlord-Obtained Utility Consumption* subsection of section E1-6.	Assumptions relating to the asset-type-specific ratios used to estimate Gross Floor Area ("GFA") discussed in *Landlord and Tenant Boundaries* subsection of section E1-6. In instances where available heating data is not representative for the full reporting year, estimations were calculated as described in the *Estimation of Landlord-Obtained Utility Consumption* subsection of section E1-6. In the case of missing EPCs, EPC-estimated calculations are conducted as described in the *Estimation of Landlord-Obtained Utility Consumption* subsection of section E1-6. The proportions of estimated data are disclosed in Table 17 found in E1-5, Energy Consumption and Mix.

External Validation of Measurement Metrics

GCP received validation by an external body of its Information Security Management System with a ISO 27001 certification, and our Customer Service Centre holds a TÜV certification for both Quality Management and Service Quality. Both certifications are reviewed and reissued annually.

Adherence to Additional Sustainability Standards and Reporting Frameworks

In addition to the ESRS, GCP integrates information from other widely recognised sustainability reporting frameworks and industry best practices. This ensures that its Consolidated Sustainability Statement remains comprehensive and aligned with stakeholder expectations. Specifically, GCP's reporting incorporates:

- The Sustainability Best Practices Recommendations ("sBPR") of the European Public Real Estate Association ("EPRA"), which provide sector-specific sustainability metrics relevant to real estate.

List of DRs and DPs Incorporated by Reference

GCP's Consolidated Sustainability Statement incorporates the following disclosure requirements and data points from other sections in the Consolidated Annual Report for the year end 31 December 2025 of Grand City Properties:

Table 3

Disclosure Requirement	Information	Reference
ESRS 2 GOV-3 Paragraph 29	The undertaking shall disclose the following information about the incentive schemes and remuneration policies linked to sustainability matters for members of the undertaking's administrative, management and supervisory bodies.	The Remuneration Policy can be found on the GCP website under the Corporate Governance section
ESRS 2 SBM-1 Paragraph 40 a i	Significant groups of products and/ or services offered, including changes in the reporting period (new/removed products and/or services).	Board of Directors' Report Section - Company Strategy and Business model. Pages: 24-26
ESRS 2 SBM-1 Paragraph 42	The undertaking shall disclose a description of its business model and value chain.	Board of Directors' Report Section - Company Strategy and Business model. Pages: 24-26

GOV-1 – THE ROLE OF THE ADMINISTRATIVE, MANAGEMENT AND SUPERVISORY BODIES

Composition of the Board of Directors

GCP is administered by a Board of Directors vested with the broadest powers to perform and manage in the Company's interest. All powers not expressly reserved by the Luxembourg Companies Act or by the articles of association to the general meeting of the shareholders fall within the competence of the Board of Directors. On a regular basis, the Board evaluates the effective fulfilment of their remit and compliance with corporate governance procedures implemented by the Company.

As of 2025, the Board of GCP consists of one executive member, Mr. Christian Windfuhr, who also serves as the Chairperson of the Board. In addition to the executive member, the Board is composed of one non-executive director and three independent directors:

- Ms. Simone Runge-Brandner (Non-Executive Director)
- Mr. Markus Leininger (Independent Director)
- Mr. Scot Wardlaw (Independent Director)
- Ms. Monica Porfilio (Independent Director)

Employee and Workforce Representation

GCP has structured mechanisms in place in which employees participate in governance processes. These consists of employee feedback channels; compliance ambassadors, HR roundtables, annual Townhall meetings. These initiatives facilitate continuous dialogue between management and employees, integrating workforce perspectives into decision-making.

Board and Management Expertise

GCP executive management consists of three members who are responsible for the overarching oversight of the Company. The Daily Management consists of two members, the CEO and CFO ("Daily Management"), who are also referred to as daily managers. In general, for a business incorporated as a Luxembourg Société Anonyme, the daily managers are entrusted with decisions and actions related to the day-to-day management of the business, to ensure the Company's business performance. This function is a complementary role to the Board of Directors.

The executive management team, responsible for GCP's day-to-day operations, consists of:

- Mr. Rafael Zamir (Chief Executive Officer, "CEO"): Extensive experience in real estate financial management, particularly in Germany and the UK, GCP's core markets.
- Mr. Idan Hadad (Chief Financial Officer, "CFO"): Extensive experience in financial management, including accounting and taxes, compliance and risk management, as well as cash and budget management, payment controls and collection. His geographical expertise is focused on Germany and the UK.
- Mr. Michael Bar-Yosef ("Chief Capital Markets Officer, "CCMO"): Joined the executive management as CCMO in November 2025. Extensive experience in economics as well as financial and corporate analysis for financial advisory.

The Board of Directors is composed of five members who collectively oversee the Company's strategic direction:

- Mr. Christian Windfuhr (Executive Director, Chairperson): Real estate expert with extensive experience in the European market, particularly within residential, as well as hotel and hospitality sector and has significant expertise in business management and strategic planning, as well as in crisis and risk management.
- Ms. Simone Runge-Brandner (Non-Executive Director): Strong background in banking and finance with vast expertise in real estate, business management and strategy in Europe.
- Mr. Markus Leininger (Independent Director): Vast experience in finance, banking, and real estate, specialising in governance, risk management, and investment strategy, with expertise in debt products, contributing to ESG strategy, corporate governance and financial oversight. Led large-scale lending operations across Central and Eastern Europe.
- Mr. Scot Wardlaw (Independent Director): Vast experience working in the real estate industry in Europe and other jurisdictions, including real estate finance, business development and strategy and real estate asset management, in addition to expertise in crisis and risk management and information technology.
- Ms. Monica Porfilio (Independent Director): Strong background and expertise in finance, business management and strategy alongside expert knowledge in crisis and risk management within the Europe's market.

As seen in the Board Competencies Matrix below, the outstanding areas of expertise of our Board Members identified through a self-assessment questionnaire, include 'real estate', 'finance, banking or auditing', 'business management and strategic planning', and 'international experience and cultural awareness'. These competences are relevant for their roles and responsibilities, supporting effective governance and strategic decision making in the Company. Further details on Board members' academic and professional backgrounds are available in the Management section of the GCP website.

Competencies

	Real Estate	Finance, Banking or Auditing	Business Management & Strategic Planning	Crisis & Risk Management	IT, Information& Cyber Security	Environment & Sustainability	International Experience & Cultural Awareness	Merger & Acquisition Experience
Christian Windfuhr	●●●	●●	●●●	●●●	●	●●	●●●	●●●
Markus Leininger	●●●	●●●	●●	●●	●	●●	●●●	●●
Simone Runge Brander	●●●	●●●	●●●	●●	●	●●	●●●	●●
Scot Wardlaw	●●●	●●	●●●	●●●	●●●	●	●●●	●●
Monica Porfilio	●●	●●●	●●●	●●●	●	●●	●●	●●●

● Basic ●● Proficient ●●● Expert

In addition, the Board of Directors established an Advisory Board to provide expert advice and assistance to the Board of Directors, as well as the Daily Management. The Board of Directors decides on the composition, tasks, and term of the Advisory Board as well as the appointment and dismissal of its members. The Advisory Board has no statutory powers under Luxembourg law or the articles of incorporation of the Company but applies rules adopted by the Board of Directors. The Advisory Board is an important source of guidance for the Board of Directors and members of the Daily Management, as well as the Daily Management when making strategic decisions.

Board/Management Breakdown per Gender, Geographic Diversity and Expertise

The following breakdown shows the percentage of members of the Board of Directors and the Daily Management with regards to:

- **Gender Diversity:** The composition of the Board and executive management together include 75% male (6 members) and 25% female (2 members). The Board itself consists of five members, of whom three are male (60%) and two are female (40%).
- **Geographic Diversity:** Members bring perspectives from, Germany, Luxembourg, the United States, Italy and other international real estate markets.
- **Expertise Diversity:** The Board collectively has experience in real estate operations, ESG governance, accounting, legal compliance, and financial risk management.
- **Percentage Independent Members:** The percentage of independent members on the Board is 60%, with three out of five members being independent and one a non-executive director.

Oversight of Sustainability Risks, Impacts, and Opportunities

The Board, supported by its committees, is responsible for overseeing sustainability-related impacts, risks, and opportunities. Following the most recent Annual General Meeting ("AGM") prior to the publication of this report, the composition of the Board's committees was updated to include the following board members:

- **Audit Committee:** Chair: Markus Leininger | Members: Simone Runge-Brandner, Monica Porfilio
- **ESG Committee:** Chair: Markus Leininger | Members: Christian Windfuhr, Monica Porfilio
- **Risk Committee:** Chair: Markus Leininger | Members: Simone Runge-Brandner, Scot Wardlaw
- **Nomination Committee:** Chair: Markus Leininger | Members: Monica Porfilio, Scot Wardlaw
- **Remuneration Committee:** Members: Markus Leininger, Simone Runge-Brandner, Scot Wardlaw

Each Board committee's responsibilities for sustainability oversight are defined in their Rules of Procedure.

- **Audit Committee:** Ensures financial integrity, risk management, and internal control systems.
- **ESG Committee:** Supervises ESG strategy, regulatory compliance, and sustainability risk mitigation.
- **Risk Committee:** Oversees the Company's risk management framework, including financial, operational, legal, and reputational risks.
- **Nomination Committee:** Evaluates Board composition and succession planning.
- **Remuneration Committee:** Aligns executive compensation with financial performance and sustainability targets.

The Daily Management team, comprising of the CEO and CFO, is tasked with implementing Board-approved strategies and ensuring compliance with sustainability objectives. Whereas the CEO oversees the alignment of operations with sustainability goals, the CFO oversees impacts, risks and opportunities from a financial perspective. In addition, senior management(*) in operational roles support the Daily Management in the implementation of governance processes to manage and oversee impacts, risks and opportunities.

The Board delegates responsibilities to its committees, which report back to the Board on their activities. Each Committee meets as outlined in the relevant rules of procedure, with meeting frequencies varying depending on the committee. The CEO and CFO report directly to the Board. The Head of Sustainability reports to the CEO and CFO but also updates and informs the ESG Committee. The Risk Officer reports to the Risk Committee.

In addition, controls and procedures are integrated to the management of impacts, risks and opportunities through firstly, compliance and legal monitoring (dedicated controls and procedures): GCP's Compliance Department oversees adherence to the Company's governance policies, mindful of European regulations and national laws. In the event of specific questions, these are addressed to the Legal Department. Secondly, cross-functional collaboration (integration with other internal functions): GCP's Sustainability, Energy, Operations, Construction, Compliance, Legal and Risk Departments coordinate to address shared impacts and Energy, Operations and Sustainability departments in particular collaborate closely regarding control of energy and GHG emissions data, but also waste and water consumption from GCP's assets and joint procedures regarding energy efficiency projects and retrofit planning.

(*) senior management refers to senior managers, such as heads of departments, that are not the Daily Management.

Setting Sustainability Targets

The heads of departments are responsible for setting their own specific targets, as well as monitoring the progress towards achieving them. They inform about these targets and their implementation regularly during management meetings. In addition, the ESG Committee oversees the sustainability targets setting and the progress towards achieving them, ensuring alignment with material impacts, risks and opportunities. The ESG Committee and the Board oversee strategic guidance on ESG topics and is responsible for reviewing and assessing GCPs responsible business strategy, policies and practices with respect to ESG topics. Progress is monitored through reports which are presented to the Board at least twice a year.

Sustainability Expertise and Its Role in Governance

In general, GCP's Daily Management places emphasis on ensuring that employees and senior positions possess the relevant skills and expertise in sustainability matters, taking into account the Company's needs and existing knowledge in the departments. The Nomination Committee assesses existing and required competencies for directorships, as well as certain management positions and reviews whether the candidate possesses the necessary skills, knowledge, and experience to fill the relevant role. It ensures alignment with the Company's interests and their recommendation vis-à- vis candidates is then shared with the Board. If necessary, tailored training programmes – whether online or in-person formats – are implemented to further develop and maintain up-to-date knowledge amongst Board Members, as well as senior management and senior employees who deal with sustainability topics. In 2025, directors and the Daily Management received company-initiated trainings in the following areas:

- A capital markets/market abuse regulation training led by the German office of an international law firm.
- A conflict of interest and related party transactions training led by a leading independent European corporate law firm.
- Various accounting topics training for audit committee members led by an international accounting firm.

The Board of Directors possesses expertise in risk management, ESG governance in real estate, and stakeholder engagement strategies, ensuring sustainability considerations are embedded in the Company's decision-making processes. In addition to the Board, the ESG Committee is a key body that provides dedicated sustainability expertise within GCP's governance structure. Next to the three Board Members, the ESG Committee also includes the Head of Sustainability, Head of Energy, Chief Operations Officer of the German operations, and the Company's Head of Human Resources, all experienced leaders and subject experts in their field. These leaders play an essential role in guiding GCP's ESG strategy, compliance, and risk management. Their expertise ensures that sustainability-related impacts, risks and opportunities are identified, managed, and integrated into corporate governance and operations.

The Board and ESG Committee leverage sustainability expertise across the organisation to enhance ethical risk management and drive GCP's long-term ESG objectives. Through collaboration with department heads, the Board and ESG Committee are responsible for identifying and addressing material impacts, risks, and opportunities ("IROs"), including:

- Climate change mitigation strategies, such as GHG emissions reduction, renewable energy adoption, and energy efficiency improvements across GCP's assets.
- Corporate governance practices that uphold transparency, compliance, and ethical conduct, thereby preventing risks related to mismanagement, bribery, corruption, and ESG non-compliance.
- Investor confidence and capital access, by ensuring that ESG performance aligns with stakeholder expectations and regulatory frameworks.
- Supplier relationship management, ensuring ESG due diligence is integrated into procurement processes and business partner engagements.
- Workforce engagement and inclusion, promoting equal opportunities, ethical business conduct, and safe working conditions.

By leveraging sustainability-related expertise, the Board and ESG Committee play a critical role in ensuring that GCP's governance framework supports both financial and ESG performance, fostering long-term operational resilience and stakeholder trust.

ESG Governance Structure

BOARD OF DIRECTORS

Christian Windfuhr
Executive Director, Chairman

Simone Runge-Brandner
Non-Executive Director

Markus Leininger
Independent Director

Scot Wardlaw
Independent Director

Monica Porfilio
Independent Director

- The ESG strategy is managed by the Board of Directors, which holds the responsibility for overall ESG performance

ESG COMMITTEE

Board Members: Markus Leininger (Chairperson), Christian Windfuhr, Monica Porfilio

Advisory Members: Head of Sustainability, Head of Energy, Chief Operations Officer, Group Head of HR

- Meets at least twice a year
- Strategic guidance on ESG
- Responsible for reviewing ESG strategy

DAILY MANAGEMENT

- Meets at least once a year on ESG topics
- Supervises the implementation of sustainability programs

SUSTAINABILITY DEPARTMENT

- Cross-departmental interface
- Reviews and communicates sustainability programs
- Responsibility for sustainability reporting

HR DEPARTMENT

- Responsible for employee journey, incl. well-being, growth and professional development.
- Implements diversity and inclusion initiatives

COMPLIANCE DEPARTMENT

- Responsible for strict adherence to compliance standards
- Maintains level of fair business relationships with suppliers

OPERATIONS & CONSTRUCTION DEPARTMENT

- Responsible for energy efficiency improvements
- Implements climate adaptation solutions
- Ensures health and safety standards follow national laws

ENERGY DEPARTMENT

- Develops energy and carbon reduction strategy
- Implements and tracks energy projects and progress

Responsible for defining, implementing and tracking departments' ESG targets

GOV-2 – INFORMATION PROVIDED TO AND SUSTAINABILITY MATTERS ADDRESSED BY THE UNDERTAKINGS ADMINISTRATIVE, MANAGEMENT AND SUPERVISORY BODIES

The Board of Directors receives regular and structured updates on operational and management matters, including sustainability-related impacts, risks, and opportunities. Additionally, the Board is kept informed about the activities of its committees, including the content and frequency of their meetings.

The reporting frequency of Board committees varies depending on their specific duties and Rules of Procedure. Some committees convene as needed, while others meet annually or multiple times per year. The topics covered in these meetings include emerging risks, such as climate transition risks, sustainability-driven investment opportunities and review and approval of policies, actions, metrics, and targets, including compliance and sustainability-related initiatives. This exempts the Nomination and Remuneration committees.

At the operational level, the Daily Management receives quarterly updates from department heads, including: the Head of Sustainability, Head of Human Resources, Head of Energy, Head of Compliance. In addition to scheduled updates, the Daily Management is also informed on an ad-hoc basis regarding pressing issues, ensuring real-time responsiveness to sustainability-related challenges.

Integration of Sustainability Considerations in Decision-Making

Impacts, risks and opportunities are taken into consideration during in-depth analysis of sustainability-linked topics, stakeholders engagement processes and subsequent discussions by the Daily Management and Board of Directors, based on reports from Board Committees and senior management. Where necessary, strategy, operations and risk management processes are adapted to address identified impacts, risk and opportunities.

The Company adopts a similar approach to ESG-related impacts, risks and opportunities, such as analysis of employee satisfaction and needs, and tenant satisfaction. Furthermore, technical due diligences, with an increasing focus on sustainability-linked topics, are carefully evaluated by senior management prior to major asset transactions. No trade-offs associated with those impacts, risks and opportunities were considered.

Key Material Impacts, Risks, and Opportunities Addressed in 2025

In 2025, the Board of Directors and its committees addressed several material topics, starting with a review of the Double Materiality Assessment results and in-depth discussions on impacts, risks and opportunities:

Material Impacts:

- **Climate Mitigation and Energy Efficiency:** Internal processes for managing the EPC Database. The aim was to optimise the process of identifying and prioritising energy-inefficient assets for improvement programmes.
- **Energy Procurement:** Updates on portfolio energy management, progress in expanding Green PPA coverage, and assessment of large-scale greenfield renewable energy investment opportunities.

Material Risks:

- **Regulatory Risk:** Updates on the EU Energy Performance of Buildings Directive ("EPBD") and its potential impact on high-priority assets (EPC F, G, H-rated properties).
- **Transition Risk:** Strategies for energy improvement across high-priority assets, including progress on ongoing energy audits and their alignment with GCP's Transition Plan.
- **Climate Risk:** Ongoing physical and transition climate risk assessments affecting property portfolios in Germany and the UK.

Material Opportunities:

- **Competitive Advantage in Energy Performance Improvements:** Due to GCP's scale, expertise, and network, the Company is well-positioned compared to the overall market in adapting to the requirements of the EPBD. This positioning provides a competitive advantage and potential growth opportunities, as energy efficiency regulations become more stringent.
- **Innovation and technology investment:** The Accelerator Program, ATechX, of GCP's parent company, Aroundtown, completed the 2nd cohort in September 2025. This brings the total number of accelerated start-ups to 10, with approximately 50% focused on enabling reduced carbon emissions and energy costs. These start-ups have begun deploying solutions from the first two cohorts across GCP's portfolio. These innovations align with EU Taxonomy criteria for climate mitigation

and adaptation, delivering "do no significant harm" outcomes through substantial CO_2 reductions, enhanced energy performance, and resilient building upgrades.

- **Tenant Management Improvements:** Updates on tenant engagement strategies, implementation of the Community Involvement and Development Guidelines, and actions taken to enhance tenant satisfaction.

GOV-3 – INTEGRATION OF SUSTAINABILITY-RELATED PERFORMANCE IN INCENTIVE SCHEMES

GCP integrates sustainability-related performance metrics into its Remuneration Policy. For details on GCP's Remuneration Policy, please refer to the Remuneration Policy section on our Corporate Governance page. The Remuneration Policy applies upon renewal of contract to the Daily Management and the Board of Directors.

The Remuneration Policy takes into consideration two specific sustainability-related topics:

1. **Maintenance or Improvement of ESG Ratings (*):** GCP aims to maintain or improve its score in at least key scoring criteria areas across its prioritised ESG ratings compared to the previous financial year.
2. **Enhancement of the Portfolio's Energy Efficiency:** The Company seeks to improve the energy rating profile of its real estate portfolio, measured against the baseline at the end of the previous financial year.

The Remuneration Policy is formally approved by the Board of Directors and subject to regular review.

Following the conclusion of each fiscal year, the Company prepares a detailed Remuneration Report as part of the materials distributed for the approval of the shareholders before the next Annual General Meeting. These materials are prepared in accordance with Article 7 of the Luxembourg law of 24 May 2011 (the "2011 Law"), implementing the Shareholder Rights Directive II (EU) 2017/828. These reports designate the specific percentages of variable remuneration based on performance targets. The materials are published annually on the General Meeting pages found under the Investor Relations web page in the Company's website.

The terms of GCP's compensation packages for directors and the Daily Management are approved and updated at the Board of Directors' level, based on recommendations from the Remuneration Committee. This process ensures: alignment with GCP's strategic sustainability goals. The current Remuneration Policy underwent review and approval by the Remuneration Committee, the Board of Directors and presentation to shareholders at the 2024 AGM for a non-binding advisory vote, where it received approval. As per section 7.2 of the Remuneration Policy, the policy will be submitted to the AGM every four years, or earlier in the event of a material change to the remuneration structure.

(*) ESG ratings are third-party, independent assessments of a Company's ESG performance and GCP participates in several such ratings.

GOV-4 – STATEMENT ON DUE DILIGENCE

In the below table, we map core elements of our due diligence processes across multiple sections of our Consolidated Sustainability Statement.

Table 4

Core Elements of Due Diligence	Paragraphs in the Consolidated Sustainability Statement
a. Embedding due diligence in governance, strategy and business model	ESRS 2 GOV-5, ESRS 2 SBM-1, ESRS 2 SBM-2
b. Engaging with affected stakeholders in all key steps of the due diligence	ESRS 2 SBM-1, ESRS 2 SBM-2, S2.SBM-3 S2-4, G1-2
c. Identifying and assessing adverse impacts	S2.SBM-3, S2-1, S2-4, G1-2
d. Taking actions to address those adverse impacts	S2.SBM-3, S2-1, S2-4, G1-2
e. Tracking the effectiveness of these efforts and communicating	S2-4, S2-5, G1-2

In practice, these core elements of due diligence are embedded throughout GCP's governance, strategy and business model and are applied across our operations and value chain. The Board of Directors and its committees regularly review sustainability-related impacts, risks and opportunities, including the results of the DMA, updates on regulatory developments, and key human-rights and supply-chain topics. At business-model level, due diligence is integrated into asset acquisition and financing (through legal, financial, operational and ESG assessments) and into supplier onboarding and monitoring via KYC and business partner checks and alignment with the Code of Conduct for Business Partners. These structures are supported by GCP's internal control and risk management system for sustainability reporting, which establishes clear responsibilities, multi-step review of sustainability data and integration with the wider enterprise risk management system.

Engagement with affected stakeholders is an integral part of our due diligence. ESRS 2 SBM-2 and the topical social disclosures describe how we gather and incorporate the views of our own workforce, value chain workers, affected communities and tenants. For example, GCP engages employees through HR roundtables, townhall meetings and surveys; value chain workers through supplier dialogue and assessments; and tenants through the Customer Service Centre, tenant app, surveys and community events. These mechanisms ensure that stakeholder input informs both the identification of impacts and the design of related policies, actions and targets.

The DMA describes the structured process used to identify the material IROs, which is then operationalised through topic-specific due diligence: for example, ESRS S2 explains how human-rights due diligence for value chain workers is guided by the Human Rights Policy and Business Partner Code of Conduct, supported by risk assessments, a Business Partner Questionnaire, and where necessary, escalation up to the termination of business relationships.

Tracking the effectiveness of these actions and communicating on them is reflected in the targets, metrics and monitoring processes disclosed across the topical standards. For social topics, sections S2-4 and S2-5 describe how GCP sets and reviews long-term and annual targets, such as maintaining zero human-rights violations in the supply chain. For governance and business conduct, G1-2 explain how human rights due diligence is conducted, and G1-3 described how incidents and training completion are tracked and reported to management and the Board. Together, these disclosures provide a depiction of how GCP's due diligence processes operate in practice and how their main aspects and steps are applied across the topics covered in the Consolidated Sustainability Statement.

GOV-5 – RISK MANAGEMENT AND INTERNAL CONTROLS OVER SUSTAINABILITY REPORTING

Risk Management and Internal Controls Over Sustainability Reporting

An effective internal control and risk management system is integral to ensuring the accuracy, transparency, and compliance of GCP's sustainability reporting. The Company has established a structured framework that integrates sustainability-related risks within its broader enterprise risk management system. This approach ensures that material sustainability impacts, risks, and opportunities are identified, assessed, and effectively mitigated, reinforcing the credibility and reliability of GCP's disclosures.

Framework for Risk Management and Internal Controls

GCP has implemented a comprehensive internal control and risk management system to prevent risks associated with sustainability reporting. This includes a multi-step review and approval process to ensure data accuracy, proper oversight, and compliance with reporting standards. Any information related to sustainability is first reviewed by the head of the relevant department, followed by verification by the Sustainability Department, which ensures that the content accurately reflects actual circumstances and prevents misleading information. The Daily Management conducts an additional review before the Audit and ESG committees assesses the report and provides a recommendation to the Board of Directors for final approval.

Beyond these procedural safeguards, GCP's internal control and risk management system encompasses:

- **Integration with Enterprise Risk Management:** Sustainability risks are embedded in the Company's broader risk management framework, ensuring that sustainability considerations are treated with the same level of oversight as financial and operational risks.
- **Governance Structure:** Each department has designated individuals responsible for their specific area, such as HR, Energy, and Compliance, ensuring clear accountability in sustainability reporting.
- **Regulatory Monitoring and Compliance:** The Sustainability Department and Compliance Department continuously monitor regulatory updates through industry groups, webinars, and external legal assessments to ensure that sustainability reporting remains compliant with evolving standards.

- **Digital Tools and Technology:** In 2025, GCP adopted an ESRS reporting tool that ensures compliance with the standards and allows for a more efficient reporting process. In addition, the Company has been conducting a pilot with an energy and emissions data management platform to digitalise, centralise and ultimately improve data quality. By embedding sustainability risks within its enterprise-wide governance and internal control systems, GCP enhances the reliability of its sustainability disclosures and ensures alignment with CSRD and ESRS requirements.

Risk Assessment Approach

To effectively manage sustainability risks, GCP employs a structured risk assessment process that includes both qualitative and quantitative methodologies. The Company- wide risk assessment classifies risks into strategic, operational, compliance, and reporting categories, with prioritisation based on likelihood of occurrence and potential impact. This approach allows GCP to determine which risks require immediate action, ensuring that sustainability concerns are addressed in a timely and structured manner. In addition, GCP conducts a DMA in accordance with ESRS requirements. This ensures that sustainability risks are assessed not only in terms of their financial impact on the Company but also in terms of their broader societal and environmental implications. The DMA is updated when material changes occur in the business context, and it incorporates stakeholder input and industry benchmarking to maintain relevance. To complement this, GCP conducts qualitative and quantitative assessments, such as scenario analysis and data modelling which are used to evaluate potential financial and operational implications of sustainability risks. By applying these tools, GCP strengthens its ability to anticipate and mitigate risks related to climate change, regulatory compliance, and corporate reputation.

Key Risks and Mitigation Strategies

Through its 2025 risk assessment, GCP identified several potential key sustainability reporting risks, each addressed with targeted mitigation strategies:

1. **Data Accuracy and Completeness:** Risk of inaccurate and incomplete sustainability data collection and reporting.
    - **Mitigation:** Internal controls are implemented by the Company Sustainability Department. Subsequently, the sustainability report is submitted for approval by the ESG and Audit committees. Quantitative data collection is monitored throughout the year with internal controls, including reviews by data owners, department heads, and the Sustainability department to ensure accuracy and identify errors early.
2. **Regulatory and Compliance:** Risk of non-compliance with evolving sustainability regulations.
    - **Mitigation:** The Company works with external advisors to ensure alignment with increasing reporting requirements and sustainability regulations.
3. **Stakeholder Trust:** Risk of diminished trust due to incomplete or unclear reporting.
    - **Mitigation:** Enhanced stakeholder communication channels are reinforced through targeted publications, such as sustainability reports and press releases, ensuring accessible and consistent information flow.
4. **Value Chain Transparency:** Limited visibility over ESG performance of suppliers and contractors.
    - **Mitigation:** Business partner due diligence is conducted to determine negative or risk-related information about suppliers and assess their mandatory adherence to the Code of Conduct for Business Partners. This includes regular assessments, controls, and reviews to ensure compliance with the law.

These mitigation strategies ensure that GCP's sustainability reporting remains accurate, transparent, and aligned with stakeholders' expectations.

Integration of Risk Findings into Business Operations

The findings from risk assessments and internal controls are systematically integrated into GCP's internal processes, ensuring continuous improvement in sustainability reporting and risk management.

- **Policy Adjustments:** Findings inform strategic updates to sustainability-linked and Human Rights-related policies, reinforcing their relevance and effectiveness in alignment with our corporate values.
- **Operational Enhancements:** Cross-functional collaboration between Energy, Operations, and Compliance departments ensures the implementation of targeted mitigation strategies.
- **Training Programs:** Employee training curricula are regularly updated to address identified knowledge gaps related to sustainability compliance.
- **Strategic Alignment:** Sustainability risk assessments directly influence GCP's ESG strategy and annual sustainability objectives, reinforcing a proactive approach to risk management.

Periodic Reporting and Board Oversight

To maintain accountability, GCP ensures that sustainability risk management findings are regularly reported to its governing bodies. The Risk Officer presents sustainability risk findings to the risk to the Risk Committee least once per year, or as needed.

Furthermore, any material risks identified by individual departments (e.g., Energy, Operations, Compliance) are escalated to the relevant Board Committees, ensuring targeted oversight. The frequency of risk reporting aligns with each committee's Rules of Procedure, ensuring a structured review process. The Risk Officer also informs the Daily Management in regular but ad-hoc management meetings.

SBM-1 - STRATEGY, BUSINESS MODEL AND VALUE CHAIN

Business Model and Strategy in Relation to Sustainability

GCP is a leading residential real estate firm specialising in properties in densely populated urban areas with strong and sustainable economic conditions and sustainable demographic growth. GCP creates value by reducing vacancies, adjusting rents to market levels, improving operational cost efficiency, increasing market visibility, and identifying high-return CapEx investments. Additionally, the Company is leveraging its scale for greater efficiencies. By implementing strategic energy-efficient measures, GCP strengthens the long-term sustainability and resilience of its portfolio while enhancing operational performance thus contributing to the reduction of CO_2 emissions and resource consumption.

Overview of Products and Services

GCP specialises in residential real estate, offering a well-balanced mix of affordable housing with value-add opportunities in densely populated areas in Germany as well as in London. Its portfolio is located mainly in Berlin, North Rhine-Westphalia, Dresden, Leipzig, and Halle as well as in London.

The Company's tenant services include affordable housing solutions with community- focused amenities, as well as tenant digital services via the GCP app (for lease management, service requests, and energy monitoring). Finally, GCP also focuses on asset management, which includes among other targeted level of CapEx investments focused on the upgrading of its buildings including for energy efficiency and modern living, thereby improving tenant living standards while enhancing energy performance. Please see the Company Strategy and Business model section, in the Board of Directors Report for further details. In 2025, there were no material additions to products and services, nor were products and services removed.

Operating primarily in Germany and complemented by its portfolio in London, UK, GCP caters to diverse customer groups: private tenants, such as individuals seeking affordable urban housing, families, and professionals; public sector & social housing. A portion of GCP's portfolio includes social and subsidised housing in both Germany and the UK. As mentioned above, GCP's affordable housing model and its tenant-first approach are directly related to sustainability matters and the Company's business model and strategy.

Workforce Overview

The Daily Management and GCP's workforce is primarily based in Europe, mainly in Germany and London with additional teams in Cyprus and Luxembourg.

As of 31 December 2025, GCP employed 800 employees across its operational locations. This figure includes:

- Permanent Employees: 586 (73% of the total workforce).
- Temporary Employees: 214 (27% of the total workforce).
- Full-Time Employees: 708 (89% of the total workforce).
- Part-Time Employees: 87 (11% of the total workforce).
- Non-Guaranteed Hours Employees: 5 (1% of the total workforce).

This headcount excludes external contractors and temporary workers engaged through third-party agreements. Further details on employee demographics can be found in section S1-6.

Sustainability-Related Goals and Performance Assessment

GCP's sustainability-related goals in terms of products and services focus on enhancing environmental performance and addressing social priorities within its real estate portfolio and company operations. More concretely this refers to switching to green energy supply as well as the targeted upgrading of GCP's assets to higher energy efficiency to reduce GHG emissions, as well as other environmental goals such as the reduction of waste and water consumption linked to our buildings. GCP generally sets targets on a Company-level. However, there may be some geographical differences regarding energy efficiency goals for example due to national laws in the Germany and the UK setting higher standards for energy performance certificates than Germany.

The Company is also committed to providing affordable, appropriate-quality housing in metropolitan areas, addressing critical social needs while maintaining strong tenant satisfaction. Additionally, GCP prioritises strengthening relationships with tenants and local communities by implementing enhanced engagement mechanisms and targeted support programmes. These initiatives foster trust and collaboration, ensuring stakeholder expectations are met while advancing GCP's sustainability objectives.

Regarding the assessment of current significant products, services, markets and customer groups for GCP and their relation to sustainability-related goals, it is clear that GCP's commitment to affordable, energy-efficient housing aligns with global sustainability targets. Through technological innovation, green building upgrades, and tenant-focused services, GCP ensures long-term environmental and social impact while maintaining business profitability.

In the field of residential rental housing, GCP provides affordable housing solutions, ensuring long-term tenant stability. Furthermore, and on a targeted basis, it upgrades older buildings with energy-efficient renovations (e.g. insulation, heating system modernisation and heat pumps) and focuses on social and community well-being through tenant engagement programs and donations by its Foundation. In the area of tenant services & digitalisation, GCP's App & Tenant Portal enables paperless lease agreements, online service requests, and energy monitoring. On a regular basis, GCP fosters sustainable living awareness by educating tenants on energy conservation and incentivises lower carbon footprint behaviours. The Company's loyalty program & community engagement promotes tenant well-being, reducing turnover rates and is strengthening communities. GCP's Asset Management integrates energy efficiency consideration into its operations. The Company's main impact on GHG emissions reduction stems from the transition to green energy sources and efforts to optimise energy consumption. These actions align with the Company's sustainability goals: Climate Action (CO_2 Emissions Reduction Goal – 40% by 2030 vs. 2019 levels); Continue to offer affordable housing, ensuring inclusivity and long-term social stability; Increased Energy Efficiency & Renewable Energy Use in property management. For more information on this topic, please see: BP-2.

GCP integrates sustainability considerations into its core strategy, ensuring that its real estate operations, investments, and tenant engagement align with ESG goals. Hence, there are a number of elements of the strategy that relate to or impact sustainability matters and are taken into consideration.

A key pillar of GCP's sustainability approach is its commitment to energy-efficient real estate. Furthermore, we are investing in renewable energy solutions, such as solar panel installations, to support its long-term decarbonisation strategy. Beyond operational energy management, GCP integrates sustainability principles into its construction and renovation practices. Where needed, the Company is retrofitting older properties with enhanced insulation, energy-efficient windows, and modern heating systems to ensure compliance with evolving energy regulations and tenant expectations.

However, this transition presents notable challenges. High initial investment costs remain a significant barrier, particularly when implementing large-scale efficiency upgrades. Additionally, stricter EU regulations, such as the EU Taxonomy for sustainable activities, require ongoing compliance efforts and enhanced reporting. Another major challenge is the decarbonisation of an aging real estate portfolio, especially in historic city centres where modern energy solutions are more difficult to implement.

To address these challenges, GCP is also increasing its reliance on electrification and renewable energy sources, gradually reducing dependence on fossil fuels through investments in solar energy and heat pumps. Circular economy principles are becoming more integrated into asset management, with a growing focus on reducing construction waste and promoting material reuse in property renovations.

Business Model and Value Chain

GCP's business model involves acquiring, modernising, and managing residential properties to enhance tenant experiences while meeting sustainability targets. Its value chain includes partnerships with construction firms, energy suppliers, and IT providers to enhance property standards and operational efficiency. For details on the business model, please refer to the section *Company Strategy and Business* in the Board of Directors' report.

GCP's inputs include capital investment in property acquisition and renovation, energy-efficient materials, and tenant feedback. These inputs are sourced through rigorous due diligence process, such as supplier alignment with its Code of Conduct for Business Partners, and thorough legal and KYC processes for sourcing of capital and acquisition opportunities. Outputs include availability of housing units, including upgraded and energy-efficient housing units, enhanced tenant services through digital platforms, and improved stakeholder trust through transparent ESG reporting. Those outcomes benefit tenants by providing improved living conditions, investors with stable returns, and communities through sustainable urban development.

The Company's main business actors therefore involve a range of suppliers, including construction firms, maintenance and facility management providers, energy, IT and other real estate-related service providers, but also financial institutions and real estate brokers. Our customers are residential tenants.

GCP's value chain encompasses the wide range of activities that are integral to the Company's business model. It considers the Company's strategy, the external environment in which it operates, and all corresponding stakeholders. At a glance, GCP's value chain is made up of the following:

Upstream

1. Asset Acquisition

- **Deal Sourcing:** Evaluating and selecting assets on criteria such as location, market trends, condition, and value-add, yield potential and alignment with investment strategy.
- **Due Diligence:** Conducting legal, financial, operational and ESG assessments of assets to ensure they meet investment goals and align with overall strategy, ESG strategy and risk management.
- **Financing Arrangements:** Securing appropriate financing to purchase or manage assets.

2. Procurement of materials and services

- **1st tier:** Procurement of services, including but not limited to architectural planning, engineering, energy auditing and general contracting.
- **2nd - 3rd tier:** Mainly material sourcing and construction material production.

Own operations

3. Property Management

- **Operational Management:** Day-to-day management of assets, including overseeing building systems, repairs, and tenant services.
- **Tenant Relations:** Managing lease agreements, handling tenant inquiries, and ensuring occupancy rates remain high.
- **Facility Management:** Ensuring that facilities are well-maintained, energy-efficient, and compliant with regulations.
- **Service Contracts:** Outsourcing specific maintenance tasks (e.g., cleaning, landscaping) to third-party service providers.

4. Asset Management

- **Performance Monitoring:** Tracking the financial performance of properties, including rent collections, operating costs, and profitability.
- **Value Enhancement:** Identifying opportunities to enhance property values, such as upgrading amenities, retrofit projects, and improve energy efficiency.
- **Cost Optimisation:** Reducing operational expenses while upholding property standards, using strategic measures such as energy audits and purchasing agreements.

5. Marketing and Leasing

- **Asset Marketing:** Developing marketing strategies to attract and retain tenants.
- **Tenant Retention Programs:** Implementing programs to enhance tenant satisfaction, such as community-engagement initiatives.

6. ESG, Compliance and Risk Management

- **Compliance:** Ensuring adherence to safety regulations, residential tenancy law, property taxes, and other legal obligations.
- **Health & Safety Management:**Implementing safety standards for tenants and visitors, including fire safety, emergency planning, and regular inspections.
- **ESG Initiatives:** Increasing focus on initiatives such as energy efficiency and green building certifications, as well as other measures that improve the sustainability performance of the assets.

7. Refurbishment

- **Refurbishment and asset improvements:** Upgrading, renovating, or modernising existing properties to enhance their operational, financial and/or sustainability performance. This includes refurbishments and other maintenance measures aimed at maintaining asset quality and enhancing energy efficiency.

Downstream

8. Consolidated Reporting and Investor Relations

- **Financial and ESG Reporting:** Regularly providing financial and non-financial statement to relevant stakeholders and the public, as well as analysing key performance indicators ("KPIs") that are relevant to operational, financial and sustainability performance of the Company.
- **Investor Relations:** Managing relationships with investors, conveying the Company's strategy and performance, maintaining an open channel for communications.

9. Exit Strategies

- **Selling assets:** Capital recycling through the sales of assets.
- **Real estate brokers:** Maintaining relationship with local and nationwide brokers that facilitate property sales.

SBM-2 - INTERESTS AND VIEW OF STAKEHOLDERS

Stakeholder Engagement and Integration into Business Strategy

GCP recognises that stakeholder engagement is fundamental to achieving its sustainability and business objectives. By fostering transparency, inclusivity, and responsiveness, the Company ensures that stakeholder insights inform its strategic direction, sustainability initiatives, and operational improvements.

Stakeholder Engagement Approach

GCP's stakeholder engagement process involves diverse mechanisms: surveys, roundtables, direct consultations, a customer Service Centre and digital platforms, including the GCP Tenant App to facilitate continuous interaction with stakeholders. Overall, stakeholder engagement is integrated into operational processes and decision-making to align with GCP's sustainability objectives.

Key Stakeholders and Their Roles

GCP identifies its key stakeholder groups, reflecting their varying interests and interactions with the Company. The listed below represent those groups identified in the DMA process:

- **Tenants:** Tenants engaging with GCP properties and services, comprising primarily residential households.
- **Employees:** Employed staff of the Company.
- **Investors:** Institutional investors, such as pension funds, asset managers and sovereign funds, lending partners such as banks, and private persons, such as retail shareholders, with financial stakes in GCP.
- **Local Communities:** Neighbourhoods impacted by GCP's property operations.
- **Suppliers and Contractors:** Business partners providing materials, construction, and maintenance services.

GCP categorises key stakeholders based on their roles within its value chain as internal stakeholders: employees, and external stakeholders: tenants, workers in the value chain, local communities, suppliers, investors, and financial institutions.

Organisation of Stakeholder Engagement

Whereas the engagement coordination and oversight lie with the Sustainability Department, individual GCP departments, such as Operations, Customer Service and Communications, are involved in the actual organisation of stakeholder engagement initiatives and mechanisms:

- Feedback provided by tenants throughout the year via GCP's Customer Service Centre and engagement between the Company's other service agents and tenants directly.
- Tenant and community events organised several times a year at our assets and within the surrounding neighbourhoods.
- Annual employee satisfaction surveys, as well as regular HR Roundtables.
- Quarterly investor meetings, investor conferences and roadshows, annual general meeting of shareholders, and financial disclosures.
- Supplier evaluations and adherence to the Code of Conduct for Business Partners through our Business Partner and Know-Your-Customer teams.

This structured approach ensures that stakeholder concerns are systematically gathered and addressed, and aligned to the DMA process.

Purpose and Impact of Stakeholder Engagement

The purpose of stakeholder engagement at GCP is to identify and address material sustainability impacts, risks, and opportunities. Engagement efforts aim to foster trust and collaboration with tenants, employees, and external partners while ensuring business practices align with stakeholder expectations and regulatory requirements. By incorporating stakeholder insights, GCP enhances its sustainability goals through informed and effective strategies.

Stakeholder engagement outcomes are continuously analysed and integrated into GCP's operations and strategic planning:

- Tenant feedback provided to GCP's Customer Service informs property upgrades and service improvements, as well as tenant and community engagement.
- Investor feedback shapes (ESG) disclosures and reporting practices.
- Supplier assessments lead to enhanced due diligence and contract requirements.

While stakeholder feedback plays a crucial role in refining GCP's practices, it has not led to major amendments to the Company's overall strategy or business model in recent years.

Stakeholder Views in Strategy and Business Model

GCP considers the interests and views of its key stakeholders in shaping its strategy and business model. Tenants prioritise affordable housing, reliable services, and energy-efficient properties, while employees seek career development, fair treatment, and

workplace safety. Investors focus on transparent ESG reporting, compliance, appropriate risk management, and stable returns. Local communities emphasise social responsibility, environmental stewardship, and local development. Suppliers emphasise working conditions and reliable payments as their main interest. This stakeholder understanding is integrated into GCP's materiality assessments, guiding strategic decision-making and sustainability initiatives.

Governance and Stakeholder Insights in Sustainability Decision-Making

The Board of Directors and the Daily Management are informed about the views and interests of affected stakeholders with regard to the Company's sustainability-related impacts by the heads of department regarding specific topics in their area of responsibility. Such information is included in meeting presentations to the Board and the Daily Management. For example, the Sustainability Department presents the outcome of the DMA, which is the assessment of the Company's affected stakeholders' views, and the Human Resources Department presents results from employee satisfaction surveys. During its regular governance meetings, the Board reviews these inputs, which are then used to refine the Company's sustainability strategy.

SBM-3 - MATERIAL IMPACTS RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL

As part of our structured methodology to identify impacts, risks, and opportunities and to integrate these ESG considerations into our risk management framework, GCP utilises the DMA process in alignment with ESRS 1 section 3.

In 2024, GCP conducted its most recent comprehensive DMA which identified the following material positive and negative impacts on people and the environment, risks and opportunities, the business operations and/or value chain that they relate to as well as the relevant time horizons of material impacts, categorised as:

- Short-term time horizon (12 months)
- Medium-term time horizon (1–5 years)
- Long-term (>5 years)

As there have been no changes to GCP's business model and strategy since, the Company did not repeat a comprehensive DMA for 2025 but instead conducted a review of the 2024 results. As part of this review, peer research and industry studies on material sustainability matters were also taken into consideration.

Following the DMA review, it was concluded that of the 40 topics assessed, four of them were found to be of either environmental, social or governance impact, and nine were found to be double material to the business, framed in tables 5-10 and the Materiality Matrix below. Most importantly, the DMA review in 2025 found that the topic of Pollution (ESRS E2) was not material for the Company and has therefore been removed from this report.

E1 Climate Change

Real estate is a major contributor to climate change, accounting for nearly 40% of global carbon emissions through construction, energy use, and building materials(*). This area was also identified as having the most material impact on the environment and people and as having the greatest potential for positive impact through strategic investment in energy efficient building operations and renewable energy generation. Both energy efficiency and low carbon energy supply are also identified as posing material risks to the business model as well as providing opportunities.

The following material impacts, risks and opportunities related to climate change were identified for GCP:

(*) for further details, see: United Nations Environment Programme Finance Initiative (UNEP FI), 40% of Emissions Come from Real Estate – Here's How the Sector Can Decarbonize, 2022.

Table 5

ESRS Sub-topic	Sub-sub-topic	IRO Category	Description	Value Chain	Time Horizon
Climate Change Mitigation	Greenhouse gas emissions	Negative impact	GHG emissions from building construction and operations (direct landlord-GHG-emissions and indirect tenant GHG emissions)	Own operations and Value chain (downstream)	Long-term
	Renewable energy	Positive impact	Decreased GHG emissions from increasing renewable energy production and/or procurement	Own operations	Long-term
		Risk	Staying behind in transition towards green economy (e.g., lower EU Taxonomy-alignment, less interest from sustainability-oriented investors)		Medium-term
		Opportunity	Decentral production of renewable energy; more dynamic integration into energy network and demand response technologies requirements; renewable energy procurement		
	Financing green investment	Positive impact	Increase of capital available for green investments	Own operations	Medium-term
	Energy efficiency	Positive impact	Improvements of energy efficiency in building operations and introduction of energy-efficient building technologies	Own operations and Value chain (downstream)	Long-term
	Low carbon transport	Positive impact	Availability of EV charging stations	Own operations	Short-term / Long-term
	Transition legislation	Risk	Introduction of new taxes and laws; particularly material for potentially locked-in GHG emissions	Own operations	Medium-term
	Transition to low-carbon economy (incl. Net Zero Carbon)	Risk	Investment requirements and technical challenges associated with decarbonisation and transition legis-lation	Own operations	Medium-term
		Opportunity	Financing opportunities (e.g., subsidies) for transition plans		
		Opportunity	Better alignment with increased sustainability-related market expectations, attracting sustainability-oriented tenants		
Energy	Energy consumption and intensity	Positive or Negative impact	Impact on energy consumption of building operations from decisions on implemented building technology	Own operations and Value chain (downstream)	Long-term
		Risk	Increased pressure to lower energy consumption and intensity resulting in costs of improvements and technological challenges		
		Opportunity	Decreased energy costs from energy efficiency upgrades		

S1 Own Workforce

The DMA identified that GCP as a large employer is able to create significant positive impact on staff social and financial wellbeing through its various employment policies. At the same time, risks and opportunities linked to attracting and nurturing talent in a competitive labour market were identified as material to GCP's business success. Material impacts, risks and opportunities related to GCP's own workforce were identified as:

Table 6

ESRS Sub-topic	Sub-sub-topic	IRO Category	Description	Value Chain	Time Horizon
Working conditions	Working time	Positive impact	Compliance with at least relevant legislation	Own operations	Short-term / Long-term
		Risk	Availability and cost of adequate workforce		Medium-term
		Opportunity	Employer attractiveness to adequate workforce in relation to provision of adequate working time		Medium-term
	Adequate wages(*)	Positive impact	Policies on adequate wages and compliance with at least relevant legislation	Own operations	Short-term / Long-term
		Risk	Availability and cost of adequate workforce		Medium-term
		Opportunity	Employer attractiveness to adequate workforce in relation to provision of adequate wages		Medium-term
	Work-life balance	Positive impact	Existence of flexible working (or similar) policies and procedures	Own operations	Short-term / Long-term
		Risk	Availability and cost of adequate workforce		
		Opportunity	Employer attractiveness to adequate workforce in relation to provision of work-life balance		
	Health and safety	Positive impact	Policies and procedures regarding safeguarding of health and safety of own workforce and compliance with at least relevant legislation	Own operations	Short-term / Long-term
		Risk	Availability and cost of adequate workforce		
		Opportunity	Employer attractiveness to adequate workforce in relation to provision of health and safety		
	Secure employment	Positive impact	Policies regarding secure employment	Own operations	Short-term / Long-term
		Risk	Availability and cost of adequate workforce		Short-term / Long-term
		Opportunity	Employer attractiveness to adequate workforce in relation to provision of secure employment		Medium-term
	Social dialogue	Positive impact	Policies and procedures regarding social dialogue between employers and own workforce	Own operations	Short-term / Long-term
	Freedom of association, the existence of works councils and the information, consultation and participation rights of workers	Positive impact	Policies and procedures regarding freedom of association	Own operations	Short-term / Long-term
Equal treatment and opportunities for all	Gender equality and equal pay for work of equal value	Positive impact	Policies and procedures regarding gender equality and equal pay for work of equal value	Own operations	Short-term / Long-term
	Training and skills development	Positive impact	Provision of training and skills development	Own operations	Short-term / Long-term
	Employment and inclusion of persons with disabilities	Positive impact	Policies and practices regarding employment of persons with disabilities	Own operations	Short-term / Long-term
	Measures against violence and harassment in the workplace	Positive impact	Existence of measures against violence and harassment in the work-place	Own operations	Short-term / Long-term
	Diversity	Positive impact	Policies and procedures to promote diversity and inclusion in the work-place	Own operations	Short-term / Long-term
Other work-related rights	Privacy	Positive impact	Policies and procedures regarding privacy of workers and employees	Own operations	Short-term / Long-term

(*) adequate wages is defined by ESRS as following minimum wage requirements in the national member states.

S2 Workers in the Value Chain

Workers in GCP's value chain includes contracting companies, suppliers and business partners and their staff, which are impacted in similar ways to GCP's own workforce. Those workers identified to have a higher negative impact were external construction workers. Material GCP impacts to workers in GCP's value chain were identified as:

Table 7

ESRS Sub-topic	Sub-sub-topic	IRO Category	Description	Value Chain	Time Horizon
Working conditions	Secure employment	Positive impact	Employment contracts meet at least the minimum local standards, other than for contractors. E.g. pension and health insurance contributions, guaranteed hours, at or above minimum wage	Value chain (upstream)	Short-term / Long-term
	Working time	Positive impact	Policies regarding working time and compliance with at least relevant legislation	Value chain (upstream)	Short-term / Long-term
	Adequate wages	Positive impact	Policies on adequate wages and compliance with at least relevant legislation	Value chain (upstream)	Short-term / Long-term
	Health and safety	Positive impact	Existence of Health and safety policies	Value chain (upstream)	Short-term / Long-term

S3 Affected Communities

Access to affordable and high-quality housing continues to be a challenge particularly in metropolitan cities. Investing in this area is one the cornerstones of GCP's business strategy. In the current reporting year material GCP impacts, risks and opportunities related to communities and its people in which GCP owns and operates buildings were hence identified as:

Table 8

ESRS Sub-topic	Sub-sub-topic	IRO Category	Description	Value Chain	Time Horizon
Communities' economic, social and cultural rights	Adequate housing	Positive Impact	Adequate housing for communities affected by firm's assets and activities	Own operations and Value chain (downstream)	Short-term / Long-term
		Opportunity	Providing access to adequate housing to communities within scope of residential portfolio		

S4 Consumers & End Users

In the current reporting year transparent and secure information flow was identified as material to GCP's tenants and thus also to GCP's business operations. Impacts, risks and opportunities linked to our consumers and end users, that is our tenants, were identified as:

Table 9

ESRS Sub-topic	Sub-sub-topic	IRO Category	Description	Value Chain	Time Horizon
Information-related impacts for consumers/or end-user	Access to (quality) information	Positive Impact	Transparent communication on building-related questions	Own operations and Value chain (downstream)	Short-term / Long-term
		Risk	Reputational or legal risk from not giving sufficient access to quality information to consumers and end-users		Long-term
	Privacy	Positive Impact	Policies regarding privacy, e.g. with regards to grievances, personal data, consumption data		Short-term / Long-term
		Risk	Reputational or legal risk from not respecting privacy of consumers and end-users		Long-term

G1 Business Conduct

Material impacts, risks and opportunities linked to GCP's business conduct, both upstream and downstream, were identified for this reporting year. They are:

Table 10

ESRS Sub-topic	Sub-sub-topic	IRO Category	Description	Value Chain	Time Horizon
Corporate culture		Positive impact	Definition of corporate and company culture including mission and vision	Own operations	Short-term / Long-term
		Risk	Reputational risk from not adhering to best business practice standards in relation to corporate culture		
		Opportunity	Employer attractiveness to adequate workforce by adhering to best business practice standards in relation to corporate culture		
Protection of Whistleblowers		Positive impact	Existence of protection of whistleblowers	Own operations	Short-term / Long-term
Management of relationships with suppliers including payment practices		Positive impact	Policies, procedures and practices regarding management of relationships with suppliers	Value chain (upstream)	Short-term / Long-term
		Risk	Reputational and legal risk from not adhering to best business practices regarding management relationships with suppliers		
Corruption and bribery	Incidents	Positive impact	Existence of incidents log	Own operations	Short-term / Long-term
		Risk	Reputational and legal risk from not adhering to best business practices, anti-corruption and anti-bribery rules and practices		
	Prevention and detection including training	Positive impact	Existence of prevention and detection mechanisms, including training for exposed staff members	Own operations	Short-term / Long-term
		Risk	Reputational and legal risk from not adhering to best business practices, anti-corruption and anti-bribery rules and practices		
Investor relations(*)	Access to capital	Positive and negative impact	Investors sustainability awareness	Own operations and Value chain (upstream)	Short-term / Long-term
		Risk	ESG and climate risk requirements impact access to capital from lenders and institutional investors (e.g., increasing ESG-related expectations)		
		Opportunity	ESG performance could attract new investors and enable access to capital		
	Reputation	Positive and negative impact	Increasingly investors prefer to deploy capital with firms which have a positive reputation for management of ESG issues	Own operations and Value chain (upstream)	Short-term / Long-term

(*) entity-specific sub-topic.

Detailed information regarding specific material impacts, risks, and opportunities is provided in the sections addressing each relevant topical ESRS.

For each of the material IROs, detailed information is provided in the sections below referring to each appropriate topical ESRS, including how material negative and positive impacts affect (or are likely to affect) people or the environment, and how they connect to strategy and business model of the relevant undertaking.

Materiality Matrix at Sub-Topic Level(*)



Environmental

E1 Climate change

1. Climate Change Adaptation
2. Climate Change Mitigation
3. Energy

E2 Pollution

4. Pollution of air
5. Substances of concern

E3 Water & marine resources

11. Water

E4 Biodiversity & ecosystems

13. Direct impact drivers of biodiversity loss
14. Impacts on the extent and condition of ecosystems

E5 Resource use & circular economy

17. Resources inflows, including resource use
18. Resource outflows related to products and services
19. Waste

Social

S1 Own workforce

20. Working conditions
21. Equal treatment and opportunities for all
22. Other work-related rights

S2 Workers in the value chain

23. Working conditions
24. Equal treatment and opportunities for all
25. Other work-related rights

S3 Affected communities

26. Communities' economic, social and cultural rights
27. Communities' civil and political rights

S4 Consumers & end-users

29. Information-related impacts for consumers and/or end-users
30. Personal safety of consumers and/or end-users
31. Social inclusion of consumers and/or end-users
32. Tenant engagement
33. Health and wellbeing of tenants/occupants

Governance

G1 Business conduct

34. Corporate culture
35. Protection of whistle-blowers
37. Political engagement and lobbying activities
38. Management of relationships with suppliers including payment practices
39. Corruption and bribery
40. Investor relations(**)

(*) the non-sequential numbering of sub-topics results from certain sub-topics being classified as non-relevant during the initial phase of the DMA based on the Company's business model. Consequently, these sub-topics were excluded and do not appear in the matrix.

(**) sub-topic added as sector/entity specific.

Financial Effects of the Material Risks and Opportunities

Grand City Properties assesses the financial implications of material risks and opportunities by considering how these factors may influence the Company's financial position, performance, and cash flows. Climate-related risks may affect property valuations and insurance-related exposures, reflecting evolving market dynamics and regulatory developments. Such developments could also lead to situations where adjustments to the carrying amounts of certain assets or liabilities may become necessary, particularly where underlying risk conditions change materially.

From a performance perspective, initiatives related to energy efficiency and retrofitting can involve upfront expenditures, while offering the potential for longer-term operational benefits. These activities may also influence the timing and pattern of future cash flows. Opportunities arising from sustainable property enhancements can support the Company's ability to attract investor interest and broaden access to capital, although outcomes may vary depending on market conditions and regulatory expectations.

Overall, the GCP monitors these risks and opportunities on an ongoing basis to understand how they may shape future financial developments.

Resilience of the Business Model and Strategy

GCP's business model and strategy are designed to remain resilient under evolving regulatory, environmental, and market conditions by integrating sustainability considerations into decision-making processes, governance structures, and operational practices. The Company evaluates the robustness of its strategy as part of the risk assessment against a range of plausible future scenarios, including those related to climate, social, and governance developments, to understand how material risks and opportunities may affect long-term value creation. Time horizons considered during this evaluation are aligned with those defined under ESRS 1, article 6.4 as short-, medium-, and long-term.

This assessment supports the development of adaptive measures intended to enhance the organisation's capacity to respond to changing external conditions. For each material IRO, further detail on the underlying assumptions, potential impacts, and response measures is provided in the corresponding topical ESRS disclosures below.

Further Disclosures

Besides the topics defined by the ESRS, GCP identified the following entity-specific topics, which were also determined to be material as part of the DMA process: G1 Business conduct: Investor relations – access to capital and – reputation.

IRO-1 – DESCRIPTION OF THE PROCESSES TO IDENTIFY AND ASSESS MATERIAL IMPACTS, RISKS AND OPPORTUNITIES

GCP employs a structured and data-driven approach to identifying, assessing, and managing sustainability-related impacts, risks, and opportunities. This methodology integrates ESG considerations into the Company's risk management framework, ensuring a comprehensive and proactive response to evolving sustainability challenges and opportunities.

Methodology for Identifying Impacts, Risks, and Opportunities

GCP conducts a DMA, which evaluates sustainability impacts, risks and opportunities across all business activities and the value chain, in alignment with the ESRS 1 section 3. In 2024, GCP conducted a comprehensive DMA which is reviewed annually and updated if material changes in the business context are identified. In 2025, this review included the reassessment of 2024 DMA results based on the business model, strategy and context, as well as additional insights from peer analysis and industry studies on the material sustainability matters in the real estate sector.

Nevertheless, the methodology of the 2024 DMA – which is still valid – is outlined here. It begins with documenting the business model and mapping the value chain, followed by a relevance workshop to refine a list of IROs. These are scored on dimensions such as likelihood, scale, scope, and irremediability. Surveys targeting both internal and external stakeholders assess the impact and financial materiality of each IRO, with weighted inputs based on stakeholder priority. Any complex topics or gaps identified are resolved through stakeholder interviews and leadership decisions. This systematic approach integrates qualitative and quantitative analyses to ensure comprehensive and CSRD-compliant reporting.

Given the complexity of the DMA, several assumptions were made to streamline the process. The likelihood, scale, scope, and irremediability of each IRO were assessed using a standardised 1–5 scale. This implies that subjective judgments across different stakeholder groups will align sufficiently to ensure consistent results. A threshold of ≥2.5 was set for materiality, despite varying sensitivities across different industries or stakeholder groups. Furthermore, due to lack of accessibility of some stakeholders, internal employees with relevant expertise and regular exposure to these groups represented these external stakeholders. This applies particularly to less accessible groups like communities. Lastly, when stakeholders responded "I don't know" to survey questions, with a threshold of >30% "I don't know" indicated the need for expert intervention and leadership decision-making, to adequately address knowledge gaps.

Assessment, Prioritisation, and Monitoring of Impacts

GCP's process for identifying, assessing, prioritising, and monitoring potential and actual impacts on people and the environment is divided into three key stages: understanding the business and its context, identifying and evaluating IROs through surveys and interviews with stakeholders, and determining material sustainability matters. The process begins with a thorough understanding of the company's business model and value chain, where GCP maps its upstream and downstream activities, identifying areas where IROs may occur.

Next, stakeholders are carefully identified and prioritised, including tenants, employees, suppliers, investors and local communities. Each stakeholder group is evaluated based on their influence, immediacy, and impact, ensuring their perspectives are reflected appropriately. A comprehensive list of potential IROs is compiled, informed by sector-specific ESRS topics and internal considerations. This list is further reviewed and refined through collaboration with key departments, such as Sustainability and Risk.

Once the IROs are identified, they are assessed using a defined scoring framework. Impact materiality is evaluated based on factors like likelihood, scale, scope, and irreversibility, while financial materiality is assessed using monetary thresholds and time horizons. Surveys are distributed to gather stakeholder input on these dimensions, with additional input from the Sustainability Department for more complex evaluations.

The results of these assessments are used to prioritise impacts based on their significance. Topics deemed material are subjected to further analysis and validation through workshops and interviews with senior management, ensuring alignment with stakeholder feedback.

The entire process is underpinned by GCP's corporate policies, including its Human Rights Policy, Employee Code of Conduct and Code of Conduct for Business Partners, as well as adherence to international standards, including the guidance on the Double Materiality Assessment provided by EFRAG IG 1: Materiality Assessment Implementation Guidance. This guarantees that the assessment is both ethical and comprehensive, addressing the Company's commitment to people and the environment. GCP ensures that the outcomes of this process are accessible, and capable of driving continuous improvement in sustainability practices.

GCP's process is designed to address areas with heightened risk of adverse impacts, focusing on specific activities, business relationships, and geographies. In the supply chain, particular attention is paid to construction and maintenance contractors operating in regions where labour laws are less stringent, ensuring they comply with ethical and sustainability standards.

Within operations, tenant data management processes are monitored for potential GDPR non-compliance, while tenant energy consumption and related GHG emissions are identified as key adverse impacts. Additionally, risks associated with non-compliance with minimum energy standards for rental spaces are carefully managed.

Geographically, the process prioritises properties located in regions vulnerable to physical climate risks, such as flooding. Business relationships are evaluated through supplier questionnaires, with an emphasis on ensuring adherence to human rights and safety standards.

Managing Direct and Indirect Impacts

GCP distinguishes between direct impacts (own operations) and indirect impacts (business relationships):

- **Direct impacts:** Arising from tenant interactions, such as housing adequacy and data privacy risks. Managed through tenant service protocols and privacy compliance measures.
- **Indirect impacts:** Associated to supply chain labour conditions and contractor environmental performance. Addressed through contractual obligations, as well as the Business Partner Code of Conduct.

Prioritisation of Impacts, Risks, and Opportunities

The DMA follows a structured approach, starting with business model and value chain mapping and a relevance workshop to identify and categorise potential IROs as not relevant, moderately relevant, or highly relevant. Highly relevant topics proceed automatically, while others are further assessed or excluded. Actual negative impacts are assessed based on their severity, while potential negative impacts are evaluated considering both severity and likelihood. The analysis focuses on short-, medium- or long-term. In the case of a potential negative human rights impact, severity takes precedence over likelihood. Stakeholder engagement through surveys, interviews, and workshops ensures a well-rounded validation, with priority given to high-impact stakeholders.

Finally, the results are consolidated and validated through further discussions with key decision-makers. Any topics close to the materiality threshold or flagged as uncertain by stakeholders are reviewed in detail by senior management and the Sustainability Department. Topics with financial materiality undergo an additional review by senior management to ensure they accurately reflect Company risks and opportunities. As a conclusion of these discussions, including also the advice from external consultants, the material information was determined, based on the ESRS structure, in relation to the material impacts, risks and opportunities.

GCP is still in the process of developing its methodology for identifying, assessing, prioritising, and monitoring risks and opportunities with potential financial effects. Currently the process involves regular climate risk assessments, the use of Energy Performance Certificates to help identify vulnerabilities, and a structured approach to prioritising risks based on urgency and potential financial impact. Monitoring is conducted through quantifiable KPIs.

GCP considers impacts and dependencies across its value chain and integrates these considerations into its risk and opportunity assessments. Impacts on people, such as tenant satisfaction or health and safety, are closely linked to the Company's reputational and financial performance. Satisfied tenants foster long-term occupancy and trust, reducing turnover costs and enhancing overall portfolio stability.

Environmental dependencies, including energy use and associated GHG emissions, directly influence regulatory compliance and operational costs. Efficient energy management not only mitigates regulatory risks but also reduces expenses, creating opportunities for cost savings and improved sustainability outcomes. By understanding these connections, GCP ensures its strategies are responsive to risks and aligned with long-term value creation.

Decision-Making and Integration with Risk Management

Each risk and opportunity is evaluated based on:

- Likelihood (historical data and future projections).
- Magnitude (financial, reputational, and operational impact).
- Nature (short-term vs. long-term, direct vs. indirect).

Sustainability-related risks are integrated into GCP's internal control and risk management system, ranking them alongside regulatory and operational risks.

- Oversight by the Audit Committee, monitoring by the Risk Committee supported by the Sustainability Department and the Risk Officer.
- Combination of qualitative and quantitative risk assessments, with targeted financial analysis for high-priority IROs.
- Sustainability risks are incorporated into enterprise risk assessments.
- Opportunities (e.g., renewable energy projects) are integrated into strategic planning.
- Stakeholder feedback, market research, and industry tools.

There have not been any changes to how GCP conducts its engagement process since the previous financial year.

IRO-2 – DISCLOSURE REQUIREMENTS IN ESRS COVERED BY THE UNDERTAKING'S CONSOLIDATED SUSTAINABILITY STATEMENT

ESRS Disclosure Requirements Complied with in Preparing Consolidated Sustainability Statement following Outcome of Materiality Assessment

ESRS 2 General Disclosures

Reference	Title	Page Number
BP-1	General basis for preparation of the sustainability statement	37-38
BP-2	Disclosures in relation to specific circumstances	38-41
GOV-1	The role of the administrative, management and supervisory bodies	41-45
GOV-2	Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies	46-47
GOV-3	Integration of sustainability-related performance in incentive schemes	47
GOV-4	Statement on due diligence	47-48
GOV-5	Risk management and internal controls over sustainability reporting	48-50
SBM-1	Strategy, business model and value chain	50-52
SBM-2	Interests and views of stakeholders	53-54
SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	54-60
IRO-1	Description of the process to identify and assess material impacts, risks and opportunities	60-62
IRO-2	Disclosure Requirements in ESRS covered by the undertaking's sustainability statement	63-65
	List of data points that derive from other EU legislation and information on their location in sustainability statement	144-146

E1 Climate Change

Reference	Title	Page Number
E.1 GOV-3	Integration of sustainability-related performance in incentive schemes	67
E1-1	Transition plan for climate change mitigation	67-70
E1. SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	71-76
E1. IRO-1	Description of the processes to identify and assess material climate-related impacts, risks and opportunities	71-76
E1-2	Policies related to climate change mitigation and adaptation	77
E1-3	Actions and resources in relation to climate change policies	77-79
E1-4	Targets related to climate change mitigation and adaptation	80-82
E1-5	Energy consumption and mix	82-85
E1-6	Gross Scopes 1, 2, 3 and Total GHG emissions	85-90
E1-7	GHG removals and GHG mitigation projects financed through carbon credits	90
E1-8	Internal carbon pricing	90-91
EU Taxonomy Disclosures	EU Taxonomy Disclosures	92-97

S1 Own Workforce

Reference	Title	Page Number
S1. SBM-2	Interests and views of stakeholders	100
S1. SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	100-101
S1-1	Policies related to own workforce	102-103
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ENVIRONMENTAL INFORMATION

ESRS E1 – Climate Change

INTRODUCTION

In recent years, the global community, consisting of scientific researchers, governments, multilateral organisations, and the private sector, has increasingly recognised the crucial responsibility to mitigate the negative effects of climate change. The Intergovernmental Panel on Climate Change ("IPCC") has made it clear that the international community must limit global warming to +1.5°C in comparison to pre-industrial times, requiring significant reductions in greenhouse gas ("GHG") emissions worldwide. Through the Double Materiality Assessment ("DMA"), key areas have been identified where GCP's business has a significant impact or faces risks and/ or opportunities. With buildings and construction accounting for around 40% of global annual emissions(*), climate change mitigation remains a key material topic for the Company and, in our view, the real estate sector as a whole.

As part of our assessment, we have identified various climate change mitigation topics, as well as energy consumption, as material sustainability matters. While climate change adaptation and related physical climate risks are relevant, they have not been classified as material sustainability matters in this year's DMA based on our assessment of their impact on our assets. However, recognising the importance of that topic, the Company will continue to closely monitor future developments and take necessary actions as appropriate.

(*) for further details, see: United Nations Environment Programme Finance Initiative (UNEP FI), 40% of Emissions Come from Real Estate – Here's How the Sector Can Decarbonize, 2022.

High-Level Overview of Disclosure	
Standard	**Indicator**
ESRS E1 Climate Change	E1. GOV-3 – Integration of sustainability-related performance in incentive schemes
	E1-1 – Transition plan for climate change mitigation
	E1.SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model
	E1. IRO-1 – Description of the processes to identify and assess material climate-related impacts, risks and opportunities
	E1-2 – Policies related to climate change mitigation and adaptation
	E1-3 – Actions and resources in relation to climate change policies
	E1-4 – Targets related to climate change mitigation and adaptation
	E1-5 – Energy consumption and mix
	E1-6 – Gross Scopes 1, 2, 3 and Total GHG emissions
	E1-7 – GHG removals and GHG mitigation projects financed through carbon credits
	E1-8 – Internal carbon pricing

IROs or datapoints that were identified as immaterial to the Company are not covered in this report. In some cases, GCP decided to use the phase-in provisions (in accordance with Appendix C of ESRS 1) and is committed to disclosing these datapoints in the coming years.

Table 11

Material Sustainability Matters Covered in ESRS E1

Sub-topic	Sub-sub-topic	Material Impact	Categorisation IRO	Localisation of IRO	Time horizon of IRO
Climate change mitigation	Greenhouse gas (GHG) emissions	Impact	Negative Impact	Own operations and Value chain (downstream)	Long-term
	Transition to low-carbon economy (incl. Net Zero Carbon)	Financial	Risk/ Opportunity	Own operations	Medium-term
	Transition legislation	Financial	Risk	Own operations	Medium-term
	Renewable energy	Double	Positive Impact Risk / Opportunity	Own operations	Medium-term / Long-term
	Financing green investment	Impact	Positive Impact	Own operations	Medium-term
	Energy efficiency	Impact	Positive Impact	Own operations and Value chain (downstream)	Long-term
	Low carbon transport	Impact	Positive Impact	Own operations	Short-term/ Long-term
Energy	Energy consumption and intensity	Double	Positive Impact or Negative impact Risk/ Opportunity	Own operations and Value chain (downstream)	Long-term

E1.GOV 3 – INTEGRATION OF CLIMATE-RELATED PERFORMANCE IN INCENTIVE SCHEMES

The Company integrates climate-related considerations into its remuneration practices by incorporating climate-related topics into the Remuneration Policy for executive individuals as described here. This is outlined in the section related to disclosure requirement *Gov-3 Integration of Sustainability-Related Performance in Incentive Schemes*, found in the ESRS 2 disclosures.

Following the conclusion of each fiscal year, the Company prepares a detailed Remuneration Report as part of the materials distributed for the approval of the shareholders before the next Annual General Meeting, published on the Company website in May or June. These materials are prepared in accordance with Article 7 of the Luxembourg law of 24 May 2011 implementing the Shareholder Rights Directive II (EU) 2017/828. The materials are published annually on the General Meeting pages found under the Investor Relations web page in the Company's website.

The Remuneration Report highlights which targets applied to the remuneration for the reporting year and its relation to the Remuneration Policy targets.

E1-1 - CLIMATE TRANSITION PLAN FOR CLIMATE CHANGE MITIGATION

Development of the Climate Transition Plan

Over the course of 2024, Grand City Properties significantly revised its Climate Transition Plan (previously referred to as the CO_2 Reduction Pathway), which outlines the strategy for achieving our published target of 40% reduction in CO_2 emissions intensity through 2030 compared against the 2019 baseline. In 2025, the Company has kept the Climate Transition Plan unchanged as the focus this last year has been on collecting practical experiences and feedback data from implementation of the Climate Transition Plan's pilot projects.

The Climate Transition Plan prioritises the Company's least energy-efficient assets for initiatives aimed at improving energy performance. The assets are identified according to their exposure to emerging regulation focused on building energy efficiency, emissions reduction and decarbonisation, namely the EU Energy Performance of Buildings Directive ("EPBD"), which sets efficiency requirements that buildings must meet over the next 10 years. The need for intervention is determined by the building's energy rating, which indicates the asset's current energy performance and whether it complies with regulatory requirements.

In the updated approach of the Climate Transition Plan, property-level data is collected through energy audits to better understand the current situation and consider key decarbonisation levers that can be implemented for each property. Specifically, energy savings and cost data are gathered through these energy audits to assess the impact of distinct investment packages against their economic feasibility, considering the unique local market dynamics for each property. The sample of data collected from energy audits is used to calculate energy savings and cost parameters for the relevant asset types, which are then extrapolated across the portfolio. Energy audits are still being conducted on an ongoing basis, and as the sample size increases, the Company's plan is continuously updated to improve its accuracy. Additionally, the Company plans to use implementation data from current pilot projects to validate cost assumptions embedded in the plan.

The targets for which the Climate Transition Plan is designed to address are currently not compatible with the limiting of global warming to 1.5°C in line with the Paris Agreement. Please refer to section E1.SBM-3 and E1.IRO-1 on the identification and analysis of material climate-related impacts, risks, and opportunities for details on how CRREM's target pathways were used to develop the scenario informing consideration of whether the Company's target's compatibility with the limiting of global warming to 1.5°C in line with the Paris Agreement, which the Company applied in its assessment.

Decarbonisation Levers

The energy audits discussed above provide valuable insights into the energy impact and cost implications of key decarbonisation levers. This information is collected into key investment packages that combine energy efficiency measures and renewable energy systems. These packages prioritise addressing exposure to emerging energy efficiency regulations as a primary focus. Decarbonisation levers identified in the Company's own operations and downstream in the value chain (i.e. in tenant spaces) identified, with the only upstream measures being energy procurement, include the following:

- Installing Solar PV systems
- Hydraulic balancing, energy monitoring, and heating automation measures
- Digitalisation and optimisation of heating systems
- Installation of air-source heat pumps and hybrid heat pump systems.
- Renewable energy procurement and grid decarbonisation.
- Connect to district heating and the planned decarbonisation of heating grids.
- Building envelope improvements (insulation, windows)

Key actions planned at this stage involve investments in PV systems and renewable energy procurement, while pilots have been initiated to begin digitalization, optimization of heating systems, and heating automation measures as well as installation of air-source heat pumps and hybrid systems in order to understand their feasibility on a larger scale. When these measures relating to the heating system are implemented, the possibility for hydraulic balancing to further improve energy efficiency is also considered. Transition to district heating and building envelope improvements are only considered when building-specific energy audits have suggested their feasibility since these measures are highly sensitive to the situation at each property, with the decision on whether to invest depending on financial feasibility.

Locked in GHG Emissions and Exposure to Fossil Fuel Activity

The heating systems in our properties typically have an operational lifespan of up to 30 years. Hence, the investment decisions taken today have an impact on locked- in GHG emissions during this time period. We are aware of this risk and take this into consideration when planning renovation measures and replacement of heating systems. We strive to deploy low-carbon (e.g., hybrid-heating) or fully electric heating systems (e.g., heat pumps) wherever economically and operationally possible, however barriers to their implementation, primarily local grid capacity and technical feasibility of specific properties, persist. It is also important to note that our business has not invested capital expenditure ("CapEx") related to coal, oil, and gas-related economic activities as defined under ESRS E1 paragraph 16f. We do not consider our business excluded from EU Paris-aligned benchmarks, as outlined in ESRS E1 paragraph 16g, as The Company is a real estate management company and does not materially engage in fossil fuel or energy sector activities(*).

CapEx Planning and Integration into the Business Strategy

We are still in the process of developing detailed CapEx plans that will be integrated into our overall business planning as more energy audits are completed and findings are extrapolated across the portfolio. Based on the current findings of the Climate Transition Plan, the Company has estimates of the CapEx required to meet the target but has not yet formally allocated the CapEx over the medium-term. The primary reason for this is to allow for real project data to be collected from pilots currently under implementation to ensure accuracy of the data before formal CapEx allocation. It is still not clear whether

(*) for specific list of exclusion criteria, please refer to Articles 12.1 (d) to (g) and 12.2 of the Climate Benchmark Standards Regulation.

it makes sense to formally allocate CapEx at the Company level based on property-level energy audits at all, since energy audits produce estimated costs whereas the most reliable ex-ante cost figures are produced during the construction planning stage which are still subject to change over the course of those projects. Most projects have not yet been completed meaning that little feedback data has been collected to date, however the rate of project implementation is set to increase in 2026. Further details on our approach to CapEx planning will be provided in future reports. The Climate Transition Plan solely focuses on CapEx measures as these are the primary measures through which building energy consumption and emissions can be reduced, thus OpEx plans are not involved in the strategy.

The EU Taxonomy offers several options for aligning OpEx, CapEx and asset alignment with its criteria. Over the past few years, we have undergone extensive EU Taxonomy alignment exercises and provided a detailed description of our applied methodology for calculations, which can be found in the EU Taxonomy Disclosures section along with applicable definitions and key terms relevant to the EU Taxonomy Framework mentioned here. The Climate Transition Plan outlined in this chapter, in particular its decarbonisation levers, key actions, and CapEx plans, will increase taxonomy-aligned CapEx share regarding individual measures (Activities 7.3 through 7.6) as these are eligible activities likely to meet the technical screening criteria. However, aligned CapEx is also subject to Do No Significant Harm (DNSH) checks where data limitations may cause eligible CapEx to not be designated as Taxonomy-aligned. Regarding activity 7.2, the extent to which these measures will lead to a 30% reduction in primary energy demand is still under assessment, as are whether the measures will increase shares of taxonomy-aligned OpEx and Revenue. A more precise mapping between decarbonisation levers and applicable EU Taxonomy activities can be found in Table 14 in section E1-3 *Actions and Resources in Relation to Climate Change Policies*.

As part of the redevelopment of the Climate Transition Plan, properties facing significant exposure to current and emerging regulations were identified and the investment packages outlined in the energy audit process were presented to the operational teams. In order to ensure the Climate Transition Plan is integrated in the business strategy, operations provided key feedback on the business plans for these assets as well as the local market dynamics that influence return on investment. The process was also designed for embedding in the Company financial planning through holistic consideration of costs and returns, exploring the possibility of passing portions of the CapEx costs on to the tenants who enjoy reduced operational costs from energy savings. Available public funding programs for energy-efficiency saving measures were also considered. Such factors were considered holistically in order to determine the economic feasibility of proposed interventions in order to develop a plan that can be integrated into the business strategy and financial planning of the Company. The outline provided by the Climate Transition Plan and outputs of property-specific energy audits are to be handed over to the operational and construction departments for development of asset-level plans and execution.

After working with operations to better understand the economic feasibility of the current Climate Transition Plan, which primarily focuses on mitigating exposure to current and emerging regulation while achieving the current emission reduction target, the Climate Transition Plan was presented to the Daily Management. As a result of this process, the general approach to deriving CapEx projections from a sample of energy audits described above and the overall Climate Transition Plan were approved. Specific budgets were then allocated to pilot projects for the considered decarbonisation technologies, which are currently under implementation.

Transition Plan Implementation

Improved energy efficiency of the portfolio through:

Energy-improvement investments

- Solar PV
- Air conditioning & ventilation
- EV charging
- Air source heat pumps
- Combined heat & power generation
- LED systems

Refurbishments of building envelopes

- Roof, façade, & basement insulation
- Window replacements

Digitalization (monitoring/controlling) of consumption data

- Smart meters
- Smart heating
- Smart thermostats



E1.SBM-3 AND E1.IRO-1 - IDENTIFICATION AND ANALYSIS OF MATERIAL CLIMATE-RELATED IMPACTS, RISKS, AND OPPORTUNITIES AND THEIR INTERACTION WITH THE STRATEGY AND BUSINESS MODEL

Material Climate Related Risks

GCP employs a structured methodology to identify impacts, risks, and opportunities ("IRO") by integrating ESG considerations into its risk management framework. Please refer to sections IRO-1 and SBM-3 of this report for more details.

As a result of our DMA, the following transitional climate-related risks were identified:

- **Transition to low carbon economy (incl. Net Zero Carbon):** Potential financial and operational risks arising from stricter GHG emissions regulations and increasing carbon reduction requirements.
- **Transition legislation:** Evolving climate-related regulations may impose additional costs or operational adjustments.
- **Renewable energy deployment:** Risks associated with the availability, cost, and integration of renewable energy sources into existing operations.

If not effectively managed, these risks have the potential to pose a financial risk for the Group. These risks are heavily influenced by political and regulatory developments anticipated during the transformation process in the coming decades. We closely monitor these developments to adapt our operations and strategic decisions, safeguarding the business from financial risks while maintaining the necessary pace of transformation.

Climate-Related Risk Assessment

The Sustainability Department, in close collaboration with the Risk Officer, conducts an annual resilience analysis of identified climate-related transitional risk factors. The findings are presented to the Risk Committee for review and adjustments, which are ultimately used to inform the Risk Committee and the Board of Directors on whether adjustments in the business strategy are warranted. In alignment with the recommendations of the Task Force on Climate-related Financial Disclosures ("TCFD")[1], GCP also describes the potential opportunities which the Company has identified in each of these factors. During the climate-related risk assessment the Company qualitatively considered the scenarios laid out by the IPCC's shared Socioeconomic Pathways[2] as well as the International Energy Agency ("IEA") transition scenarios, specifically the Stated Policies Scenario ("STEPS") which was also rooted in current policy observations as well as the Net Zero GHG Emissions by 2050 scenario [3]. The time horizons defined short-, medium- and long-term in the assessment are aligned with ESRS 1 6.4. The short- and medium-term time horizons are linked to the capital allocation planning and the strategic planning cycles of the Company, depending on the nature of the plans in place, while the long-term time horizon is primarily used to consider the expected lifetime of assets.

The qualitative resilience analysis is conducted annually, with the most recent exercise being in 2025, using the previous years analysis as a baseline and then incorporating observed developments in risk factors in GCP's countries of operation over the elapsed year, as well as any material changes in the scenarios used. No changes to scenarios were identified in 2025. The analysis was conducted at the corporate level, i.e. aligned with the financial consolidation scope, considering the long-term outlook provided by the scenarios stated above, while also factoring current observations in the Company's countries of operation and the context of its business model and activities.

Table 12 below summarises the identified risks and impacts while outlining the mitigation strategies employed to manage these risks within our organisation.

(1) recommendations of the Task-Force on Climate-related Financial Disclosures.
(2) the SSPs used in the IPCC AR6 report were published in the journal Global Environmental Change under the title The Shared Socio-economic Pahtways: Trajectories for human development and global environmental change.
(3) current formulations of the scenarios are outlined in the IEA World Energy Outlook 2025 report.

Table 12 - Climate-related risk, impact, and opportunity assessment aligned with the TCFD Framework

Risk Category	Description	Impacts and Timeframe (S = short-term, M = medium-term, L = long-term)	Mitigation Strategy	Opportunity
Policy	Climate-related regulations and laws are changing rapidly, placing stricter requirements on energy and GHG emissions performance while raising questions on the degree to which assets are aligned with current and emerging regulation. Carbon pricing schemes have taken a relatively clear shape in Germany, the Company's primary coun-try of operation. The EU recast its Energy Performance of Buildings Directive in 2024, introducing national energy-reduction targets for residential buildings through 2035, and then leaving it to member states to implement pathways to a zero-emission building stock by 2050. These targets require some of the reductions to be achieved through renovation of existing building, although the text is written in a way that gives members states discretion in implementation. Member states now must imple-ment the EPBD into national law by Spring 2026, the German governments has remained committed to implementing the EPBD, although specific national-level requirements remain unclear. The gap between the targets for residential buildings outlined in the 2024 EPBD and its final goal of a net-zero building stock by 2050 are significant, raising many important questions on the specific pathways that EU member states must clarify.	Carbon pricing and enhanced GHG emissions-reporting obligations are poised to cause higher operating and compliance costs. The energy reduction targets of the EPBD and other energy-related requirements are poised to require significant CapEx to maintain building compliance, the Company currently relies on estimates to anticipate levels of CapEx needed which may need further adjustment when national implementation of the EPBD commences. The precise level of grant and subsidy programs to be expected as EU member states implement the EPBD leave some uncertainty regarding the financial impact that mitigating actions have on the Company. (S, M, L)	In response to the recast EPBD and reporting requirements of the CSRD, the Company conducted an extensive review of its Climate Transition Plan underlying its climate ambitions in 2024. This involved integrating data from our updated energy audit process to consider efficiency-improving measures while also leveraging CRREM pathways to consider the level of action needed to achieve reductions consistent with a 1.5-degree scenario. Potential updates to the Company's stated target are still under review, awaiting completion of further energy audits to increase the sample size while awaiting implementation data from pilot projects to validate key assumptions. Nonetheless, the Climate Transition Plan targets the most inefficient assets for intervention to ensure the current carbon reduction target will be met while also mitigating exposure to the energy reduction targets for EU member states in the EPBD recast in an economical manner. The Company anticipates that increased climate ambition will be needed but is also confident that the Climate Transition Plan now effectively considers emerging policies against potentially more aggressive policy scenarios to effectively plan its business activities in a way that manages transitional risks in the face of constant regulatory changes in the EU. The Group is also actively monitoring public support for energy-related renovation of residential properties to ensure these are factored into any renovation planning. The recast EPBD calls for increased levels of public support which will be defined by EU member states as they are implemented nationally.	The Company expects opportunities in the policy-driven transition to more efficient buildings in the form of lower operating costs, reduced stranding risks and decreased exposure to variations in the cost and availability of natural resources. It is widely viewed that more efficient buildings may also attract higher valuations through improved energy performance and become more attractive to investors, tenants and financial institutions, although this has not yet been observed. The Company also sees a general opportunity to ensure long-term value from its operations through active monitoring of policy developments as they occur and planning interventions in a pragmatic and economical manner.
Legal	Emerging climate-related policies and regulations increasingly contain specific legal requirements placed on economic actors. Companies may become subject to lawsuits alleging failure to take sufficient actions to reduce greenhouse gas emissions or to account for or disclose known climate-related risks. Climate-related litigation may also arise from inaccurate non-financial reporting or misleading sustainability claims such as „greenwashing". While the EU Green Claims Directive appears to have been abandoned by the EU Commission, public scrutiny of green claims is likely to remain.	With stricter EU regulation, including the EU Taxonomy, CSRD, and SFDR, the real estate sector has already felt the pressure of environmental legislation. The significant gaps between current regulations and the carbon budgets of the Paris Agreement make further regulatory tightening over the long-term likely. It is also possible that the scope of these regulations expands to take in more segments of the Company's value chain, increasing potential exposure and compliance costs. While climate-related litigation has primarily targeted governments and fossil fuel companies to date, it is possible that other sectors such as real estate may be targeted over the medium-to-long term. (L)	Our Sustainability Department works to ensure accurate and high-quality non-financial reporting, while constantly monitoring changes in regulations to identify gaps and facilitate compliance. This involves not only monitoring current legislative initiatives but also assessing the gaps between current policy and science-based climate targets to anticipate future changes.	

Risk Category	Description	Impacts and Timeframe (S = short-term, M = medium-term, L = long-term)	Mitigation Strategy	Opportunity
Market	Tenant preferences for low or zero-carbon properties are likely to reduce demand for inefficient properties. Likewise, evolving investor preferences for sustainable and resilient assets could drive higher valuations for green buildings. Financial institutions in the EU are increasingly incorporating climate-related criteria in their financing and investing practices. Market conditions may shift from „green premiums" for low- or zero-carbon assets to „brown discounts" in rent or valuation for assets with high energy or carbon intensities.	The age of German building stock, where the Company primarily operates, combined with our business model of acquiring and managing existing buildings, poses significant challenges in offering low or zero-carbon properties due to the level of investment that is required. Inability to meet tenant preferences may increase va-cancies and reduce revenues while inability to meet market expectations may reduce access to capital. However, in the context of ongoing housing shortages in major European cities, residential tenants have not shown a preference for climate-friendly buildings over less efficient buildings. The current focus among most financiers lies on ensuring regulatory compliance over a typical loan term (up to 10 years), which is unlikely to change despite the rightward shift in EU politics. A niche subset calls for Paris-alignment, although they are not yet large enough in number to shift market conditions, although this may change over the long term. Shifting market demand may put downward pressure on the value of "brown" assets which are not in line with market expectations, which could potentially reduce the availability of capital and increasing the cost of capital. Increasing sustainable finance regulation is forcing tenants and investors to report on their sustainable actions, which in turn shifts demand towards sustainable properties. The existing market structure leaves landlords responsible for capital expenditures needed to improve energy efficiency of existing assets with limited ability to recover reduced utility expenses enjoyed by the tenant. (L)	The Company is working with tenants to reduce energy and utility consumption as part of tenant awareness campaigns. Given the legal limits placed on modernisation rent increases along with GCP's internal consideration whether further limits are warranted to ensure tenants are financially able to meet increased rents or heating costs, the Company is developing renovation planning processes that enable full realisation of available grants from the German government to mitigate any risks posed by the potentially high levels of CapEx needed to improve highly inefficient existing buildings to the greatest extent possible. The Climate Transition Plan prioritises the most inefficient assets in the portfolio for assessment of possible interventions to determine economic feasibility of invest-ments that will protect or improve their value. This Climate Transition Plan is subject to ongoing development to ensure alignment to market standards. The Company's Climate Transition Plan focuses on ensuring current and emerging regu-latory requirements will be met (primarily those of the EU EPBD), leaving the Company in a strong position to meet the expectations of investors and financiers over the short-to-medium term. The Climate Transition Plan also considers a Paris-aligned scenario through use of the CRREM pathways, leaving the Company prepared to handle shifts toward more aggressive climate-related requirements should they materialise.	Grand City Properties' scale provides economic benefits which result in competitive advantages in repositioning assets with development potential in terms of energy efficiency or climate resilience. This could create growth opportunities through the acquisition of such assets from owners without capability to make the required upgrades. Low and zero-carbon buildings will be better positioned to meet shifting tenant preferences and investor demands over the medium-to-long term, positively impacting rents and access to capital. Green assets may strengthen business resilience by increasing revenue through new products and services that meet market demands and may improve access to capital and debt. Green bond issuance, sustainability-linked loans or energy efficiency-related subsidies for buildings can be used to improve the financial feasibility of making the needed investments, although not all green financiers offer incentives adequately adjusted to the expected level of CapEx placed on the Company.
Energy	Energy markets are more prone to price fluctuations driven by supply crunches or swings in energy demand. This leads to risks associated with high energy and utility costs and over-reliance on fossil-fuel derived energy supplies.	Energy-market risks associated with reliance on fossil fuels, have become a pressing issue following the Russian war in Ukraine and the sharp rise in energy prices. This situation has prompted many sectors, including the real estate sector, to call for accelerating the transition to a low-carbon economy. Nonetheless, the current energy mix of most grids remain primarily dependent on fossil fuels, as renewable energy generation and storage capacities are still insufficient to meet the decarbonisation goals necessary for a fully decarbonised energy system. While energy prices have declined over the last two years, the risk of future energy price spikes after new shocks remains but cannot be predicted. (S, M, L)	The Company aims to reduce reliance on fossil fuels through its target to source 100% of landlord-obtained electricity through renewable sources, prioritising power purchase agreements ("PPAs") to the furthest extent that market supply allows targeting at least 50% by the end of 2027 while sourcing the remaining share through Guarantee of Origin contracts. The Company is simultaneously pursuing installation of onsite renewable energy systems. Investments in energy efficiency will also reduce energy costs, mitigating exposure to variations in price.	Increasing procurement of energy from renewable sources and a shift to decentralised energy generation can reduce operational and compliance costs, as well as exposure to volatile fossil fuel markets. Green bond issuance or sustainability-linked loans could also be used to improve the financial feasibility of making the needed investments if meaningful incentives are offered by financiers.

Risk Category	Description	Impacts and Timeframe (S = short-term, M = medium-term, L = long-term)	Mitigation Strategy	Opportunity
Technology	GCP recognises that current technologies are insufficient to achieve the grid decarbonisation needed to address climate change, and this is expected to increase the pace of technological development. Additionally, policies have emerged in the EU and UK requiring a phase-out of fossil fuel boilers, with some technical exceptions.	Insufficient monitoring of technological developments or regulatory requirements may result in investment in technologies that become obsolete before their operational lifespan ends. Buildings with outdated technology systems may experience reduced demand and require higher maintenance costs/CapEx requirements to meet minimum efficiency standards and current work, leisure and residential trends. Exposure is low since all phase-out regulations allow heating systems to reach the end of their use life. (M, L)	The Energy and Operations Departments monitor regulatory developments and emerging technologies on the market, evaluating their costs and potential to enhance energy efficiency and carbon profiles of buildings. The energy-related procedures outlined in the new Environmental Policy emphasise prioritisation of investment towards proven and cost-effective technologies.	The Company sees significant opportunity to engage with and invest in prop-tech companies to ensure modern, forward-thinking, and appropriate technological outfits of the Company's properties.
Reputation	Companies seen as taking insufficient climate action or delaying climate action face increasing scrutiny and criticism from tenants, investors, the media, and society at large. Additionally, current and future generations of employees hold greater expectations for companies to act to address climate change.	Any shortcomings in the climate strategy of the Company could invite criticism from societal actors, damaging the Company's reputation. Errors in non-financial reporting might be perceived as fraudulent or „greenwashing". Furthermore, reputational damage from inaction on climate change could hinder the ability to recruit and retain talent in the medium- to long-term. (S, M, L)	The Sustainability Department monitors best practices and societal trends to iden-tify and address gaps in the Company's climate strategy, bringing these issues to the attention of relevant internal stakeholders. The department works to ensure high-quality sustainability disclosures. Clear communication on the Company's sustainability efforts, climate risk actions and carbon reduction targets will reassure employees, potential candidates, and investors of the Company's continued efforts regarding climate change mitigation and adaptation.	Through meeting or exceeding requirements, expectations, or best practices, the Company may be able to positively improve its reputation. This can also improve the Company's ability to attract and retain critical talent.

Quantitative scenario analysis of climate-related risks faces challenges due to missing data, as climate scenarios often extend far beyond time horizons conventionally applied in strategic business planning. Despite this, the Company was also able to conduct a targeted, quantitative scenario analysis on the impact of emerging energy efficiency regulation, namely the EU EPBD, using available data of its direct operations in Germany. This analysis was used to inform the redevelopment of the Climate Transition Plan, described in further detail below. During the redevelopment of the Climate Transition Plan in 2024, discussed in section E1-1, the explicit requirements of the current regulatory outlook over the next 10 years were considered as a "current policy" scenario, while the 1.5-degree pathways provided by CRREM, which follows the Sector Decarbonisation Approach to translate science-based pathways to asset- type-specific pathways(*). The projected CRREM pathways over the next 10 years were used to assess the requirements of a possible Paris-Aligned transition scenario, compared against the current policy scenario stated above. Distinct investment packages considered during development of the Climate Transition Plan represent a modular approach tailored to the policy requirements of the scenarios.

The costs and impacts of measures related to heating, renewable energy, and technical systems form one set of investment packages, while measures relating to thermal efficiency and the building shell constitute another set of packages. While the Climate Transition Plan currently prioritises measures needed to meet explicit policy requirements and the Company's GHG emission reduction target, the scenario analysis conducted lays the groundwork for adapting to a potential increase in policy ambitions.

This analysis involved a more targeted scope, specifically the operational control portfolio used in the Company's annual GHG emission reporting outlined in the *Coverage* subsection under *Methodology and EPRA sBPR Data Preparation Notes* of section E1-6 limited to assets in Germany, with plans to expand this scope over time. This scope was also applied in the Climate Transition Plan discussed in section E1-1. As with our annual energy consumption and GHG emissions reporting in sections E1-5 and E1-6, this includes the downstream value chain segment of tenant-controlled spaces, representing GHG emissions falling under Scope 3 Category 13.

(*) see CRREM's report From Global Emission Budgets to Decarbonization Pathways at Property Level.

Implications for the Business Strategy

Based on the results of the qualitative and quantitative elements of our resilience analysis outlined above, our business model of providing affordable residential spaces in urban areas will remain relevant throughout every possible transformation scenario. However, we expect to respond dynamically to political developments, and capital market trends, ensuring the economic resilience of our business in any transformation scenario. While the degree of severity of transition events can vary significantly due to the gap between current policies and the Paris-Aligned scenario noted several times in the discussion above, the most recent resilience analysis leaves the Company confident in its ability to adjust its strategy and business model to climate change should an increase in applicable policy ambitions occur.

Integration into Enterprise Risk Management Framework

Climate-related topics are treated as a corporate governance topic, with GCP's Board of Directors having overall responsibility and the Daily Management and head of departments supporting in identifying, assessing and managing climate-related risks, impacts and opportunities.

The Risk Committee, supported by the Risk Officer, GCP's Daily Management and the Building Resilience Taskforce are co-responsible for identifying, assessing, and managing climate-related impacts, risks and opportunities. A distinction is made between climate risks affecting the Company at the corporate level, for which the Board of Directors is the risk owner, and climate risks which impact our properties, which are owned by GCP's Operations Department. In addition, the Taskforce on Building Resilience works across departments to address climate risks, incorporating the perspectives of various internal stakeholders. This collaborative effort focuses on developing action plans and implementing adaptation solutions as needed.

To effectively manage climate-related risks, we first conduct risk assessments to understand their potential financial, operational, and environmental impacts. The Risk Committee monitors the Company's risk management process, a responsibility which has been delegated by the Audit Committee. The Risk Officer and the Sustainability Department collaborate closely in conducting assessments of physical and transitional climate risks. These assessments are presented to the Risk Committee at least annually and on an ad hoc basis as needed throughout the year. Based on these assessments, we identify relevant and practicable measures to mitigate risks, manage impacts and maximise potential opportunities. Please see below GCP's Governance Structure on Climate Risks:

Governance Structure on Climate Risks

Building Resilience Taskforce

Inter-departmental platform for the discussion and collaboration on climate risks

Develop KPI's for climate risk & action plans and adaptation solutions

Risk Committee

Monitors risk management, incl. climate risks

Management

Assessment and management of climate-related risks at corporate level

Sustainability Department & Risk Officer

Assessment of physical and transitional climate risks

Operational Department

Assessment and management of climate-related risks on a property level

E1-2 – POLICIES RELATED TO CLIMATE CHANGE MITIGATION AND ADAPTATION

At GCP we have defined a concise yet comprehensive policy outlining our activities to mitigate and adapt to climate change. Our Environmental and Energy Policy addresses the need to reduce our operational GHG emissions and includes within our scope the reduction of energy and water consumption, as well as generation of waste and air pollution. The respective targets on these topics set in this policy are quoted in the corresponding sections of this report.

The Board of Directors is responsible for reviewing and approving updates to all policies, including the Environmental and Energy Policy, which was most recently updated in 2024. The policy aims to manage the material impacts, risks and opportunities related to climate change mitigation and adaptation, as well as other environmental topics, including air pollution and water management. The policy does not involve third-party standards or initiatives in its implementation, as it primarily focuses on improving environmental impacts through implementing decarbonisation levers mentioned in section E1-1. For this, the policy delineates responsibilities at the asset and company-level between operations and Daily Management.

The policy responds to all material impacts, risks, and opportunities outlined in our DMA, as presented in section SBM-3 and IRO-1, specifically climate change mitigation, and energy efficiency, while also covering the non-material topics of water, pollution, and waste. The scope of the policy applies globally to Grand City Properties S.A., specifically to its direct operations. The Board of Directors is the most senior level at GCP responsible for the implementation of the policy. The policy is publicly available to all stakeholders through the Sustainability Governance web page on the Company website.

E1-3 – ACTIONS AND RESOURCES IN RELATION TO CLIMATE CHANGE POLICIES

In our business model, the primary decarbonisation levers are to enable our tenants to consume less energy (e.g. by improving the energy efficiency of our buildings) and by transitioning the heating systems from fossil fuel-based systems to electric or carbon neutral ones. Many of those investments are highly capital-intensive and require careful coordination to minimise negative impacts on our tenants. Decarbonisation levers are discussed in more detail in section E1-1.

In the year 2025, the Company achieved an GHG emission reduction of 29% compared to its 2019 baseline, while the Company expects further GHG emission reductions in the amount of 11% to achieve its 2030 target, in other words covering the short- and medium-term horizons discussed in section E1-1. For more information on how the Company evaluates progress against its GHG emission reduction target, refer to section E1-4.

Table 13 below presents the proportion each value chain stage and the associated decarbonisation measures driving GHG emission reductions needed to achieve the 40% reduction target as outlined in the Climate Transition Plan discussed in section E1-1. Out of the 11% remaining GHG emission reductions, the percentages in the table below indicate the expected proportion among each scope.

Table 13 – Total GHG emission reductions of the 40% target in context of the Climate Transition Plan

Value Chain Stage(s)	Decarbonisation Lever	Proportion of GHG Emission Reductions
Upstream	Renewable energy procurement and grid decarbonisation	23.3%
	Connect to district heating the planned decarbonisation of heating grids	
Own Operations (Landlord-controlled spaces)	Installing Solar PV Systems	7.5%
Own Operations (landlord-controlled spaced) & Downstream (Tenant-controlled spaces)	Hydraulic balancing, energy monitoring, and heating automation measures	9.2%
	Digitalisation and optimisation of heating systems	
	Installation of air-source heat pumps and hybrid heat pump systems.	
	Building envelope improvements (insulation, windows)	

As outlined in section E1-1, achieved and expected GHG emission reductions in the Company's pathway towards the 40% GHG emission reduction target, are based on the Company's Climate Transition Plan, with the applicable scope of the target and Climate Transition Plan being the same. While investment in on-site PV has been ongoing for several years, the Company has only just begun implementation of key actions in the framework of the Climate Transition Plan such as heat pump and digitalisation measures which are currently in pilot phases. The Company has invested in several decarbonisation levers discussed above in past years, as shown in its current and past EU Taxonomy Disclosures, however these actions were implemented without the required reporting lines in place to collect data at the granularity required to accurately attribute the proportions of achieved GHG emission reductions to each individual decarbonisation lever. Thus, this disaggregation cannot be provided, with communication on achieved GHG emission reductions remaining at the portfolio level. Actions taken in 2025 to improve the data basis involve increasing information sharing between operational and engineering teams to harmonise project data with the framework of our Climate Transition plan while also supporting the EU Taxonomy disclosure exercise. This is, however, a complex exercise as standard invoicing and operating practices of private contractors who lie outside the scope of sustainability reporting obligations are not aligned the data requirements for energy impact assessments and EU Taxonomy reporting. The Company is not able to provide a timeline, but is working to achieve improved reporting as soon as possible. For more information on the current and future financial resources allocated to the Climate Transition Plan, refer to sections E1-1 and the EU Taxonomy Disclosures, although as discussed in the former the Company is awaiting a larger sample size of energy audits and actual data from pilot project implementation before providing more granular disclosures on the time horizons applicable for future financial commitments.

Actions undertaken in the reporting year regarding the decarbonisation levers are mostly covered by the EU Taxonomy Disclosures, with some found in other relevant disclosures. Table 14 maps decarbonisation levers to relevant EU Taxonomy activities or other disclosures, provided to support readers in understanding how disclosures in other segments of this report relate to the decarbonisation levers of the Climate Transition Plan. It is important to note that the EU Taxonomy disclosure exercise has been an extremely complex project improved gradually over several of the past reporting years although significant data limitations remain that limit the ability to report all taxonomy-eligible activities as aligned. These same data limitations prevent precise disaggregation and remapping of reported EU Taxonomy figures across the decarbonisation levers. As stated throughout these statements, we are taking measures to improve our internal monitoring of project implementation between operational, engineering, and construction teams but we remain dependent on external contractors who lie outside of the scope of sustainability reporting requirements, resulting in uneven progress in improving the data basis. We are not able to provide a timeline for when a fully improved data basis will be achieved, especially against the backdrop that sustainability reporting requirements are being rolled back in the EU.

Table 14 – Mapping Decarbonisation levers to applicable EU Taxonomy Activities or other relevant disclosures

Decarbonisation level	Applicable EU Taxonomy Activities or other relevant disclosures
Installing Solar PV systems	Installation, maintenance, and repair of renewable energy technologies (7.6), and on-site renewable energy generation disclosures can be found in Table 17 in section E1-5.
Hydraulic balancing, energy monitor-ing, and heating automation measures	Installation, maintenance, and repair of energy efficient equipment (7.3) Installation, maintenance and repair of instruments and devices for measuring, regulation and controlling energy performance of buildings (7.5)
Digitalisation, optimisation, and replacement of heating systems	Installation, maintenance, and repair of energy efficient equipment (7.3)
Installation of air-source heat pumps and hybrid heat pump systems	Installation, maintenance, and repair of renewable energy technologies (7.6)
Renewable energy procurement and grid decarbonisation	N/A, although disclosures on renewable energy procurement can be found in Table 17 in section E1-5.
Connect to district heating and the planned decarbonisation of heating grids	Installation, maintenance, and repair of energy efficient equipment (7.3), and the reported consumption of assets connected to district heating can be found in Table 17 in section E1-5.
Building envelope improvements (insulation, windows)	Renovation of existing buildings (7.2), pending that projects reach the scale needed to meet the technical screening criteria related to the building shell. If the above-stated requirements are not met this falls under Installation, maintenance, and repair of energy efficient equipment (7.3)

Please refer to the EU Taxonomy Disclosures and Table 14 above and the surrounding discussion to understand the relationship between the decarbonization levers and the reported figures aligned to the EU Taxonomy. The Climate Transition Plan regards the measures needed to achieve the Company's GHG emission reduction target through the year 2030, and thus the applicable time horizons are the short- and medium term as defined by ESRS 1 6.4.

Energy Audits and Energy Efficiency Projects

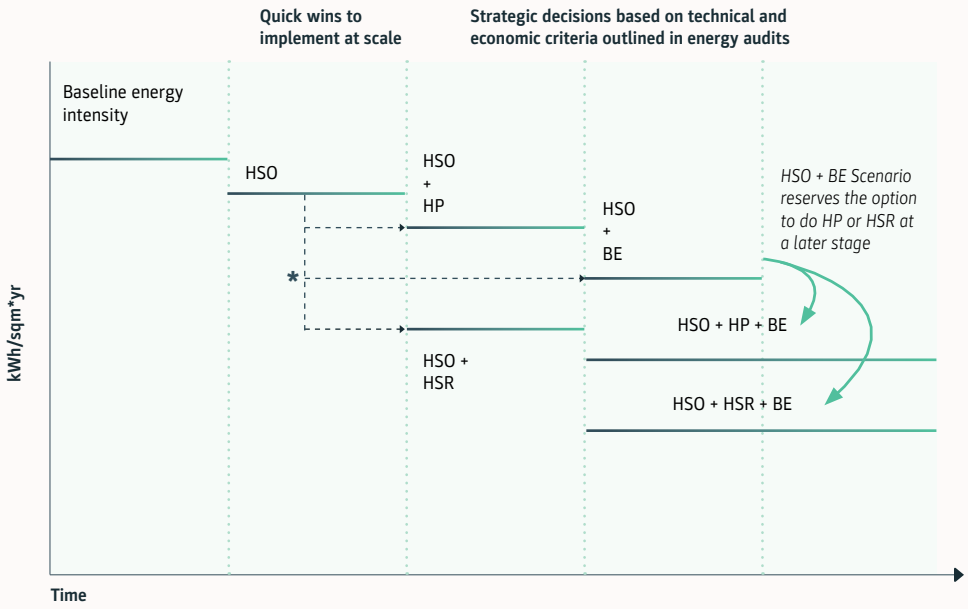
In 2025, Grand City Properties conducted new energy audits for energy performance assessment of relevant refurbishment measures covering more than 300,000 m² of floor area across its portfolio. These reports form the technical and financial foundation of the Group's residential decarbonisation strategy, enabling precise assessment of refurbishment opportunities and scalable execution at the portfolio level. When relevant, renewed energy labels are also issued as a result of the audit. These energy audit reports are aligned with subsidy and grant application requirements to ensure ability to capture public support to the fullest extent.

A central priority has been on the systematic improvement of EPC F/G/H residential assets. These high-priority assets received targeted interventions and early adoption of proptech solutions to enhance heating performance, detect inefficiencies and reduce consumption. The approach enables rapid impact at scale in the near-term while reserving heavier Capex for the most value-accretive opportunities

These energy audits produce recommendations of distinct investment packages that can be implemented over an asset's holding period, the specific possible measures are dependent on asset-specific characteristics but generally fall into the following categories: Heat System Optimization, Heat Pump Installation, Building Envelope intervention, and Heat System Replacement. Implementation of these measures is considered following a "modular approach" meaning that low cost and high-impact measures are prioritized for immediate implementation at scale while more complex measures are carefully considered according to asset-specific characteristics. Apart from property energy efficiency, potential for on-site PV or other renewable energy measures are also considered in parallel as part of these energy audits. Simultaneously, the group is continuously looking to identify promising solutions in the PropTech or materials spaces, with one example of a pilot project initiated in 2025 being cost-effective and energy-efficient building envelope improvements.

Between 2024 and 2025, these reduced the number of high-priority assets in the Company portfolio by 6 percentage points and increased the share of regulation-ready assets in its portfolio from 78% to 84%. Regulation-ready assets refer to those at energy efficiency levels which cover EPBD requirements over the next 15 years.

As identified through the redevelopment of the Climate Transition Plan discussed in section E1-1 and the scenario analyses our asset base will likely require substantial investments over the course of the coming decades. Access to capital from various sources (e.g. green bonds, bank loans, public funding) will be critical to manage this transition in the most cost-effective way. We will closely monitor and manage developments to ensure we always have access to the capital required to drive forward the transformation.



(*) **HSO:** Heat System Optimisation
HP: Heat Pump
HSR: Heat System Replacement
BE: Building Envelope

* graphic is for visualisation purposes only, no proportionate representation.

E1-4 – TARGETS RELATED TO CLIMATE CHANGE MITIGATION AND ADAPTATION

Our fundamental commitment to climate change mitigation is evidenced by our target of a 40% reduction in CO_2 emissions intensity through 2030, against our 2019 baseline. Please note that the sustainability information and related disclosures for the year ended 31 December 2019 and included in this section have not been subject to assurance procedures. To achieve this goal, we developed our Company-wide Environmental and Energy Policy, which outlines how efficiency and renewable energy projects will be targeted, identified, implemented and monitored.

Our efforts towards this target are guided by GCP's Climate Transition Plan, which monitors our progress and forecasts the necessary rate of CO_2 emissions reductions to achieve the 40% reduction target. We combine data on current energy performance and EPC ratings with metrics on potential improvement measures to develop a model of the entire portfolio. The suite of measures is derived from onsite audits, desk-based energy simulations and EPC recommendations. We then evaluate various combinations of energy efficiency measures and renewable energy systems to assess the most economical way to mitigate transition risks at each property. These insights are considered alongside broader market and regulatory factors, to develop an investment action plan aligned with the required carbon reduction targets.

In the context of the results of our DMA, as presented in sections SBM-3 and IRO- 1 under the ESRS 2 Disclosures, the following targets below address the material impacts, risks, and opportunities relating to Climate Change Mitigation and Energy:

- Achieve a 40% reduction in CO_2 intensity through 2030 against the 2019 baseline, measured in CO-equivalent emissions intensity (kgCO e/m^2) 40% CO_2e Reduction 2030 v 2019.
- Achieve a 20% reduction in energy intensity through 2030 against the 2019 baseline, measured in kWh/m^2.
- Switch 100% of landlord-obtained electricity to renewable sources, with at least 50% covered by Power Purchasing Agreements certified renewable electricity from wind, hydro-electric and solar PV sources by the end of 2027, and the remaining percentage covered by Guarantee of Origin contracts.

GHG Emissions Reduction Target

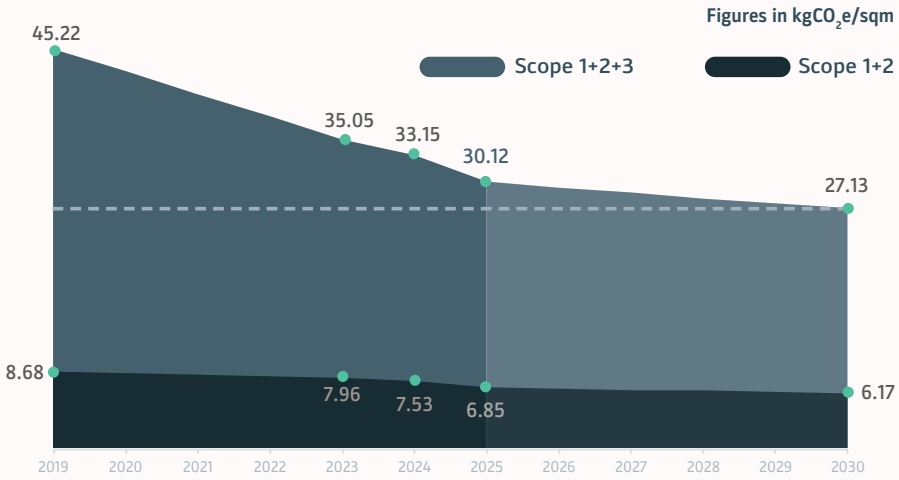
Table 15 below outlines the key details of the baseline, current, and target values for the GHG emission reduction target. For an understanding of the identified decarbonisation levers and their quantitative contribution to achieve the GHG reduction target, refer to the *Decarbonisation Levers* portion of section E1-1 and section E1-3.

Table 15 – Summary of the GHG Emissions Baseline, Current, and Target Values

Category Type	2019	2024	2025	2030 Target	% Reduction 2030 v 2019
Scope 1 [kgCO_2e/sqm*year]	2.72	2.12	2.11	1.78	-2%
Scope 2 [kgCO_2e/sqm*year]	5.96	5.41	4.74	4.38	-3%
Scope 3 Category 13 GHG Emissions from Fossil Fuels [kgCO_2e/sqm*year]	8.18	7.27	7.22	6.19	-4%
Scope 3 Category 13 GHG Emissions from Grid Energy [kgCO_2e/sqm*year]	28.36	18.35	16.05	14.77	-30%
Total carbon intensity [kgCO_2e/sqm*year]	45.22	33.15	30.12	27.13	**-40%**
GFA (sqm)	3,367,344 (*)	3,853,395	3,675,154	3,675,154	N/A

(*) since 2019, GCP has seen significant disposals and structural changes to its portfolio. When redeveloping the Climate Transition Plan, only assets in the 2024 data set were included in the baseline figures presented here.

40% Reduction in CO_2 Emissions until 2030



Energy Consumption Reduction Target

Table 16 below provides key details on the Company's energy reduction target of 20% against the 2019 baseline, which has already been achieved in 2023. 2025 saw colder overall temperatures in Germany compared to previous years which increased energy consumption for the year, however 2025 energy consumption still stays below the 20% reduction target compared to 2019.

Table 16 – Summary of the Baseline, Current, and Target Values of the Energy Reduction Target

Category Type	2019	2024	2025	2030 Target	% Reduction 2030 v 2019
Total energy intensity [kWh/sqm*year]	160.36	122.06	125.22	128.29	-20%
GFA (sqm)	3,367,344 (1)	3,853,395	3,675,154	3,675,154	N/A

(1) since 2019, GCP has seen significant disposals and structural changes to its portfolio. When redeveloping the Climate Transition Plan, only assets in the 2024 data set were included in the baseline figures presented here.

Methodological Notes on the Development and Monitoring of Energy Consumption and GHG Emission Reduction Targets

The GHG emission and energy consumption reduction targets, as well as the renewable energy target, are integral to the GHG emission- and energy-related aspects of the Environmental and Energy Policy. It should be noted that these targets are directly linked to one another due to the relationship between energy consumption and GHG emission levels.

Development of the energy consumption and GHG emission reduction targets, and development of the underlying Climate Transition Plan, required a methodology allowing for measurement of current performance in a way that is consistent with their baselines while also allowing for projection into the future. This, combined with the need to consider asset-specific characteristics regarding their thermal efficiency and installed energy systems to plan specific CapEx measures, led to the decision to base the baseline-to-target pathways on the energy rating (or EPC). This also involves application of the DWD climate factor, as well as multiplying by the asset floor area for conversion to absolute values, as explained in section BP-2, section E1-1, and the subsection *Methodology and EPRA sBPR Data Preparation Notes* in section E1-6.

Absolute GHG emissions and energy consumption target disclosures are not presented in this report, as normalisation by floor area is considered best practice in the real estate sector to account for changes in portfolio size. Intensity values per square meter are not only the key summary metric applied in EU EPCs but are also in-line with the Sector Decarbonisation Approach ("SDA") adopted by sector-specific guidance by standard-setting agencies such as CRREM and the Science-Based Targets Initiative ("SBTi")(2). Approximate absolute values can be obtained by readers through multiplying intensity values by the Gross Floor Area ("GFA") provided in the relevant tables, while reduction values can be obtained through determining the difference of the 2030 and 2019 GHG emission values.

Disclosures on past year performance have been kept constant, with 2024 and 2025 values based on the asset lists underlying past year reporting and development of the Climate Transition Plan. Current year progress is monitored through the annual reporting process for disclosures in this section as well as E1-6 disclosures. These targets could only be formulated using the location-based approach, as market-based target setting requires an understanding of future GHG emission factors of grid energy which are not made available by utility service providers. The methodological approach and boundaries applied in the baseline, target-setting, and annual GHG emissions reports for the energy consumption and GHG emission reduction targets are those described in the *Coverage* subsection in section E1-6, although the Climate Transition Plan outlined in section E1-1 differs slightly in that it only focuses on the direct operational control portfolio in Germany. 2030 target values are derived from the Climate Transition Plan and expressed as physical intensities to accommodate changes in portfolio size, and are thus only set to be updated every five years or in cases of material changes to the portfolio in line with ESRS requirements. However, the Company assumes a constant portfolio between the years 2025 and 2030 for target-setting purposes.

For an understanding of whether the energy and GHG emission reduction targets are science-based and compatible with 1.5 degrees of global warming as well as the climate scenarios considered in the development of the Climate Transition Plan's and the identified decarbonisation levers, please refer to the discussion in section E1.SBM-3 and E1.IRO-1.

The targets were originally set by the Board of Directors, although during the redevelopment of the underlying Climate Transition Plan the energy audits and planned measures were presented to operations in order to gain a better understanding of their operational and financial feasibility, as outlined in section E1-1. This approach is relevant to the Company given that its business model focuses on the acquisition and management of existing properties, with relatively limited construction and renovation activity conducted in a targeted manner. The energy consumption and GHG emission reduction targets do not have milestones or interim targets, although the Company evaluates its progress against each target each year.

(2) from Global Emission Budgets to Decarbonization Pathways, CRREM.

Renewable Electricity Procurement Target

Grand City Properties has made progress against its target to switch landlord-obtained electricity to PPA certified renewable electricity from wind, hydro-electric and solar PV sources by the end of 2027. However, in 2025, the Company decided to revise this target as part of a strategic recalibration to protect against inflexibilities inherent in renewable procurement structures, and to secure scalable procurement under improved commercial terms.

Therefore, Grand City Properties now aims to cover at least 50% of its landlord-obtained electricity from PPA contracts and to source the remaining landlord-obtained electricity from renewable sources by the end of 2027, albeit through unbundled Guarantee of Origin contracts.

The overall progress towards sourcing all landlord-obtained electricity through renewable contracts is measured via the data collected determining reported landlord-obtained electricity generated offsite from renewable sources figures from Table 17 in section E1-5, while the share of which is covered by PPA contracts is measured through the quantity of energy laid out in these contracts themselves. This target does not require a baseline value since the objective is 100% of landlord-obtained electricity with at least 50% covered by PPAs. This target's primary intention is for the Company to fully take advantage of low hanging fruits in its operational energy procurement, and in the Company's view did not require science-based consideration and scenario analysis in its target-setting as it was seen as a common-sense decision.

The scope encompasses the operational control in the German portfolio, as outlined in the methodological notes on the energy consumption and GHG emission reduction above. The methodology involves comparing the total contractual MWh values of PPA contracts in place for the reporting year against the total landlord-obtained electricity consumption outlined in Table 17 in section E1-5, specifically considering the German portfolio, following the associated methodological notes in section E1-6. This target does not include interim milestones, however, progress is evaluated annually. The target was originally set by Board of Directors, supported and overseen by the Energy Department responsible for energy procurement. The 2025 share of landlord-obtained electricity covered by PPA contracts in the operational control portfolio in Germany is 6%, while the total share of renewable electricity sourced through both PPAs and Guarantee of Origin contracts is 62%.

E1-5 – ENERGY CONSUMPTION AND MIX

In order to assess and monitor our progress towards our climate change-related goals and commitments, we regularly collect data on utility consumption from our assets, as shown in Table 17. However, due to tenant data sharing restrictions, we cannot monitor tenant-obtained energy consumption, including that related to fuels for individual gas heating systems in tenant areas. GCP understands the term "energy generation from non-renewable sources" as electricity generated from combined heat and power ("CHP") systems, for which no data was available for assets under our operational control. The Company does not directly consume coal or fossil sources other than those presented in Table 17 below in its portfolio operations. Proportions can be calculated through dividing the applicable metric over the total energy consumption. For an understanding of the underlying methodology of data collection and calculation of figures in Table 17, please refer to the *Methodology and EPRA sBPR Data Preparation Notes* subsection of section E1-6.

To provide narrative on performance regarding the figures in Table 17 below, both absolute and like-for-like energy consumption and energy intensities increased in 2025 compared to 2024. It is worth noting that we primarily monitor our performance through observing like-for-like physical intensities normalized by floor area to compensate for changes in portfolio size. The increase in the like-for-like energy intensity is attributable to the colder average annual temperatures in Germany in the year 2025 compared to 2024, with colder temperature leading to a significant increase in heating energy demand. This also applies to absolute energy intensity figures, which are however also subject to noise from the changes in assets reported in the operational control scope resulting in an increase in coverage. When breaking down the 2025 energy consumption increase by energy type, it is worth noting that like-for-like district heating consumption was the primary driver while fuel consumption decreased in 2025 compared to 2024, attributing to more favourable emissions outcomes found in the discussion on emissions performance in section E1-6.

Table 17 - Absolute and like-for-like energy for managed assets

Energy reported in kWh		Absolute		Like-for-Like	
EPRA Code	**Metric**	**2025**	**2024**	**2025**	**2024**
Elec-Abs Elec-LfL	Electricity consumed for landlord shared services (MWh)	34,653	22,621	29,598	22,614
	Total landlord-obtained electricity consumed (MWh)	34,653	22,621	29,598	22,614
	Proportion of landlord-obtained electricity generated offsite from renewable sources (%)	70%	89%	80%	71%
	Total landlord-obtained electricity generated and consumed onsite from renewable sources (MWh) (1)	8	-	-	-
	Total landlord-obtained electricity generated onsite from renewable sources and exported (MWh)	398	322	398	356
	Total tenant-obtained electricity consumed (MWh)	77,069	80,026	74,580	74,580
	Total electricity consumed (MWh)	111,721	102,647	104,178	97,194
	Total electricity consumption data coverage, by area (sqm)	3,748,918	3,895,773	3,630,432	3,630,432
	Proportion of landlord-obtained electricity consumption and associated GHG emissions that is estimated (%)	20%	43%	9%	54%
	Proportion of tenant-obtained electricity consumption and associated GHG emissions that is estimated (%)	100%	100%	100%	100%
	Proportion of total electricity consumption and associated GHG emissions that is estimated (%)	75%	94%	74%	89%
Fuels-Abs Fuels LfL	Fuels (natural gas) consumed for landlord shared services (MWh)	37,155	40,166	34,835	36,571
	Fuels (oil) consumed for landlord shared services (MWh)	3,572	3,799	3,423	3,120
	Fuels (natural gas) allocated for tenant consumption (MWh)	128,566	137,685	120,614	126,267
	Fuels (oil) allocated for tenant consumption (MWh)	12,409	13,680	11,898	10,956
	Total landlord shared services fuels consumed (MWh)	40,727	43,965	38,258	39,691
	Total (landlord-obtained) fuels allocated for tenant consumption (MWh)	140,975	151,366	132,512	137,223
	Total (landlord-obtained) fuels consumed (MWh) (2)	181,702	195,331	170,769	176,914
	Total (landlord-obtained) fuels consumption data coverage, by area (sqm)	1,687,786	1,728,533	1,576,344	1,576,344
	Proportion of total (landlord-obtained) fuel consumption and associated GHG emissions that is estimated (%)	4%	17%	4%	18%
DH&C-Abs DH&C-LfL	Total district heating/cooling consumed for landlord-shared services (MWh)	39,806	41,842	38,750	37,363
	Total (landlord-obtained) district heating/cooling allocated for tenant consumption (MWh)	135,213	141,765	130,673	125,257
	Total (landlord-obtained) district heating/cooling consumed (MWh) (3)	175,019	183,607	169,423	162,621
	Total (landlord-obtained) district heating/cooling consumption data coverage, by area (sqm)	1,942,892	2,065,623	1,878,138	1,878,138
	Proportion of total (landlord-obtained) district heating/cooling consumption and associated GHG emissions that is estimated (%)	2%	13%	2%	12%

(1) over the course of 2024 and 2025, the Company together with its partner organisation switched several installed on-site PV system contracts to allow for on-site consumption. As this was an ongoing process, insufficient data was available to calculate the precise net amounts consumed on site, and values were assumed to be fully consumed on site based on the type of contract.
(2) the Company does not purchase renewable fuels and the fuel consumption from renewable sources is thus zero.
(3) the Company does not hold contractual instruments for procuring district heating from renewable sources; therefore, this share is reported as zero. However, the Company sources district heating from suppliers whose standard offerings incorporate significant renewable energy shares, resulting in market-based emission factors lower than the location-based factor reflecting Germany's national average. This is reflected in the market-based emissions figures reported in section E1-6.

Table 17 - Absolute and like-for-like energy for managed assets					
Energy reported in kWh		**Absolute**		**Like-for-Like**	
EPRA Code	**Metric**	**2025**	**2024**	**2025**	**2024**
Absolute and like-for-like energy	Total landlord shared services energy consumed (MWh)	115,186	108,428	106,605	99,669
	Total tenant-obtained/tenant-allocated energy consumed (MWh)	353,256	381,784	337,765	337,060
	Total landlord-obtained energy consumed (MWh)	391,373	401,559	369,790	362,149
	Total energy consumption (MWh)	468,442	481,585	444,371	436,729
	Total energy consumption data coverage, by area (sqm)	3,748,918	3,895,773	3,630,432	3,630,432
	Proportion of landlord-obtained energy consumption and associated GHG emissions that is estimated (%)	5%	17%	4%	18%
	Proportion of tenant-obtained energy consumption and associated GHG emissions that is estimated (%)	100%	100%	100%	100%
	Proportion of total energy consumption and associated GHG emissions that is estimated (%)	22%	31%	21%	33%
	Proportion of total energy generated offsite from renewable sources (%)	5%	3%	5%	4%
	Proportion of total energy generated onsite from renewable sources (consumed onsite or exported) (%)	0.1%	0.1%	0.1%	0.1%
	Total renewable energy consumption and generation (MWh)	24,702	16,777	24,019	16,484
	Total energy consumption from fossil sources (MWh)	443,740	468,470	420,352	420,246
Total building energy intensity (kWh/sqm*year)					
Energy-Int	**Landlord-obtained building energy intensity for landlord-obtained energy consumed (kWh/sqm*year)**	104.40	103.08	101.86	99.75
	Total building energy intensity for energy consumed (kWh/sqm*year)	124.95	123.62	122.40	120.30
Energy Performance Certificates					
Cert-Tot	% of portfolio certified by floor area	97%	97%	98%	98%

Regarding total energy consumption from nuclear sources and its proportion of total energy consumption, the Company does not have sufficient information to determine this. Germany, our primary country of operation, has ceased the generation of energy from nuclear sources in its own domestic grid. This does not mean, however, that zero energy from nuclear sources is consumed in Germany because a share of Germany's electricity is imported from neighboring countries where nuclear energy generation is still in place. This share of imported energy is not broken down by energy source[1], and thus inhibits the Company's ability to accurately report the nuclear energy it consumes, which is not likely to improve until reporting requirements of utilities concerning imported energy are updated to require this. While nuclear-produced energy may be included in electricity not covered by renewable energy certificate ("REC") or PPA contracts, the Company does not receive detailed information about the energy mix on the invoices for these contracts, and thus, these figures could not be reported.

Table 18 below presents the energy intensity per net revenue. Our business activities are classified under NACE section L Renting and Operating of Own or Leased Real Estate and are therefore classified as "high climate impact sector" activities, meaning all net revenue falls under this sector and no reconciliation is needed.

(1) please refer to data available on Energy-Charts, specifically the "Import Balance" share for Germany's public net electricity generation in 2024, of which 5% was imported

Table 18 – Energy Intensities from Activities in High Climate Impact Sectors [2]

Metric	2025	2024
Total Energy Consumption From Activities in High Climate Impact Sectors	468,442 MWh	481,585 MWh
Total Net Revenue from activities in high climate impact sectors	€ 428,750 thousand	€ 422,693 thousand
Energy Intensity from Activities in High Climate Impact Sectors	1.09 MWh/ thousand €	1.14 MWh/ thousand €

(2) energy is only reported along the operational control scope as defined in the Methodology and EPRA sBPR Data Preparation Notes in section E1-6, meaning that there is a misalignment between the operational control and the financial consolidation scopes of the Company. A recalculation of net revenue metrics was not possible at the time of reporting due to discrepancies between consolidated financial data and the operational energy and emissions data. In the Company's view this is not a material discrepancy, as when considering the value of sustainability disclosures, monetary-based intensity metrics, while required by EU ESRS, are inferior to physical-based intensity metrics with square meters as the denominator disclosed throughout this section. The Company's preference for physical-based intensities is in-line with guidance from sector-specific guidance by standard-setting agencies CRREM and the Science-Based Targets Initiative (SBTi), specifically their in-use operational SDA approach.

E1-6 – GROSS SCOPES 1, 2, 3 AND TOTAL GHG EMISSIONS

To ensure we prioritise improvement plans correctly and monitor their impact to further inform our modelling, good data coverage and reliability is essential. We have a long-term goal of achieving full data coverage across our portfolio. In 2025, the Company attained 100% reported data coverage for our operational control portfolio in Germany and the UK.

To maximise the utility of this data, we have initiated the development of a new database for environmental data, enabling semi-automated data collection through a mobile app for facility managers. Although GCP does not directly control tenants' energy consumption, we strive to provide our tenants with consistent and relevant information about their energy consumption through the gradual installation of sub-metering systems and smart meters. We have also utilised informational videos and posters, as well as provided information through our Service Centre to encourage behavioural changes among the tenants to reduce energy consumption. This approach empowers our tenants by raising awareness and incentivising them to reduce energy consumption.

In line with common practices in the real estate sector, GCP's consolidated entities own certain properties which it does not directly manage. Lack of management responsibilities present significant challenges in environmental data collection, since GCP is not responsible for energy procurement and data protection barriers limit its ability to demand this information from tenants falling under their direct contracts with utilities. As such, environmental reporting is limited to the operational control consolidation approach defined by the GHG Protocol, in-line with the sector specific environmental reporting standard the EPRA Sustainability Best Practices Recommendations ("sBPR"). The Company is aware of the ongoing debate surrounding the implementation of ESRS requirements regarding GHG organisational boundaries as outlined in ESRS E1 paragraphs 46 and 62 supported by paragraph AR 40, specifically that EFRAG is considering whether exceptions might be introduced for industries through its sector-specific standards. In this regard, the Company would like to note that the GHG Protocol went through extensive discussions on how to apply the principles in a sector-specific manner as the standard was introduced almost two decades ago. In light of this, GCP considers sector-specific guidance by the GHG Protocol[3] to be a more mature standard developed through extensive consultation and through this achieved alignment with financial accounting standards through its direct reference of FASB guidance on accounting practices regarding different lease types. In light of these facts and EFRAG's delayed

(3) Appendix F to the GHG Protocol Corporate Accounting and Reporting Standard – Revised Edition

rollout of sector-specific standards, the Company has decided to continue applying its operational control boundary according to sector-specific GHG protocol guidance, which the Company also anticipates EFRAG will adopt in a similar fashion as this approach was more recently reiterated in technical guidance jointly produced by standard-setting organisations GRESB, CRREM, and the Partnership for Carbon Accounting Financials ("PCAF")(*).

To provide narrative on performance regarding the figures in Table 19 below, absolute emissions increased in 2025 compared to 2024 primarily due to the increased coverage resulting from changes to the scope of assets under operational control based on management responsibility. To avoid the noise associated with changes in portfolio size, the Company primarily evaluates its performance through observing the physical intensities normalised by floor area. Absolute and like-for-like emissions intensities decreased in 2025 compared to 2024, resulting from greater-than-expected improvements in the emission factor for district heating combined with the decline in fuel consumption. The market-based emissions intensities decreased by a greater amount, indicating that the Company is procuring grid energy with lower emission factors than the national average.

(*) Accounting and Reporting of GHG Emissions from Real Estate Operations, by PCAF CRREM and GRESB

Table 19 – Absolute and like-for-like GHG emissions for managed assets

GHG emissions reported in tonnes CO_2e		Absolute		Like-for-Like	
EPRA Code	**Metric**	**2025**	**2024**	**2025**	**2024**
GHG-Dir-Abs GHG-Dir-LfL	Direct GHG emissions (GHG Protocol Scope 1) (tCO_2e)	7,682	8,289	7,220	7,463
GHG-Indir-Abs GHG-Indir-LfL	Indirect GHG emissions (GHG Protocol Scope 2 Location-Based) (tCO_2e)	19,561	19,222	18,487	19,009
	Indirect GHG emissions (GHG Protocol Scope 2 Market-Based) (tCO_2e)	13,217	16,463	11,567	15,815
	Indirect GHG emissions (GHG Protocol Scope 3 from tenant-controlled energy, Location-Based) (tCO_2e)	84,535	103,256	81,180	91,140
	Indirect GHG emissions (GHG Protocol Scope 3 from tenant-controlled energy, Market-Based) (tCO_2e)	78,119	108,613	74,846	98,852
Absolute and like-for-like GHG emissions	Total GHG emissions (GHG Protocol Scopes 1, 2 and 3; Location-Based) (tCO_2e)	111,778	130,767	106,888	117,612
	Total GHG emissions (GHG Protocol Scopes 1, 2 and 3; Market-Based) (tCO_2e)	99,018	133,365	93,633	122,130
	Total GHG emissions data coverage, by area (sqm)	3,748,918	3,895,773	3,630,432	3,630,432
Building GHG intensity ($kgCO_2e$/sqm*year)					
GHG-Int	Landlord-obtained building GHG emissions intensity (GHG Protocol Scopes 1, 2 and 3; Location-Based) ($kgCO_2e$/sqm*year)	23.77	26.32	23.36	25.13
	Total building GHG emissions intensity (GHG Protocol Scopes 1, 2 and 3; Location-Based) ($kgCO_2e$/sqm*year)	29.82	33.57	29.44	32.40
	Landlord-obtained building GHG emissions intensity (GHG Protocol Scopes 1, 2 and 3; Market-Based) ($kgCO_2e$/sqm*year)	20.37	26.98	19.71	26.38
	Total building GHG emissions intensity (GHG Protocol Scopes 1, 2 and 3; Market-Based) ($kgCO_2e$/sqm*year)	26.41	34.23	25.79	33.64

Table 20 below presents the GHG emissions intensity per net revenue. Our business activities are classified under NACE section L as Renting and Operating of Own or Leased Real Estate and are therefore classified as "high climate impact sector" activities, meaning all net revenue falls under this sector and no other intensity figures or reconciliation is needed.

Table 20 – GHG Emissions Intensities per Net Revenue [1]

Metric	2025	2024
Total Location-Based Emissions From Activities in High Climate Impact Sectors	111,778 tCO_2e	130,767 tCO_2e
Total Market-Based Emissions From Activities in High Climate Impact Sectors	99,018 tCO_2e	133,365 tCO_2e
Total Net Revenue	€ 428,750 thousand	€ 422,693 thousand
Location-Based Emissions Intensity per net revenue	0.26 tCO_2e/ thousand €	0.31 tCO_2e/ thousand €
Market-Based Emissions Intensity per net revenue	0.23 tCO_2e/ thousand €	0.32 tCO_2e/ thousand €

(1) emissions are only be reported along the operational control scope as defined in the *Methodology and EPRA sBPR Data Preparation Notes* in section E1-6, meaning that there is a misalignment between the operational control and the financial consolidation scopes of the Company. A recalculation of alternate net revenue metrics was not possible at the time of reporting due to discrepancies between consolidated financial data and the operational energy and emissions data. In the Company's view this is not a material discrepancy, as when considering the value of sustainability disclosures, monetary-based intensity metrics, while required by EU ESRS, are inferior to physical-based intensity metrics with square meters as the denominator disclosed throughout this section. The Company's preference for physical-based intensities is in-line with guidance from sector-specific guidance by standard-setting agencies CRREM and the Science-Based Targets Initiative (SBTi), specifically their in-use operational SDA approach.

Methodology and EPRA sBPR Data Preparation Notes

When calculating our GHG emission reduction targets and achieved savings, we align with the GHG Protocol, adapted to the real estate sector through the 4th edition of the European Public Real Estate Association ("EPRA") Sustainability Best Practice Recommendations ("sBPR") published in 2024 which notably aligned the standard to the EU ESRS requirements. The notes below apply to Table 19 in this section and Table 17 in section E1-5.

In 2025, GCP received the EPRA sBPR Gold award for our disclosure for the ninth time consecutively.

Organisational Boundaries

The information and data in this report covers the operations of Grand City Properties S.A., spanning our direct employees and portfolio. As of 31 December 2025, the Company portfolio held €8.94 billion of investment property excluding assets held-for-sale.

Landlord and Tenant Boundaries, Allocation by Scopes, Scope 3 Categories

We have followed the methodology in last year's report for allocating energy consumption between landlord-controlled areas and tenant-controlled areas. GHG emissions associated with the energy sources outlined in Table 17 in section E1-5 are categorised into three distinct scopes as defined by the GHG Protocol:

- **Scope 1** GHG emissions are generated directly from the use of energy sources within the building, such as natural gas and other fuels and GHG emissions from the operation of boilers and furnaces[2].
- **Scope 2** covers indirect GHG emissions from purchased energy, including electricity, steam, district heating and cooling.
- **Scope 3** encompasses all indirect GHG emissions generated in the value chain of the Company that are not covered by Scope 2.

In our 2019 baseline and annual GHG emissions reporting, we use a common area/ total area ratio to estimate the GFA from the available NLA determined through our letting contracts, allowing us to apportion shared-service heating consumption between landlord and tenant spaces. The allocation is based on the floor area distribution found with the property types classification appendix (3a) of the GRESB Real Estate Assessment Reference Guide.

This calculation of landlord- and tenant-controlled areas is used to allocate landlord-

(2) scope 1 GHG emissions from real estate do not currently fall under regulated emissions trading schemes.

obtained heating energy between Scopes 1 or 2 and Scope 3 Category 13 (Downstream Leased Assets). Additionally, GHG emissions from tenant-obtained electricity, which is estimated due to data protection barriers, is allocated directly to Scope 3 Category 13. Scope 3 Category 13 is the sole relevant Scope 3 category reported here, following the EPRA sBPR standard, which only covers the operational GHG emissions of the portfolio. Relevance is based on the Company's business model, involving a relatively small share of targeted construction activities compared to other companies in the sector, instead focusing on acquisition and management of existing properties.

While precise allocation of CO_2 emissions between Scope 1 or 2 and Scope 3 Category 13 ideally relies on detailed sub-metered data from tenants and landlords, practical implementation is challenging due to restrict tenant privacy constraints, inconsistent billing formats from providers, and timing limitations. Given that heating costs are already commonly allocated partially based on lettable area in line with the Germany's Heating Costs Ordinance (*Heizkostenverordnung - HeizkostenV*), adopting a fully area-based allocation methodology for emissions appears both practical and consistent for our reporting purposes. As a result, the total energy consumption for the building is attributed to landlord or tenant control based on the ratio of shared spaces to tenant areas expected for the property as provided by GRESB. Correspondingly, GHG emissions from this energy consumption are allocated accordingly in the same proportion, with common areas falling under Scopes 1 and 2 and tenant areas falling under Scope 3 Category 13, following the operational control consolidation approach of the GHG protocol. Therefore, the energy consumption and the corresponding CO_2 emissions represents the entire building area i.e., of both landlord and tenant-controlled area.

Coverage

Absolute and like-for-like portfolio environmental data relates to the assets in the operational control portfolio in Germany, and London which is a subset of the Organisational Boundaries discussed above, defined as assets the Company directly manages building operations with responsibility for operational decisions, mainly the choice of energy provider. The like-for-like subset contains all the properties for which we received environmental reporting data for the full two- year period from 1 January, 2024 to 31 December, 2025. Actual environmental performance data is only reported on assets for which we have operational control and for which we can collect utilities data. On an absolute basis, this included 100% of the total operational control portfolio covering a gross floor area of 3,749K m^2 (excluding assets held for sale) at the end of 31 December, 2025.

Further information relating to maximum coverage on an absolute and like-for-like basis per utility type is provided within our data tables.

Data relating to our employees covers all direct employees employed by GCP, including part-time and temporary workers, as well as our international employees(*).

Reporting period

All data relates to our financial year, which coincides with the calendar year, and consequently runs from 1 January to 31 December of the year under review.

Estimation of Utility Consumption

The list below outlines all applicable estimation methods involved in the preparation of energy and emissions data presented in Table 17 in section E1-5 and Table 19 in section E1-6, respectively. As outlined in the *Landlord and Tenant Boundaries*, *Allocation by Scopes*, *Scope 3 Categories* portion of these notes above, Scope 3 emissions are allocated to category 13 according to the share of landlord- and tenant-controlled areas of reported properties. Thus, the proportion of total energy consumption and associated GHG emissions that is estimated figures in Table 17 in section E1-5 are applicable to Scope 3 emissions presented in Table 19, respectively, while the share of primary data can be derived through obtaining the difference between this figure and 100 percent.

1. Measured data for the reporting year were not fully available in time for publication. In instances where the available heating data does not cover the entire year, estimations were calculated based on known consumption from other periods, following the ratio-based heating-degree-days gap-filling method. In the case of electricity, the consumption was extrapolated based on the weighted arithmetic mean of other known periods. In some instances, this was not possible for heating. Here we use site-specific heating consumption data for properties according to their Energy Performance Certificates ("EPC") ratings combined with the location-specific historical climate factor data for each postal code published by the DWD to calculate a site's non-weather-normalised consumption. There is a lag between the last date of each month and the publication of climate factor data of approximately 2 months. Due to reporting timelines, the most recent full year of published climate factors available at the time are used to represent the current reporting year, which in this report is November 2024 to November 2025 for the year 2025.
2. In some cases, assets do not have EPCs due to expired EPC and limited capacity on the market, which slows the process of issuing new EPCs. EPC-estimated calculations are conducted for residential assets using average energy intensity values based on EPCs of properties in the same building cluster or a weighted average based on the construction year, thus the consumption is considered estimated.

(*) this topic relates to data covered in the S1 section, but is presented here in order to maintain an alignment with the EPRA sBPR Guidelines.

3. For tenant-obtained electricity, the consumption for tenant-controlled areas is estimated based on industry standard energy benchmarks, namely the Association of German Engineers *Verein Deutscher Ingenieure* VDI-Richtlinien 3807 for residential assets, as well as benchmarks specific to the Company's portfolio based on EPC ratings for the properties when available.

We have reported the percentage of estimation that this represents per utility type in Table 17 in section E1-5.

Furthermore, we have disclosed the proportion of overall consumption that our estimation of tenant consumption represents, according to the *Landlord and Tenant Boundaries* subsection of these methodological notes.

Regarding only landlord-obtained utility consumption, as per the EPRA sBPR requirements, we have detailed the extent of estimations below:

- Electricity: 80% of landlord-obtained consumption is based on available data, with 20% estimated.
- Heating: 97% of landlord-obtained consumption is based on available data, with the remaining 3% estimated.

Units of Measurement and Normalisation

Where consumption is normalised, we calculate intensity indicators using floor area (m^2) for whole buildings, including tenant areas. This provides a representative intensity figure of whole building energy since we include estimated tenant electricity consumption figures in our reporting.

Segmental Analysis (By Property Type, Geography)

Segmental analysis by geography is not relevant for our portfolio. Our assets are primarily located within Germany and London, and therefore in the same climatic zone. Segmental analysis is instead provided by asset type and is consistent with our financial reporting.

Disclosure on Own Offices

Since we are tenants occupying specific units in the buildings of our investment portfolio, our own office consumption is included in the figures reported here to give a representative picture of the entire operational control investment portfolio. To provide transparency of our own environmental impacts as a company, we will publish our Own Offices disclosure in our complementary Sustainability In Focus report published later in the year.

Restatements of Information

The Renewable Energy Procurement Target outline in section E1-4 was revised, now targeting 50% of landlord-obtained electricity to be procured under PPA contracts by the end of 2027. Please see explanations provided in that section for more details.

Narrative on Performance

Explanation and analysis of our performance in relation to the Performance Measures reported on are found with the respective data tables throughout this report.

GHG Emission Factors and Reporting Approach

Since 2024, location-based GHG emission factors are mostly retrieved from the CRREM Foundation dataset (see Table 21 below) and applied to calculate heating and electricity GHG emissions based on consumption data. Market-based GHG emissions are calculated using GHG emission factors provided by suppliers. For heating, these GHG emission factors apply to both landlord and tenant GHG emissions. For electricity, only the landlord's GHG emissions can be calculated based on existing contracts, while the tenant's GHG emissions values are taken from the country's electricity mix (location-based, CRREM)(*). The GHG emission factors in the CRREM tool for district heating, however, apply one factor source for all countries which is then recalculated to represent each individual country based on available information following CRREM's own methodology.

GHG Emissions Data Reporting Basis

GHG emissions data per asset is reported using two methods: location-based and market-based.

Location-based: GHG emissions data is collected on a country-by-country basis and calculated accordingly with consumption values per utility. Starting in 2024, CRREM GHG emission factors were adopted. Emission factors for future years are used in our Climate Transition Plan, which are consistent with the Paris Agreement's goal of limiting global warming to 1.5°C or 2°C. This provides real estate investors, developers, and managers with a science-based framework for reducing carbon emissions in line with global climate commitments. The use of these GHG emission factors ensures that real estate assets follow a decarbonization path that is consistent with broader climate targets.

(*) 2025 figures are taken from the version v.2.07, back-end tab of the CRREM tool, previous years from v2.05.

Table 21 – Location-Based GHG Emission Factors 2023/2024/2025

Location	Energy type	Data source	CO_2e Factor 2023 [gCO_2e/kWh]	CO_2e Factor 2024 [gCO_2e/kWh]	CO_2e Factor 2025 [gCO_2e/kWh]
DE	Electricity	CRREM	371	355	297
UK	Electricity		176	158	132
DE	Natural Gas		183	183	183
UK	Natural Gas		183	183	183
DE	District Heating	CRREM	325	311	261
UK	District Heating		154	138	116
DE	Oil	CRREM	247	247	247
UK	Oil		247	247	247

Market-based: The GHG emissions factor is defined through one of three methods:

1. Factors are taken from previously issued invoices (district heating and electricity);
2. Factors are taken from suppliers' GHG emission certificates (district heating); or,
3. Factors are taken from publicly available suppliers' statements (district heating).

GHG Emissions data is supplier dependent. If no information on the GHG emission factors of the respective supplier is available via the invoices, certificates, or publicly available information, then the country mix is considered (location-based). Scope 1 GHG emissions (natural gas and oil) are single energy source commodities that are highly similar between utility providers and are therefore always considered location-based under the GHG Protocol.

Contractual Instruments for Renewable Energy

GCP works with its utility providers in order to increase the share of renewable energy procured using contractual instruments available in the energy markets where it operates. The primary contractual instruments are EU Guarantees of Origin ("GOs"), which are renewable electricity certificates purchased to cover consumed electricity that are unbundled with the physical electricity. Additionally, the Company engages in Corporate Power Purchase Agreements which are bilateral contracts purchasing renewable energy directly from renewable energy producers at a pre-agreed price and quantity, and are thus bundled with the physical electricity produced. As noted in the *Renewable Electricity Procurement Target* portion of section E1-4, electricity from bundled contracts is only being procured from 2025 on with the breakdown of bundled vs. unbundled energy provided in that section. This means the reported 2024 figures for "Proportion of landlord-obtained electricity generated offsite from renewable sources" in Table 17 in section E1-5 are based on unbundled contractual instruments. This proportion is applicable to Scope 2 and associated Scope 3 category 13 GHG emissions stemming from landlord-obtained electricity.

E1-7 – GHG REMOVALS AND GHG MITIGATION PROJECTS FINANCED THROUGH CARBON CREDITS

GCP does not engage in GHG Removals and Storage projects in its value chain, instead we focus on reducing our operational GHG emissions from our own business activities. We are currently not investing in carbon removal projects and do not purchase carbon credits from external partners.

E1-8 – INTERNAL CARBON PRICING

GCP uses a carbon pricing that is a CapEx shadow price that reflects the hypothetical cost of its CO_2e. It is not necessarily tied to actual market prices but is used as a decision-making tool to account for the environmental and social impacts of carbon emissions in economic terms. We have applied an internal carbon price as a shadow carbon price so we can identify the additional benefits of our actions towards energy consumption and GHG emissions reductions over the use life of implemented measures. We have used the German pricing based on the Fuel Emissions Trading Act(*) as opposed to the wider market pricing. This pricing was €30/ton CO_2 through 2023, €45/ton CO_2 in 2024, was set at €55/ton CO_2 in 2025, and will increase incrementally to a price corridor of €55-65/ton CO_2 in 2026. From 2027 onward, it will transition to a market-based system for which the rules are yet to be determined, for which the Company assumes a price cap of €125/ton CO_2. Instead of taking the recommended price of €55-65/ton CO_2. For 2025 through 2026, GCP has already been considering a higher price of €90/ton CO_2 and will increase the price to €120/ton CO_2 from 2025. In the Company's view, this is practically applying an assumption of a moderate transition scenario. Hence, when calculating the returns of investments of refurbishment projects in particular, the increasing price of CO_2 is already factored in and considered in decision-making processes of refurbishment measures.

(*) Brennstoffemissionshandelgesetz (BEHG)

Since the regulatory framework discussed in this section regards heating-related GHG emissions generated in operations of the German operational control portfolio, also including downstream tenant-controlled areas, the GHG emissions covered by this scheme for the year 2025 are presented in the table below. These figures are taken directly from the data underlying Table 19 in section E1-6, following the same organisational boundaries. It is important to note that not all these GHG emissions stated below are taxed under the German scheme described above, since there are provisions outlining the share of the tax to be paid by the landlord and tenant based on the energy rating of the property.

Table 22 – GHG Emission Volumes Covered by the Internal Carbon Pricing Scheme

GHG Category	Amount of tCO_2e
Scope 1	7,682
Scope 2	10,389
Scope 3	61,883

EU TAXONOMY DISCLOSURES

As part of the Omnibus package to simplify sustainability reporting, the European Commission also proposed targeted amendments to the EU Taxonomy, which were published in the Official Journal of the EU on 8 January 2026 and took effect on 28 January 2026. GCP is making use of the option to implement these amendments in its 2026 reporting cycle.

GCP has made significant progress in implementing and adapting processes to gather critical data for EU Taxonomy reporting in line with the environmental objective, Climate Change Mitigation. The below section provides an overview of GCP's Taxonomy disclosures, its data gathering processes as well as alignment checks conducted to determine and calculate EU-Taxonomy aligned turnover, CapEx and OpEx.

Since 2023, a mid-year EU Taxonomy alignment exercise is performed, covering eligible CapEx under the environmental objective Climate Change Mitigation. This allows an earlier assessment of the status quo and provides an opportunity to enhance process optimization for the final EU Taxonomy alignment assessment. This exercise is performed by the Sustainability Department together with the Construction and Operation Departments, as well as the Business and Group Controlling teams.

Furthermore, one of our objectives for aligning activities with the EU Taxonomy is to ensure all relevant departments, including Construction, Operations, and International Offices have a thorough understanding of the reporting requirements. To achieve this, we conducted several ad-hoc training sessions in 2025, to address knowledge gaps and provide refreshers for previous trainings. Furthermore, to ensure the accessibility of information necessary for aligning with EU Taxonomy criteria, a construction contract template is used with provisions obliging contractors to provide data relevant to EU Taxonomy reporting. The updated construction contract template now includes a pollution prevention questionnaire (to be signed by contractors), addressing the Do No Significant Harm ("DNSH") criteria on Pollution Prevention and Control. Additionally, the revised contract integrates explicit provisions on waste disposal and recycling data, which supports alignment with the Circular Economy requirements under the DNSH criteria for Climate Change Mitigation, with provisions obliging contractors to provide data relevant to EU Taxonomy reporting.

With the view to long-term alignment, GCP is working towards optimising its Enterprise Resource Planning ("ERP") system for the comprehensive collection of EU Taxonomy data. Following strategies are in place to continuously improve the alignment with the EU Taxonomy:

- Considering the substantial contribution to, and compliance with the DNSH criteria of the EU Taxonomy when making decisions about renovations and new development projects.
- Focusing on achieving EU Taxonomy alignment for larger CapEx related to construction of new buildings' (Activity 7.1 under the EU Taxonomy Regulation) and renovation of existing buildings (Activity 7.2), as these projects hold greater material significance in terms of their environmental impact compared to smaller ones.
- Data collection improvements through better utilization of our ERP System and closer collaboration with our suppliers.
- Exploring automatization of data collection processes and assessment checks for alignment through AI-supported tools and systems.

Assessment of Aligned Activities

For an economic activity to be aligned with the EU Taxonomy, three requirements need to be fulfilled:

1. It must make a substantial contribution to the achievement of one or more EU environmental objectives ("substantial contribution")
2. It does not significantly harm any other EU environmental objective (DNSH)
3. It complies with minimum social standards on topics such as Human Rights, Labor Standards and Anti-Corruption ("minimum social safeguards").

Based on these requirements, checks for EU Taxonomy alignment relate to different business levels at GCP. Whereas substantial contribution to Climate Change Mitigation is assessed at the individual asset or project level, the DNSH criteria apply rather to the economic activity itself. The DNSH criteria for Climate Change Adaptation and Circular Economy are assessed for GCP as a whole. Compliance with minimum social safeguards was also evaluated for GCP at a Company level.

Substantial Contribution Assessments

GCP assesses its substantial contribution to Climate Change Mitigation by evaluating its acquisition, ownership, renovation, and new construction activities against EU Taxonomy criteria. For acquisition and ownership of buildings (7.7), turnover and OpEx are aligned only

if properties meet strict energy efficiency standards—either class A or top 15% of the market for primary energy demand. GCP applies a 15% benchmark approach for Germany, endorsed by the German Sustainable Building Council (DGNB), while in the United Kingdom and other locations, EPC ratings (A and above) are used. New constructions (7.1) must have at least 10% lower primary energy demand than national nearly zero-energy building standards, and larger buildings require airtightness, thermal integrity, and lifecycle Global Warming Potential tests—though GCP's development activity remains limited. Renovations (7.2) must achieve at least a 30% energy reduction within three years or qualify as major renovations (touching 25% of the building envelope and meeting national building energy efficiency laws). If projects fall short, they are assessed under 7.3 (energy-efficient equipment installation). In 2025, GCP invested CapEx also in EV charging stations (7.4), energy performance systems (7.5) and renewable energy installations (7.6). These investments ensure the Company's activities align with climate mitigation goals, reinforcing sustainable property investments under EU Taxonomy Guidelines.

Do No Significant Harm Assessments

GCP's DNSH assessments ensure that its activities contribute to Climate Change Mitigation without negatively affecting other environmental objectives under the EU Taxonomy. DNSH checks were conducted only for activities that met the substantial contribution criteria, excluding new construction (7.1) due to a lack of available data. For renovations (7.2), compliance was evaluated against four DNSH criteria: Climate Change Adaptation, requiring a climate risk and vulnerability assessment; Protection of Water & Marine Resources, which was deemed not applicable since GCP only renovates existing residential buildings; Transition to a Circular Economy, ensuring that at least 70% of construction and demolition waste is reused or recycled in line with Germany's Circular Economy Act ("KrWG"); and Pollution Prevention & Control, which mandates that restricted toxic chemicals listed in the EU Taxonomy are not used in materials, with compliance confirmed through supplier questionnaires. Whereas 7.3 was also subject to the Pollution Prevention & Control assessment, the remaining activities (7.4, 7.5, 7.6, and 7.7) were reviewed primarily for fulfillment of DNSH Climate Change Adaptation. These assessments help GCP ensure that its real estate activities are aligned with EU sustainability requirements, reinforcing environmental responsibility and regulatory compliance.

Social Minimum Safeguards

The processes of social minimum safeguards are outlined in descriptions of the Company's Human Rights Due Diligence process in section S2-1, as well as disclosures on the applicable policy framework in section G1-2.

Climate Risk and Vulnerability Assessment

Whereas in previous years, GCP referred to a city-level physical risk assessment conducted through S&P Global Sustainable 1 for each of our strategic locations, in 2024, this analysis was extended to an asset-level analysis. As a first step of this updated climate risk and vulnerability assessment, a physical risk exposure screening was conducted through a physical risk assessment tool, which is designed to assess and quantify location-based physical risks.

The physical risk assessment tool is based on the CMIP6 generation of climate models by the Intergovernmental Panel on Climate Change ("IPCC") and it enables organisations to evaluate potential hazards that could impact physical assets or operations in specific locations. The screening of the GCP portfolio involved checking the asset's exposure to River Flood, Storm Surge, Heat Stress, Precipitation, Fire Weather, Drought, Cold Stress and Tropical Cyclone.

The assessment focuses on two climate scenarios for the years 2030 and 2050: SSP2-4.5 and SSP5-8.5. Each scenario is based on the Shared Socioeconomic Pathways ("SSPs"), each assuming varying forms of climate policy and socioeconomic development, for which expected greenhouse gas levels in the Earth's atmosphere are used to model Representative Concentration Pathways producing quantitative outputs including temperature and precipitation levels, as well as the likelihood of physical climate-related risk events.

As a second step and ongoing analysis, those assets flagged at moderate to high-risk within the physical risk assessment tool were assessed further during 2025 regarding their specific sensitivity and adaptive capacity. Only then a conclusive decision on the necessity of adaptation solution implementation at an asset level can be taken. Due to the size of the GCP portfolio, this process is ongoing and may only be completed in the following year.

Presentation of the Performance Indicators Relating to EU Taxonomy-Aligned and EU Taxonomy-Eligible Economic Activities

In line with the regulatory requirements for EU Taxonomy reporting in 2025, GCP is disclosing the performance indicators in the table template provided by the European Commission.

- Proportion of CapEx from products or services associated with EU Taxonomy aligned economic activities - disclosure covering year 2025
- Proportion of OpEx from products or services associated with EU Taxonomy aligned economic activities - disclosure covering year 2025
- Proportion of Turnover from products or services associated with EU Taxonomy-aligned economic activities - disclosure covering year 2025

METRICS: EU TAXONOMY

Proportion of **CapEx** from products or services associated with Taxonomy-aligned economic activities – disclosure covering year 2025

Financial year 2025	2025			Substantial contribution criteria						DNSH criteria ("Does Not Significantly Harm")									
Economic activities	Code (s)	Absolute CapEx	Proportion of CapEx 2025	Climate Change Mitigation	Climate Change Adaptation	Water and marine resources	Circular economy	Pollution	Biodiversity and ecosystems	Climate change mitigation	Climate change adaptation	Water and marine resources	Circular economy	Pollution	Biodiversity and ecosystems	Minimum safeguards	Proportion of Taxonomy-aligned (A.1) or eligible (A.2) CapEx, 2024	Category enabling activity	Category transitional activity
		EUR	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. TAXONOMY-ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
Renovation of existing buildings	CCM 7.2	248,602.04	0.08%	Y	N	N/EL	N	N/EL	N/EL	N/EL	Y	Y	Y	Y	N/EL	Y	0.48%		T
Installation, maintenance and repair of energy efficiency equipment	CCM 7.3	3,352,663.75	1.09%	Y	N	N/EL	N	N/EL	N/EL	N/EL	Y	N/EL	N/EL	Y	N/EL	Y	2.32%	E	
Installation, maintenance and repair of instruments and devices for measuring, regulation and controlling energy performance of buildings	CCM 7.5	1,814,427.41	0.59%	Y	N	N/EL	N	N/EL	N/EL	N/EL	Y	N/EL	N/EL	N/EL	N/EL	Y	0.79%	E	
Installation, maintenance and repair of renewable energy technologies	CCM 7.6	4,563.76	0.00%	Y	N	N/EL	N	N/EL	N/EL	N/EL	Y	N/EL	N/EL	N/EL	N/EL	Y	0.02%	E	
CapEx of environmentally sustainable activities (Taxonomy-aligned) (A.1)		5,420,256.95	1.76%	1.76%	0.0%	0.0%	0.0%	0.0%	0.0%								3.62%		
Of which enabling		5,171,654.92	1.68%	1.68%	0.0%	0.0%	0.0%	0.0%	0.0%	N/EL	Y	N/EL	N/EL	N/EL	N/EL	Y	3.13%	E	
Of which transitional		248,602.04	0.08%	0.08%						N/EL	Y	Y	Y	Y	N/EL	Y	0.48%		T
A.2 Taxonomy-Eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
Construction of new buildings	CCM 7.1	-		EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.00%		
Renovation of existing buildings	CCM 7.2	964,843.32	0.31%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.00%		
Installation, maintenance and repair of energy efficiency equipment	CCM 7.3	4,062,549.19	1.32%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								3.90%		
Installation, maintenance and repair of instruments and devices for measuring, regulation and controlling energy performance of buildings	CCM 7.5	-	0.00%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.01%		
Installation, maintenance and repair of renewable energy technologies	CCM 7.6	-	0.00%		N/EL												0.00%		
Acquisition and ownership of buildings	CCM 7.7	294,058,309.55	95.77%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								89.43%		
CapEx of Taxonomy- eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		299,085,702.07	97.41%	97.41%	0.0%	0.0%	0.0%	0.0%	0.0%								93.34%		
A. CapEx of Taxonomy-eligible activities (A.1+A.2)		304,505,959.02	99.17%	99.17%	0.0%	0.0%	0.0%	0.0%	0.0%								96.96%		
B. TAXONOMY-NON-ELIGIBLE ACTIVITIES																			
CapEx of Taxonomy- non-eligible activities		2,541,000	0.83%																
Total (A + B)		307,046,959	100.0%																

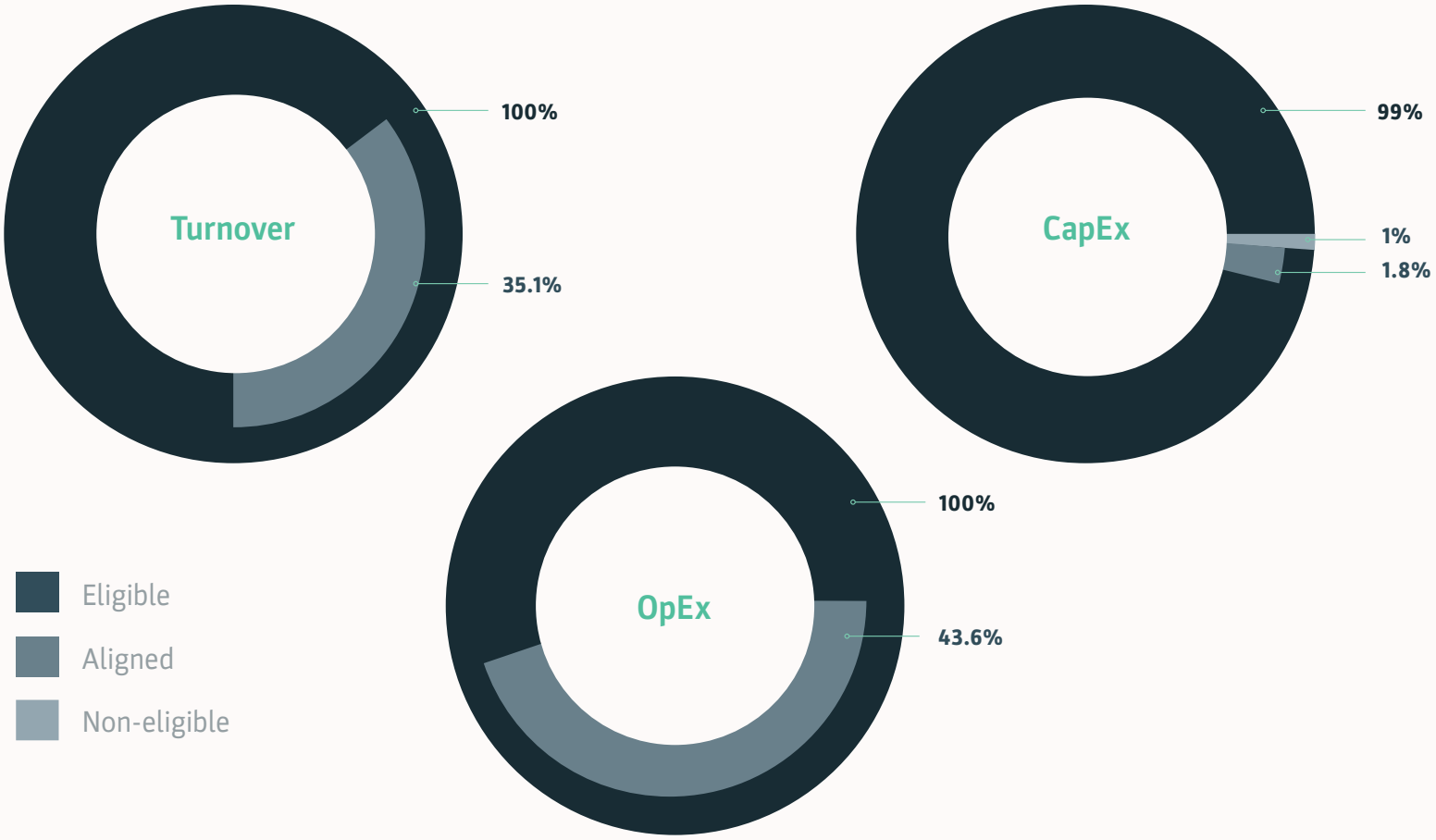
Proportion of **OpEx** from products or services associated with Taxonomy-aligned economic activities - disclosure covering year 2025

Financial year 2025		2025		Substantial contribution criteria						DNSH criteria ("Does Not Significantly Harm									
Economic activities	Code (s)	Absolute OpEx	Proportion of OpEx 2025	Climate Change Mitigation	Climate Change Adaptation	Water and marine resources	Circular economy	Pollution	Biodiversity and ecosystems	Climate change mitigation	Climate change adaptation	Water and marine resources	Circular economy	Pollution	Biodiversity and ecosystems	Minimum safeguards	Proportion of Taxonomy-aligned (A.1) or eligible (A.2) OpEx, 2024	Category enabling activity	Category transitional activity
		EUR	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. TAXONOMY-ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
Acquisition and ownership of buildings	CCM 7.7	99,946,718	43.6%	Y	N	N/EL	N/EL	N/EL	N/EL	Y	Y	N/EL	N/EL	N/EL	N/EL	Y	39.2%		
OpEx of environmentally sustainableactivities (Taxonomy-aligned) (A.1)		99,946,718	43.6%	43.6%	0.0%	0.0%	0.0%	0.0%	0.0%								39.2%		
Of which enabling		-	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	N	N	N	N	N	N	N	0.0%	E	
Of which transitional		-	0.0%	0.0%						N	N	N	N	N	N	N	0.0%		T
A.2. Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
Acquisition and ownership of buildings	CCM 7.7	129,153,983	56.4%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								60.8%		
OpEx of Taxonomy- eligible but not environmentally sustainable activities (not Taxonomy-aligned activities (A.2)		129,153,983	56.4%	56.4%	0.0%	0.0%	0.0%	0.0%	0.0%								60.8%		
A. OpEx of Taxonomy-eligible activities (A.1+A.2)		229,100,701	100.0%	100.0%	0.0%	0.0%	0.0%	0.0%	0.0%								100.0%		
B. TAXONOMY-NON-ELIGIBLE ACTIVITIES																			
OpEx of Taxonomy- non-eligible activities		-	0.0%																
Total		229,100,701	100.0%																

Proportion of **Turnover** from products or services associated with Taxonomy-aligned economic activities - disclosure covering year 2025

Financial year 2025		2025		Substantial contribution criteria						DNSH criteria ("Does Not Significantly Harm")									
Economic activities	Code (s)	Absolute turnover	Proportion of Turnover 2025	Climate Change Mitigation	Climate Change Adaptation	Water and marine resources	Circular economy	Pollution	Biodiversity and ecosystems	Climate change mitigation	Climate change adaptation	Water and marine resources	Circular economy	Pollution	Biodiversity and ecosystems	Minimum safeguards	Proportion of Taxonomy-aligned (A.1) or -eligible (A.2) turnover, 2024	Category enabling activity	Category transitional activity
		EUR	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. TAXONOMY-ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
Acquisition and ownership of buildings	CCM 7.7	211,361,103	35.1%	Y	N	N/EL	N/EL	N/EL	N/EL	Y	Y	N/EL	N/EL	N/EL	N/EL	Y	33.0%		
Turnover of environmentally sustainable activities (Taxonomy-aligned) (A.1)		211,361,103	35.1%	35.1%	0.0%	0.0%	0.0%	0.0%	0.0%								33.0%		
Of which enabling		-	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	N	N	N	N	N	N	N	0.0%	E	
Of which transitional		-	0.0%	0.0%						N	N	N	N	N	N	N	0.0%		T
A.2.Taxonomy-Eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
Acquisition and ownership of buildings	CCM 7.7	390,095,897	64.9%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								67.0%		
Turnover of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities (A.2)		390,095,897	64.9%	64.9%	0.0%	0.0%	0.0%	0.0%	0.0%								67.0%		
A. Turnover of Taxonomy-eligible activities (A.1+A.2)		601,457,000	100.0%	100.0%	0.0%	0.0%	0.0%	0.0%	0.0%								100.0%		
B. TAXONOMY-NON-ELIGIBLE ACTIVITIES																			
Turnover of Taxonomy- non-eligible activities		-	0.0%																
TOTAL (A + B)		601,457,000	100.0%																

Taxonomy-aligned, eligible and non-eligible percentages of GCP‘s KPIs



SOCIAL INFORMATION

ESRS S1 Own workforce

INTRODUCTION

It is fundamental for a responsible business to ensure that everyone feels safe and protected. GCP takes significant steps to ensure that its work environment positively impacts the health and wellbeing of its employees. Beyond this foundation, the Company strives for excellence in key areas such as career development, training, work-life balance, wellbeing, and diversity and inclusion - all essential for attracting and retaining top talent. The interests, views and rights of its employees primarily relate to human rights and health and safety. Our approach to workforce protection is outlined in the following section.

GCP's suite of social policies - including our Employee Code of Conduct, Diversity Policy, Anti-Discrimination Policy, Human Rights Policy, Anti-Corruption and Anti-Bribery Policy, Global Anti-Money Laundering Policy, and Whistleblowing Policy, among others - enables us to effectively manage workforce-related impacts, risks and opportunities. Designed with our employees' interests in mind, these policies apply across our entire workforce. They reinforce our commitments to protecting employees' human rights, health and safety while safeguarding against discrimination and harassment. Additionally, they define employees' role in preventing corruption and bribery within the Company. The centralisation of our HR Department ensures standardised processes and policies, optimising knowledge and talent utilisation across the organisation.

High-Level Overview of Disclosure	
Standard	**Indicator**
ESRS S1 Own Employees	S1. SBM-2 – Interests and views of stakeholders
	S1. SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model
	S1-1 – Policies related to own workforce
	S1-2 – Processes for engaging with own workforce and workers' representatives about impacts
	S1-3 – Processes to remediate negative impacts and channels for own workforce to raise concerns
	S1-4 – Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions
	S1-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities
	S1-6 – Characteristics of the undertaking's employees
	S1-9 – Diversity metrics
	S1-10 – Adequate wages
	S1-11 – Social protection
	S1-12– Persons with disabilities
	S1-13 – Training and skills development metrics
	S1-14 – Health and safety metrics
	S1-15 – Work-life balance metrics
	S1-16 – Remuneration metrics (pay gap and total remuneration)
	S1-17 – Incidents, complaints and severe human rights impacts

IROs or datapoints that were identified as immaterial to GCP are not covered in this report. In some cases, GCP decided to use the phase-in provisions (in accordance with Appendix C of ESRS 1) and is committed to disclosing these datapoints in the coming years.

Table 23

Material Sustainability Matters Covered in ESRS S1

Topic	Sub-topic	Materiality (impact/ financial/ double)	Categorisation IRO	Localisation of IRO	Time horizon of IRO
Working conditions	Secure employment	Double	Positive Impact/Risk/ Opportunity	Own operations	Short-term/ Medium-term/ Long-term
	Working time	Double	Positive Impact/Risk/ Opportunity	Own operations	Short-term / Medium-term/ Long-term
	Adequate wages	Double	Positive Impact/Risk/ Opportunity	Own operations	Short-term / Medium-term / Long-term
	Social dialogue	Impact	Positive Impact	Own operations	Short-term/ Long-term
	Freedom of association	Impact	Positive Impact	Own operations	Short-term / Long-term
	Work-life balance	Double	Positive Impact/Risk/ Opportunity	Own operations	Short-term / Long-term
	Health and safety	Double	Positive Impact/Risk/ Opportunity	Own operations	Short-term / Long-term

Material Sustainability Matters Covered in ESRS S1

Topic	Sub-topic	Materiality (impact/ financial/ double)	Categorisation IRO	Localisation of IRO	Time horizon of IRO
Equal treatment and opportunities for all	Gender equality and equal pay	Impact	Positive Impact	Own operations	Short-term / Long-term
	Training and skills development	Impact	Positive Impact	Own operations	Short-term / Long-term
	Employment & inclusion of people with disabilities	Impact	Positive Impact	Own operations	Short-term / Long-term
	Measures against violence and harassment	Impact	Positive Impact	Own operations	Short-term / Long-term
	Diversity	Impact	Positive Impact	Own operations	Short-term / Long-term
Other work-related rights	Privacy	Impact	Positive Impact	Own operations	Short-term / Long-term

S1. SBM-2 – INTERESTS AND VIEWS OF STAKEHOLDERS

GCP's workforce encompasses direct employees in property management, administration, and corporate services, as well as contracted non-employees in areas such as maintenance and security. It comprises permanent and temporary staff and agency workers. The workforce can be engaged under permanent or temporary contracts, and in full-time or part-time roles. Each plays a vital role in GCP operations and may experience varying material impacts based on their employment structure and functions. Refer to section S1-6 for details on GCP employees' composition and characteristics.

The Company integrates the interests, views, and rights of the workforce into its strategy and business model by systematically assessing how its business activities, operational practices, and strategic decisions affect its employees. Through the participation in GCP's Double Materiality Assessment ("DMA"), employees directly identify areas of actual or potential impacts and risks. For more information on the DMA, refer to section IRO- 1.

The Company also has other channels through which workforce insights are gathered, such as the Employee Satisfaction Survey, the HR Round Table, the Townhall Meeting, and informally, where insights are collected from employees by supervisors. These inputs are analysed and integrated into the Company's operational processes and inform its strategic decision-making. These insights influence GCP's policies on human rights, diversity and inclusion, anti-discrimination, occupational health and safety, whistleblowing, and the employee code of conduct, enabling proactive response to potential adverse impacts. For more information on GCP's policies, refer to section S1-1 and G1-1 of this report.

The views of employees directly shape our workforce management strategies and inform initiatives such as training and career development programmes, mental health and well-being programmes, flexible work arrangements, and efforts to foster a culture of inclusivity, fairness, and social responsibility in the workplace. The Company tracks key performance indicators such as metrics on employee satisfaction, occupational health and safety, diversity and inclusion, turnover rates, human rights violation, data privacy breaches, and many others, to measure and ensure the effectiveness of its strategy. The Daily Management, with the support of the Human Resources department, maintains oversight of workforce-related matters.

S1. SBM-3 – MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL

Material Impacts & Risks of GCP's Operations on Workforce

GCP recognises that its employees can be materially impacted by the Company's business activities and relationships. Therefore, these impacts are fully covered within the scope of GCP's DMA and ESRS 2 Disclosures. The 2024 DMA, along with its review in 2025 (see IRO-1 section for details) highlighted specific areas directly affecting employees, mainly working conditions, as well as equal treatment and opportunities for all. See Table 23 for a full list of impacts, risks and opportunities ("IRO") relating to the Company's own workforce.

GCP understands that its material negative impacts could either be systemic or widespread, where it relates to issues peculiar to a specific country or region, for example, forced or compulsory labour and child labour; or based on individual incidents, specific to its business. Systemic changes in real estate market conditions, and economic downturns could lead to employment uncertainties, with property management being most vulnerable due to fluctuating demand for rental and facility services. Seasonality of our construction and major renovation projects could inherently affect employment stability. Temporary employees, hired for specific projects or periods particularly face heightened risks. Notwithstanding the limited influence the Company has over market forces, stakeholders highlighted the Company's positive impacts on job creation. To mitigate any potential impact, GCP strategy prioritises long-term workforce planning and where feasible, internal mobility to accommodate affected persons.

Adequate and fair wages remain a key topic for GCP workforce. Wage competitiveness is structurally linked to the Company's strategy to attract qualified workforce, which include regular wage benchmarking and harmonisation.

While occupational health and safety ("OHS") risks affect all employees, they are particularly significant for construction, maintenance and facility management teams, where exposure to workplace hazards is higher. Employees with disabilities who may require additional support at the workplace are equally exposed to risks. OHS risks are primarily incident-based. The Company integrates health & safety into its operational framework, by investing in effective safety measures, training and strengthening health and safety oversights.

Certain roles and functions might be demanding in terms of working time and stress level. Employees in some departments, including finance, HR, operations, property management, and construction may experience periodic workload pressures, working

overtime and irregular hours, which could impact their work-life balance and well-being, if not carefully managed. These issues inform the Company's strategic focus on workload management, flexible and hybrid working arrangements and ensuring employee well-being programmes.

As an international company with employees from approximately 40 nationalities, effectively managing the actual or potential material impact relating to diversity, inclusion, and equal opportunities across gender, age, race, disability, and other differences is crucial. Gender equality and equal pay disparity are systemic issues, with stakeholders acknowledging progress but emphasising the need for continuous improvements. Measures to prevent discrimination, violence and harassment are clearly defined and consistently enforced across the Company. GCP promotes open communication and a culture where concerns can be raised safely and constructively. Similarly, stakeholders acknowledge GCP's effort in maintaining data privacy, which presents incident-based concerns. Employees handling sensitive information, have been trained and equipped, to prevent breaches and ensure continuous data protection.

Overall, the DMA found limited evidence of significant risks to workers based on their characteristics, roles, or working contexts, with the exception of potential health and safety risks for facility management roles due to the physical nature of their work. Employees can freely identify and report any unsafe working conditions, accidents, safety requirement, including other labour and human right violations in the workplace through the whistleblowing system, and to the relevant departments including compliance and human resources, and appropriate actions would be taken. Refer to section S1-3 for details on available complaints mechanisms.

Addressing Potential Negative Impacts & Promoting Good Working Conditions

GCP's DMA confirmed its positive impacts in promoting good working conditions, equal treatment, and opportunities for all employees. These include providing secure employment, maintaining acceptable working hours, and promoting work-life balance, diversity, and gender equality. It also highlighted the Company's efforts in ensuring fair remuneration, preventing harassment and discrimination, safeguarding employee privacy, and implementing effective health and safety measures. These efforts not only enhance employee satisfaction and wellbeing, but also create financial benefit for the Company by reducing turnover, strengthening productivity, and long-term profitability. GCP has implemented comprehensive policies and initiatives that foster a positive work environment, as further detailed in sections S1-1 and S1-4, respectively.

Material Risks and Opportunities of GCP Arising from Impacts and Dependencies on Workforce

Conversely, GCP recognises that material risks arising from impacts and dependencies on its workforce could have direct implications on its operations, financial stability, and regulatory compliance. Shortage of skilled labour, maybe due to external market conditions or demographic shifts can directly impact operational efficiency and service quality. Past global health crisis, such as COVID-19, have highlighted the vulnerability of the workforce to similar future risks, with the potential of causing increased absenteeism and disruptions in property management and leasing operations.

Ensuring that employees comply with labour and human rights laws, as well as health and safety regulations, remain a priority for the Company, as non-compliance can result in penalties and damage to its reputation. To mitigate these risks, GCP continually invests in workforce training and development, and regulatory compliance measures, ensuring long-term business resilience while maintaining a high standard of service across its operations.

Sustainability Transition

While GCP has not yet established any actual impacts resulting from the transition to greener and low-carbon operations on its employees, certain roles, particularly in energy, operations, and construction, could experience evolving skill requirements. The transition also present new opportunities for employees through the expansion of sustainability-focused roles. To mitigate any potential transition risks and support workforce readiness, relevant employees, particularly within the Sustainability, Energy and operational functions participate in targeted training programmes focused on developing relevant skills and knowledge in the following areas: low-carbon technologies, climate risk management and environmental compliance.

S1-1 – POLICIES RELATED TO OWN WORKFORCE

GCP has established policies to address various aspects of workplace operations as presented in Table 24. These policies ensure compliance with ethical, legal, and sustainability standards, prevent negative impacts and risks, and create a fair, safe, and productive work environment for all employees.

Table 24

Policy Title	Short Description
Employee Code of Conduct	Defines ethical and behavioural standards expected of GCP's employees, ensuring equal opportunity and a workplace free from discrimination and harassment. It emphasises a safe, healthy, and inclusive work environment, upholds anti-corruption principles, and safeguards employees' personal data and confidentiality. The Compliance Manager, supported by department and division heads, oversees policy implementation. Employees can access the policy via the Company's website and intranet.
Diversity Policy	Promotes a fair and inclusive workplace culture, advancing equal opportunities and eliminating discrimination based on gender, ethnicity, disability, age, or other personal attributes. The Diversity Board oversee the implementation and integration of diversi-ty initiatives across the Company. The policy is accessible to all employees via the Company's website and intranet.
Anti-Discrimination Policy	Prohibits harassment and discrimination in all employment-related practices based on race, gender, religion, disability, age, or sexual identity, etc. The HR Department, supported by Compliance Department and other heads of departments, is responsible for policy, monitoring, enforcement and addressing any violations. Employees can access the policy via the Company's website and intranet.
Human Rights Policy	Ensures respect for fundamental human and labour rights including fostering a workplace free from forced labour, child labour, and exploitation. It reinforces the Company's commitment to fair remuneration, social security, privacy, rest and leisure, safe working conditions, equality, and access to education and development. The policy also addresses anti-discrimination, harassment prevention, and ethical treatment. It is aligned with international frameworks, including the UN Guiding Principles on Business and Human Rights, OECD Guidelines for Multinational Enterprises, ILO Conventions on Fundamental Principles and Rights at Work, and International Bill of Human Rights. The Daily Management and Chief Compliance Officer oversee its implementation. The policy applies to all employees and stakeholders and is accessible via the Company's website and intranet.
Anti-Corruption and Anti-Bribery Policy	Establishes guidelines to prevent corruption, bribery, and unethical practices in all operations. The policy applies to all employees, directors, and business partners, covering interactions with clients, suppliers, and public officials to prevent conflicts of interest and fraudulent activities. The Compliance Officer, supported by Daily Management, oversees policy implementation, and ensures adherence. It is accessible to all employees via the Company's intranet.
Whistleblowing Policy	Provides secure and confidential mechanisms for employees, stakeholders and impacted communities to report compliance violations, unethical behaviour or concerns, ensuring protection from retaliation and discrimination. The Chief Compliance Officer oversees policy implementation and ensures all reports are investigat-ed and dealt with, in accordance with the Company's internal procedure and to the extent permitted by statutory law. Employees can access the policy and the link to the whistleblowing system via the Company's intranet.
Occupational Health and Safety Policy	Focuses on workplace accident prevention and fosters a safe and healthy work environment for all its employees by ensuring hazard prevention, risk assessments, and regulatory compliance. Senior management and regional managers, in collaboration with the HR department, oversees its implementation. The policy is accessible to all employees via the Company's website and intranet.
Global Information Security Policy and Acceptable Use Policy	Ensures confidentiality, integrity, and security of personal and business data in line with applicable laws and standards. These policies regulate the collection, processing, storage, and sharing of data, preventing unauthorised access, breaches, and misuse. They apply to all employees, suppliers, and third parties handling company or customer data. The Chief Information Security Officer ("CISO") is responsible for the communication and implementation of the policies and are accessible to employees via the Company's intranet.

Protection of Human Rights and Ethical Labor Practices

The Company is strongly committed to upholding human and labour rights across its operations. The policies outlined above established the foundation for ethical conduct, workplace equality, fair remuneration, occupational health and safety, and protection from discrimination, harassment, and exploitation. GCP's approach is to ensure that working conditions meet recognised international human and labour rights standards.

GCP's Human Rights Policy explicitly prohibits child labour and forced labour as well as modern slavery and human trafficking. No material risks relating to forced and child labour were identified in the DMA. The Company operates within the European Union and the United Kingdom, where strong human rights regulations and labour protections minimise these risks. Additionally, the Company is not part of high-risk industry such as manufacturing, which heavily depends on supplies from geographical areas where these risks may be prevalent.

Occupational Safety Commitment

GCP's OHS Policy underscores our commitment to preventing workplace accidents through clear role definitions for both management and employees, regular risk assessments, and ensuring compliance to legal safety standards. The policy includes employee training, systematic incident documentation, and ongoing monitoring of workplace conditions. This framework is designed to minimise risks and safeguard the health and safety of all employees.

Commitment to Diversity and Non-Discrimination

GCP is committed to promoting a fair, inclusive, and equitable workplace. Preventing and eliminating discrimination is one of the cornerstones of the Company's policies, and is clearly specified in the codes of conduct for employees and business partners, the Diversity Policy and the Anti-Discrimination Policy. These policies align with the German General Act on Equal Treatment (*Allgemeines Gleichbehandlungsgesetz*, AGG) and international labour and human rights standards.

The Anti-Discrimination Policy is intended to minimise and prevent discrimination, harassment, cyber bullying, cyber stalking, and violence in the workplace. It explicitly prohibits discrimination based on race, ethnic origin, gender, religion or belief, disability, age, or sexual identity, whether direct or indirect. It applies throughout the entire employment lifecycle, from recruitment to termination, including promotions and working conditions. In addition to the whistleblowing system, employees can report on discriminatory conduct directly to human resource and compliance departments. GCP is committed to taking appropriate actions to address and protect individuals affected by discrimination. The Company's performance on discrimination and other human rights issues are summarised in section S1-17.

The Diversity Policy is closely linked to the Anti-Discrimination Policy. It was approved by the Board of Directors in 2025 and is aimed at promoting an inclusive workplace through initiatives such as cultural diversity programmes, mentoring, and flexible working arrangements. These initiatives are overseen by the Diversity Board, which comprises employee representatives from different organisational levels and ensures that strategic actions are integrated into daily practices. We continue to monitor the progress and review the effectiveness of these policies and related actions. Refer to our diversity metrics in section S1-9.

S1-2 – ENGAGEMENT WITH OWN WORKFORCE ABOUT IMPACTS

Integrating Employee Perspectives into Decision Making

GCP actively integrates employees' perspectives into its decision-making processes to enhance inclusivity and workplace satisfaction. Employee engagements follow a structured, corporate-level approach involving various methods. The annual employee satisfaction survey remains the Company's primary tool for collecting feedback. In addition, the HR Roundtables serve as a platform for open dialogue and engagement between employees and the HR Department. In 2025, seven sessions were conducted, four with managers and three with employees, covering key topics such as work-life balance, training management and professional development, internal mobility and inclusivity. The roundtables also focused on gathering feedback on these strategic themes and in addition an opportunity to share best practices. It helps identify any concerns before they escalate into adverse human and labour rights impacts. The HR Department also uses the opportunity to update employees on its projects and actions towards addressing issues of concerns and milestones achieved.

Similarly, during GCP's townhall meetings, employees are briefed by the Daily Management about the Company's projects, programmes and strategic direction, focusing on different topics, including Energy and Sustainability, with a Q&A session. These engagements continue to support every stage of the Company's interventions, from identifying issues, and defining mitigation strategies to evaluating the effectiveness of implemented actions. For more details, please see the disclosure provided in ESRS 2 Gov-1 which outlines ultimate accountability for the Company.

In October 2024, GCP launched the second round of the "Activate the Base" programme to further strengthen its culture of innovation and employee engagement across the Company. Supported by an external coach, the programme empowers employees to develop and implement their own ideas and projects, driving both operational and sustainability improvements while supporting personal development. In 2025, this employee-led initiative covered a wide area of projects, such as digital collaboration, professional growth, wellbeing, and environmental responsibility. Notable highlights include:

- An Innovation Portal
- Job Rotation and Job Shadowing initiatives utilising Multimedia Formats
- A Professional Correspondence Platform
- Biodiversity project - Establishment of Wildflower Meadows
- The "Your Wellbeing is Our Benefit" Programme

Some of these initiatives have already been implemented or are in advanced stages of execution, demonstrating GCP's commitment to fostering a dynamic, participatory, and sustainable workplace.

Effectiveness of Employee Engagement and Feedback Analysis

The effectiveness of our employee engagement efforts is assessed through targeted questions in the satisfaction survey, particularly in the sections on Feedback and Communication, as well as Meaningfulness and Participation. These questions examine, for example, whether new ideas and diverse opinions are welcomed in the workplace, whether employees feel their opinions matter, whether feedback is given, received, and used constructively, and whether management communicates company's updates effectively and in a timely manner. Feedback from both the survey and the roundtable discussions are systematically analysed to track engagement trends and identify areas for improvements.

The Group's Head of HR oversees these initiatives, ensuring that employee feedback is collected and used to shape policies, decision-making and initiatives for managing actual and potential workforce impacts. The insights gained inform targeted actions to enhance workplace engagement, address concerns, and continuously improve communication and participation across the Company.

GCP has a Human Rights Policy in place that guides employee engagement possibilities.

S1-3 – REMEDIATION OF NEGATIVE IMPACTS ON OWN WORKFORCE

Complaints Mechanisms

The Company is committed to addressing material negative impacts on its workforce through clear and effective policies and procedures. It has established an effective grievance mechanism for reporting workplace concerns, including discrimination, misconduct, or violations of human and labour rights. GCP's Whistleblowing Policy describes the procedures for a secure and confidential reporting of unethical behaviour through our third party-managed whistleblowing channel, which ensures confidential and anonymous reporting, allows employees and external stakeholders to report violations confidentially and without fear of retaliation. It ensures that all concerns are addressed promptly, reinforcing GCP's commitment to ethical conduct and human rights within the workforce. All submitted reports are tracked and investigated objectively by the Compliance Department, following an internal investigation procedure, as documented in the Company's Investigation Policy.

If a violation is confirmed or an issue is found to have caused material negative impacts, appropriate disciplinary and corrective measures are taken, ranging from warnings and fines to termination of employment, depending on the severity. For violations by business partners, GCP may require business partners to implement corrective measures within a set timeframe. If violations persist, GCP reserves the right to terminate the business relationship. The Company may pursue civil or criminal prosecution or consult with relevant authorities, when necessary, especially in cases involving non-stakeholders or external parties.

Employees can directly approach the responsible departments through their respective heads to express their concerns. Supervisors also encourage open communication by inviting employees to share issues during one-on-one check-in sessions. Section S1-2 outlines various engagement channels such as HR Roundtables and Townhall meetings, where concerns can be raised and addressed by the Group Head of HR, and the Daily Management, respectively. For metrics related to incidents, complaints and severe human rights, refer to section S1-17.

Strengthening Compliance

To foster a culture of accountability and inclusion and proactively prevent all negative impacts, GCP ensures all employees receive mandatory training on human and labour rights including on diversity and anti-discrimination. The trainings are mainly conducted on the Welcome Days and through the Company's E-learning platform, accessible via the Company's intranet. Besides the strict requirement of employees to uphold the values and principles promoted in the various trainings, GCP training framework makes it mandatory for all employees to pass the tests to confirm their understanding of the training material. Additionally, new employees have to review and sign the Employee Code of Conduct, which outlines the ethical standards, employee responsibilities and the reporting channel in case of any concerns.

While there is no specific method to measure employee trust in the grievance and remediation mechanisms, the HR Roundtable provides an open forum for receiving feedback, and if there are issues with these mechanisms, employees can directly report to the Compliance or HR Departments for redress. These mechanisms are also subject to annual reviews through HR audits, compliance assessments, and employee feedback surveys to ensure effectiveness. The Risk Committee monitors the effectiveness of the risk management processes to ensure continuous improvement.

S1-4 – MANAGING MATERIAL IMPACTS, RISKS AND OPPORTUNITIES RELATING TO OWN WORKFORCE

Minimising Negative Workforce Impacts and Ensuring Responsible Practices

GCP ensures its practices do not cause or contribute to material negative impacts on its workforce by integrating responsible business policies, ethical governance, and continuous monitoring across key operational areas, including procurement, sales, and data use. The Company adheres to strict labour and human rights standards, fair employment practices, and compliance frameworks to mitigate risks related to employee well-being, job security, and workplace conditions.

Employees across all departments are equipped with the necessary tools, resources, and training to perform their roles safely and professionally, minimising potential harm to themselves and others. In procurement, GCP implements effective due diligence processes, including KYC and Anti-Money Laundering ("AML") screening, before selecting or engaging with suppliers to prevent indirect harm to the workforce through supply chain actions. Ensuring suppliers' strong track records, reliability, and reputation is critical, as suppliers' failures such as an inability to meet commitments can lead to project delays, increased costs, reputational damage, and, by extension, job losses or adverse impacts on the employees' working conditions.

When tensions arise between mitigating material negative impacts and business pressures, GCP prioritises employee well-being while aligning with strategic objectives. This is achieved through open dialogue with employees, proactive risk assessments, and policy adjustments, ensuring long-term sustainability and a responsible work environment.

Initiatives to Drive Positive Workforce Impacts

GCP proactively manages material risks and opportunities related to its workforce through its long-term targets and yearly goals (see section S1-5). The following table outlines GCP's ongoing actions and initiatives to address the material impacts identified during the 2024 DMA and its subsequent review in 2025. The initiatives are designed to strengthen workplace integrity, promote inclusion, enhance well-being, and support employee development.

Table 25

Impact	Initiatives for Positive Impacts
Violence & Harassment Prevention; Social Dialogue, Freedom of Association	• **Whistleblowing System** comprises several reporting channels, including a secure and confidential channel for reporting misconducts, reinforcing workplace integrity. • **Annual Compliance Training** strengthens knowledge on ethical practices and human rights, ensuring compliance with legal and corporate standards. • **HR Roundtable** allow employees and managers the opportunity to ask questions and engage and address concerns directly with the HR Department.
Diversity; Employment & Inclusion of People with Disabilities; Gender Equality & Equal Pay	• **Anti-discrimination Training** fosters an inclusive work culture by raising awareness and promoting equal opportunities. • **Language Training Programme** follows a blended learning approach, combining flexible, self-directed learning via an app with optional individual and group sessions. The programme promotes job-related language skills, particularly in English and German, to strengthen communication and collaboration, minimising misunderstandings, build trust and foster an inclusive workplace. New employees also participate in intercultural communication training during welcome days. • **Diversity-friendly Actions**, such as the establishment of a Diversity Board and appointing a board member as the Company's diversity ambassador, further embed diversity in the core fabric of the Company. Additional initiatives, including, participation in diversity and world food challenges, cultural diversity day for dialogue and development, and celebrations of black history and pride month, promotes personal and cultural appreciation, inclusivity, and team bonding.
Working Time & Work-Life Balance	• **Flexible Work Arrangements** (including remote work option) promotes work-life balance, improves job satisfaction and reduces stress. • **Mental Health Programmes** support emotional well-being, leading to increased productivity and lower turnover rates. • **Time Tracking** via an HR data management tool & QR code terminal enhances operational efficiency and transparency in management of work time. • **Ticket Giveaways** enhance employee engagement, promotes leisure and rewards employees' contributions to the Company's successes.

Impact	Initiatives for Positive Impacts
Health & Safety	• **Internal OHS Risk Assessments** to identify and mitigate workplace hazards, ensuring a safer work environment. • **Emergency Preparedness Drills** improves readiness for unexpected incidents, safeguarding employee well-being. • **Workplace Safety Training** educates employees on proper safety protocols to minimise workplace acci-dents. • **Gym Access** at the Berlin Headquarters and **Company-subsidised Health and Wellbeing Platform**, offering gym membership for employees in Germany, supporting both physical and mental fitness. • Flu & COVID Vaccinations, Eye Examination and Health Checks promote employee health and reduces absen-teeism due to illness. • **Collaboration with a Virtual Platform** offering online sports sessions and mental health prevention courses, and other wellbeing activities.
Training & Skills Development	• **Leadership Training equips** the Company's current and potential leaders with fundamental critical thinking and problem-solving skills. • **Performance and Career Development Reviews** (including 180-degree survey) identify skill gaps, and career development opportunities aligned with employees' aspirations and business needs. The 180-degree survey was successfully implemented across the Company. • **Personal and Professional Development Coaching** supports employees in unlocking their full potential, promotes engagement and reinforcing job security. It enhances self-awareness, resilience, and problem-solving abilities, contributing to better work-life balance and well-being. • **"Activate the Base" Programme** encourages employees to implement their own sustainability projects while receiving guidance from external coach
Secure Employment; Adequate Wage	• **Apprenticeship Programme** provides hands-on experience and career pathways, supporting young people in building long-term careers in real estate sector. • **Online Learning Platform** to equip employees with the skills needed for job security and professional development. • **Career Paths Rollout** enabling all employees to visualise and plan long-term career growth within the Company. • **Mentoring and Coaching programme** offers personalised development support, enhancing leadership and career progression.
Privacy	• **Annual GDPR Training** ensures employees understand data protection regulations, enhancing compliance. • **Cybersecurity Protocols** protects sensitive company and employee information from cyber threats. • **Data Encryption Measures** secure personal and company data, ensuring privacy and confidentiality. • **Awareness Days:** a two-day event that raises awareness on activities of various departments in the Company and promotes data and information security.

Evaluation of Initiatives & Improvements

GCP tracks and assesses the effectiveness of its actions and initiatives through internal and external assessments. Key systems, including information security and OHS management, are regularly reviewed to ensure adherence to best practices and regulatory standards. The Legal and Compliance departments continuously monitor alignment with evolving labour laws, ensuring proactive adjustments where necessary.

Progress is measured against key performance indicators ("KPIs") on various impact areas, including gender pay gap and other diversity metrics, average training hours and investment in training, human rights violations, OHS metrics, data breaches, etc. Workforce engagement tools, such as annual employee satisfaction surveys, HR roundtables, and grievance mechanisms, provide valuable employee insights, enabling data-driven improvements. Additionally, GCP's participation in external ESG ratings and benchmarking allows for comparison with industry peers and learning. Continuous impact evaluations fosters a resilient and future-proof workforce in the Company.

Resource Allocation for Managing Workforce Impacts

The Company dedicates significant financial, technological, and human resources to proactively managing material impacts on own workforce. Each of the initiatives documented in Table 25 requires reasonable amount of resources to implement. The Human Resources department invests in tools and creation of learning material for workforce training and development programmes, ensuring employees remain adaptable and equipped with the skills necessary for job security and stability. The department also oversees employee feedback platforms to gather insights for informed strategic decisions.

Managing health and safety risks, including risk assessments, addressing gaps, and enforcing compliance, requires substantial resources channelled into enhancing workplace safety and health programmes. Similarly, protecting workforce data privacy necessitates substantial investment in IT and cybersecurity infrastructure and programmes, as do compliance-related initiatives and other essential functions. Section S1-13 has details on training metrics, including average cost per Full-Time Equivalent ("FTE") and hours spent.

Managing Workforce Impacts from the Green Transition

As outlined in section ESRS S1 SBM-3, the potential negative impacts of the transition to greener and low-carbon operations on employees are recognised but not yet established. However, should such risk become imminent, the Company is prepared to intensify effort to upskill affected employees through targeted training in areas such as energy-efficient building management, sustainability practices, and compliance. This approach aims at

equipping employees with relevant expertise in increasingly important business areas and fostering their professional development. As this event evolves, the Company remains committed to adapting its strategies to ensure these impacts are effectively mitigated.

S1-5 - TARGETS RELATED TO MANAGING MATERIAL IMPACTS, RISKS AND OPPORTUNITIES

The Company sets targets through a structured process based on internal policies, strategic priorities, regulatory requirements, and operational needs, incorporating direct engagement with its workforce. After careful assessment at the departmental level, targets are reviewed and approved by Daily Management to ensure alignment with business objectives. These targets aim to enhance employee health, safety and well-being, job satisfaction and career development, and foster diversity and human rights, aligning with workforce expectations.

GCP establishes long-term targets, typically exceeding five years, as well as short-term targets that align with industry best practices and recognised standards. The targets are not quantitative reduction or improvement targets that require numerical baseline, interim milestones, or even defined time-bound trajectory. Instead, they focus on maintaining or achieving qualitative or status-based outcomes and operate on a continuous-performance basis. Performance is monitored annually, with progress assessed directly against the stated target rather than against a predefined multi-year pathway.

Long-term Targets

- Be among the top ten most attractive employers in the residential real estate sector by 2030
- Maintain the total number of confirmed cases of discrimination under 3%
- Offer a minimum of 12hrs of training and development opportunities per FTE

2026 Goals

- Continue to offer our volunteering programme organised as a company-wide Social Day for employees
- Increase health measurements and services offers for employees, including mental health such as psychological support
- Expand our 180-degree surveys to 80% of our workforce to encourage self-development among employees
- Complete the implementation of our newly developed staff career path to create more transparency on development opportunities

Metric: Our Workforce

GCP monitors and measures a series of metrics to help understand progress in topics relating to its workforce. The scope of this metrics covers all GCP's employees, as presented in organisational boundaries under Methodology and EPRA sBPR Data Preparation Notes. Data is collected through various regional offices and subsequently exported to the Personnel Management System ("PMS") where available, or directly to the payroll systems. The Human Resources Department centrally consolidates and evaluates employee data.

GCP tracks both the headcount of employees and FTE metrics. Unless explicitly stated otherwise, headcount is primarily used as the basis for calculating indicators. The reported data covers the period from 1 January 2025, to 31 December 2025.

S1-6 – EMPLOYEE HEADCOUNT AND OVERVIEW

The following disclosure of employee headcount includes all individuals directly employed by GCP. The Company has begun the processes to track data on the characteristics of its non-employees, such as workers engaged through third-party agreements. With the extension given for disclosing this indicator in the ESRS simplification document, the Company is using this additional time to improve data collection processes. This will enable the Company to disclose better quality and reliable data in the coming years.

The total employee headcount of 800 in this section is not directly included in the financial statements, however the most representative number contained there is the total FTE figure of 771 for the financial year reported on p. 215.

Table 26

Employee Headcount				
Metric	**2025**		**2024**	
	Number	**Percentage**	**Number**	**Percentage**
Total	800	100.0%	836	100.0%
Male	391	48.9%	404	48.3%
Female	409	51.1%	432	51.7%
Age group <30	144	18.0%	144	17.2%
Age group ≥30 - < 50	462	57.8%	504	60.3%
Age group ≥ 50	194	24.3%	188	22.5%

Employee Headcount by Geography				
Metric	**2025**		**2024**	
	Number	**Percentage**	**Number**	**Percentage**
Germany	720	90.0%	756	90.4%
Male	353	49.0%	370	48.9%
Female	367	51.0%	386	51.1%
United Kingdom	62	7.8%	63	7.5%
Others	18	2.3%	17	2.0%

Employee Headcount by Nationality				
	Share as % of total workforce	**Share as % of all managerial positions**	**Share as % of total workforce**	**Share as % of all managerial positions**
Germany	71.1%	71.4%	70.8%	66.4%
Romania	8.4%	0.9%	8.7%	0.8%
United Kingdom	5.6%	9.8%	6.7%	10.9%
Israel	2.5%	7.1%	2.4%	8.4%
Others	12.4%	10.8%	11.4%	13.5%
No. of nationalities (incl. Germany)	40		44	

Table 27

Employee Headcount by Contract Type

Metric	2025		2024	
	Number	Percentage	Number	Percentage
Permanent employees who identify as female	313	53.4%	315	51.0%
Permanent employees who identify as male	273	46.6%	299	49.0%
Permanent employees who identify as 'other'	0	0.0%	0	0.0%
Temporary employees who identify as female	78	36.4%	89	40.0%
Temporary employees who identify as male	136	63.6%	133	60.0%
Temporary employees which identify as 'other'	0	0.0%	0	0.0%
Non-guaranteed hours employees who identify as female	2	40.0%	1	33.0%
Non-guaranteed hours employees who identify as male	3	60.0%	2	67.0%
Non-guaranteed hours employees who identify as 'other'	0	0.0%	0	0.0%

Table28

Hiring and Turnover Metrics

Units of Measure	Metric	2025		2024	
		Number	Percentage	Number	Percentage
Total number and rate of new employee hires	New employee hires	163	20.4%	170	20.3%
	Female	75	46.0%	67	39.4%
	Male	88	54.0%	103	60.6%
	Age group <30	58	35.6%	65	38.2%
	Age group ≥30 - < 50	80	49.1%	87	51.2%
	Age group ≥ 50	25	15.3%	18	10.6%
	Open positions filled by internal candidates (internal hires)	58	26.2%	66	28.0%
Average amount (€)	Average hiring cost/FTE	560	N/A	360	N/A
Total number and rate of employee turnover	Employee turnover	190	19.3%	167	16.8%
	Female	81	42.6%	84	50.3%
	Male	109	57.4%	83	49.7%
	Age group <30	38	20.0%	54	32.3%
	Age group ≥ 30 - < 50	117	61.6%	84	50.3%
	Age group ≥ 50	35	18.4%	29	17.4%

Table 28

Hiring and Turnover Metrics					
Units of Measure	**Metric**	**2025**		**2024**	
		Number	**Percentage**	**Number**	**Percentage**
Total number and rate of employee turnover	Employee initiated turnover	115	11.7%	106	10.7%
	Female	52	45.2%	55	51.9%
	Male	63	54.8%	51	48.1%
	Age group <30	21	18.3%	36	34.0%
	Age group ≥ 30 - < 50	77	67.0%	55	51.9%
	Age group ≥ 50	17	14.8%	15	14.2%

S1-9 – DIVERSITY METRICS

Table 29 presents the representation of male, female, and other employees across various levels of the Company, highlighting key areas of specialisation and the inclusion of employees with disabilities.

Table 29

Diversity Metrics				
EPRA Code	**Units of Measure**	**Metric**	**2025**	**2024**
Diversity-Emp	% of employees who identify	Female (Board of Directors)	40.0%	40.0%
		Male (Board of Directors)	60.0%	60.0%
		Female (top management)[1]	22.2%	22.2%

Table 29

Diversity Metrics				
EPRA Code	**Units of Measure**	**Metric**	**2025**	**2024**
Diversity-Emp	% of employees who identify	Male (top management)	77.8%	77.8%
		Female (senior management)[2]	39.3%	41.9%
		Male (senior management)	60.7%	58.1%
		Female (junior management)[3]	49.3%	44.9%
		Male (junior management)	50.7%	55.1%
		Female (all management)[4]	44.6%	42.4%
		Male (all management)	55.4%	57.6%
		Female employees (revenue generating management functions)	46.0%	43.8%
		Male (revenue generating management functions)	54.0%	56.2%
		Female (STEM-related positions)[5]	8.3%	10.5%
		Male (STEM-related positions)	91.7%	89.5%
S1-12	Number	Employees with disabilities	23	23
	Percentage (%)		2.9%	2.8%

(1) includes the Daily Management, international executives and other top managers (i.e. Managing Directors, multi-department leaders).
(2) includes Heads of Departments.
(3) includes Team Leads.
(4) includes junior, senior and top managements.
(5) STEM - Science, Technology, Engineering and Mathematics.

S1-10 – ADEQUATE WAGES

All employees of the Company are paid an adequate wage, in line with applicable benchmarks.

S1-11 SOCIAL PROTECTION

Across all GCP countries of operation, employees are covered by public social protection programmes, providing support for key life events such as sickness, unemployment, employment injury, disability, parental leave, and retirement. These programmes ensure protection during periods of incapacity or transition.

In addition to public programmes, GCP operations in:

- Germany offers a company pension scheme, in compliance with state regulations, through an external insurance provider with employer contributions.
- Cyprus provides additional company programmes for employment-related injury and acquired disability.

This approach leverages national systems while enhancing the coverage where needed.

S1-13 – TRAINING AND SKILLS DEVELOPMENT METRICS

GCP considers continuous investment in training and development of its employees essential for both personal and professional development, fostering business resilience, innovation, engagement, and long-term retention. The Company's performance is shown in the table below:

Table 30

Training and Skills Development Metrics

EPRA Code	Units of Measure	Metric	2025	2024
Emp-Dev	% of total workforce	% of total employees who received regular performance and career development reviews during the reporting period	45.0%	47.3%
Emp-Training	Average number of training hours	All employees	16.5	12.9
		Female	21.3	15.5
		Male	12.1	10.5
		Management	27.8	22.9
		Female	37.1	29.8
		Male	20.4	17.9
		Non-management	19.2	14.2
		Female	24.1	17.1
		Male	14.3	11.4
		Part-time employees	13.5	12.5
		FTE employees	21.7	17.0
	Average amount (€)	Average investment in training per FTE	738	667
N/A	Percentage (%)	Percentage of FTEs that participated in leadership development programme	1.6%	2.4%
		Percentage of FTEs that participated in language programme	4.4%	9.5%

S1-14 – HEALTH AND SAFETY METRICS

All employees of GCP are covered by the Company's health and safety management system based on legal requirements. GCP performance on maintaining the health and safety of our employees within its work environment is shown in Table 31 below:

Table 31

Health and Safety Metrics				
EPRA Code	**Units of Measure**	**Metric**	**2025**	**2024**
H&S-Emp	Number of injuries/accidents per total time worked	Injury/accident rate	0.000004	0.000004
	Number of injuries per million hours worked	Lost-Time Injury Frequency Rate (LTIFR)	4.5	4.4
	Number of days lost per total time worked	Lost day rate	0.00016	0.00009
	Number of days lost per total days scheduled to be worked by employees	Absentee rate	5.8	6.1
	Number of fatalities	Work-related fatalities	0	0
N/A	Number of injuries/accidents	Recordable work-related injuries/ accidents for own workforce	6	6

All our health and safety metrics are calculated based on employee FTE. Below are the details of each individual metric:

- Injury/Accident Rate: Refers to the frequency of injuries, relative to the total time worked by all employees during the reporting period. We track accidents and injuries as a single metric and do not include commuting accidents to ensure consistency across all international GCP offices.
- Lost-Time Injury Frequency Rate ("LTFIER"): This is calculated as the number of injuries per million hours worked. The calculation is based on actual employee FTE, adjusted for unpaid absences. It also accounts for the standard working hours in each GCP country of operation (e.g., 7.5 hours per FTE in the UK and 8 hours per FTE in other locations).
- Lost Day Rate: Defined as the number of lost days per total hours worked. This metric is based on actual employee FTE and considers the average number of working days per country.
- Absentee Rate: Calculated as the number of days lost per total scheduled working days. This includes only paid absences due to sickness and workplace accidents, while unpaid sickness and absence days are excluded.
- Number of Fatalities: Includes only work-related fatalities. Fatality being death of an employee occurring during the reporting year, arising from an occupational disease or injury sustained or contracted while performing work of the Company.

S1-15 – WORK-LIFE BALANCE METRICS

Family-related leave such as parental leave, paternity leave, maternity leave, caregiving leave among others are within the rights of all GCP employees. It allows employees to maintain a healthy balance between professional and personal life, reducing stress, and enhancing overall well-being. GCP actively track this metric, as shown in Table 32 below, reinforcing its commitment to fostering a supportive and balanced work environment.

Table 32

Work-life Balance Metrics				
	2025		**2024**	
	Number	**Percentage**	**Number**	**Percentage**
Employees that took family-related leave	83	10.4%	100	12.0%
Female	62	15.9%	78	19.3%
Male	21	5.1%	22	5.1%

S1-16 – REMUNERATION METRICS (PAY GAP AND TOTAL REMUNERATION)

Table 33 presents the gender pay gap among GCP employees, which measures the disparity in earnings between male and female employees. Based on ESRS, this indicator is calculated by comparing the average pay levels of female employees to those of male employees, expressed as a percentage of the average pay level of male employees. For EPRA sBPR, the ratio is calculated by dividing the average pay of male employees by the average pay of female employees. The Company closely monitors and reports these differences on various levels of aggregation to enhance transparency and align with widely accepted standards. The data is split based on employee remuneration (salary and bonus) and basic salary in relation to employee level.

Table 33

Gender Pay Gap					
Metric	**Description**	**ESRS (%)**		**EPRA (ratio)**	
		2025	**2024**	**2025**	**2024**
Remuneration (salary and bonus) Pay Gap	Executive	61.1%	72.0%	2.6	3.6
	Management	14.5%	4.3%	1.2	1.0
	Non-management	8.6%	8.8%	1.1	1.1
	All employees	19.1%	23.4%	1.2	1.3
Salary Pay Gap	Executive	49.3%	46.0%	2.0	1.9
	Management	13.5%	5.1%	1.2	1.1
	Non-management	9.4%	9.0%	1.1	1.1
	All employees	16.6%	14.5%	1.2	1.2
Total compensation ratio	Ratio of the highest paid individual to the median annual total compensation for all employees (excluding the highest paid individual)	17.7	77.3	17.7	77.3

S1-17 – MATERIAL INCIDENTS, COMPLAINTS AND SEVERE HUMAN RIGHTS IMPACTS

GCP monitors and reports material human rights issues and material incidents in the workplace, ensuring accountability and compliance, as shown in Table 34.

Table 34

Issues and Incidents				
EPRA Code	**Units of Measure**	**Metric**	**2025**	**2024**
N/A	Total number	Incidents of discrimination (including harassment)(1)	0	0
		Complaints filed through channels for people in own workforce to raise concerns(2)	0	0
		Complaints filed to National Contact Points for OECD Multinational Enterprises	0	0
		Severe human rights issues and incidents connected to own workforce	0	0
		Severe human rights issues and incidents connected to own workforce that are cases of non-respect of UN Guiding Principles and OECD Guidelines for Multinational Enterprises	0	0
	Amount (€)	Total amount of fines, penalties and compensations for damages as a result of the incidents and complaints disclosed above	0	0
		Total amount of fines, penalties and compensations for damages for the severe human rights incident connected to own workforce	0	0

(1) only discrimination cases that resulted in sanctions or actions towards the accused persons are reported.
(2) only if a complaint led to a confirmed compliance case, is it reported here.

ESRS S2 Workers in the Value Chain

INTRODUCTION

At GCP, we are committed to upholding high standards of social responsibility and ethical conduct across our operations and supply chain. We recognise the critical role that workers within our value chain play in the success of our business and the achievement of our sustainability goals.

Central to our strategy is the integration of human rights due diligence across all supplier relationships, guided by our Business Partner Code of Conduct ("BPCoC"). The BPCoC sets out our expectations and requirements for human rights protection, including respect for freedom of association and the right to collective bargaining, fair remuneration, and the explicit prohibition of child, forced, and compulsory labour.

We conduct regular risk assessments to identify potential vulnerabilities and to ensure compliance with standards on fair wages, secure employment, safe working conditions and health and safety. We also ensure that workers' voices are heard through effective reporting and engagement mechanisms. Our efforts aim to foster workplaces free from harassment, discrimination, and unethical practices of any kind.

Through these measures, GCP aims not only to mitigate risks but also to create opportunities for positive social and economic impact. This proactive approach aligns with global sustainability standards and supports our long-term ESG strategy, ensuring that our supply chain contributes to a responsible, resilient, and sustainable business model.

The following table outlines material sustainability matters in ESRS S2:

High-Level Overview of Disclosure	
Standard	**Indicator**
ESRS S2 Workers in the Value Chain	S2. SBM-2 – Interests and views of stakeholders
	S2. SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model
	S2-1 – Policies related to value chain workers
	S2-4 – Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those action
	S2-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

IROs or datapoints that were identified as immaterial to GCP are not covered in this report. In some cases, GCP decided to use the phase-in provisions (in accordance with Appendix C of ESRS 1) and is committed to disclosing these datapoints in the coming years.

Table 35

Material Sustainability Matters Covered in ESRS S2

Sub-topic	Sub-sub-topic	Materiality (impact/ financial/ double)	Categorisation IRO	Localisation of IRO	Time horizon of IRO
Working conditions	Secure employment	Impact	Positive impact	Value chain (upstream)	Short-term / Long-term
	Working time	Impact	Positive impact	Value chain (upstream)	Short-term / Long-term
	Adequate wages	Impact	Positive impact	Value chain (upstream)	Short-term / Long-term
	Health and safety	Impact	Positive impact	Value chain (upstream)	Short-term / Long-term

S2. SBM-2 INTERESTS AND VIEWS OF STAKEHOLDERS

For more information on interests and views of stakeholders, including workers in the value chain, please see ESRS 2 section SBM-2.

S2. SBM-3 MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL

All value chain workers who can be materially impacted by GCP - whether through direct operations, value chain activities or the use of our services - are included within the scope of disclosure under ESRS 2. Please refer to section ESRS 2-SBM-2 for further information.

Value Chain Workers: Business Model, Impacts and Strategic Integration

GCP's business model is centred on the ownership, development, refurbishment and long-term operation and letting of real estate assets. These activities rely significantly on external construction companies and service providers, including their subcontractors, whose workers perform refurbishment, renovation and maintenance work on the Company's properties. Accordingly, any potential or actual impacts on value chain workers primarily arise from the organisation and governance of these activities within the supply chain.

The Double Materiality Assessment ("DMA") conducted by the Company identified exclusively positive material impacts on value chain workers in the area of working conditions, specifically regarding secure employment, working time, adequate wages and health & safety. These impacts are closely linked to GCP's strategy of managing its business activities through a controlled and policy-driven supply chain, which is designed to promote compliance with applicable labour and occupational health and safety standards across the value chain.

Value chain labour considerations are integrated into the Company's core operational practices by embedding human rights and labour standards into supplier onboarding and contracting processes, through the following measures:

- **Policy Enforcement:** Implementing contractual obligations requiring subcontractors to comply with applicable standards on fair wages, working times and occupational health and safety.
- **Ongoing Monitoring & Engagement:** Providing access to the Company's whistleblowing system for employees and external people.

Due to the reliance on subcontracted construction workers, the Company's business model gives rise to potential risk and opportunity considerations related to the management of working conditions in the value chain, which were however not found to be material in GCP's DMA. The limited direct oversight of subcontractors engaged by primary contractors may expose the Company to operational, legal and reputational risks, including potential health and safety incidents, labour standards non-compliance or workforce disruptions, which could affect project delivery and asset performance.

At the same time, these dependencies create opportunities to strengthen supply chain resilience and operational efficiency. The consistent application of labour and human rights standards can support productivity, reduce turnover among subcontracted workers and enhance trust among investors and other stakeholders, thereby contributing to the Company's long-term value creation and ESG positioning. These potential, but non-material, risks and opportunities inform the Company's continued strategic focus on strengthening contractual controls, due diligence and monitoring mechanisms within its policy-driven supply chain model.

Value Chain Workers Affected by GCP's Operations

The following categories of GCP's value chain workers are included in this disclosure and are subject to material impacts:(*)

1. Construction and Renovation Workers

GCP's subcontracted construction workers, along with upstream value chain workers in supplier organisations, are considered within the scope of potential material impacts. These include occupational health and safety, exposure to hazardous materials, and compliance with labour standards by contractors. GCP addresses these risks through supply chain risk assessments, due diligence (before and during the engagement), contractual requirements and applicable policies.

2. Property Maintenance and Facility Management Personnel

Workers providing cleaning, landscaping, pest control, and general property upkeep. These individuals work on the Company's sites but are employed by external service providers. They may face material impacts related to wage adequacy, health and safety, job security, or fair treatment by their employers. Compliance with GCP's standards is ensured through the BPCoC and verified through due diligence procedures. Inadequate labour or health and safety practices among these service providers may also indirectly impact downstream stakeholders who visit the Company's assets.

(*) GCP's operations are entirely located within the European Union and the UK, where strict regulatory frameworks and enforcement mechanisms significantly mitigate the risk of child labour, forced labour, or compulsory labour. There is no significant risk of such labour practices within GCP's value chain in Europe.

3. Energy, Utility, and Waste Management Workers

Individuals employed by service providers in our upstream value chain who manage utilities supply, energy management, or waste disposal. These workers may face risks such as exposure to hazardous environments or low wages in certain jurisdictions. However, as these companies are typically publicly owned or within highly regulated frameworks, the associated risks are generally assessed as minor.

4. Material and Equipment Suppliers

Workers employed by entities in the Company's upstream value chain, who source, produce or deliver construction materials, furniture, or technology solutions for GCP's properties. They may face risks such as forced labour or poor workplace conditions, depending on the geographical context.

S2-1 POLICIES RELATED TO VALUE CHAIN WORKERS

GCP has established policies and procedures to address the material risks identified for value chain workers, particularly those relating to secure employment, working time, adequate wages and occupational health and safety. These policies apply across the Company's value chain and form the foundation of our human rights and labour standards framework.

Key Policies Governing Value Chain Workers

The table below summarises the core policies that set out GCP's requirements for ethical conduct, labour standards and human rights across the value chain.

Table 36

Policy Title	Short Description
Human Rights Policy	The Human Rights Policy lists twelve basic human rights, including the right to equality, freedom of speech, thought and religion, and right to a safe work environment, which apply not only for its own employees but also to tenants and workers in the supply chain. The policy further emphasises its zero-tolerance approach to modern slavery, human trafficking and forced labour and outlines its application for business partners and reporting and monitoring of potential violations (is also included in the Business Partner Code of Conduct).
Business Partner Code of Conduct	The BPCoC extends GCP's human rights commitments to suppliers, contractors, and business partners, managing business matters in an ethical way across the value chain. It includes provisions on worker safety, fair working conditions, and responsible employment practices. The BPCoC explicitly prohibits child labour and forced labour and addresses precarious work by requiring compliance with applicable labour laws. Aligns with applicable International Labour Organization ("ILO") standards.

GCP's Human Rights Policy and BPCoC articulate the Company's commitment to human rights, preventing discrimination and harassment and promoting responsible business conduct across the value chain.

These policies and practices are informed by the following international frameworks:

- Ten Principles of the UN Global Compact
- ILO Core Conventions
- OECD Guidelines for Multinational Enterprises
- UN Guiding Principles on Business and Human Rights ("UNGP")

These frameworks guide the structured integration of human rights and ethical labour practices across GCP's operations and value chain.

Commitments and Approach to Human Rights in the Value Chain

GCP's approach is anchored in the Human Rights Policy, the BPCoC and the availability of grievance mechanisms. Our Human Rights Policy was established in accordance with internationally human rights recognised standards, including the International Bill of Human Rights, which consists of the Universal Declaration of Human Rights and the two Covenants that implement it. The policy also outlines the Company's expectations for suppliers regarding the rights and treatment of their workers.

When working with suppliers, GCP primarily relies on its BPCoC to ensure adherence with internationally recognised human rights standards. All business partners with contracts above €5,000 are requested to sign the BPCoC, thereby acknowledging their responsibility to respect the human rights of their workers, comply with international human rights laws and frameworks, and meet GCP's expectation regarding environmental, health and safety practices.

An exemption applies only to large corporations, which have their own codes of conduct-provided that they are in line with GCP's standards - or to business partners operating within heavily regulated sectors.

Zero-Tolerance Approach to Forced and Child Labour

GCP enforces a zero-tolerance approach to human trafficking, forced and compulsory labour, and child labour. These issues are explicitly addressed in the Human Rights Policy, which covers all three topics and extends to value chain workers. Additionally, GCP's BPCoC, explicitly prohibits child labour and compulsory labour. It currently does not, however, make an explicit reference to trafficking in human beings in its policies, given its limited relevance in the regions where GCP operates.

Policies Scope and Governance

GCP's Human Rights Policy and its BPCoC apply globally to the Company, its subsidiaries, affiliated companies, and all business partners. These policies apply to all employees, contractors, and partners engaged in GCP's operations.

The Board of Directors is responsible for the approval of all policies. The Daily Management and Chief Compliance Officer are responsible for overseeing the implementation and enforcement of the policies. This includes ensuring compliance with human rights standards, ethical labour practices, and responsible supply chain management.

Supporting Mechanisms: The Whistleblowing System

In addition to the policies described above, GCP provides a whistleblowing system that enables employees, business partners and value chain workers to report potential human rights violations or other compliance concerns. The system is accessible via GCP's website and the Company's intra-net.

The whistleblowing system is governed by the Company's Whistleblowing Policy, which outlines the type of issues that may be reported, explains how reports can be submitted, and sets out the reporting process and potential outcomes. Reports can be submitted anonymously and without fear of retaliation, ensuring that concerns are raised safely and handled fairly.

If a report submitted through the whistleblowing system- or directly to the Compliance Department - relates to potential human rights violation, the Compliance Department leads the investigation in line with the Company's Investigation Policy. Depending on the severity of the findings, potential actions include supplier warnings, financial penalties, contract termination, or legal escalation - for a business partner or employee. GCP may also decide to consult with authorities if necessary.

Where possible, and according to the Whistleblowing Policy, the whistleblower is contacted to receive updates on the ongoing process, the progress and outcome of the investigation - including remedial action taken - within no longer that three months from the date of acknowledgement of receipt of the report.

In 2025, no cases of human rights violations were reported. For further information, see the metrics table in S1-17.

In general, GCP maintains open communication channels with value chain workers regarding labour rights and ethical practices across its operations. This engagement primarily takes GCP standards and values as outlined in the BPCoC.

Translating Policy into Practice

Creating Awareness and Human Rights Trainings

Within its own operations, GCP promotes understanding and respect for human rights by integrating relevant topics into its compliance training programmes. This ensures that employees are educated on issues such as respect for human rights, non-discrimination, and fair business practices. In 2025, Compliance has been integrated into the Company's leadership training programme, thereby increasing awareness of various compliance topics - including those related to human rights - among both new and existing leaders.

In addition, all employees are required to sign the Employee Code of Conduct, which commits them to upholding human rights and adhering to principles of non-discrimination and fair treatment across GCP's operations.

Human Rights Due Diligence Process

With a view of identifying potential human rights violations in its supply chain, GCP conducts a human rights due diligence procedure ("HRDD") on high-risk suppliers. Suppliers are categorised based on their economic sector and country of operation, considering potentially higher risks, particularly in the areas of construction and refurbishment/maintenance, as well as for companies operating outside the EU. Additional criteria, such as contract volume, further determine whether a supplier is classified as low-, medium-, or high-risk.

Depending on the assessed risk level, an appropriate due diligence process is conducted using different sources of information. High-risk suppliers are required to provide additional documentation on sustainability-related topics, including human rights. In addition to desk-based due diligence checks, GCP's construction and operations managers also fulfil their legal monitoring obligations throughout project execution, in accordance with relevant national legislation.

Beyond business relevance considerations, the HRDD process covers environmental, social, and governance aspects. Suppliers are required to provide additional documentation on sustainability-related topics and to sign the BPCoC, which addresses a range of social issues, including human rights, labour rights, and the prohibition of child and forced labour, as well as governance matters such as corruption and bribery.

Where the HRDD identifies non-compliance, suppliers are issued corrective action plans requiring them to address and rectify identified violations. In case of non-compliance, the supplier may be excluded from future business with GCP. Ongoing monitoring ensure that suppliers adhere to working conditions, wages, and health and safety regulations.

To align with international guidance on HRDD – a prerequisite for compliance with the EU

Taxonomy Regulation's social minimum safeguards, in particular on the topic of human rights, the Company has implemented a six-step HRDD approach:

- Embedding a commitment to HRDD within policies and procedures.
- Identifying and assessing adverse impacts across the value chain.
- Taking corrective actions to cease, prevent, mitigate, and remediate violations.
- Monitoring and tracking the effectiveness of implemented measures.
- Publicly communicating HRDD actions to ensure transparency.
- Providing and enabling grievance mechanisms for workers to report concerns.

Compliance with the social safeguards is demonstrated when both of the following criteria are met:

- That the Company has established adequate HRDD processes, as outlined in the UNGPs and OECD Guidelines for Multi-national Enterprises.
- That there are no indications that the Company fails to adequately implement HRDD in a manner that results in human rights abuses.

GCP fulfils these criteria.

S2-4 – TAKING ACTION ON MATERIAL IMPACTS ON VALUE CHAIN WORKERS, AND APPROACHED TO MANAGING MATERIAL RISKS AND PURSUING MATERIAL OPPORTUNITIES RELATED TO VALUE CHAIN WORKERS, AND EFFECTIVENESS OF THESE ACTIONS

GCP takes a structured approach to managing material impacts on value chain workers. The Company's actions are designed to address identified potential risks and pursue opportunities, supported by dedicated human, financial, and technological resources, with progress continuously monitored and refined over time.

Maintaining Positive Impacts on Value Chain Workers

GCP continuously works to sustain and strengthen its positive impacts on value chain workers in the area of working conditions, including secure employment, working time, adequate wages, and health and safety. These impacts are reinforced through the Company's policies and supported by its supply chain governance framework.

The Company's policies are continuously reviewed and refined to reflect evolving regulatory requirements, operational experience, and lessons learned, ensuring that fair working conditions are consistently upheld and that positive impacts are strengthened over time.

Preventative Actions against Risk Escalation

While the Company has not identified material risks related to value chain workers, it recognises that its reliance on subcontractors may give rise to health and safety, labour rights, or supply chain vulnerabilities if not adequately managed.

Accordingly, the measures already embedded in the Company's supply chain governance framework - particularly human rights due diligence, contractual safeguards on working conditions, and ongoing monitoring mechanisms - are applied with a preventive objective. Rather than responding to identified incidents, these measures are designed to identify emerging issues at an early stage and to ensure that potential risks are addressed before they develop into material impacts.

The Company actively monitors the effectiveness of these measures, ensuring they continue to prevent potential risks from escalating and remain aligned with operational realities and evolving risks.

Opportunities Enables by the Preventative Actions

The preventive measures described above also enable the Company to pursue several strategic opportunities linked to its business model:

- **Increasing Operational Efficiency:** Ensuring safe and fair working conditions contributes to higher productivity and lower turnover among subcontracted workers, positively influencing project timelines, quality, and overall operational performance.
- **Maintaining Competitive Advantage:** Consistent application of labour and human rights standards across the value chain strengthens the Company's ESG credibility and market positioning. Supplier engagement through the BPCoC, combined with regular training for employees managing suppliers, enhances transparency and trust among investors, customers, and other stakeholders, translating responsible labour practices into a competitive advantage.
- **Promoting Sustainable Workforce Practices:** Over the long term, embedding labour and human rights expectations into supplier onboarding, contracting, and ongoing oversight supports the development of a stable and resilient value chain workforce. This approach supports long-term sustainability, reduces exposure to future regulatory and compliance risks, and enhances the Company's ability to adapt its business model to evolving labour and human rights expectations.

Implementation and Resourcing of Actions

GCP allocates targeted resources to support its action plans in managing the material impacts identified by the DMA on value chain workers:

- **Dedicated Teams:** GCP's Compliance, Know-Your-Business Partner, Operation and Construction teams collaborate to implement and enhance existing processes, integrating certain guidance from national and international standards and regulations. Strengthened due diligence procedures support early identification and mitigation of risks to workers' rights.
- **Technology and Tools:** Although supply chain documentation is currently managed largely manually, the ERP system has been updated to improve oversight. GCP is assessing additional supply chain management tools to further streamline engagement with business partners regarding the Company's Human Rights Policy and standards, ultimately strengthening compliance and reducing risks of workers' rights violation.

GCP's key actions to manage material impacts on value chain workers extend across its value chain and business relationships. The actions are part of the Company's ongoing operational activities and, therefore, do not have a defined completion date. Implementation is continuous and integrated into the Company's broader strategy.

In 2025, no severe human rights issues or incidents connected to workers in the value chain were reported to GCP.

Dedicated Resources

GCP does not currently track specific financial allocations for these actions at the level of detail required by this disclosure. The Company is reviewing its reporting processes to enable more granular disclosure in future reporting cycles.

The Company has currently not implemented further assessments or monitoring in how far these actions are effective in delivering the intended outcome for value chain workers.

S2-5 – TARGETS RELATED TO MANAGING MATERIAL NEGATIVE IMPACTS, ADVANCING POSITIVE IMPACTS, AND MANAGING MATERIAL RISKS AND OPPORTUNITIES

Table 37

Material Topics	Sub-topic	Long-term Targets	2025 Targets	2025 Progress	2026 Targets
Working Conditions	• Employment • Working times • Adequate wages • Health and Safety	Maintain zero human rights violations in the supply chain, and ensure the Company continues to have positive impacts on value chain workers' working conditions. Maintain our high standard of business partner scrutiny.	Review Business Partner Due Diligence Process for further improvement	Reviews of the BPCoC and the Business Partners Due Diligence were conducted. No need for further improvement was identified.	Maintain high standards of business partner scrutiny by means of continuous monitoring and consistent enforcement of the BPCoC and the HRDD process, ensuring that only positive material impacts on working conditions are achieved and maintained.

Since the Company's DMA identified only positive material impacts in relation to working conditions in the supply chain, both the short- and long-term focus is on maintaining GCP's high standards. The target of reviewing the BPCoC, which covers all four relevant aspects of working conditions, and the HRDD process applies across the supply chain and aims to ensure that business partners continue to adhere to the Company's requirements for appropriate and ethical working conditions.

This is a continuous target, designed to ensure that the Company can respond effectively should future gaps be identified or priorities change. Given that the DMA identified only positive material impacts, no material updates to this target or the related measures are currently anticipated in the next reporting period, subject to ongoing monitoring.

Target-setting involves multiple levels of engagement across the value chain. GCP defines its targets based on the DMA, regulatory developments, and stakeholder feedback. While direct engagement with workers in the value chain or their representatives is not yet a formalised step; insights are gathered through structured tools such as the Business Partner Questionnaire, which helps to evaluate suppliers and business partners on their adherence to ethical and compliance standards. Please see ESRS 2 GOV-1 for more information.

During the review and assessment of the BPCoC and the HRDD in 2025, no material gaps were identified.

ESRS S3 Affected Communities

INTRODUCTION

GCP recognises that its operations influence not only its tenants, but also the broader communities surrounding its properties, who may be directly or indirectly affected. The Company therefore adopts a holistic approach to fostering positive social outcomes within the neighbourhoods where it operates.

GCP's recently updated Community Involvement and Development Guidelines define the Company's overarching approach to community engagement. They outline its commitment to promoting sustainable neighbourhood development, maintaining transparent communication, and supporting local initiatives, including through the GCP Foundation.

This disclosure presents GCP's approach and ongoing efforts to identify, manage, and address its impacts on affected communities, with a focus on maintaining a responsible balance between economic performance and social contribution.

High-Level Overview of Disclosure	
Standard	**Indicator**
ESRS S3 Affected Communities	S3. SBM-2 – Interests and views of stakeholders
	S3. SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model
	S3-1 – Policies Governing Affected Communities
	S3-2 – Processes for engaging with affected communities about impacts
	S3-4 – Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions
	S3-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

IROs or datapoints that were identified as immaterial to GCP are not covered in this report. In some cases, GCP makes use of the phase-in provisions (in accordance with Appendix C of ESRS 1) and is committed to disclosing these datapoints in the coming years.

S3. SBM-2 INTERESTS AND VIEWS OF STAKEHOLDERS

For a more detailed overview of how stakeholder interests and views are integrated into decision-making, refer to ESRS 2, section SBM-2.

S3. SBM-3 MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL

Table 38

Material Sustainability Matters Covered in ESRS S3					
Sub-topic	**Sub-sub-topic**	**Materiality (impact/ financial/ double)**	**Categorisation IRO**	**Localisation of IRO**	**Time horizon of IRO**
Communities' economic, social and cultural rights	Adequate housing	Double	Positive impact/ Opportunity	Own operations and Value chain (downstream)	Short-term/ Long-term

Engagement with Stakeholders: Understanding Interests and Perspectives

GCP recognises the importance of stakeholder engagement in shaping its business model and sustainability strategy. Maintaining open and continuous dialogue with affected communities, tenants, local authorities, and business partners allows the Company to align its operations with stakeholders' expectations and societal needs.

In line with ESRS 2 requirements, GCP ensures that all affected communities likely to experience material impacts from its activities are included within the scope of its disclosures. This comprehensive approach considered communities impacted through the Company's own activities, as well as those affected by its value chain, services, and business relationships. Materiality is assessed based on environmental, social, and economic factors to identify and mitigate potential risks while enhancing positive contributions.

Types of Affected Communities and Potential Impacts

Given GCP's core business activities in residential real estate, particularly the provision of affordable housing in densely populated areas across Germany and London, the key affected communities include:

- **Residents and Tenants:** GCP's tenants, Low-income individuals (including those eligible for social housing) and middle-class residents.
- **Local Communities:** Neighbouring residents, small businesses and retail operators within the neighbourhoods of GCP's assets, who depend on stable housing markets and reliable local infrastructure.
- **Public Authorities and Local Organisations:** Entities involved in or reliant on public facilities and urban services that may be influenced by GCP's developments.

Although GCP has not identified any significant material upstream impacts, the Company acknowledges that certain supply chain activities - such as material sourcing, logistics, and waste management - may indirectly affects communities located near supplier facilities, waste sites, and urban regeneration areas. As part of its responsible business practices, GCP continues to assess these potential impacts and explore appropriate mitigation strategies.

Material Impacts

Following an extensive Double Materiality Assessment ("DMA") conducted in 2024 and reviewed again in 2025, to affirm its continuous relevance, GCP and its stakeholders determined that the Company's primary impacts on affected communities are predominantly positive - particularly in relation to the provision of non-luxury and affordable housing. As no material negative impacts or risks were identified during this assessment, GCP does not report any material negative impacts for the current reporting period.

GCP's continuous alignment of its business operations with the needs of local communities contributes to positive social and economic outcomes. As highlighted in the DMA, the Company supports the development of resilient, inclusive, and sustainable communities through its housing initiatives, infrastructural investments, and sustainability-driven projects.

For more information on interests and views of stakeholders, including affected communities, please see ESRS 2 section SBM-2.

Housing Access and Affordability

GCP plays an important role in improving access to affordable housing solutions across its markets. In the United Kingdom, the Company collaborates with a third-party organisation that coordinates with local authorities, housing associations and charities to provide safe and affordable accommodation for low-income households, including those in temporary or emergency housing. In Germany, GCP complies with the German Housing Allowance Act (*Wohngeldgesetz*), which supports access to subsidised housing for eligible residents.

Property Management and Infrastructure Improvement

GCP's property management and refurbishment activities contribute to community development by generating employment opportunities and promoting sustainability. Investments in construction and renovation projects support local contractors, service providers, and workers, thereby strengthening the local economy.

Sustainability-focused initiatives, include energy efficiency upgrades, reduction of GHG emissions, improvement of air quality, and promotion of resource conservation.

Assessing Housing Affordability: GCP's Approach to Rental Cost Burden*

To better understand the affordability of its properties, GCP has developed a "rental cost burden" metric, modelled on Eurostat's housing cost overburden rate. Within its managed German Portfolio, GCP's compares its median rent levels against the net minimum wage salary in Germany after taxes, health insurance, and social security contributions. This approach provides a conservative benchmark that reflects the circumstances of lower-income portion of the population, which is the most sensitive to rent affordability. The metric distinguishes between net rent, which is determined by the Company, and the "warm rent", which includes service charges beyond GCP's control.

The vacancy rate within GCP's German portfolio also serves as an additional indicator for assessing the overall affordability of its assets.

All metrics are guided by regulatory requirements, economic and market analyses, and undergo internal validation by relevant departments, including the Rent Control and Increase Department, and Compliance Department.

(*) In previous years the company assessed affordability through analysis of modernisation cost allocations through rent increases. This has been removed this year as it does not convey meaningful information since even though there are a few cases of modernisation measures and rent increases falling under section 559 of the German Civil Code these are too small in number to be considered a material focus of the Company's business strategy.

Risks and Opportunities Arising from Impacts and Dependencies on Affected Communities

GCP recognises the risks and opportunities arising from impacts and dependencies on affected communities and proactively works towards achieving positive outcomes.

Potential Risks:

The Company could face operational risks such as potential community resistance to development projects. Local residents and stakeholders may raise concerns about gentrification, pressure on local infrastructures or strain on social services such as transportation, healthcare, and community services. Such objections could result in project delays, increased costs, or reputational risks. However, through proactive engagement, transparent communication and alignment with local priorities, the likelihood of these risks materialising remains low across GCP's operations.

Socially vulnerable groups - including elderly residents, disabled individuals, and low-income households - may face affordability challenges, especially during periods of broader economic hardship, which could result in higher vacancy rates.

While there is no significant evidence of such adverse effects, as demonstrated by the Company's assessment parameters, such as the median net rent remaining affordable on a single minimum wage income (see section S3-4). The Company applies targeted mitigation strategies to preserve affordability and maintain high rent retention rates. For further details, see subsections *Housing Access and Affordability* as well as *Assessing Housing Affordability: GCP's Approach to Rental Cost Burden*.

Local market dynamics, including shifts in property values may also pose challenges to achieving business objectives. To address it, GCP positions itself as a responsible operator by advancing innovative affordable housing solutions and ensuring that its modernisation and development strategies remain highly targeted and socially inclusive.

Opportunities:

GCP identifies opportunities to expand successful community initiatives to additional locations, integrating sustainable technologies and new housing solutions tailored to evolving community needs. Strengthened relationships with tenants and local organisations, and public authorities enhance GCP's ability to align its activities with community priorities, driving long-term success. For a detailed overview of actions and resources dedicated to mitigating adverse community impacts, please refer to section S3-4.

Understanding Communities at Greater Risk of Harm

In addition to insights from the DMA, GCP enhances its understanding communities at greater risk of harm through ongoing affordability evaluations and impact assessments of construction or renovation projects.

The Company has identified low-income communities as particularly vulnerable to affordability challenges arising from rent increase. This assessment is supported by operational data and targeted affordability analyses within GCP's German portfolio (see subsection *Assessing Housing Affordability: GCP's Approach to Rental Cost Burden*.

Through regular engagement with residents, local authorities, and community organisations, GCP also recognises the potential temporary disruptions in the activities of residents and small businesses located near construction sites, such as reduced accessibility and temporary declines in customers' patronage during renovation works.

Ensuring access to adequate and affordable housing for all community members, especially low-income tenants and social housing residents, remains GCP's most material opportunity regarding affected communities. The Company pays special attention to affordability needs in lower-income areas. In that sense, its positive impact is most significant for these vulnerable groups.

S3-1 - POLICIES GOVERNING AFFECTED COMMUNITIES

Table 39

Policy Title	Short Description
Community Involvement and Development Guidelines	Outlines GCP's commitment to make a positive impact in the local communities where it operates and improve the wellbeing of its tenants and stakeholders, by addressing key areas such as community engagement, neighbourhood development, social contribution and transparent communication.
Human Rights Policy	Ensures respect for fundamental human rights, covering rights such as the right to equality, safe work environment, fair remuneration (e.g. minimum wage) and working conditions, respect for personal dignity, freedom from discrimination and harassment, as well as right to privacy, rest and leisure.

Key Contents and Scope of the Policies

Last year, GCP updated its Community Involvement and Development Guidelines ("Guidelines"), outlining the Company's commitment to fostering positive social impact and enhancing the well-being of tenants and local stakeholders. The Guidelines are structured around the following pillars: community engagement, neighbourhood development, regular materiality assessment and reporting on social impacts, and social contributions through the GCP Foundation. It reflects the Company's dedication to social responsibility and sustainable urban development, contributing to social inclusion, economic empowerment, and environmental resilience in the locations where it operates. The Guidelines apply across all of GCP's operations, subsidiaries, and affiliated companies, to the extent that these companies adopt the Guidelines as binding. The Guidelines are binding for all personnel, including officers, apprentices, and governing bodies, ensuring that community engagement and well-being considerations are fully embedded in the Company's decision-making processes. While the Guidelines address a broad range of community-related concerns, they do not include provisions for preventing and addressing impacts on indigenous peoples, as GCP does not operate in regions where indigenous communities reside.

For details on GCP's Human Rights Policy, refer to section S1-1.

Governance and Accountability for Policy Implementation

The ESG Committee is responsible for overseeing the implementation and management of the Community Involvement and Development Guidelines, ensuring alignment with the Company's broader sustainability governance framework and ensures adherence at the highest level of oversight.

Through these Guidelines, GCP demonstrates its commitment to the UN Sustainable Development Goals by integrating sustainable and socially responsible practices into its operations, generating long-term socio-economic benefits, and contributing to inclusive, resilient community development.

In setting and applying the Guidelines, GCP considers the interests of key stakeholders as follows:

- **Residents and Tenants:** The Company prioritises social responsibility, human rights, and inclusive engagement to improve wellbeing.
- **Local Communities:** The Guidelines support sustainable neighbourhoods through investment in infrastructure, social amenities and initiatives to address community needs.
- **Local Organisations:** Through the GCP Foundation, the Company collaborates with local organisations to support vulnerable groups and advance community-based development projects.
- **Public Authorities:** GCP collaborates with government bodies to improve communal infrastructure and local services, ensuring that its developments contribute positively to the wider urban environment.

The Guidelines are publicly available on GCP's website, as well as in the Company's intranet. Further information about community-related initiatives is regularly shared through Service Centres, property managers and neighbourhood meetings, ensuring that residents remain informed and engaged in local activities and development opportunities.

S3-2 – PROCESSES FOR ENGAGING WITH AFFECTED COMMUNITIES ABOUT IMPACTS

Integrating Community Perspectives into Decision-Making

GCP ensures that the perspectives of local communities are integrated into its decision-making processes through early-stage consultations with stakeholders during property acquisitions, construction projects, and refurbishment activities. This proactive approach enables the Company to identify and address potential concerns, ensuring that developments are socially inclusive and well-received by the communities they affect.

Beyond formal consultations, GCP maintains several channels through which affected communities can express their views and concerns, including:

- **The Customer Service Centre:** Providing a direct line of communication for tenants.
- **The Whistleblowing System:** Allowing community members to report issues confidentially and anonymously.
- **Property management feedback mechanisms:** Enabling tenants and local businesses to share inputs on housing conditions and service performance.
- **Tenant engagement initiatives:** Facilitating ongoing dialogue between GCP and its residents.
- **The Company's Public Relations Department:** Serving as a contact point for media, local representatives and public authorities.

At the corporate level, the ESG Committee, with support from the Head of Sustainability, ensures that community perspectives are systematically considered in GCP's strategic decision-making and sustainability agenda.

As noted earlier, the DMA conducted in 2024 – and reviewed in 2025 - did not identify any material negative impacts on affected communities. As a result, GCP does not report any remediation processes or additional grievance channels for this reporting period.

S3-4 – TAKING ACTION ON MATERIAL IMPACTS, RISKS AND OPPORTUNITIES RELATING TO AFFECTED COMMUNITIES

GCP takes proactive measures to prevent, mitigate, and, where necessary, remediate material negative impacts on affected communities.

GCP adheres to regulated safety standards and conducts regular maintenance to ensure safe and well-maintained living environments. Energy efficiency upgrades are implemented to minimise disruptions while enhancing sustainability of the Company's properties. Tenant concerns are addressed through standardised procedures, ensuring timely and effective responses. These actions reflect GCP's commitment to balancing operational improvements with the well-being of the communities it serves.

Before undertaking major renovation or construction projects, the Company conducts proactive community engagement and targeted renovation planning, designed to minimise disruptions. Furthermore, GCP collaborates with municipalities and community organisations to enhance social integration, economic resilience and positive environmental impacts in its areas of operation.

These actions are part of the Company's ongoing operational activities and broader strategy, therefore, do not have a defined completion date. The scope of GCP's key actions covers all residential properties under management, including tenant well-being initiatives, affordability programmes, and infrastructure upgrades.

Key Results from Addressing Material Impacts

GCP's commitment to affordability and community wellbeing is reflected in measurable outcomes:

- The median warm rent in GCP's German properties remained stable at 38% of net minimum wage income in both 2024 and 2025. This figure is below Eurostat's housing cost "overburden" rate of 40%, described in the subsection on *Assessing Housing Affordability: GCP's Approach to Rental Cost Burden*.
- The net rent portion (excluding service charges) remained stable at 24% of the net minimum wage in 2025.

Through the Company's cooperation with a leading organisation of accommodation services in London, UK, GCP was able to provide safe, secure and affordable accommodation to tenants in need. The organisation collaborates with local authorities, housing associations and charities to offer temporary and emergency accommodation in all boroughs of London.

Ensuring a Positive Community Impact

GCP considers its overall impact on affected communities to be positive and recognises this as an ongoing opportunity to strengthen its social contributions. The Company maintains proactive relationships with affected communities through transparent communication, structured support programmes, and measures to minimise disruptions during construction and renovation (such as managing noise, dust, and providing alternative access routes as needed).

The Company ensures accessible and effective remediation processes, including service centres and structured complaint resolution processes. Where appropriate, GCP provides additional support, such as rent waivers or alternative housing solutions, maintaining housing stability for residents. Regular performance reviews and stakeholder engagement further support continuous improvement in mitigating potential community impacts.

To ensure that its practices do not cause or contribute to material negative impacts, GCP engages with local authorities during construction projects, as required by the permitting process, and complies with all legal and regulatory requirements, ensuring full alignment with urban planning and housing laws.

In 2025, no severe human rights issues or incidents connected to affected communities were reported to GCP.

Resource Allocation for Community Initiatives

GCP allocates financial and human resources to managing material impacts related to affected communities in line with its Community Involvement and Development Guidelines.

Currently, the resources dedicated to adequate and affordable housing include GCP employees within our Operations Department and the tenant Service Centre, who are responsible for tenant engagement and for monitoring the rent cost burden metric.

GCP's financial contributions to community engagement and development are primarily channelled through the GCP Foundation, which in 2025 invested approximately €360,000 in a wide range of initiatives. These investments supported youth education, cultural events, social welfare programmes, and infrastructure enhancements, benefiting children, low-income families, and vulnerable populations.

Overall, GCP's resource allocation reflects a strategic and proactive approach to enhancing positive impacts in affected community, ensuring long-term sustainability and social cohesion in the neighbourhoods where it operates.

S3-5 – TARGETS RELATED TO MANAGING MATERIAL IMPACTS, RISKS AND OPPORTUNITIES

GCP acknowledges the importance of tracking the effectiveness of its policies and actions in relation to material sustainability-related impacts, risks, and opportunities. While the Company has not formally adopted specific targets on the topic of provision of adequate housing, it has formulated a target in relation to the GCP Foundation's annual spending which is up to €500,000 per annum.

Furthermore, it actively monitors progress of its targets through internal assessments and reporting, as well as stakeholder engagement mechanisms, ensuring its initiatives on affected communities are aligned with its strategic objectives.

ESRS S4 Consumers and End-Users

INTRODUCTION

GCP recognises tenant satisfaction as a cornerstone of its ESG strategy and a critical driver of business success. As one of Europe's leading real estate providers, GCP prioritises fostering strong relationships with its tenants by providing accessible, reliable, and high-quality customer services. Central to this commitment is the GCP Service Centre, which operates 24/7 for emergencies and provides support during regular business hours on working days. This service is complemented by the GCP Tenant App & Portal for desktop users, a digital platform that empowers tenants to communicate directly with GCP, manage inquiries, and access self-service options with ease. The app also provides updates on tenant-specific services, including community events and an exclusive loyalty programme. GCP's Tenant Satisfaction Guidelines outlines its approach to customer engagement, ensuring that inquiries are met with professionalism and care. These efforts underscore GCP's dedication to creating a positive and inclusive living environment for all its tenants.

This section focuses on material impacts related to tenant privacy and access to quality information. It highlights the implementation of effective measures to safeguard tenant data through compliance with the General Data Protection Regulation ("GDPR"), alongside collaboration with IT providers and contractors to uphold high standards of information security.

The Company has established procedures to safeguard the confidentiality and integrity of management information and data, encompassing both internal operations and the protection of our consumers and end-users, i.e our tenants and potential tenants(*).

IROs or datapoints that were identified as immaterial to GCP are not covered in this report. In some cases, GCP makes use of the phase-in provisions (in accordance with Appendix C of ESRS 1) and is committed to disclosing these datapoints in the coming years.

Furthermore, in alignment with the GDPR and its evolving requirements through 2025, we have implemented comprehensive measures, including mandatory awareness training on GDPR.

High-Level Overview of Disclosure

Standard	Indicator
ESRS S4 Consumers and End-users	S4. SBM-2– Interests and views of stakeholders
	S4. SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model
	S4-1 – Policies related to consumers and end-users
	S4-2 – Processes for engaging with consumers and end-users about impacts
	S4-3 – Processes to remediate negative impacts and channels for consumers and end-users to raise concerns
	S4-4 – Action plans and resources to manage its material impacts, risks, and opportunities related to consumers and end-users
	S4-5 – Targets set to manage material impacts, risks and opportunities related to consumers and end-users

(*) when referring to consumers and end-users in this section, we refer to tenants and/or potential tenants of GCP. However, to follow the language of the ESRS, consumers and end-users is used interchangeably with tenants or potential tenants.

IROs or datapoints that were identified as immaterial to GCP are not covered in this report. In some cases, GCP makes use of the phase-in provisions (in accordance with Appendix C of ESRS 1) and is committed to disclosing these datapoints in the coming years.

Table 40

Material Sustainability Matters Covered in ESRS S4					
Sub-topic	**Sub-sub-topic**	**Materiality (impact/ financial/ double)**	**Categorisation IRO**	**Localisation of IRO**	**Time horizon of IRO**
Information-related impacts for consumers and/or end-users	Privacy	Double	Positive Impact /Risk	Own operations, value chain (downstream)	Short-term / Long-term
	Access to (quality) information	Double	Positive Impact /Risk	Own operations, value chain (downstream)	Short-term / Long-term

S4. SBM-2 INTERESTS AND VIEWS OF STAKEHOLDERS

For more information on interests and views of stakeholders, including consumers and end-users, please refer to section ESRS 2 SBM-2 in the report.

S4. SBM-3 – MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL

Linking Material Impacts to Strategy and Business Model

The material impacts GCP identified in its Double Materiality Assessment ("DMA") are privacy and access to quality information, both of which are directly linked to GCP's business model and strategy as a real estate company. Relying on continuous tenant interaction through digital platforms, the Service Centre, and property-manager engagement, GCP's operations requires extensive data processing and frequent information exchanges, making data protection and clear communication inherent to the Company's business model.

These impacts in turn directly inform strategic decisions: they drive investments in information security, GDPR compliance processes, tenant communication tools, and employee training. Similarly, insights from identified risk areas, including the needs of digitally excluded and elderly tenants, also influence how engagement channels and communication practices are designed. As a result, the IROs identified through the DMA actively shape the ongoing development of GCP's digitalisation, customer-care processes, and risk-management framework.

Inclusion of Consumers and End-Users in GCP's Sustainability Disclosures

GCP ensures that all consumers and end-users who may experience material impacts from its operations are included within its ESRS 2 disclosures. As a residential real estate company, GCP identifies tenants as the primary end-users of its properties and services.

Types of Consumers and End-Users Affected by GCP's Operations

GCP recognises that its operations and value chain influence a broad range of consumers and end-users. The two key groups impacted include:

- Residential Tenants, who engage with GCP for housing and associated services.
- Prospective Tenants, interacting with GCP during application processes.

Material Negative Impacts on Tenants

GCP has identified only positive impacts on consumers and end-users related to privacy and access to quality information, as outlined in the DMA. Nevertheless, the Company recognises that certain non-material negative impacts may still arise as part of its day-to-day operations, particularly in connection with the processing of tenant information and the need to ensure timely, accurate and accessible communication.

GCP has not identified material impacts related to harmful products or services, freedom of expression, non-discrimination, vulnerabilities to health risks, or marketing impacts—including those affecting children and financially vulnerable individuals.

Activities With Positive Impacts on Tenants

The DMA identified positive impacts related to tenant privacy and access to quality information, and GCP pursues several activities that enhance these positive outcomes for tenants. GCP actively works to enhance privacy safeguards and ensuing access to accurate information through transparent communication on building-related questions, structured work processes and policies regarding privacy, including grievances, personal data, and consumption data. These positive impacts are realised through two main channels:

- **Direct Operations:** Positive impacts are primarily observable among tenants, where the GCP Tenant App and Portal improve access to essential tenancy information and service requests. These tools enhance transparency and convenience, particularly benefiting tenants who prefer digital communication. At the same time, the availability of 24/7 multilingual support through the Service Centre ensures that tenants can access reliable information and resolve issues without delay. For elderly residential tenants or digitally excluded individuals, GCP's continued use of physical documentation and in-person consultations provides an accessible alternative, reducing the feasibility of missing important updates and improving overall service experience.
- **Value Chain:** Partnerships with IT providers and service contractors to ensure secure data management and reliable information dissemination. These partners apply standardised security controls and GDPR-compliant processes across all systems used in tenant interactions, strengthening overall data protection. They also support the accuracy and consistency of information shared with tenants by maintaining stable digital infrastructures and ensuring timely delivery of service-related updates.

Understanding Consumer and End-User Risks and Opportunities

GCP has identified key material risks arising from its impacts and dependencies on consumers and end-users:

- **Privacy:** This risk is linked to the Company's reliance on the day-to-day processing of tenant information across leasing, maintenance and engagement activities. While incidents remain limited, any weakness in data handling or information security could trigger GDPR-related consequences, including regulatory, legal costs and required remediation. Such events may also erode tenant trust, leading to increased complaints, reduced satisfaction and potential challenges in maintaining stable tenant relationships, which can translate into additional operational impacts for the business.
- **Access to (Quality) Information:** This risk arises because GCP's service model depends on the timely, accurate and accessible communication of tenancy-related information through digital platforms, the Service Centre and property-manager interactions. When information is incomplete, delayed or unclear, tenants may experience misunderstandings or service gaps that could escalate into disputes or formal complaints. These situations may lead to reputational effects or legal exposure, while also impacting tenant satisfaction and continuity, which in turn can influence operational performance across the portfolio.

As part of the DMA process, no material opportunities have been identified in relation to privacy and access to information.

Specific Groups of Consumer and End-Users

GCP has identified risks to specific tenant groups, such as low-income and digitally excluded individuals, through targeted surveys, feedback channels, and property manager insights. To mitigate these risks and enhance tenant well-being, GCP implements tailored solutions, including alternative communication methods like in-person support and physical documentation for those with limited digital literacy or reliance on non-digital channels.

Engagement and Understanding of Specific Consumers and End-Users Groups

GCP's approach to tenant engagement is multi-faceted, incorporating digital platforms, in-person events, and feedback mechanisms such as surveys and complaint resolution processes.

Through these different engagement channels, the Company has gained insights into how consumers and end-users with specific characteristics, operating in particular contexts or engaging in certain activities, may face heightened risk. It results that low-income residential tenants and digitally excluded individuals, such as elderly tenants who predominantly rely on physical documentation, are especially at risk. These groups face higher risks in privacy breaches or missing key updates, prompting in-person support and physical communication rather than digital channels. In particular, limited digital literacy can increase the likelihood of mishandling personal information or misunderstanding digital consent processes, making these tenants more vulnerable to inadvertent privacy breaches. Similarly, limited access to or familiarity with digital communication channels can result in tenants overlooking key updates related to their tenancy, maintenance works, safety instructions, or policy changes, increasing the risk of missed information.

S4-1 – POLICIES RELATED TO CONSUMERS AND END-USERS

GCP has implemented comprehensive policies addressing tenant privacy and information access. These are:

Table 41

Policy Title	Short Description
Data Protection Policy	Defines governance structures for GDPR compliance, ensuring secure collection, storage, and processing of tenant data. It enforces access controls, encryption protocols, and breach notification mechanisms to uphold data security and privacy best practices. It applies to all consumers and end-users whose personal data is processed by GCP, ensuring strict adherence to GDPR and other relevant data security regulations. This policy covers all consumers and end-users.
Business Partner Code of Conduct	Guide to managing business matters in an ethical way across the value chain. All information from business relationships is subject to strict confidentiality and may only be used to carry out the required activity. Personal data of tenants/customers, employees, and other involved parties must be handled confidentially, protected under applicable laws and the GDPR, and not made accessible to unauthorised parties. After the service is completed, all information and documents must be returned or deleted, where legally permissible.
Tenant Satisfaction Guidelines	The guidelines outlines how we monitor satisfaction in order to understand performance, address any issues and ensure the continuous improvement of our approach. The Tenant Satisfaction Guidelines structures tenant engagement, service quality monitoring, and satisfaction tracking. It defines key performance indicators ("KPIs") for response times, complaint resolution, and service improvement to enhance tenant experience. It applies to all tenants throughout their tenancy, emphasising service excellence and continuous engagement.
Human Rights Policy	Ensures respect for tenant human rights, including protecting their privacy through secure handling of personal data and preventing any form of discrimination.
Global Information Security Policy	Sets out the framework for safeguarding the Company's information and data assets. It covers governance, roles, and responsibilities, and defines security controls across areas such as access management, data classification, physical security, network and system protection, encryption, monitoring, incident response, and third-party engagements. The policy emphasises different security and privacy principles, among them promoting continuous improvement in information security systems and regularly evaluating current and potential information security threats to enable informed and timely mitigation actions. Applying to the entire workforce, the policy establishes personal responsibility for information security across the entire Company (e.g., reporting security incidents). By applying these measures, the policy ensures the confidentiality, integrity, accuracy, consistency and availability of Company information while complying with legal and regulatory requirements.

GCP has established a comprehensive policy framework to uphold ethical business practices, safeguard data privacy, ensure transparency and enhance tenant satisfaction. These policies align with global standards to reinforce compliance and trust across all stakeholders and take into account material impacts, risks and opportunities identified during our DMA process.

The Daily Management and Chief Compliance Officer are responsible for overseeing the implementation and enforcement of the Human Rights Policy and the BPCoC while the Chief Information Security Officer ("CISO") is responsible for GDPR compliance, data security governance, and IT risk management, ensuring protection of tenant data, and the Chief Operations Officer ("COO") of GCP's German Operations leads the Tenant Satisfaction Guidelines, driving service excellence and tenant engagement initiatives.

Global Frameworks and Standards Informing GCP Policies

GCP's policies align with international frameworks, including the UN Guiding Principles on Business and Human Rights and GDPR standards, ensuring robust protection for all tenant interactions.

The quality of GCP's Customer Service Centre has also been validated through the certification by TÜV Nord for Quality Management and Service Quality. In line with these commitments, GCP also prioritises stringent data protection and cybersecurity measures to safeguard tenant and corporate information. The GDPR sets principles for data privacy, security, and user rights protection, while ISO 27001:2022 offers structured approaches for data protection and cybersecurity risk management. The ISO 27001:2022 certification for our Information Security Management System ("ISMS") at our headquarters in Berlin was maintained for a fourth consecutive year in 2025. The scope of the certification applies to our head office, while the scope of the implementation applies to all local and international offices where all relevant policies and procedures apply in the same way. For operational reasons, all digital information flows through Berlin, making this the most material location to focus our certification efforts.

In 2025, GCP reported zero incidents human rights violations or incidents that are in non-compliance with Company policies in relation to its consumers and end-users. These are based on international frameworks of the UN Guiding Principles on Business and Human Rights, the ILO Declaration on Fundamental Principles and Rights at Work, the OECD Guidelines for Multinational Enterprises. For further details, please refer to section S1-17 in this report.

S4-2 – PROCESSES FOR ENGAGING WITH CONSUMERS AND END-USERS ABOUT IMPACTS

Tenant Engagement and Data Protection Practices

GCP places a strong emphasis on tenant engagement, ensuring that tenant perspectives are actively integrated into its decision-making process through various communication channels. Tenant engagement occurs throughout the tenant lifecycle, from initial inquiry to post-tenancy feedback, through proactive, reactive, and interactions.

Tenants and prospective tenants can contact GCP via four main methods:

- Email and postal services
- 24/7 multilingual Service Centre for emergencies, with regular phone support Monday to Thursday from 8:00–17:00 and Friday from 8:00–15:30
- GCP's business chat via mobile phone or the GCP Tenant App
- In-person consultations with property managers, which can also be booked through the Tenant App

To improve efficiency, the GCP Tenant App & Portal facilitates communication, providing tenants with direct access to customer service, community event updates, and tenant-specific services - including apartment search, account balance, rent payments, official documents, service requests. Since early 2025, tenants are actively guided to the GCP App from the moment a lease agreement is concluded, where they can register and sign their lease digitally. In addition, the App offers extended self-service functionalities, allowing tenants to independently download rent certificates and rent-debt-free certificates. Tenant feedback, satisfaction surveys, and direct interactions inform GCP's approach to managing privacy, information access, and overall tenant experience. Callers to the Service Centre are informed about GCP's data privacy regulations at the beginning of each call and directed to further resources on the Company's website. While calls are not recorded, tenants can choose to accept or decline monitoring for training purposes.

GCP also prioritises employee awareness regarding data protection. Regular training sessions on GDPR compliance and data protection policies are provided to Service Centre and Property Management employees to ensure compliant behaviour. Beyond direct engagement, tenant representatives and property managers act as intermediaries, ensuring that tenant concerns are promptly escalated and addressed. This structured engagement approach enhances transparency, responsiveness, and service excellence across GCP's operations.

Operational Oversight of Tenant Engagement

Access to quality information is ensured through the joint responsibility of the COO of the German operations and the Head of Quality Assurance & Customer Care for tenant engagement at the highest operational level. They ensure that tenant feedback, supported by transparent access to information, informs GCP's overall strategy and service improvements. The Data Protection Officer ("DPO") ensures that tenant interactions comply with data privacy regulations, reinforcing GCP's commitment to GDPR compliance and ethical data management.

Assessing Effectiveness of Tenant Engagement

The effectiveness of tenant engagement is tracked through GCP's ticketing system, which monitors all requests across communication channels, including request types, resolution processes, and response times. Internal reviews ensure transparency and accountability. After a request is resolved via the Service Centre, tenants receive a survey evaluating friendliness, reachability, work quality, and resolution time.

In 2025, GCP was rated 4,54 (out of 5) for accessibility, 4,56 (out of 5) for the service of the staff, and 4,5 or above in all other aspects (friendliness service provider 4,62 (out of 5), quality of work 4,51 (out of 5) and time to resolve 4,5 (out of 5). Our target is to continue to improve our score across all areas aiming to maintain a minimum score of 4,6 in all aspects.

Insights from particularly vulnerable consumers and end-users GCP has identified specific tenant groups that may be vulnerable to information access and privacy-related risks, such as elderly tenants and those with limited digital literacy. To address this, GCP has implemented solutions, including alternative communication methods (physical documentation, in-person service) and dedicated support channels.

S4-3 – PROCESSES TO REMEDIATE NEGATIVE IMPACTS AND CHANNELS FOR CONSUMERS AND END-USERS TO RAISE CONCERNS

Remediation and Management of Material Impacts on Consumers and End-Users

GCP is committed to ensuring that all material negative impacts on tenants, particularly concerning privacy and access to quality information, are addressed effectively. The Company maintains a structured approach for identifying, assessing, and resolving these issues through governance structures and policies aligned with GDPR compliance and tenant engagement strategies.

When material negative impacts are identified, GCP acts immediately by strengthening security controls, enhancing tenant communication, and reinforcing internal training

programmes. These corrective measures ensure that tenants' rights to privacy and transparent information access are upheld.

We monitor potential security incidents and data protection breaches as an indicator of the effectiveness of our operational procedures. In 2025, there were no confirmed breaches, while two data protection incidents were reported. In the event of any confirmed incident, a response team is formed to immediately investigate the matter and recommend remedial actions to prevent a similar occurrence.

Channels for Raising Concerns and Support Access

GCP provides multiple channels through which tenants can raise concerns, as outlined in S4-2 – Processes for engaging with consumers and end-users about impacts.

To ensure the effectiveness of these engagement channels, reported concerns are integrated into GCP's ticketing system, where they are systematically tracked and addressed. Regular performance evaluations assess response times, resolution efficiency, and tenant satisfaction levels. Investments in digital platforms further improve accessibility, and ongoing customer service training ensures that tenant concerns are handled professionally and efficiently. The Company continuously reviews the effectiveness of its engagement channels through internal audits and performance tracking. These audits, alongside regular testing such as security drills, breach response exercises, and vulnerability analysis, serve to assess the efficiency of escalation procedures and robustness of our information security framework.

Additionally, GCP's whistleblowing system is also accessible to our tenants, who can report concerns confidentially and without fear of retaliation. The Company's Whistleblowing Policy safeguards tenants and stakeholders who report concerns, guaranteeing confidentiality and protection against retaliation. An independent third-party platform allows for anonymous reporting, ensuring transparency and ethical governance. This policy is reinforced through employee training programmes, which emphasise ethical conduct and consumer protection.

Tenant Awareness and Trust in Engagement Processes

GCP evaluates tenant awareness and trust in its reporting structures through multiple methods. Tenant feedback surveys, issued after interactions with the Service Centre, measure awareness of available support channels and the effectiveness of issue resolution. Direct engagement at community events provides further insights into tenants' experiences with raising concerns. Additionally, usage data from the GCP Tenant App & Portal is monitored to assess accessibility and adoption. These assessments inform ongoing improvements, ensuring that all tenants are aware of and trust the available reporting mechanisms.

S4-4 – TAKING ACTION ON MATERIAL IMPACTS ON CONSUMERS AND END- USERS, AND APPROACHES TO MANAGING MATERIAL RISKS AND PURSUING MATERIAL OPPORTUNITIES RELATED TO CONSUMERS AND END-USERS, AND EFFECTIVENESS OF THOSE ACTIONS

Managing Risks and Opportunities Related to Consumers and End-Users

GCP employs a structured approach to managing material risks and opportunities related to privacy and information access.

The Company mitigates these risks through:

- GDPR-compliant data protection measures.
- Tailored communication strategies for vulnerable groups, such as elderly tenants and those with limited digital literacy.
- A centralised customer relationship management system, designed to streamline and enhance customer engagement by improving processes such as letting, tracking leads, monitoring response times, and managing the status of customer requests with greater efficiency.

Under the independent oversight of the Data Protection Officer and our information security experts, compliance with GDPR and ISO 27001:2022 is ensured. In addition, key areas covered under our internal Global Information Security Policy include data protection and integrity, as well as information security-related business continuity management.

Our Information Security and Privacy Strategy is continuously evolving, and it's monitored by the Risk Committee. The strategy and management framework is led by our internal cybersecurity experts, who actively work with senior management through the Information Security Steering Committee, to ensure that data security is fully integrated into our risk management framework. In 2025, as part of our proactive approach to risk management, we conducted internal audits across our office branches. To further strengthen this framework, oversight also benefits from the expertise of a Director on the Board, Scot Wardlaw, who has deep knowledge in IT and cybersecurity. The core principles of GCP's Information Security Management System include confidentiality, integrity, availability, and security. Measures include data encryption, access controls, system resilience against cyber threats, and strict personal data protection protocols. Regulatory compliance, particularly with GDPR, is a priority, and employees undergo continuous training to reinforce awareness and best practices in data protection.

To maintain high security standards, all documents within GCP are labelled with an information security classification, with restricted files requiring password protection.

Employees sign a commitment to data protection upon joining the Company and are required to complete annual video-based training modules.

GCP employs the following measures to mitigate potential negative impacts:

- **Data Protection Measures:** Continuous updates to GDPR-compliant data handling protocols to prevent breaches and unauthorised disclosures.
- **Service Quality Improvements:** Improvements to the tenant app provide easy access to accurate, and timely information, complemented by 24/7 support through the Service Centre.
- **Training Programmes:** Regular employee training sessions on secure tenant data handling further reinforce preventive measures and promote best practices.

Key Actions to Address Material Impacts on Consumers and End-users

GCP's actions in relation to managing its material impacts, risks and opportunities related to consumers and end-users are outlined below. The scope of these initiatives covers all tenant interactions related to data, from rental agreements to service requests, across GCP's entire portfolio. As these actions are an integral part of GCP's operational framework, they do not have a fixed time horizon but are continuously developed and refined.

Table 42

Material Impacts, Risks and Opportunities in ESRS S4

Topic	Sub-topic	Key action
Information-related impacts for consumers/ or end-user	Privacy	• GCP's data protection and information security policies are aimed at preventing risks, strengthening compliance and creating trust with employees and tenants alike that their data and business information is handled securely. • Implementation of a Privileged Access Management System, which enforces multi-factor authentication, session recording, and access approval for external IT service providers to prevent unauthorized access to tenant data. • Adequate security procedures for saving and sharing information, all documents are labelled with an information security classification, from public to restricted, which requires password protection for the document, where applicable. • Encryption of sensitive tenant information to protect against unauthorised disclosure. • Continuous training for employees in handling tenant data.
	Access to (quality) information	• Providing clear and transparent communication channels such as through the 24/7 Service Centre and the app for our tenants, the GCP Tenant App. • Community engagement through property managers and neighbourhood meetings, ensuring that residents are informed about on-going projects. • Continuous development of tenant engagement platforms, including a feedback mechanism integrated into a centralised ticketing system.

The key actions presented in the table are directly linked to the impacts and risks identified in the DMA. For the privacy-related impact and risk, these actions collectively support secure and compliant processing of tenant information. In addition to mitigating privacy-related risks, they also create positive impacts by strengthening data protection practices and enhancing tenants' confidence in how their information is handled.

For the information-related impact and the risk the actions aim to ensure that tenants receive clear, timely and accessible information through multiple communication channels and structured engagement processes. These measures support both the positive impact of improving information transparency and the mitigation of risks associated with inadequate or unclear communication.

Taken together, these actions reinforce GCP's ability to protect tenant data, improve communication quality and provide reliable information flows. By embedding consistent privacy safeguards and structured communication practices across operations and the value chain, GCP not only mitigates the reputational and legal risks associated with data handling and information gaps, but also generates meaningful positive impacts for tenants. These include greater transparency, enhanced trust in the security of their personal information and improved access to clear and timely updates on building-related matters.

Remedies for Material Impacts

GCP takes every data protection and security incident of consumers and end-users with the utmost seriousness. Whenever a potential breach or data protection issue is reported, the data protection team is tasked to assess the situation. This team conducts a risk analysis to determine the root cause, evaluate any potential impact, and implement corrective measures to prevent recurrence.

GCP's approach is proactive and solution-oriented. Even in cases where no material impact is identified, the incident is analysed to identify underlying susceptibilities and to enhance the security and compliance posture. These learnings are systematically integrated into our policies, processes, and awareness initiatives to strengthen the overall data protection framework.

Collaboration with management, department heads and team leaders is a key aspect of the remediation efforts. Active engagement in the resolution process is important, ensuring that the necessary security improvements are implemented effectively within their teams. Establishing individual responsibilities for information security across the entire workforce further reinforces this culture and ensures accountability at all levels.

This collaborative approach not only enhances security awareness but also fosters a culture of continuous improvement and shared responsibility across the organisation.

Furthermore, transparent communication is prioritised to promote security and data protection awareness at all levels. For example, data protection and security best practices were highlighted in the organisation wide HR newsletter, further embedding a strong security mindset. By taking immediate action, conducting root cause analyses, and continuously improving the security measures, data privacy and security are turned into an essential part at the core of our operational integrity.

Enhancing Consumer and End-User Experience

GCP seeks to create positive tenant experiences through digital innovation and tenant engagement initiatives. Hybrid community events and interactive surveys foster trust and transparency, while investments in secure, user-friendly platforms provide easy access to tenancy information, maintenance updates, and privacy policies.

The GCP Loyalty Programme offers additional benefits, including shopping discounts for new tenants and loyalty points that can be exchanged against credit in the tenant account. In addition, vouchers or rent reductions partnerships with companies like Vodafone, O2, and Media Markt provide tenants with exclusive offers, while sustainability incentives encourage tenants to earn points for switching to renewable energy providers.

GCP measures the success of its engagement initiatives through multiple feedback mechanisms. The Service Centre receives and forwards tenant inquiries immediately while the operational team ensures processing of general inquiries within 24 hours. The GCP Tenant App facilitates real-time service requests and feedback collection, with ongoing updates improving accessibility and user experience.

Regular community events provide opportunities for direct interaction with property managers, offering insight into tenant satisfaction levels. Interactive surveys play a crucial role in gathering tenant opinions, while the grievance mechanism ensures tenants can report concerns confidentially. These channels support ongoing monitoring, allowing GCP to refine its initiatives and enhance service quality.

Identifying Appropriate Actions for Managing Material Risks

GCP identifies necessary actions through risk assessments, stakeholder engagement, and incident learnings. Annual evaluations of privacy risks involve scenario analysis and input from IT, compliance teams, and tenant representatives. Tenant surveys and feedback loops are systematically analysed to identify areas for improvement. Post-incident reviews ensure that mitigation strategies are continuously refined, while vendor due diligence ensures that all third-party service providers meet security and compliance standards. The Cybersecurity Team ensures that all third-party systems comply with our security standards before integration or data exchange.

When addressing specific material impacts, GCP follows a structured response protocols. In the event of a data breach, immediate containment and mitigation measures are activated. Proactive communication with tenants ensures early identification of systemic risks, while ongoing security assessments and employee training strengthen the Company's ability to prevent recurrence.

Ensuring Effective Remediation Processes

GCP's remediation processes are designed to be accessible, transparent, and continuously improving. Tenants can report concerns through multiple channels, including the Service Centre, Tenant App, and direct engagement with property managers. Feedback loops track the effectiveness of remedial actions, while insights from each incident inform policy refinements and security enhancements.

Regular testing and simulations, such as security drills and breach response exercises, assess the efficiency of escalation procedures. Independent oversight by the Data Protection Officer ensures compliance with GDPR and ISO 27001:2022, with findings used to strengthen security protocols and governance frameworks.

Mitigating Risks and Pursuing Material Opportunities

GCP mitigates tenant dependency risks through engagement, regulatory compliance, and ESG initiatives. Strong tenant communication is maintained across multiple channels, with continuous improvements in services. Regulatory compliance is ensured through proactive monitoring of housing laws, rent controls, and health and safety protocols, minimising legal risks. ESG initiatives, energy-efficient upgrades and community programmes, strengthen tenant relationships and increase market visibility, with impacts measured through energy efficiency ratings, ESG performance, and community feedback.

To address risks while at the same time seizing new opportunities, GCP considers Digital Transition a vital step in preparing employees for evolving tools, technologies, and work processes. The Company has developed and implemented an internal training course focused on the responsible and effective use of artificial intelligence ("AI"). The course is mandatory for all employees across the organisation and is designed to support the integration of AI into daily work routines while ensuring alignment with the legal and ethical requirements set forth by the EU AI Act. By combining practical skill development

with a strong emphasis on ethical considerations, the course reflects GCP's broader vision of fostering a digitally competent, resilient, and ethically responsible workforce. In addition, workshops have been conducted with employees to identify how AI can be used to improve productivity in their day-to-day tasks while brainstorming concrete approaches to integrating its use into their roles and procedures.

Ensuring Responsible Business Practices

GCP ensures that its business practices do not cause or contribute to material negative impacts by adhering to GDPR and maintaining strict data handling protocols. Regular training and audits reinforce compliance and mitigate potential risks. As of 2025, no severe human rights issues or incidents related to consumers and end-users have been reported.

Resources allocated to managing material impacts include dedicated personnel, financial investments, and technological infrastructure. The Data Protection Officer and tenant engagement teams oversee compliance and service quality, while IT infrastructure investments support cybersecurity initiatives. A centralised ticketing system ensures efficient tracking and resolution of tenant concerns.

Financial resources dedicated to action plans are part of the Company's regular operational activities and are therefore not monitored in such detailed granularity during the reporting year. The Company continues to review and improve its reporting processes to enhance transparency and provide further relevant disclosures where possible.

The following resources have been allocated:

Table 43

Resource Type	Description	Resource Allocation
Personnel	Includes dedicated roles responsible for managing material impacts	Dedicated roles such as the Data Protection Officer and tenant engagement teams
Financial Investment	Covers budgets allocated to support operational and compliance-related initiatives	Budgets allocated for IT infrastructure, employee training, and tenant satisfaction surveys
Systems	Refers to the technological infrastructure used to manage material impacts effectively	Centralised ticketing and tracking system to manage and resolve tenant concerns

S4-5 – TARGETS SET TO MANAGE MATERIAL IMPACTS, RISKS AND OPPORTUNITIES RELATED TO CONSUMERS AND END-USERS

All targets are related to the material topic of privacy, including the IROs identified in the DMA:

- Policies regarding privacy, e.g. with regards to grievances, personal data, consumption data
- Reputational or legal risk from not respecting privacy of consumers and end-users

Table 44

Long-term targets	2025 Targets	2025 Progress	2026 Target
Identify risks proactively, to detect and eliminate weaknesses before they can become threats.	Pass our recertification audits for ISO 27001:2022	Achieved.	Successfully complete surveillance audit for ISO 27001:2022 (certification valid until 2027).
Embed a culture of awareness and vigilance throughout our staff, through consistent and regular training.	Continuously promote cyber security on all different levels by introducing security champions across various departments, locations and verticals. Introduce a new "on the job" learning format aimed at making information security more accessible.	• Roll-up posters were put up in branches and HQ. • Phishing email campaigns were pursued. • Shared regular Information Security Communications via E-Mail. • New starters participate in an on-site "Welcome Day" including an information session on Information Security and Data Protection. • Security reminders are displayed on coffee machines. • The introduction of security champions has been postponed due to shifting internal priorities.	Remains the same.
Pursue continual improvement of the security of our digital systems.	Pursue continual improvement of the security of our digital systems.	A special bug bounty programme was introduced for all our external facing assets. Internal assessments on core applications were conducted, including but not limited to core financial systems, e-mail and identity, servers and more.	Remains the same.

Target Setting and Consumer Engagement in Performance Management

GCP's targets are designed to align with its key policies. These targets ensure compliance with GDPR, cybersecurity resilience, ethical governance, and tenant engagement. By embedding these objectives into its operational framework, GCP not only mitigates reputational and legal risks related to insufficient transparency or misuse of personal data but also creates positive impacts by strengthening tenant trust, fostering transparent consumer interactions.

GCP has defined one measurable target—the successful recertification of ISO 27001:2022. This ensures that the Company continues to uphold internationally recognised information security standards. In addition to this, GCP has set two qualitative targets focused on building a cybersecurity-aware culture among employees and continuously improving digital security systems.

Scope and Baseline of Targets

The Company's long-term targets encompass key aspects of cybersecurity and risk management. The first target focuses on proactively identifying risks to detect and mitigate weaknesses before they become threats. This includes maintaining ISO 27001:2022 certification through regular recertification and surveillance audits. The second target aims to foster a culture of cybersecurity awareness and vigilance among employees through consistent training and engagement initiatives. The third target is dedicated to the continuous improvement of digital security systems.

GCP defines its targets based on internal assessments, regulatory requirements, and stakeholder feedback. For further details on stakeholder engagement in the target-setting process, please refer to subsection *Setting Sustainability Targets* of section ESRS 2 GOV-1. The baseline year for these targets is 2024.

Timeframe and Progress Monitoring

The long-term targets apply from 2024 and beyond, reflecting GCP's long-term commitment to cybersecurity and consumer protection. Specific milestones and interim targets for 2025 and 2026 are outlined in the relevant tracking framework.

Consumer and End-User Engagement in Target Setting and Performance Monitoring

While tenants are not directly involved in setting formal targets, GCP gathers tenant insights through various engagement channels, including satisfaction surveys, property manager interactions, tenant events, the Service Centre, and digital feedback mechanisms. These inputs play a crucial role in shaping GCP's service improvements and operational adjustments. Furthermore, the Company's targets relate to broader operational priorities that are defined at the organisational level where tenants have little insight.

Tracking Performance Against Targets with Consumer Input

Tenants contribute to tracking GCP's performance through post-resolution surveys that evaluate the effectiveness of issue resolution and customer support. Additionally, interactive feedback channels integrated into the GCP Tenant App provide real-time insights into tenant satisfaction. The insights are assessed together with internal system checks and to evaluate progress and identify areas requiring improvement.

Consumer Input on Lessons Learned and Service Improvements

GCP targets for managing material impacts related to tenant privacy and access to quality information are regularly monitored and aligned with broader ESG goals. Tenant feedback gathered through surveys, the Service Centre and property manager interactions is analysed to identify recurring issues or information gaps. These insights inform refinements to communication practices, data protection training and service processes, and are considered when reviewing the effectiveness and ongoing relevance of GCP's privacy- and information-related targets.

GOVERNANCE INFORMATION

G1 Business Conduct

INTRODUCTION

GCP places strong emphasis on responsible corporate governance, exercised by the Board of Directors, the Risk and Audit committees, the Daily Management, and senior management, including department heads. The Company's sound governance practices are reflected in the high levels of investors' confidence, demonstrated by the successful placement of funds through major global investment banks. Among its shareholders and bondholders are leading international institutional investors, global investment firms and sovereign wealth funds.

GCP's governance framework is guided by international standards, including the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights. These principles shape the Company's policies, which include the Code of Conduct for Employees, the Business Partner Code of Conduct ("BPCoC"), the Whistleblowing Policy, the Human Rights Policy and more. These policies foster a culture of compliance, ethical behaviour, and inclusivity across GCP's operations and value chain. In 2025, these commitments were further strengthened through the implementation of new policies and policy updates as well as enhancements to targeted training programmes.

Although GCP is not subject to any mandatory corporate governance code or statutory provisions, it voluntarily adopts elements of leading frameworks. The Company is not required to comply with the 'Ten Principles of Corporate Governance' of the Luxembourg Stock Exchange or the German Corporate Governance Code, which apply primarily to listed companies incorporated in Germany. Nevertheless, GCP adheres to recommendations C.10 (pertaining to the Chair of the Audit Committee), D.8, and D.9 of the German Corporate Governance Code. More broadly, the Company's governance practices already align with many of the principles set out in these codes, while integrating ESG best practices across its operations.

GCP's efforts are closely connected to the United Nations Sustainable Development Goals, particularly Goal 16 (Peace, Justice, and Strong Institutions) and Goal 17 (Partnerships for the Goals). As a founding member of the United Nations Global Compact ("UNGC") Network Germany, one of the largest corporate sustainability initiatives, the Company's demonstrates commitment to strong corporate governance and responsible business conduct in line with the UNGC Ten Principles.

To ensure alignment with ESRS G1 requirements, GCP actively integrates stakeholder feedback into governance processes. Through structured engagement mechanisms, such as tenant surveys, employee feedback channels, and investor meetings, the Company remains responsive to the evolving needs of its diverse stakeholder base. In 2025, this engagement informed several governance enhancements, including updates to key Company policies such as the BPCoC and the Anti-Discrimination Policy.

High-Level Overview of Disclosure

Standard	Indicator
ESRS G1	G1. GOV-1 – The role of the administrative, management and supervisory bodies
	G1-1– Business conduct policies and corporate culture
	G1-2 – Management of relationships with suppliers
	G1-3 – Prevention and detection of corruption and bribery
	G1-4 – Incidents of corruption or bribery
	G1-6 – Payment practices

IROs or datapoints that were identified as immaterial to GCP are not covered in this report. In some cases, GCP makes use of the phase-in provisions (in accordance with Appendix C of ESRS 1) and is committed to disclosing these datapoints in the coming years.

Table 45

Material Sustainability Matters Covered in ESRS G1

Sub-topic	Sub-sub-topic	Materiality (impact/ financial/ double)	Categorisation IRO	Localisation of IRO	Time horizon of IRO
Corporate culture		Double	Positive Impact / Risk / Opportunity	Own operations	Short-term / Long-term
Protection of whistle-blowers		Impact	Positive Impact	Own operations	Short-term / Long-term
Management of relationships with suppliers including payment practices		Double	Positive Impact/ Risk	Value chain (upstream)	Short-term / Long-term
Corruption and bribery	Prevention and detection including training	Double	Positive Impact/ Risk	Own operations	Short-term / Long-term
	Incidents	Double	Positive Impact/ Risk	Own operations	Short-term / Long-term
Investor relations(*)	Access to capital	Double	Positive and negative impact/ Risk / Opportunity	Own operations and Value chain (upstream)	Short-term / Long-term
	Reputation	Impact	Positive Impact / Negative Impact	Own operations and Value chain (upstream)	Short-term / Long-term

(*) entity-specific sub-topic

G1. GOV-1 – THE ROLE OF THE ADMINISTRATIVE, MANAGEMENT AND SUPERVISORY BODIES

GCP's business strategy is underpinned by its strong commitment to ethical business conduct, effective corporate governance and high levels of transparency. Safeguarding the Company from reputational risks arising from error or misconduct is essential in sustaining its market standing. The Company's compliance framework seeks to embed principles of integrity, respect, performance, accountability, and sustainability across all its business activities. To uphold these governance standards, GCP ensures its Board of Directors and senior executives hold vast experience and skillsets in relevant business areas.

The Board of Directors acts in the best interest of GCP, maintaining independence from any conflict of interest. The Board consistently works towards the effective fulfilment of its remit and its adherence to the Company's corporate governance procedures on business conduct.

GCP has established an Advisory Board that provides guidance in the strategic decision-making process. The Daily Management also plays a key role in the day-to-day implementation of ethical business conduct across all levels of the Company and works with the Board as well as the Audit and Risk committees to address any identified issues. Strong collaboration with senior management, especially heads of departments, ensures effective communication of and adherence to the Company's compliance framework.

The Board of Directors has established an Audit Committee to uphold high corporate governance and transparency standards, as well as to provide guidance to the Board in fulfilling its responsibilities to the Company and its shareholders regarding the integrity of the accounting and financial process, internal control and risk management system and the effectiveness and adequacy of the Company's internal control and risk management system. In line with the same objective, the Board has also established a Risk Committee which supports the Audit Committee by monitoring aspects of the Company's internal control and risk management system.

The Company expects its directors and managers to set an example for outstanding leadership by embodying GCP's core values of mutual respect and clear communication, which contributes positively to commercial performance and staff engagement. GCP maintains a horizontal organisational structure that fosters transparent and regular feedback between employees and managers. Furthermore, the Employee Code of Conduct sets clear expectations for openness, trust, teamwork, and respect for diversity in all interactions with colleagues, tenants and other stakeholders. Adherence to the Employee Code of Conduct is mandatory under all employee contracts.

As mentioned above, the Company provides a detailed overview of the expertise of the members of the Daily Management and also the Board of Directors in section ESRS 2 GOV-1 of this report.

G1-1– BUSINESS CONDUCT POLICIES AND CORPORATE CULTURE

Corporate Culture on Ethical Business Conduct

GCP's corporate culture is built on strong governance, ethical business practices, and transparency. The Board of Directors and Daily Management regularly review and discuss the Company's corporate culture, placing particular emphasis on compliance, integrity, and stakeholder accountability. Core principles such as anti-corruption, and ethical conduct, are deeply embedded in the Company's policies and reinforced through mandatory training programmes for all employees.

GCP gathers and evaluates employees' perceptions of its corporate culture through employee satisfaction surveys, as well as through direct communication channels between the Compliance Department, others departments and employees.

Reporting Mechanisms for Unlawful Behaviour

GCP has established structured mechanisms for identifying, reporting, and investigating concerns related to unlawful behaviour or breaches of its Code of Conduct. The whistleblowing system, among the different reporting channels included, also offers a confidential and anonymous reporting channel, accessible to both internal and external stakeholders, including employees, business partners, and tenants.

Concerns regarding potential violations of its Codes of Conduct - whether applicable to employees or business partners - may be reported through various channels, as outlined in the Company's Whistleblowing Policy. These include the previously mentioned dedicated digital platforms, as well as communication with the Compliance department through alternative channels.

Reports submitted via the whistleblowing system are reviewed and investigated by the Compliance Department, which operates independently to ensure objectivity and compliance with established procedures. Investigations are conducted in line with the Company's Investigation Policy, with potential outcomes including disciplinary measures, contract terminations, or legal action where appropriate.

To promote awareness and accessibility, GCP integrates information about its whistleblowing system into onboarding programmes and annual compliance refresher trainings, ensuring that all stakeholders are informed about reporting mechanisms and protection against retaliation.

GCP's Compliance Framework

GCP recognised that strong governance and corporate integrity are essential for mitigating risks related to corruption and bribery, while also strengthening investor confidence. To manage its material impacts, risks, and opportunities, GCP has established a comprehensive framework policies that promote compliance, ethical business conduct and accountability. GCP's governance policies are designed to mitigate risks, enhance transparency, and uphold ethical standards across its operations and value chain. These are:

Table 46

Policy Name	Description
Business Partners Code of Conduct	This policy sets ethical standards for GCP's business partners, emphasising adherence to legal, social, and environmental standards. It prohibits corruption, bribery, child labour, and forced labour, and ensures compliance with data protection and fair competition laws.
Employee Code of Conduct	Establishes expectations for all staff to abide by the values of openness, trust, teamwork, and acceptance of diversity in all their dealings with one another and with our tenants and other stakeholders. It addresses discrimination, insider trading, and misconduct while mandating training to ensure compliance with EU regulations and internal standards.
Whistleblowing Policy	Provides mechanisms for confidential reporting of misconduct, ensuring protection from retaliation. The whistleblowing system includes a digital system provided by an independent third-party provider, which allows internal and external parties to report legal and ethical misconduct. All reports are handled confidentially by the compliance team under strict protocols.
Anti-Corruption and Anti-Bribery Policy	Outlines measures to prevent, detect, and address corruption and bribery. The policy includes mandatory training for employees and suppliers, clear reporting mechanisms, and disciplinary measures for violations. It aligns with the UN Convention against Corruption.
Data Protection Policy	Ensures compliance with GDPR and other data privacy laws, emphasising safeguarding tenant, employee, and business data. It mandates secure data handling, staff training, and effective IT systems to prevent breaches and unauthorised access.

Table 46

Policy Name	Description
Human Rights Policy	Commits to upholding international human rights standards across GCP's operations and supply chain. It includes measures to prevent human rights violations, assess supply chain risks, and enforce corrective actions to address identified issues.
Anti-Discrimination Policy	Prohibits all forms of discrimination while promoting equal treatment and diversity. It supports inclusive practices, such as mentoring programs and flexible work arrangements, and aligns closely with the Diversity Policy.
Diversity Policy	Promotes an inclusive workplace by implementing cultural diversity programmes and career development initiatives. It ensures fair representation and supports marginalised and underrepresented groups within the workforce.
Grievance and Complaint Mechanisms	Embedded in HR and compliance frameworks, these mechanisms allow employees and external stakeholders to report discrimination, misconduct, or legal violations. Confidentiality is ensured, and systems are regularly audited for effectiveness and trustworthiness.
Procurement Policy	Provides clear guidance in the procurement process, ensuring suppliers meet legal, environmental, and social responsibilities. In line with the Code of Conduct for Business Partners, it emphasises transparency, fair competition, sustainability, and risk management, fostering long-term, responsible partnerships.
Occupational Health Safety Policy	Ensures a safe working environment by identifying and managing risks, providing staff training, and adhering to safety regulations. Employees are encouraged to report safety concerns through clear channels.
Investigation Policy	Describes clear steps of the investigation process should any issue of concern be reported, incl. cooperation with external authorities and the assurance of the protection of the whistleblower.
Anti-Money Laundering Policy	Ensures compliance with AML laws and prevents misuse of the Company's operations for money laundering terrorist financing or criminal activities. The policy defines money laundering, outlines key risk indicators, and sets out requirements for business partner checks and internal controls. Employees are encouraged to stay alert and report any suspicious activity immediately.
Global Information Security Policy	Ensures confidentiality, integrity, and security of personal and business data in line with applicable laws and standards. These policies regulate the collection, processing, storage, and sharing of data, preventing unauthorised access, breaches, and misuse. They apply to all employees, suppliers, and third parties handling the Company's or its customers data.

In addition, GCP is a signatory of the *Charta der Vielfalt* (German Diversity Charter). Further information on our anti-discrimination efforts can be found in section ESRS S1 "Own workforce".

Another key focus of the compliance programmes is the management of ethical standards in our supply chain, as described in the section ESRS S2 "Workers in the Value Chain".

Policy Scope and Applicability

The scope of GCP's business conduct and corporate culture policies extends across all levels of operations, ensuring compliance among employees, suppliers, business partners, and contractors.

- The Employee Code of Conduct, Anti-Corruption and Anti-Bribery Policy, Diversity Policy, Anti-Discrimination Policy, Whistleblowing Policy, Procurement Policy, Anti-Money Laundering Policy, and Human Rights Policy apply to all employees, executives, and members of the Board of Directors.
- The Business Partner Code of Conduct, Procurement Policy, and Human Rights Policy apply to suppliers, contractors, and external business partners, setting clear expectations regarding ethical behaviour, integrity and compliance.
- The Data Protection Policy, Global Information Security Policy and Occupational Health & Safety Policy ensure adherence to GDPR, workplace safety laws, and industry best practices and apply to all employees.

Governance and Oversight

The Board of Directors is responsible for ultimate oversight, ensuring that policies remain aligned with the Company's corporate values, regulatory obligations, and long-term strategic goals. The internal control and risk management system is overseen by the Audit Committee, which is supported in its monitoring by the Risk Committee and supported by the Daily Management, the Chief Compliance Officer and relevant department heads, who oversee the implementation and enforcement of anti-corruption, whistleblowing, and governance policies.

Alignment with Global Standards

GCP strives to ensure that its policies are aligned with globally recognised standards on anti-corruption, business ethics, and human rights, thereby promoting best-in-class compliance and risk management practices.

Key frameworks and initiatives guiding the Company's approach include:

- **United Nations Convention Against Corruption** – Setting standards for anti-bribery, fraud prevention, and corporate integrity measures.
- **General Data Protection Regulation** – Safeguarding data privacy, security, and regulatory compliance.
- **OECD Guidelines for Multinational Enterprises** – Providing principles for ethical corporate governance and responsible business conduct.
- **International Labour Organisation Core Conventions** – Ensuring protections against child labour, forced labour, and workplace discrimination.
- **UN Global Compact Principles** – Strengthening corporate commitments to anti-corruption, human and labor rights, and sustainability.

Safeguards for Whistleblowers

GCP takes its legal obligations regarding whistleblower protection and its duty of care as an employer very seriously. The Company views every whistleblower as a valuable source of information in identifying potential legal or ethical violations. The Whistleblowing Policy explicitly states that "an employee who exposes a whistleblower or otherwise retaliates against the whistleblower for their reports [...] may face sanctions under employment law." Accordingly, no whistleblower should fear retaliation or any form of disadvantage for reporting concerns in good faith.

The whistleblowing system provides a secure and confidential platform for employees, tenants, and partners to raise concerns. Among the available reporting channels, one is an externally operated whistleblowing channel that enables full anonymity and ensures protection against retaliation. Information about the Company's whistleblowing process is available on the intranet and the publicly accessible website, offering direct access to the whistleblowing platform. Additionally, training on the whistleblowing system is included in our Welcome Days programme for new employees. All reports are managed through a structured process overseen by the Compliance Department, ensuring thorough investigation and resolution.

Reports submitted through the online platform or other channels (such as phone calls or emails to the Compliance or HR departments) are tracked and investigated by the Compliance Department. The internal investigation procedure is governed by the Company's Investigation Policy. Where a violation is confirmed, the employee or business partner may face corrective actions, which include warnings, fines, termination of employment or business relationships, or, if necessary, referral to relevant authorities.

Strengthening our Governance Practices

The Company uses an online learning platform to provide training on a wide range of topics related to responsible business conduct. In line with the Company's corporate culture of acting in accordance with ethical values and standards outlined in GCP's corporate policies, regular training ensures continuous awareness of the importance of integrity and compliance across all business areas.

Through the Company's intranet, employees can access our e-learning platform, offering training modules on anti-corruption, anti-bribery and anti-money laundering, human rights and non-discrimination, as well as data protection. This continuous learning approach reinforces the Company's commitment to high ethical standards and responsible corporate behaviours.

Compliance training through the e-learning platform is included in our Welcome Days for new employees, alongside guidance on using the whistleblowing platform. In addition, employees are required to complete annual refresher trainings on these topics, reaffirming their responsibility to uphold the Company's standards.

In 2025, Compliance has been integrated into the Company's leadership training program. This dedicated session provides an important opportunity for both current and newly appointed leaders to become familiar with key compliance principles, responsibilities, and expectations. It also serves as an open forum for discussion, allowing participants to ask questions, and better understand how compliance supports ethical leadership and sustainable business practices within the organisation.

In a real estate business such as GCP's, certain functions - particularly business development, construction, and transactions - are typically more exposed to risks of corruption and bribery. Due to their frequent interactions with public authorities, developers, construction companies, as well as large land and real estate owners and brokers, these areas may face higher exposure to such risks. At GCP, all these functions, as do all others, receive comprehensive compliance training and adhere to the same policies and standards.

G1-2 – MANAGEMENT OF RELATIONSHIPS WITH SUPPLIERS

To uphold our commitment to responsible business practices and mitigate risks associated with our supply chain, GCP implements a structured approach to supplier oversight and due diligence.

Business Partner Code of Conduct and Human Rights Due Diligence

The Company's BPCoC is mandatory for all business partners with contracts exceeding €5,000, except for large corporations that maintain their own codes of conduct – provided these are consistent with the Company's ethical standards - or for business partners operating in heavily regulated sectors.

The BPCoC sets clear expectation that suppliers comply with all applicable environmental, health and safety regulations, as well as international human rights law and recognised frameworks.

To identify and mitigate potential human rights violations within the supply chain, GCP conducts a human rights due diligence procedure on suppliers assessed as high-risk. Taking into account human rights considerations within the Company's materiality assessments and risk management framework, we classify suppliers based on economic sector and country of operation.

The Company has identified areas such as construction and refurbishment/maintenance as particularly exposed to human rights risks and addressed these risks through few measures and processes. For instance, suppliers are categorised as low-, medium-, or high-risk according to factors including contract volume, region of activity, and other relevant criteria. The depth of due diligence applied corresponds to this risk level and relies on a range of information sources. In addition to desk-based assessments, our construction and operations managers fulfil their legal monitoring obligations throughout project execution, in accordance with national law of each project location. For further information on the Company's Human Rights Due Diligence Process, please refer to section S2-1.

Finally, as mentioned in section G1-1, GCP provides mandatory compliance training for all its employees, including those working in procurement, operations and construction - functions that interact most frequently with business partners and suppliers. The Procurement Policy further guides suppliers' selection by incorporating sustainability criteria. Standardised construction contract templates also include environmental data requirements, such as meeting recycling rates and waste management data delivery.

In general, GCP works with small and medium-sized, locally operating business partners for construction and maintenance projects, as well as larger national and international suppliers, including facility management companies.

Consideration of Social and Environmental Criteria in Supplier Selection

GCP incorporates social and environmental criteria throughout the supplier selection and monitoring process through the following mechanisms:

1. **Adherence with Company's Business Partner Code of Conduct:** Signing the BPCoC is mandatory for partners with contracts above €5,000. It outlines GCP's expectations regarding compliance with applicable environmental, health and safety regulations, adherence to international human rights law, respect for fair labour standards, and non-discrimination.
2. **Due Diligence Screening:** Compliance with the BPCoC is reviewed through the Company's Human Rights Due Diligence process, which includes KYC and AML screening. This is supplemented by spot checks conducted by the Construction and Operations departments, particularly with regard to health and safety on construction sites. Should any human rights, social, or environmental issues arise, GCP carefully evaluates its business relationship and may consider suspension or termination. Further information is provided in section S2-1.
3. **Evaluation Methods:** GCP's project managers oversee construction projects, engage directly with contractors to assess compliance with environmental and health and safety standards. In addition, a Business Partner Questionnaire is used to verify adherence to the Company's ethical standards.
4. **Environmental Data Delivery:** GCP standard construction contract requires suppliers to support environmental data collection. This includes providing recycling data during construction projects, confirming non-usage of prohibited chemical substances to prevent pollution and providing documentation on efficient water appliances installed. These contractual obligations promote supplier transparency and encourage proactive environmental management.

G1-3 – PREVENTION AND DETECTION OF CORRUPTION AND BRIBERY

The Company's Anti-Corruption and Anti-Bribery Policy, which is aligned with the United Nations Convention Against Corruption, sets out the procedures and processes designed to prevent, detect and address allegations or incidents of corruption or bribery. The policy provides clear guidelines of conduct for handling donations in the private sector, including hospitality, events and gifts; charitable contributions; political engagement; dealing with public officials; and dealing with "facilitation payments". It also extends the Company's principles and behavioural standards to third parties.

The policy, along with the BPCoC and the Employee Codes of Conduct, is reviewed and acknowledged by signature by every new business partner and by new employees, respectively, and is accessible to all employees on the Company's Compliance site of the intranet. To foster awareness, the Company's Welcome Day for new employees includes a dedicated presentation on compliance topics. All employees are also required to complete e-learning modules on corruption, bribery and anti-money laundering, and to refresh these annually. These trainings ensure that employees can identify potential risks and understand their responsibilities in preventing and reporting misconduct.

GCP takes a proactive approach to managing risks and ensuring governance practices. The Company risk management framework includes regular audits, compliance monitoring, and risk assessments carried out by specialised teams to identify potential issues and ensure adherence to internal policies and legal requirements.

Should an incident of corruption or bribery be reported via the whistleblowing system or directly with the Compliance Department, the Investigation Policy outlines the procedure to be followed, from the initial review and investigation to the resolution of the case. Depending on the severity of the case, disciplinary measures may include formal warnings, financial penalties, termination of employment, or exclusion of a business partner from future cooperation. Where appropriate, GCP may also refer the case to the relevant authorities.

GCP communicates its zero-tolerance approach to corruption through the Business Partner Code of Conduct, which also requires business partners to establish appropriate systems to ensure that corrupt behaviours does not occur.

Lastly, as the Company is subject to several obligations under Regulation (EU) No. 596/2014 (Market Abuse Regulation, MAR), as amended, it has established an insider register and a process to ensure that individuals on this list acknowledge their duties and are aware of the sanctions. The Company also provides notifications (including by way of training sessions) in accordance with MAR, to ensure all persons discharging managerial responsibilities understand their obligations regarding managers' transactions.

Compliance Governance Processes

GCP's investigation process is initiated by a member of the Compliance Department, ensuring an objective and unbiased approach. By involving individuals independent of the management chain related to the matter, the Company upholds fairness and transparency throughout the investigation. This structure ensures that all findings are free from any conflicts of interest and that each case is handled consistently and with integrity.

GCP's Compliance Department is responsible for monitoring and investigating all reported violations related to corruption and bribery. The outcomes of these investigations are reported directly to the Daily Management and a member of the Board of Directors, ensuring both the Board and the Daily Management are promptly informed of results and can exercise effective oversight and take appropriate actions where necessary.

Compliance Awareness and Communication

Besides the training programme in the Company's e-learning platform mentioned above, GCP operates a dedicated compliance site on the Company's intranet, where all its relevant policies are available to all employees. This initiative supports the Company's goal of unifying internal compliance policies across all operating regions.

The intranet platform ensures that policies are consistently available in a standardised format across the organisation, with updates rolled out immediately. Together with the Company's publicly available website, these platforms reinforce our commitment to transparency and ongoing alignment with the highest compliance standards.

Both platforms feature a dedicated link to the Company's whistleblowing platform, which also offers a secure and confidential channel for both employees and externals to report on potential breaches of law or the Code of Conduct. This mechanism reflects the core principle of our "Speak Up" culture, which ensures that anyone can raise concerns without fear of retaliation, in alignment with the Whistleblower Protection Act.

To further raise awareness and ensure that compliance issues are considered at the regional level, GCP established a network of compliance ambassadors in its regional offices. These ambassadors serve as first points of contact for employees on compliance matters, including anti-corruption and anti-bribery. The programme has been embedded in the UK and Cyprus offices, as well as some regional offices in Germany.

To promote an open and supportive compliance culture, these ambassadors are not members of the Compliance Department but are instead empowered to serve as sources of information and guidance for staff across the organisation.

Compliance and Anti-Corruption Training

GCP provides mandatory compliance training to all employees as part of its commitment to maintaining high ethical standards across the Company. The following table provides an overview of the nature, scope and depth of compliance trainings offered by the Company:

Table 47

Training Programme	Target Audience	Content Focus	Frequency	Delivery Method
Mandatory Compliance Training	All employees	Specific training of Antitrust, Anti-Money Laundering, Anti-Corruption, "Speak up" -whistleblowing system	Annually	e-Learning Platform
New Employee Onboarding	All new hires	Introduction to company compliance standards, anti-corruption policies, and reporting channels.	Upon hiring	SharePoint Page, e-Learning & Handbook
Leadership Programme	Department Heads & Leadership	Governance, risk mitigation, and enforcement of compliance policies.	During the programme	Seminars/ Workshop
Awareness Campaigns & Refreshers	All employees	Building awareness throughout the Company	Annually	Online and at the Headquarters

All employees are required to complete GCP's anti-corruption and anti-bribery training upon joining the Company and through annual refresher courses. In 2025, 97.55% of all employees have completed the training. The shortfall is attributable to employees who left the Company, which shows as a missing training on the training platform.

During 2025, the Company updated its anti-corruption training to strengthen its relevance and impact. As part of this update, GCP identified employees in roles with higher exposure to corruption risks. All of these employees are now required to complete an additional training module focused on gifts and hospitality, ensuring enhanced awareness of acceptable practices.

In 2025, the Board of Directors and Daily Management did not receive specific training on anti-corruption or anti-bribery. However, they have in the past completed a training on Anti-Money Laundering, which is a component of Anti-Corruption. An anti-corruption and anti-bribery training for the Board and the Daily Management is intended for 2026.

Key Actions on Corruption and Bribery and Governance

GCP's actions in relation to managing its material impacts, risks and opportunities related to corruption and bribery are the following:

Table 48

Material Impacts, Risks and Opportunities in ESRS G1 (Business conduct)

Topic	Sub-topic	Key action
Corruption and bribery	Prevention and detection including training	• Compliance framework with policies in place • HRDD and whistleblowing system in place for detection and resolution of any issues • Trainings of employees on compliance and human rights-related topics via the Company's e-learning platform.
	Incidents	Investigation of any reported incidents following the Company's Investigation Policy and subsequent corrective actions including warnings, fines or bans for business partners from doing business with the Company or the termination of employment for employees.
Investor relations	Access to capital	Strong governance and compliance regarding ethical business conduct are of utmost importance for investors, which is why GCP puts great emphasis on both. Whereas issues with either governance or compliance could lead to difficulties in accessing capital, good performance facilitates easier access to capital. As part of ongoing actions, GCP ensures its governance and compliance framework is following best practice and international standards. Our annual compliance and risk assessments focus on this.
	Reputation	Creating transparency regarding governance and compliance with anti-corruption and anti-bribery is part of ensuring the Company's good reputation on the topic.

The scope of GCP's actions described above extends across all levels of the organisation, including employees, management, board members, suppliers, contractors, and other external business partners.

The actions are part of the Company's ongoing operational activities and, therefore, do not have a defined completion date. Implementation is continuous and integrated into GCP's broader strategy. The description of activities mentioned above are ongoing efforts by GCP to adhere to international governance standards and our compliance framework.

Resource Allocation and Continuous Improvement

GCP does not currently have the available data to provide this disclosure. The allocation of financial resources to the action plan forms a part of the Company's ongoing operational activities, and this information is not tracked at the required level of detail at this stage. GCP continuously reviews and enhances its reporting processes to improve transparency and provide further relevant disclosures where possible.

G1-4 – INCIDENTS OF CORRUPTION OR BRIBERY

In 2025, GCP was not subject to any convictions or fines for violations of anti-corruption or anti-bribery laws. The Company also did not experience any incidents of corruption or bribery, nor were we involved in any public legal cases related to these matters. This reflects GCP's ongoing commitment to upholding the highest ethical standards across our operations.

G1-6 – PAYMENT PRACTICES

GCP does not currently maintain a standalone policy specifically dedicated to payment practices or late payments. However, payment terms are clearly defined at the outset of each contractual relationship to ensure transparency and alignment with suppliers. The Company is committed to complying with the agreed contractual payment terms.

For construction suppliers, GCP generally applies a standard payment term of 30 days. For other categories of suppliers, payment terms are typically agreed bilaterally between the parties. Payment terms with public authorities usually amount to 10 days, while for other suppliers they generally average 21 days, unless otherwise contractually specified.

In 2025, GCP introduced analysis and monitoring of late payments and the Company counted an average of 15 payment days.

In addition, GCP maintains transparency regarding legal proceedings related to late payments. In 2025, a total of eight legal proceedings concerning late payments were recorded for GCP.

Appendix

ESRS 2 IRO 2: List of data points that derive from other EU legislation and information on their location in sustainability statement:

DR	Paragraph	Name	SFDR	P3	BMR	EUCL	Material (Yes/No)	Page
ESRS 2 GOV-1	21 (d)	Board's gender diver-sity	X		X		Yes	43
ESRS 2 GOV-1	21 (e)	Percentage of board members who are in-dependent			X		Yes	43
ESRS 2 GOV-4	30	Statement on due dili-gence	X				Yes	47
ESRS 2 SBM-1	40 (d) i	Involvement in activi-ties related to fossil fuel activities	X	X	X		No	
ESRS 2 SBM-1	40 (d) ii	Involvement in activi-ties related to chemi-cal production	X		X		No	
ESRS 2 SBM-1	40 (d) iii	Involvement in activi-ties related to contro-versial weapons	X		X		No	
ESRS 2 SBM-1	40 (d) iv	Involvement in activi-ties related to cultiva-tion and production of tobacco			X		No	
ESRS E1-1	14	Transition plan to reach climate neutrali-ty by 2050				X	Yes	67-70
ESRS E1-1	16 (g)	Undertakings exclud-ed from Paris-aligned Benchmarks		X	X		Yes	68
ESRS E1-4	34	GHG emission reduc-tion targets	X	X	X		Yes	80
ESRS E1-5	38	Energy consumption from fossil sources disaggregated by sources (only high climate impact sec-tors)	X				Yes	82-85
ESRS E1-5	37	Energy consumption and mix	X				Yes	82-85
ESRS E1-5	40-43	Energy intensity asso-ciated with activities in high climate impact sectors	X				Yes	85
ESRS E1-6	44	Gross Scope 1, 2, 3 and Total GHG emissions	X	X	X		Yes	86
ESRS E1-6	53-55	Gross GHG emissions intensity	X	X	X		Yes	86
ESRS E1-7	56	GHG removals and carbon credits				X	Yes	90
ESRS E1-9	66	Exposure of the benchmark portfolio to climate-related physical risks para-graph			X		No	
ESRS E1-9	66 (a) 66 (c)	Disaggregation of monetary amounts by acute and chronic physical risk Location of significant assets at material physical risk		X			No	
ESRS E1-9	67 (C)	Breakdown of the car-rying value of its real estate assets by ener-gy-efficiency		X			No	
ESRS E1-9	69	Degree of exposure of the portfolio to cli-mate-related oppor-tunities paragraph			X		No	

DR	Paragraph	Name	SFDR	P3	BMR	EUCL	Material (Yes/No)	Page
ESRS E2-4	28	Amount of each pollu-tant listed in Annex II of the E-PRTR Regula-tion (European Pollu-tant Release and Transfer Register) emitted to air, water and soil	X				No	
ESRS E3-1	9	Water and marine re-sources	X				No	
ESRS E3-1	13	Dedicated policy	X				No	
ESRS E3-4	14	Sustainable oceans and seas	X				No	
ESRS E3-4	28 (c)	Total water recycled and reused	X				No	
ESRS E3-4	29	Total water consump-tion in m^3 per net rev-enue on own opera-tions	X				No	
ESRS 2 SBM-3 – E4	16 (a) i	-	X				No	
ESRS 2 SBM-3 – E4	16 (b)	-	X				No	
ESRS 2 SBM-3 – E4	16 (c)	-	X				No	
ESRS E4-2	24 (b)	Sustainable land / ag-riculture practices or policies	X				No	
ESRS E4-2	24 (c)	Sustainable oceans / seas practices or poli-cies	X				No	
ESRS E4-2	24 (d)	Policies to address deforestation para-graph	X				No	
ESRS E5-5	37 (d)	Non-recycled waste	X				No	
ESRS E5-5	39	Hazardous waste and radioactive waste	X				No	
ESRS 2-SBM3 – S1	14 (f)	Risk of incidents of forced labour	X				No	
ESRS 2-SBM3 – S1	14 (g)	Risk of incidents of child labour	X				No	
ESRS S1-1	20	Human rights policy commitments	X				Yes	102
ESRS S1-1	21	Due diligence policies on issues addressed by the fundamental International Labour Organisation Conven-tions 1 to 8			X		Yes	102
ESRS S1-1	22	Processes and measures for prevent-ing trafficking in hu-man beings	X				No	
ESRS S1-1	23	Workplace accident prevention policy or management system	X				Yes	102-103
ESRS S1-3	32 (c)	Grievance/complaints handling mechanisms	X				Yes	104
ESRS S1-14	88 (b) and (c)	Number of fatalities and number and rate of work-related acci-dents	X		X		Yes	112
ESRS S1-14	88 (e)	Number of days lost to injuries, accidents, fatalities or illness	X				Yes	112
ESRS S1-16	97 (a)	Unadjusted gender pay gap	X		X		Yes	113

DR	Paragraph	Name	SFDR	P3	BMR	EUCL	Material (Yes/No)	Page
ESRS S1-16	97 (b)	Excessive CEO pay ra-tio	X				No	
ESRS S1-17	103 (a)	Incidents of discrimi-nation	X				Yes	113
ESRS S1-17	104 (a)	Non-respect of UNGPs on Business and Hu-man Rights and OECD guidelines	X		X		Yes	113
ESRS 2-SBM3 – S2	11 (b)	Significant risk of child labour or forced labour in the value chain	X				No	
ESRS S2-1	17	Human rights policy commitments	X				Yes	116-118
ESRS S2-1	18	Policies related to val-ue chain workers	X		X		Yes	116-118
ESRS S2-1	19	Non-respect of UNGPs on Business and Hu-man Rights and OECD guidelines	X		X		Yes	116
ESRS S2-1	19	Due diligence policies on issues addressed by the fundamental International Labour Organisation Conven-tions 1 to 8			X		Yes	117-118
ESRS S2-4	36	Human rights issues and incidents con-nected to its upstream and downstream value chain	X				No	
ESRS S3-1	16	Human rights policy commitments	X				No	
ESRS S3-1	17	Non-respect of UNGPs on Business and Hu-man Rights, ILO prin-ciples or and OECD guidelines	X		X		No	
ESRS S3-4	36	Human rights issues and incidents	X				No	
ESRS S4-1	16	Policies related to consumers and end-users	X				Yes	129
ESRS S4-1	17	Non-respect of UNGPs on Business and Hu-man Rights and OECD guidelines	X		X		Yes	129
ESRS S4-4	35	Human rights issues and incidents	X				Yes	129-131
ESRS G1-1	10 (b)	United Nations Con-vention against Cor-ruption	X				Yes	139
ESRS G1-1	10 (d)	Protection of whistle-blowers	X				Yes	140
ESRS G1-4	24 (a)	Fines for violation of anti-corruption and anti-bribery laws	X		X		Yes	143
ESRS G1-4	24 (b)	Standards of anti-corruption and anti-bribery	X				Yes	143

Legislation	
SFDR	Sustainable Finance Disclosure Regulation
P3	EBA Pillar 3 disclosure requirements
BMR	EU Benchmark Regulation
EUCL	EU Climate Law

To the Board of Directors of
Grand City Properties S.A.
37, boulevard Joseph II
L-1840 Luxembourg
Grand Duchy of Luxembourg

INDEPENDENT LIMITED ASSURANCE REPORT

Limited Assurance Conclusion

We conducted a limited assurance engagement on the Consolidated Sustainability Statement of Grand City Properties S.A. ("the Company") included in section "Consolidated Sustainability Statement" of the Board of Directors' Report, including the information incorporated in the sustainability statement by reference (the "Consolidated Sustainability Statement") as at 31 December 2025 and for the year then ended.

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the accompanying Consolidated Sustainability Statement is not prepared, in all material respects, in accordance with:

- the European Sustainability Reporting Standards ("ESRS"), including that the process carried out by the Company to identify the information reported in the Consolidated Sustainability Statement (the "Process") is in accordance with the description set out in section 'IRO-1';
- the disclosures in section 'EU Taxonomy Disclosures' of the Consolidated Sustainability Statement with Article 8 of EU Regulation 2020/852 (the "Taxonomy Regulation"), altogether the "Criteria".

Basis for Limited Assurance Conclusion

We conducted our limited assurance engagement in accordance with International Standard on Assurance Engagements 3000 (revised) ("ISAE 3000"), Assurance Engagements Other Than Audits or Reviews of Historical Financial Information, established by the International Auditing and Assurance Standards Board ("IAASB") as adopted for Luxembourg by the Institut des Réviseurs d'Entreprises ("IRE").

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion. Our responsibilities under this standard are further described in the Responsibilities of réviseur d'entreprises agréé's section of our report.

Our Independence and Quality Management

We have complied with the independence and other ethical requirements of the International Code of Ethics for Professional Accountants, including International Independence Standards, issued by the International Ethics Standards Board for Accountants (IESBA Code) as adopted for Luxembourg by the "Commission de Surveillance du Secteur Financier" (CSSF), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

Our firm applies International Standard on Quality Management ("ISQM") 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements as adopted for Luxembourg by the CSSF and accordingly maintains a comprehensive system of quality control including the design, implementation and operate a system of quality management, of audits or reviews of financial statements, or other assurance and related services engagements.

Emphasis of Matter

We draw attention to section 'General Information ESRS 2 General Disclosures' of the Consolidated Sustainability Statement, which explains the ongoing due diligence ('GOV 4') and double materiality assessment process ('IRO-1'), including robust engagement with affected stakeholders in the Consolidated Sustainability Statement. This disclosure explains future improvements in the ongoing due diligence and double materiality assessment process, including robust engagement with affected stakeholders. Due diligence is an on-going practice that responds to and may trigger changes in the Company's strategy, business model, activities, business relationships, operating, sourcing and selling contexts. The double materiality assessment process may also be impacted in time by sector-specific standards to be adopted. The Consolidated Sustainability Statement may not include every impact, risk and opportunity or additional entity-specific disclosure that each individual stakeholder (group) may consider important in its own particular assessment.

Our conclusion is not modified in respect of this matter.

Other Matter

The sustainability information and thereto related disclosures related to 2019 and 2023 included in section 'E1 - Climate Change' have not been subject to reasonable or limited assurance procedures.

Our conclusion is not modified in respect to this other matter.

Responsibilities of the Board of Directors for the Consolidated Sustainability Statement

The Board of Directors of the Company is responsible for:

- the preparation of the sustainability information in the Consolidated Sustainability Statement in accordance with the Criteria;
- designing, implementing and maintaining such internal control that Board of Directors determines is necessary to enable the preparation of the sustainability information in the Consolidated Sustainability Statement, in accordance with the Criteria, that is free from material misstatement, whether due to fraud or error.

This responsibility includes:

- developing and implementing a process to identify the information reported in the Consolidated Sustainability Statement in accordance with ESRS and for disclosing this process in note 'IRO-1' of the Consolidated Sustainability Statement;
- preparing the disclosures in section 'EU Taxonomy Disclosures' of the Consolidated Sustainability Statement, in compliance with the Taxonomy Regulation;
- understanding the context in which the Company's activities and business relationships take place and developing an understanding of its affected stakeholders;
- the identification of the actual and potential impacts (both negative and positive) related to sustainability matters, as well as risks and opportunities that affect, or could reasonably be expected to affect, Company's financial position, financial performance, cash flows, access to finance or cost of capital over the short-, medium-, or long-term;
- the assessment of the materiality of the identified impacts, risks and opportunities related to sustainability matters by selecting and applying appropriate thresholds; and
- the selection and application of appropriate sustainability reporting methods and making assumptions and estimates that are reasonable in the circumstances.

The Board of Directors of the Company is further responsible for the preparation of the Consolidated Sustainability Statement, which includes the information identified by the Process, in accordance with the Criteria.

Inherent limitations in preparing the Consolidated Sustainability Statement

In reporting forward looking information in accordance with ESRS, the Board of Directors of the Company is required to prepare the forward-looking information on the basis of disclosed assumptions about events that may occur in the future and possible future actions by the Company. Actual outcome is likely to be different since anticipated events frequently do not occur as expected.

In determining the disclosures in the Consolidated Sustainability Statement, the Board of Directors of the Company interprets undefined legal and other terms. Undefined legal and other terms may be interpreted differently, including the legal conformity of their interpretation and, accordingly, are subject to uncertainties.

Responsibilities of the réviseur d'entreprises agréé

Our responsibility is to plan and perform the assurance engagement to obtain limited assurance about whether the Consolidated Sustainability Statement is free from material misstatement, whether due to fraud or error, and to issue a limited assurance report that includes our conclusion. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence decisions of users taken on the basis of the Consolidated Sustainability Statement as a whole.

As part of a limited assurance engagement in accordance with ISAE 3000, we exercise professional judgement and maintain professional skepticism throughout the engagement.

Our responsibilities in respect of the Consolidated Sustainability Statement, in relation to the Process, include:

- Performing risk assessment procedures, including obtaining an understanding of internal control relevant to the engagement, to identify risks that the process to identify the information reported in the Consolidated Sustainability Statement does not address the applicable requirements of ESRS, but not for the purpose of providing a conclusion on the effectiveness of the Process, including the outcome of the Process;
- Designing and performing procedures to evaluate whether the Process to identify the information reported in the Consolidated Sustainability Statement is consistent with the Company's description of its Process as disclosed in note 'IRO-1'.

Our other responsibilities in respect of the Consolidated Sustainability Statement include:

- Performing risk assessment procedures, including obtaining an understanding of internal control relevant to the engagement, to identify where material misstatements are likely to arise, whether due to fraud or error, but not for the purpose of providing a conclusion on the effectiveness of the Company's internal control;
- Designing and performing procedures responsive to where material misstatements are likely to arise in the Consolidated Sustainability Statement. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Summary of the work performed

A limited assurance engagement involves performing procedures to obtain evidence about the Consolidated Sustainability Statement. The procedures performed in a limited assurance engagement vary in nature and form, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. The nature, timing and extent of procedures selected depend on professional judgement, identification of disclosures where material misstatements are likely to arise in the Consolidated Sustainability Statement, whether due to fraud or error.

In conducting our limited assurance engagement, with respect of the Process, we:

- obtained an understanding of the Process by performing inquiries to understand the sources of the information used by management and reviewing the Company's internal documentation of its Process; and
- evaluated whether the evidence obtained from our procedures about the Process implemented by the Company was consistent with the description of the Process set out in note 'IRO-1' .

In conducting our limited assurance engagement, with respect to the Consolidated Sustainability Statement, we:

- obtained an understanding of the Company's reporting processes relevant to the preparation of its Consolidated Sustainability Statement by inquiring and inspecting with relevant staff responsible for the Process to gain an understanding of the Company's approach to identifying material and non-material sustainability matters and corresponding reporting boundaries relevant to the preparation of the Consolidated Sustainability Statement;
- evaluated whether all material information identified by the Process is included in the Consolidated Sustainability Statement;
- evaluated whether the structure and the presentation of the Consolidated Sustainability Statement is in accordance with the Criteria;
- evaluated the methods, assumptions and data for developing estimates and forward-looking information;
- obtained and read the Company's policies and processes to address sustainability matters and reporting, including the related IT systems;
- observed the performance of the policies and processes by the relevant staff responsible;
- inquired and inspected the processes for determining the sustainability statement content and related controls implemented;
- interviewed relevant staff responsible for providing and preparing the sustainability statement, inquiring and inspecting the related controls implemented and methodologies used, including the IT systems;
- performed analytical and substantive procedures based on a limited sample basis on selected disclosures in the Consolidated Sustainability Statements;
- reconciled selected disclosures in the Consolidated Sustainability Statement with the corresponding disclosures in the financial statements and Board of Directors' report;
- obtained an understanding of the process to identify taxonomy-eligible and taxonomy-aligned economic activities and the corresponding disclosures in the Consolidated Sustainability Statement.
-

Other information

The Board of Directors of the Company is responsible for the other information. The other information comprises the information included in the Consolidated Annual report but does not include the Consolidated Sustainability Statement and our assurance report thereon.

Our conclusion on the Consolidated Sustainability Statement does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our limited assurance engagement on the Consolidated Sustainability Statement, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Sustainability Statement or our knowledge obtained in the limited assurance engagement, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Luxembourg, 4 March 2026

KPMG Audit S.à r.l.
Cabinet de révision agréé

Alessandro Raone
Partner

Business Performance & Analysis

NOTES ON BUSINESS PERFORMANCE

Consolidated income statement data	Note	For the year ended 31 December 2025	2024
		€'000	
Net rental income	**(a)**	**428,750**	**422,693**
Operating and other income	(a)	172,707	174,325
Revenue	**(a)**	**601,457**	**597,018**
Property revaluations and capital losses	(b)	272,518	44,028
Property operating expenses	(d)	(254,005)	(253,707)
Administrative and other expenses	(e)	(10,613)	(10,632)
Depreciation and amortisation		(6,638)	(6,311)
Operating profit		602,719	370,396
Adjusted EBITDA		**339,588**	**335,010**
Finance expenses	(f)	(65,570)	(58,845)
Other financial results	(g)	(45,889)	(11,245)
Current tax expenses	(h)	(39,660)	(41,275)
Deferred tax income (expenses)	(h)	136,012	(16,900)
Profit for the year	**(i)**	**587,612**	**242,131**
FFO I	**(j)**	**187,840**	**187,534**
Result from disposal of properties	(c)	162,973	17,643
FFO II	**(k)**	**350,812**	**205,177**

(a) Revenue

	For the year ended 31 December	
	2025	2024
	€'000	
Net rental income	**428,750**	**422,693**
Operating and other income	172,707	174,325
Revenue	**601,457**	**597,018**

Total revenues for the FY 2025 ("2025") reached €601 million, up 1% from €597 million in the FY 2024 ("2024"). Total revenues are composed of net rental income and operating and other income. The increase is the result of higher net rental income partially offset by slightly lower operating and other income.

The Company reported net rental income of €429 million in 2025, representing an increase of 1% compared to €423 million in 2024. This growth was driven by strong operational performance, reflected in solid like-for-like rental growth, which more than offset the impact of net disposals.

GCP achieved strong total like-for-like rental growth of 3.5% in 2025, primarily supported by in-place rental growth. The vacancy rate remained at a record low level for the Company at 3.6% as of December 2025, improving compared to December 2024, with occupancy like-for-like growing at 0.2% in 2025. Benefitting from its strong operational platform, the Company continues to capture upside potential from favourable market fundamentals and a widening supply-demand imbalance in German metropolitan areas and London. These dynamics drive up market rents across GCP's locations, creating significant potential for further rental growth. Additional details on like-for-like rental growth are provided in the EPRA performance measures section of this report.

As of December 2025, in-place rent for the portfolio reached €9.7/sqm, continuing its upward trend from €9.2/sqm in December 2024, due to like-for-like increases as well from acquisitions mainly in London with higher rents levels. The annualized net rent of the portfolio totalled €429 million at year-end 2025, up 4% from €413 million at year-end 2024, driven by strong like-for-like growth that more than offset net disposals during the year.

In 2025, GCP focused on capital recycling, remaining active in both disposals and acquisitions. The Company executed accretive transactions and successfully redeployed capital. During the year, GCP completed property disposals amounting to ca. €340 million at a multiple of 20x. The impact of these disposals was partially mitigated by acquisitions totalling ca. €300 million, including over €100 million of signed acquisitions which are to be taken over in 2 stages in the second and third quarter of 2026. The acquisitions primarily consist of high-quality properties in London, which have been recently built or converted, and were executed at a multiple of 13x. These acquisitions will support rental growth in future periods, but due to the timing difference between disposals and acquisitions they will mostly have a positive full year impact starting from 2027.

Operating and other income amounted to €173 million in 2025, a decrease of 1% compared to €174 million in 2024. This line item is mainly composed of income related to recoverable operational expenses from tenants, such as heating and water, among others. Thus, movements in this line item are in line with those observed in the property operating expenses line item.

(b) Property Revaluations and Capital Losses

	For the year ended 31 December	
	2025	2024
	€'000	
Property revaluations	276,672	49,560
Capital losses	(4,154)	(5,532)
Property revaluations and capital losses	**272,518**	**44,028**

In 2025, GCP recorded positive property revaluations and capital losses amounting to €273 million, compared to a property revaluations and capital losses of €44 million recorded for the year 2024. The line item is composed primarily of property revaluations, which are non-cash gains (or losses) related to the changes of the fair value of the investment property. The fair value of the investment property of GCP is independently assessed by certified international external valuers such as JLL, CBRE, PWC, and Savills, and as part of this annual report, the Company conducted a full revaluation of its portfolio following a revaluation conducted as part of the semi-annual report. More details on the fair value measurement and key assumptions of valuers can be found in note 15 Investment Property, of the Consolidated Financial Statements.

The portfolio remains well diversified across metropolitan areas in Germany and London, supported by strong market fundamentals and resilient economic drivers, positioning GCP for sustainable long-term growth. For the year 2025, GCP recorded a positive revaluation of €277 million. As of December 2025, rental yield has remained stable at 4.9% compared to December 2024, as the positive revaluation result was primarily driven by operational growth, reflected

in the strong like-for-like rental growth in the year. On a like-for-like basis, the portfolio value increased by 3.2% compared to December 2024, net of capex invested during the period. As of December 2025, the portfolio's average value was €2,335/sqm, as compared to an average value of €2,203/sqm in December 2024, significantly below replacement costs.

(c) Disposal Analysis

	For the year ended 31 December	
	2025	2024
	€'000	
Acquisition cost including capex of disposed properties	176,410	248,528
Total revaluation gains on disposed properties since acquisition	167,126	23,175
(A) Book value (IFRS)	**343,536**	**271,703**
Disposal value net of transaction costs	339,382	266,171
(B) Capital losses	**(4,154)**	**(5,532)**
(B/A) Discount over net book value	**-1%**	**-2%**
(C) Disposal value net of transaction costs	339,382	266,171
Acquisition cost including capex of disposed properties	(176,410)	(248,528)
(D) Result from disposal of properties	**162,972**	**17,643**
(C/D) Disposal profit margin on investment property	**92%**	**7%**

This line item also includes capital gains from asset disposals. Capital gains (losses) reflect the premium (discount) of the disposal price of properties compared to their book values. During the year, GCP completed disposals amounting to €339 million, recording capital losses of €4.2 million, reflecting a slight discount of 1% to net book values. When compared to their acquisition costs including capex, the Company recorded an economic profit amounting to €163 million, which reflect a 92% profit margin. These transactions mainly involved properties in NRW, Bremen, Frankfurt, non-core assets, and condominium units in London. The completed transactions were executed at a rent multiple of 20x.

(d) Property Operating Expenses

	For the year ended 31 December	
	2025	2024
	€'000	
Purchased services	(175,347)	(177,434)
Maintenance and refurbishment	(23,297)	(22,953)
Personnel expenses	(26,571)	(26,246)
Other operating costs	(28,790)	(27,074)
Property operating expenses	**(254,005)**	**(253,707)**

In 2025, GCP reported property operating expenses of €254 million, remaining stable compared to €254 million in 2024. This line item primarily consists of purchased services, which are largely recoverable from tenants and include costs for heating, water, waste management, and winter services. It also includes maintenance and refurbishment expenses, operational personnel costs, and other operating expenses.

The Company continues to implement measures to promote efficient energy consumption, such as providing tenants with accessible information on how to heat their apartments effectively. In addition, GCP invested in initiatives to improve the energy efficiency of its portfolio, including the renewal of heating systems, upgrades to electrical installations, and other energy-saving improvements.

GCP remains committed to high levels of tenant satisfaction and to fostering long-term relationships through engagement activities and benefit programs. For example, the Company regularly hosts interactive activities such as during Easter holidays. Furthermore, the GCP app and portal simplify tenant management by enabling communication, rent reminders, and other services. The app has recently been updated to offer more self-service options, allowing tenants to download rent certificates and rent debt-free certificates directly, as well as providing functions for tenants to review their service charges. The AI-powered chatbot further enhances efficiency and streamlines tenant support in multiple languages and at any time.

Operational personnel expenses and other operating costs also contribute to this line item. Personnel expenses amounted to €27 million in 2025, slightly higher compared to €26 million in 2024. Other operating costs, which include legal fees, communication expenses, marketing activities, and transportation, totalled €29 million in 2025, increasing from €27 million in 2024.

Maintenance and Capex

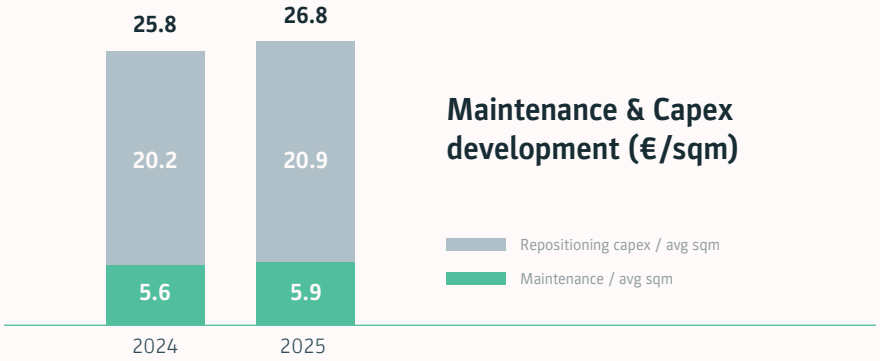
Tenant satisfaction and providing good quality housing remain central to GCP's strategy. To uphold these standards, the Company regularly evaluates property conditions and undertakes targeted maintenance and refurbishment projects designed to preserve asset quality. These initiatives address specific property needs, ensuring a high standard of living for tenants. This approach does not only strengthen tenant relationships but also reduces vacancies and supports higher reletting rents, contributing to stable and growing rental income. As a result, vacancy levels remained at record low levels for the Company, at 3.6% in 2025.

Maintenance and refurbishment expenses totalled €23 million in 2025, or €5.9 per average sqm, broadly unchanged from €23 million or €5.6 per average sqm in 2024. Tenants benefit from streamlined processes through the GCP App and service portal, which allow them to submit and track maintenance requests, manage progress, and contact tenant care agents via the service center.

Repositioning capex investments amounted to €83 million, or €20.9 per average sqm in 2025, compared to €83 million or €20.2 per average sqm in 2024. These investments focus on improving the quality, safety, and functionality of portfolio assets, supporting the ability to achieve higher rents and reduce vacancies. Projects include apartment renovations, façade upgrades, corridor and staircase improvements, and enhancements to outdoor areas such as playgrounds and barbecue spaces. Repositioning capex also covers energy efficiency initiatives and CO_2 reduction measures, reinforcing GCP's commitment to sustainability.

Pre-letting modifications totalled €27 million in 2025, slightly higher compared to €25 million in 2024. These investments encompass large-scale refurbishments outside the scope of repositioning capex, creation of new lettable areas, value-enhancing works on condominiums and completion of properties acquired in late development stages. Such projects are expected to drive additional rental income in future periods.

Modernization investments amounted to €3.6 million in 2025, up from €2.4 million in 2024. These selective projects include installing elevators and balconies, upgrading systems for efficient use of power, water, and heating, and implementing energy-focused improvements such as green energy installations and better-insulated windows. Additional energy efficiency and CO_2 reduction measures are also carried out under repositioning capex and pre-letting works.



(e) Administrative and Other Expenses

	For the year ended 31 December	
	2025	2024
	€'000	
Personnel expenses	(4,674)	(4,613)
Audit and audit-related fees	(3,180)	(3,037)
Legal and professional consultancy fees	(2,129)	(2,283)
Marketing and other expenses	(630)	(699)
Administrative and other expenses	**(10,613)**	**(10,632)**

The Company recorded administrative and other expenses amounting to €10.6 million in 2025, stable compared to €10.6 million in 2024. Administrative and other expenses include expenses such as fees for legal, professional, consultancy, audit and audit-related fees, marketing and other administrative expenses.

(f) Finance Expenses

	For the year ended 31 December	
	2025	2024
	€'000	
Finance expenses	**(65,570)**	**(58,845)**

Finance expenses for 2025 amounted to €66 million, representing an increase of 11% compared to €59 million in 2024. The rise was primarily driven by higher interest costs on newly issued debt, reflecting the full-year impact of the Series Y bond issued in July 2024. Lower interest income on the Company's cash position also contributed to the increase, mostly due to lower rates on cash deposits. These effects were partially mitigated by debt repayments during the period.

During the year, GCP issued €250 million of new bonds through a tap of its Series H bond and raised over €20 million in net new bank debt. At the same time, the Company redeemed approximately €260 million of bonds. As of December 2025, GCP's cost of debt stood at 2.1% with an average maturity of 4.3 years, compared to 1.9% and 4.8 years at the end of 2024. When factoring in the liquidity position, the effective debt maturity is 6 years. The Company's hedging ratio was 95% as of December 2025, providing protection against potential interest rate increases.

(g) Other Financial Results

	For the year ended 31 December	
	2025	2024
	€'000	
Change in fair value of financial assets and liabilities, net	(38,878)	3,876
Finance-related costs	(7,011)	(15,121)
Other financial results	**(45,889)**	**(11,245)**

In 2025, GCP reported other financial results of negative €46 million, compared to negative €11 million in 2024. This line item primarily reflects changes in the fair value of financial assets and liabilities, traded securities, and derivative instruments, which are influenced by capital market volatility and interest rate movements. It also includes expenses related to financial activities such as hedging fees, bank financing costs, and other charges associated with currency and debt optimization. The increase in the negative other financial result compared to 2024 was mainly driven by foreign currency impacts, primarily connected to fluctuations in the GBP/EUR exchange rate.

(h) Taxation

	For the year ended 31 December	
	2025	2024
	€'000	
Current tax expenses	(39,660)	(41,275)
Deferred tax income (expenses)	136,012	(16,900)
Total tax income (expenses)	**96,352**	**(58,175)**

In 2025, GCP recorded total tax income of €96 million, compared to total tax expense of €58 million in 2024. This line item includes both current tax expenses and deferred tax income/expenses.

Current tax expenses amounted to €40 million in 2025, slightly lower compared to €41 million in 2024. These current taxes are mainly related to corporate income tax and property taxes, which are influenced by the Company's operational performance and the size and geographical distribution of the portfolio.

The Company recorded deferred tax income in the amount of €136 million as of December 2025, compared to deferred tax expense of €17 million in 2024. Deferred tax income (expenses) primarily reflect non-cash tax adjustments related to theoretical tax liabilities on revaluation gains, with tax rates depending on asset locations. Additionally, deferred taxes are affected by revaluation changes in derivatives and carried-forward losses.

The positive deferred tax result in 2025 was mainly driven by changes in the German income tax law. The new tax change, effective from January 2028, will gradually reduce the tax rate from 15% to 10% by 2032. This change lowered the deferred tax impact of past revaluations, creating a one-off non-cash benefit in the current period. This positive effect was partly offset by deferred tax expenses linked to revaluation gains recorded during the year. In contrast, the deferred tax expense in 2024 was primarily attributable to valuation gains.

(i) Profit for the Year

	For the year ended 31 December	
	2025	2024
	€'000	
Profit for the year	**587,612**	**242,131**
Profit attributable to the owners of the Company	470,430	196,626
Profit attributable to the perpetual notes investors	41,454	42,362
Profit attributable to non-controlling interests	75,728	3,143

In 2025, the Company reported a net profit of €588 million, an increase of 143% compared to €242 million in 2024. The profit was driven by positive property revaluations, supported by solid operational growth, one-off deferred tax income, and robust operating income partially offset by higher finance expenses.

Profit attributable to shareholders amounted to €470 million in 2025, compared to €197 million in 2024. Profit attributable to non-controlling interests was €76 million, compared to €3 million in the prior year. The profit attributable to perpetual note investors amounted to €41 million, slightly lower than €42 million in 2024.

In December 2025, GCP issued €600 million of new perpetual notes with a coupon of 4.75% and used the proceeds to repurchase €500 million of higher coupon notes, including through redemption call options executed after the reporting period. These actions are expected to generate annualized coupon savings of approximately €7 million. Additionally, the Company repurchased around €100 million of 1.5% perpetual notes with the first call date in June 2026, marking the initial steps toward refinancing these instruments. The impact of this transaction on the current period is limited, but will support the Company in mitigating some of the future expected impacts connected to the refinancing of the 1.5% perpetual notes.

Earnings per Share

	For the year ended 31 December	
	2025	2024
	€'000	
Basic earnings per share (in €)	2.67	1.14
Diluted earnings per share (in €)	2.67	1.14
Weighted average number of ordinary shares (basic) in thousands	176,121	172,587
Weighted average number of ordinary shares (diluted) in thousands	176,400	172,874

For 2025, GCP reported basic and diluted earnings per share of €2.67, compared to basic and diluted earnings per share of €1.14 in 2024. The increase was mainly driven by the positive property revaluations during the year, supported by strong operational performance, and one-off deferred tax income impact, offset by an increase in the average number of shares due to an equity increase in the end of 2024, which had a full year impact in 2025.

Diluted earnings per share incorporates potential dilution effects. As GCP does not have significant dilutive instruments, the difference between basic and diluted earnings per share is negligible.

Total Comprehensive Income

	For the year ended 31 December	
	2025	2024
	€'000	
Profit for the year	**587,612**	**242,131**
Total other comprehensive income (loss) for the year, net of tax	(63,015)	11,757
Total comprehensive income for the year	**524,597**	**253,888**

In 2025, GCP reported total comprehensive income of €525 million, compared to €254 million in 2024. The increase was primarily driven by the profit recorded during the year.

The Company reported a total other comprehensive loss of €63 million in 2025, compared to an income of €12 million in 2024. This item mainly reflects changes in the valuation of forward and other derivative contracts, as well as foreign currency effects related to hedging activities. During the year, the result was impacted by currency movements linked to the London portfolio. As part of the Company's hedging strategy, certain derivatives only become effective after predefined thresholds are reached. Consequently, the positive effect from derivatives did not fully offset the impact of exchange rate fluctuations.

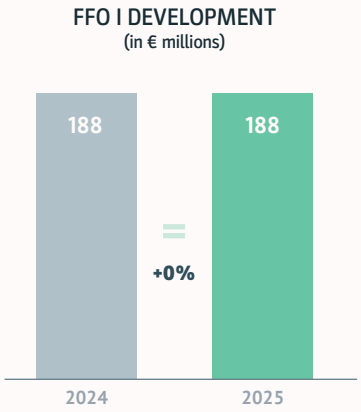
(j) Adjusted EBITDA and Funds from Operations

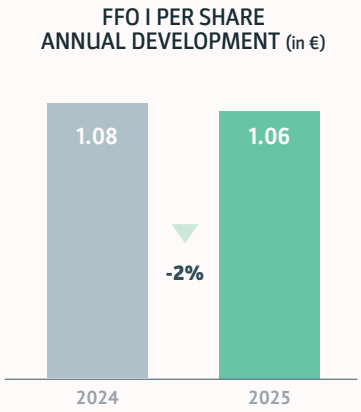
	For the year ended 31 December	
	2025	2024
	€'000	
Operating profit	602,719	370,396
Depreciation and amortisation	6,638	6,311
EBITDA	**609,357**	**376,707**
Less: Property revaluations and capital losses	(272,518)	(44,028)
Equity settled share-based payments and other adjustments	2,749	2,331
Adjusted EBITDA	**339,588**	**335,010**
Finance expenses	(65,570)	(58,845)
Current tax expenses	(39,660)	(41,275)
Contribution to minorities	(5,064)	(4,994)
Adjustment for perpetual notes attribution	(41,454)	(42,362)
FFO I	**187,840**	**187,534**
Weighted average number of ordinary shares (basic) in thousands, including impact from share-based payments	176,411	172,855
FFO I per share (in €)	**1.06**	**1.08**
Result from disposal of properties	162,972	17,643
FFO II	**350,812**	**205,177**

Adjusted EBITDA is an industry standard figure representing the Company's recurring operational profits before interest, tax expenses, depreciation, and amortisation. It excludes the effects of property revaluations, capital gains or losses, and other non-operational income statement items such as equity-settled share-based payments and other adjustments. The Company recorded an adjusted EBITDA of €340 million for the year

2025, an increase of 1% compared to €335 million in 2024. This increase was primarily due to rental income growth which more than offset the impact from net disposals.

Funds From Operations I (FFO I) is a widely used measure of the recurring operational cash flow of a real estate company and is considered a key industry performance indicator. FFO I is calculated by deducting from the adjusted EBITDA finance expenses, current tax expenses, the contribution to minority interests, and the share of profit attributable to the Company's perpetual notes investors. Funds From Operations I (FFO I) totalled €188 million in 2025, stable compared to 2024. FFO I was positively impacted by the higher adjusted EBITDA and lower attribution to perpetual notes, offset by increased finance expenses.





FFO I per share

The Company recorded an FFO I per share of €1.06 for the year 2025, slightly lower compared to €1.08 in 2024, primarily due to the slightly higher average number of outstanding shares.

(k) FFO II

FFO II is a supplementary performance measure that includes disposal effects in addition to FFO I. The result from the disposal of properties reflects the amount by which the sale price exceeded the initial acquisition cost plus capex invested in the disposed properties. The Company reported an FFO II of €351 million in 2025, higher compared to €205 million in 2024. The increase is mainly due to the higher profit margin on disposed properties combined with a larger volume of disposals, while FFO I remained stable. Disposals completed in 2025 totalled ca. €340 million, compared to ca. €270 million in 2024.

Adjusted Funds From Operations (AFFO)

	For the year ended 31 December	
	2025	2024
	€'000	
FFO I	**187,840**	**187,534**
Repositioning capex	(82,642)	(82,892)
AFFO	**105,198**	**104,642**

Adjusted Funds from Operations (AFFO) reflects the Company's recurring operational cash flow after subtracting the repositioning capex from the Company's FFO I. The Company includes in the AFFO calculation repositioning capex which is targeted at value creation and improving the asset quality of the portfolio, which the Company deems as being relevant for its AFFO calculation. In 2025, GCP reported AFFO of €105 million, stable compared to €105 million in 2024.

Cash Flow

	For the year ended 31 December	
	2025	2024
	€'000	
Net cash provided by operating activities	280,487	284,461
Net cash provided (used) by (in) investing activities	(39,128)	52,020
Net cash used in financing activities	(84,531)	(93,374)
Net increase in cash and cash equivalents	**156,828**	**243,107**
Changes in cash and cash equivalents held-for-sale and effect of foreign exchange rate changes	2,080	576
Cash and cash equivalents at the beginning of the period	1,372,859	1,129,176
Cash and cash equivalents at the end of the period	**1,531,767**	**1,372,859**

In 2025, the Company recorded net cash provided by operating activities amounting to €280 million, lower by 1% compared to €284 million in 2024. The lower cash from operational activities was due to the higher working capital needs, which offset the positive impact of operational growth.

Net cash used in investing activities amounted to €39 million in 2025, compared to net cash provided by investing activities of €52 million in 2024. The main use of cash during 2025 was related to acquisitions comprising mostly residential assets in London, acquired through the TAC fund and consolidated under GCP. Acquisitions made through the TAC fund enabled the Company to obtain full operational control over the asset while only contributing part of the required cash for the acquisition, with the remaining balance recorded as a cash inflow under the transactions with non-controlling interests component of net cash used in financing activities. The net cash used in investing activities was also impacted by capex and for net investments in long-term financial and other assets, including real estate funds, co-investments, and PropTech opportunities. These cash outflows were partially offset by cash inflows from disposals completed during the year and repayment of vendor loans.

Net cash used in financing activities amounted to €85 million in 2025, compared to €93 million in 2024. Cash was used primarily for €600 million of perpetual note buybacks in December 2025 as well as for debt repayments, including the repayment of the Series E bond totalling €179 million in April 2025 and the repayment of the Series U bond totalling €80 million in July 2025. Other uses of cash included net finance expenses, perpetual notes coupon payments, and loan amortizations. The outflows were partially offset by cash inflows from financing activities in 2025 which was mainly from the €600 million new perpetual note issuance, the tap of the Series H bond, and over €20 million raised from net new bank loans, as well as cash from transactions with non-controlling interest which comprises cash inflows related to acquisitions through the TAC fund mentioned above under investing activities, offset by minor payments to other non-controlling interests during the period.

As a result, GCP recorded a net increase in cash and cash equivalents of €157 million in 2025, compared to a increase of €243 million in 2024. As of December 2025 the cash and cash equivalent of the company amounted to €1,532 million, in comparison to €1,373 million as at December 2024.



Berlin

Assets

	Dec 2025	Dec 2024
	€'000	
Non-current assets	**9,450,628**	**9,016,959**
Investment property	8,940,913	8,628,962
Current assets	**2,052,795**	**2,201,852**
Cash and liquid assets (including those recorded under held-for-sale)	1,622,506	1,514,674
Total assets	**11,503,423**	**11,218,811**

GCP's total assets amounted to €11.5 billion as of December 2025, higher compared to €11.2 billion as of December 2024.

Non-current assets

As of December 2025, non-current assets totalled €9.5 billion, 5% higher compared to €9.0 billion at the end of December 2024. Investment property, which represents the largest component of this line item, amounted to €8.9 billion as of December 2025, increasing by 4% compared to €8.6 billion in 2024. The increase was primarily driven by positive property revaluations, closed acquisitions of approximately €190 million during the year, and capex investments. The increase was partially offset by transfers of assets to held for sale or opportunistic disposals of investment property.

Main valuation parameters

	2025	2024
Value per sqm	€2,335	€2,203
Market rental growth p.a.	1.9%	1.8%
Management cost per unit p.a.	€312	€322
Ongoing maintenance cost per sqm	€11.5	€11.5
Average discount rate	5.4%	5.4%
Average cap rate	4.2%	4.2%

	Dec 2025	Dec 2024
	€'000	
(A) end of period annualised net rental income [1]	428,953	412,549
(B) Investment property [1]	8,805,547	8,441,342
(A/B) rental yield	**4.9%**	**4.9%**
(B/A) rent multiple	**20.5x**	**20.5x**

(1) excluding properties classified as development rights & invest

The line item further comprises long-term financial investments, which enable the Company to capture additional value and future income drivers. These investments include co-investments and investments in real estate funds held with the expectation of long-term yield, as well as investments in PropTech opportunities with strong expected returns. Through its PropTech investments, GCP aims to become a market leader in technological development in the real estate sector, allowing the Company to identify opportunities for further digitalisation and technological implementations, thereby supporting the cost structure, drive financial returns, and support the Company's ESG ambitions. Investments include indirect investments, such as through the funds of the proptech VC noa, targeting technology-driven and climate-focused startups, of which GCP handpicks new solutions to implement into its business, such as Varm, a digital platform streamlining home insulation, and Enter, which provides AI-enabled building energy audits. The Company has also allocated capital to real estate vehicles, including the Henderson Park fund and an indirect investment in Flow, alongside other investments. As of December 2025 these investments carried a balance of approximately €190 million. In addition, investments where the Company holds minority positions in real estate portfolios amounted to €47 million as of December 2025.

Non-current assets also include tenant deposits, which totalled ca. €50 million as of December 2025. These deposits serve as security for rent payments.

Current assets

As of December 2025, current assets totalled €2.1 billion, compared to €2.2 billion at the end of December 2024. The largest component of current assets is cash and liquid assets, which benefited from strong cash flow generation, proceeds from disposals, and inflows from the Series H tap and the perpetual note issuance, and vendor loan repayments. In December 2024, the current assets balance included €130 million of vendor loans which was repaid in 2025. These movements were partially offset by debt repayments, perpetual note buybacks, acquisitions, and capital expenditure. GCP's liquidity position remains very solid, with cash and liquid assets amounting to €1.6 billion, representing 37% of total debt.

Current assets also include trade and other receivables, which amounted to €337 million as of December 2025, of which €281 million relate to operating cost and rent receivables. Operating cost receivables mostly are settled annually against tenant advances for ancillary services and are matched by current liabilities recorded under trade and other payables.

The Company reported assets held-for-sale of €88 million at the end of December 2025, compared to €232 million (excluding cash and cash equivalents held-for-sale) at the end of December 2024. Assets held-for-sale represent properties expected to be sold within the next 12 months. The decrease in this line item was primarily driven by completed transactions, partially offset by the reclassification of investment properties into held-for-sale.

Liabilities

	Dec 2025	Dec 2024
	€'000	
Long and short-term loans and borrowings	946,296	929,439
Straight bonds and bond redemption	3,462,609	3,505,860
Deferred tax liabilities (including those under held-for-sale)	521,393	706,395
Other long-term liabilities and derivative financial instruments [1]	289,064	314,030
Current Liabilities [2]	346,474	348,882
Total Liabilities	**5,565,836**	**5,804,606**

(1) including short-term derivative financial instruments
(2) excluding current liabilities included in the items above

As of December 2025, total liabilities stood at €5.6 billion, lower compared to €5.8 billion at the end of December 2024. This line item primarily comprises straight bonds, loans and borrowings, deferred tax liabilities, other long-term liabilities, derivative financial instruments, and current liabilities. The decrease was mainly the result of the reduction in deferred tax liabilities following the one-off impact of the German corporate tax rate change and by debt repayments during the year, partially offset by new debt raised.

The largest item under total liabilities, straight bonds and loans and borrowings, amounted to €3.5 billion. The main movements during the year were the €250 million tap of its Series H bond maturing in 2032 with a 2% coupon and over €20 million in net new bank loans. At the same time, the Company repaid €259 million of Series E and Series U bonds at maturity, offsetting the increase from new debt. The debt is well covered by the Company's strong liquidity position, reflected in cash and liquid assets of €1.6 billion as of December 2025 and covering 37% of debt. GCP maintains flexibility to secure additional financing, supported by a high unencumbered asset ratio of 71%, representing a total value of €6.4 billion. The cost of debt remained low at 2.1%, with a hedging ratio of 95% and an average debt maturity of 4.3 years, or 6 years after adjusting for debt covered by the Company's liquidity position.

Deferred tax liabilities totalled €521 million as of December 2025, down from €706 million in 2024. The decrease reflects a one-off non-cash adjustment resulting from the German corporate tax rate reduction enacted in 2025, effective from 2028, which will gradually reduce

the rate from 15% to 10% by 2032. This adjustment lowered the theoretical tax on disposal gains and was partially offset by positive property revaluations recorded in the year. Deferred tax liabilities are non-cash items largely associated with revaluation gains, calculated under the assumption of future property disposals as asset deals applying full corporate tax rates in the relevant jurisdictions. Deferred tax liabilities account for 9% of total liabilities.

Other non-current liabilities amounted to €289 million as of December 2025, compared to €314 million in December 2024.

Current liabilities totalled €346 million, compared to €349 million in 2024. This line item includes trade and other payables, liabilities held for sale, and other current obligations. The largest component, trade and other payables, amounted to €268 million and is reflected on the asset side of the balance sheet by operating cost and rent receivables.

Equity

	Dec 2025	Dec 2024
	€'000	
Total Equity	**5,937,587**	**5,414,205**
of which equity attributable to the owners of the Company	4,077,284	3,700,201
of which equity attributable to the perpetual notes investors	1,225,132	1,212,444
of which non-controlling interests	635,171	501,560

As of December 2025, total equity amounted to €5.9 billion, higher by 10% from €5.4 billion at the end of December 2024. The increase was primarily driven by profit generated during the year.

Equity attributable to the owners of the Company reached €4.1 billion, compared to €3.7 billion in 2024, reflecting the profit attributable to shareholders. In line with its prudent financial strategy to maintain flexibility and headroom, GCP did not distribute a dividend for the 2024 financial year.

Equity attributable to perpetual note investors stood at €1.23 billion as of December 2025, increasing slightly from €1.21 billion in 2024. In December 2025, GCP issued a new €600 million perpetual note series with a 4.75% coupon and simultaneously launched a tender offer. Through this tender, the Company repurchased approximately €560 million of perpetual notes, including €460 million of higher coupon notes and €100 million of 1.5% notes with a first call date in 2026, taking initial steps to refinance this note. After the reporting period, GCP exercised redemption options on outstanding balances of its 6.332%, 5.901%, and 6.125% perpetual notes totalling approximately €40 million. This transaction allowed GCP to reduce annualized coupon payments and proactively managing upcoming call dates.

Non-controlling interests amounted to €635 million as of December 2025, up from €502 million in 2024, primarily due to profit generated during the year attributable to non-controlling interests, and acquisitions.

Debt financing KPIs

LOAN-TO-VALUE	Dec 2025	Dec 2024
	€'000	
Investment Property [1]	8,855,246	8,532,253
Investment properties of assets held-for-sale [1]	87,718	224,705
(A) Total value	**8,942,964**	**8,756,958**
Total debt	4,408,905	4,435,299
Cash and liquid assets (including those under held-for-sale)	1,622,506	1,514,674
(B) Net debt	**2,786,399**	**2,920,625**
(B/A) LTV	**31%**	**33%**

(1) including advanced payments and deposits and excluding right-of-use assets

A key element of GCP's strategy is maintaining a conservative financial profile, supported by strong debt metrics such as a low LTV ratio, high coverage ratios, and a significant proportion of unencumbered assets.

As of December 2025, the LTV ratio stood at 31%, lower compared to 33% at the end of 2024 and well below the LTV of 37% at the end of 2023. Coverage ratios remained strong, reflecting solid operational performance. In 2025, GCP recorded an interest coverage

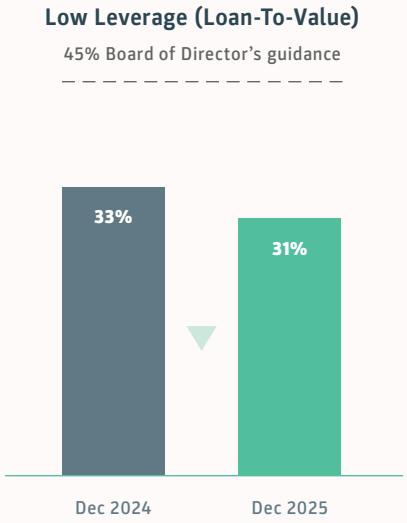
ratio (ICR) of 5.2x and a debt service coverage ratio (DSCR) of 4.6x, compared to 5.7x and 5.2x respectively in 2024. These metrics confirm the Company's ability to meet financial obligations through recurring cash flows.

The unencumbered investment property ratio was 71%, representing €6.4 billion of total portfolio value, providing additional flexibility to secure financing if required.

In April 2025, S&P announced its decision to lower the Company's credit rating by one notch to BBB with a stable outlook, in-line with the rating action taken on Aroundtown SA (owner of 63% of GCP`s shares), following S&P's group rating methodology. As a result, the credit rating of the Company's bonds also decreased by one notch to BBB and its perpetual notes to BB+. The Company's stand-alone credit profile ("SACP") remains bbb+.

GCP continues to have broad access to public and private capital markets, supported by its investment-grade ratings, including BBB/Stable from S&P affirmed in December 2025 and an unsolicited Baa1/Stable rating from Moody's, affirmed in October 2025.

Details regarding the EPRA LTV are included in the EPRA Performance Measures section of the report.



Unencumbered assets	Dec 2025	Dec 2024
	€'000	
(A) Unencumbered Assets	6,449,679	6,449,256
(B) Total Investment Property (including those under held-for-sale)	9,028,631	8,853,667
(A/B) Unencumbered Assets Ratio	**71%**	**73%**

Interest coverage ratio (ICR)	For the year ended 31 December	
	2025	2024
	€'000	
(A) Adjusted EBITDA	339,588	335,010
(B) Finance Expenses	65,570	58,845
(A/B) Interest Coverage Ratio	**5.2x**	**5.7x**

Debt service coverage ratio (DSCR)	For the year ended 31 December	
	2025	2024
	€'000	
(A) Adjusted EBITDA	339,588	335,010
(B) Finance Expenses	65,570	58,845
(C) Amortisation of loans from financial institutions	7,985	5,958
[A/(B+C)] Debt Service Coverage Ratio	**4.6x**	**5.2x**

EPRA Performance Measures

	2025	Change	2024
	In €'000 unless otherwise indicated		
EPRA NRV	5,101,995	4%	4,902,192
EPRA NRV per share (in €)	28.9	4%	27.8
EPRA NTA	4,513,981	5%	4,279,793
EPRA NTA per share (in €)	25.6	5%	24.3
EPRA NDV	4,113,556	9%	3,782,254
EPRA NDV per share (in €)	23.3	9%	21.4
EPRA Earnings	171,442	5%	163,771
EPRA Earnings per share (in €)	0.97	2%	0.95
EPRA LTV	44%	-2%	46%
EPRA LTV (including RETT)	41%	-2%	43%
EPRA Net initial yield (NIY)	3.7%	-	3.7%
EPRA "topped-up" NIY	3.7%	-	3.7%
EPRA Vacancy	3.6%	-0.2%	3.8%
EPRA Cost Ratio (incl. direct vacancy costs)	21.4%	0.1%	21.3%
EPRA Cost Ratio (excl. direct vacancy costs)	20.0%	0.4%	19.6%
EPRA Capital Expenditure (*)	304,506	95%	155,987
EPRA Like-for-like rental growth	3.5%	-0.3%	3.8%

(*) including acquisitions and capex, for more details see the EPRA Performance Measures section of this report

The European Public Real Estate Association (EPRA) is the widely recognised market standard guidance and benchmark provider for the European real estate industry. EPRA's Best Practices Recommendations prescribe the ongoing reporting of a set of performance metrics which are meant to enhance the quality of reporting by bridging the gap between the regulated IFRS reporting presented and specific analysis relevant to the European real estate industry. These standardised EPRA Performance Measures provide additional perspective on earnings, balance sheet and operational metrics, and facilitate for the simple and effective comparison of performance-related information across different companies.



Hamburg

EPRA Net Asset Value Metrics

The Net Asset Value is a key performance measure used in the real estate industry. Due to the evolving nature of ownership structures, balance sheet financing as well as the inclusion of non-operating activities leading to entities being relatively more actively managed, EPRA has provided three different metrics to reflect this nature of property companies. The EPRA Net Asset Value Metrics are defined by EPRA and include the Net Reinstatement Value (NRV), Net Tangible Assets (NTA) and Net Disposal Value (NDV).

EPRA Net Reinstatement Value (NRV) assumes that entities never sell assets and aims to represent the value required to rebuild the entity. The EPRA NRV measure provides stakeholders with the value of net assets on a long-term basis and excludes assets and liabilities that are not expected to materialise. Furthermore, real estate transfer taxes are added back, since the intention of this metric is to reflect what would be required to reinstate the Company through existing investment markets and the Company's current capital and financing structures.

EPRA Net Tangible Assets (NTA) assumes that entities buy and sell assets, thereby crystallising certain levels of unavoidable deferred tax. Therefore, the EPRA NTA measure excludes the value of intangible assets while also taking into consideration the fact that companies acquire and dispose assets and, in the process, realise certain levels of deferred tax liabilities.

EPRA Net Disposal Value (NDV) represents the shareholders' value under a disposal scenario, where deferred tax, financial instruments and certain other adjustments are calculated to the full extent of their liability, net of any resulting tax. Therefore, the EPRA NDV measure is meant to provide stakeholders with the net asset value in the scenario that all assets are disposed and/or liabilities are not held until maturity.

in € '000 unless otherwise specified	EPRA NRV	EPRA NTA	EPRA NDV	EPRA NRV	EPRA NTA	EPRA NDV
	Dec 2025			Dec 2024		
Equity attributable to the owners of the Company	**4,077,284**	**4,077,284**	**4,077,284**	**3,700,201**	**3,700,201**	**3,700,201**
Deferred tax liabilities on investment property [1]	517,010 [2]	442,740 [3]	-	699,844 [2]	585,864 [3]	-
Fair value measurements of derivative financial instruments [4]	(2,687)	(2,687)	-	(1,487)	(1,487)	-
Intangible assets and goodwill	-	(3,356)	-	-	(4,785)	-
Real estate transfer tax	510,388 [2]	-	-	503,634 [2]	-	-
Net fair value of debt	-	-	36,272	-	-	82,053
NAV	**5,101,995**	**4,513,981**	**4,113,556**	**4,902,192**	**4,279,793**	**3,782,254**
Basic number of shares including in-the-money dilution effects (in thousands)	176,454			176,349		
NAV per share (in €)	**28.9**	**25.6**	**23.3**	**27.8**	**24.3**	**21.4**

(1) including deferred tax liabilities on derivatives
(2) including balances held-for-sale
(3) excluding deferred tax liabilities on assets held-for-sale, non-core assets and development rights in Germany
(4) not including net change in fair value of derivative financial instruments related to currency effects

EPRA NRV

As of December 2025, EPRA NRV was €5.1 billion, or €28.9 per share, both higher by 4% compared to €4.9 billion and €27.8 per share at year-end 2024. The NRV metric reinstates the full amount of deferred tax and real estate transfer tax, assuming assets are never sold and reflecting the estimated cost to rebuild the Company. The increase was mainly driven by profits recorded during the year and positive property revaluations, partially offset by lower deferred tax liabilities.

EPRA NTA

As of December 2025, EPRA NTA amounted to €4.5 billion, or €25.6 per share, compared to €4.3 billion and €24.3 per share at the end of 2024. The increase was mainly driven by positive property revaluations and profits recorded during the year, similar to the factors impacting EPRA NRV.

The EPRA NTA portrays the normal business environment where company's buy and sell assets thereby incurring a certain amount of unavoidable deferred tax of the properties sold. To represent this normal business environment, GCP has classified its portfolio into three categories of properties which it may not hold long-term, for which it conservatively excludes deferred tax liabilities. These three categories are outlined below:

- **Investment properties held-for-sale:** These properties are actively managed for sale and the Company expects to dispose them within 12 months.
- **Propertied classified in its portfolio as "Other":** This portfolio may be disposed on an opportunistic basis and is composed of assets located in cities which do not lie in GCP's core portfolio locations and therefore are conservatively classified as properties which may be disposed. On the other hand, it is also likely that they could remain in the portfolio for the long term. The Company will continue to evaluate the probability of these properties being disposed or held long term in upcoming periods and make the necessary adjustments.
- **Development rights in Germany:** As part of GCP's value creation process, the company identifies development potential and works to obtain the relevant development rights. Once the development rights are granted, GCP decides whether to dispose the rights or to develop the projects. As GCP is expected to dispose a portion of the building rights on an opportunistic basis, the deferred tax regarding the building rights is not added back in the NTA calculation.

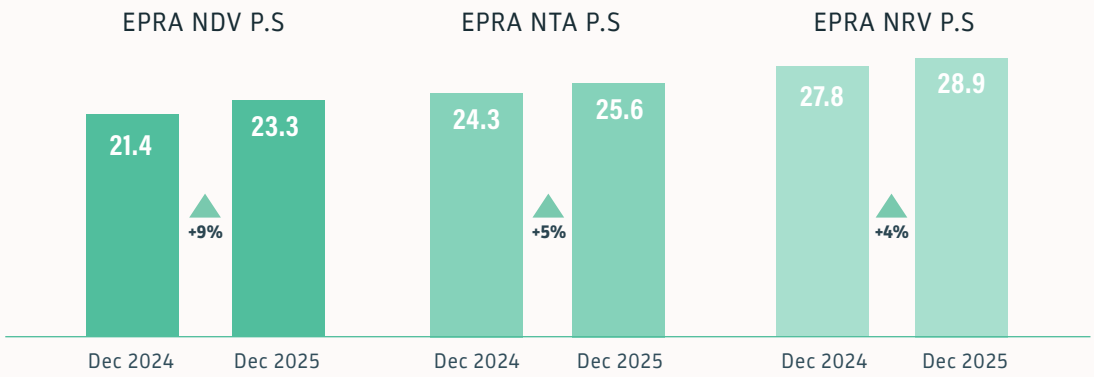
Particulars	Fair Value in €'000	as % of portfolio	% of deferred tax added back
Portfolio to be held long term*	7,887,329	88%	100%
Investment properties held-for-sale	87,718	1%	0%
Portfolio cities classified as "Others"	939,362	10%	0%
Development rights in Germany	114,222	1%	0%
Total (including assets classified as held-for-sale)	**9,028,631**	**100%**	

* all investment properties, excluding investment properties held-for-sale, investment properties in cities classified as "Others" and development rights in Germany

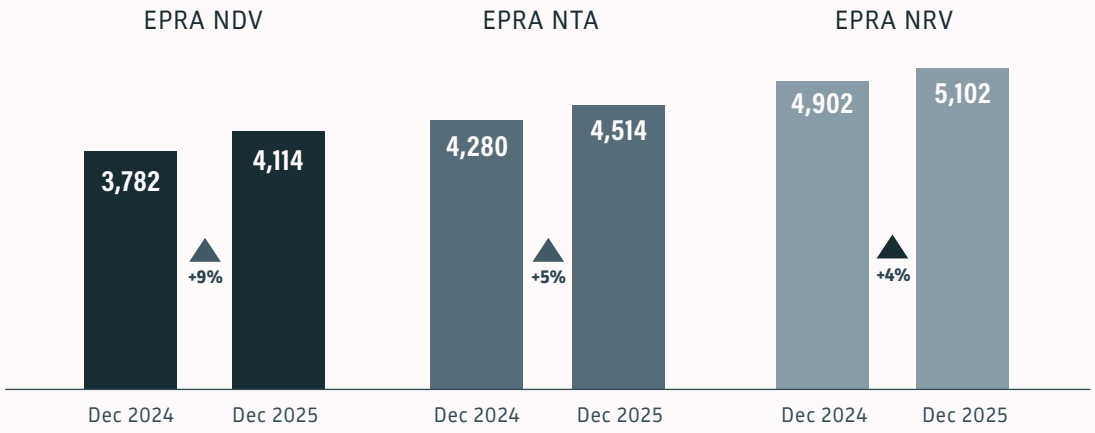
EPRA NDV

As of December 2025, EPRA NDV stood at €4.1 billion or €23.3 per share, both increasing by 9% compared to €3.8 billion or €21.4 per share at the end of 2024. EPRA NDV reflects the net asset value under the assumption that all assets are sold and all liabilities are settled, without reinstating deferred tax liabilities or real estate transfer tax. The increase in EPRA NDV was primarily driven by a stronger equity position resulting from higher net profit during the year, including the positive impact of Germany's tax regime change, which generated a one-off deferred tax income. This was partially offset by a lower net fair value of debt. While this adjustment negatively affects EPRA NDV, the Company views these developments as strongly positive for its long-term financial position.

EPRA NAV PER SHARE METRICS DEVELOPMENT (in €)



EPRA NAV METRICS DEVELOPMENT (in € millions)



EPRA Earnings*

	For the year ended 31 December	
	2025	2024
	€'000	
Earnings per IFRS income statement	**587,612**	**242,131**
Property revaluations and capital losses	(272,518)	(44,028)
Change in fair value of financial assets and liabilities, net	38,878	(3,876)
Adjustment for perpetual notes attribution	(41,454)	(42,362)
Deferred tax income (expenses)	(136,012)	16,900
Contribution to minorities	(5,064)	(4,994)
EPRA Earnings	**171,442**	**163,771**
Weighted average number of ordinary shares (basic) in thousands	176,121	172,587
EPRA Earnings per share (in €)	**0.97**	**0.95**
Bridge to FFO I		
Add back: Depreciation	6,638	6,311
Add back: Finance-related costs	7,011	15,121
Add back: Equity settled share-based payments and other adjustments	2,749	2,331
FFO I	**187,840**	**187,534**
Weighted average number of ordinary shares (basic) in thousands, including impact from share-based payments	176,411	172,855
FFO I per share (in €)	**1.06**	**1.08**

* EPRA BPR adjustments not disclosed have a zero value

EPRA Earnings serve as a key measure of a real estate company's underlying operational profitability and indicate the extent to which the Company's dividend distribution is covered by its operational income. GCP also provides a reconciliation of EPRA Earnings to FFO I, another widely recognised performance metric, as it considers FFO I to be a more accurate measure of recurring operational profits. This is further reflected in the Company's dividend payout policy, which is based on the FFO I metric.

EPRA Earnings amounted to €171 million in 2025, an increase of 5% compared to €164 million in 2024, mostly due to lower finance related costs. EPRA Earnings per share were €0.97 in 2025, higher than €0.95 in 2024.

The bridge to FFO I reflects one-off expenses and non-cash charges that are not adjusted for in EPRA Earnings. In 2025, GCP reported FFO I of €188 million, stable compared to 2024, as the higher finance expenses and minority contribution was offset by robust operational growth.

EPRA Loan to Value (LTV)*

	Dec 2025				
	Consolidated (as reported)	Share of Joint Ventures	Share of material associates	Material non-controlling interests	Proportionate consolidation
	€'000				
Total debt	4,408,905	-	-	-	4,408,905
Equity attributable to perpetual notes investors	1,225,132	-	-	-	1,225,132
Net foreign currency derivatives on debt	14,713	-	-	-	14,713
EPRA Gross Debt	**5,648,750**	**-**	**-**	**-**	**5,648,750**
Less:					
Cash and liquid assets (including those under held-for-sale)	(1,622,506)	-	-	-	(1,622,506)
(A) EPRA Net Debt	**4,026,244**	-	-	-	**4,026,244**
Owner occupied property	47,638	-	-	-	47,638
Investment property [1]	8,855,246	-	-	-	8,855,246
Investment properties of assets held-for-sale [1]	87,718	-	-	-	87,718
Intangible assets	3,356	-	-	-	3,356
Financial assets	15,634	-	-	-	15,634
Net receivables, financial investments, and other	223,179	-	-	-	223,179
(B) EPRA Net Assets	**9,232,771**	**-**	**-**	**-**	**9,232,771**
Real Estate Transfer Tax (RETT)	510,388	-	-	-	510,388
(C) EPRA Net Assets (including RETT)	**9,743,159**	**-**	**-**	**-**	**9,743,159**
(A/B) EPRA LTV	**44%**				**44%**
(A/C) EPRA LTV (including RETT)	**41%**				**41%**

(1) including advanced payments and deposits and excluding right-of-use assets

* EPRA BPR adjustments not disclosed have a zero value

	Dec 2024				
	Consolidated (as reported)	Share of Joint Ventures	Share of material associates	Material non-controlling interests	Proportionate consolidation
	€'000				
Total debt	4,435,299	-	-	-	4,435,299
Equity attributable to perpetual notes investors	1,212,444	-	-	-	1,212,444
Net foreign currency derivatives on debt	(7,921)	-	-	-	(7,921)
EPRA Gross Debt	**5,639,822**	**-**	**-**	**-**	**5,639,822**
Less:					
Cash and liquid assets (including those under held-for-sale)	(1,514,674)	-	-	-	(1,514,674)
(A) EPRA Net Debt	**4,125,148**	-	-	-	**4,125,148**
Owner occupied property	47,488	-	-	-	47,488
Investment property [1]	8,532,253	-	-	-	8,532,253
Investment properties of assets held-for-sale [1]	224,705	-	-	-	224,705
Intangible assets	4,785	-	-	-	4,785
Financial assets	143,890	-	-	-	143,890
Net receivables, financial investments, and other	99,705	-	-	-	99,705
(B) EPRA Net Assets	**9,052,826**	**-**	**-**	**-**	**9,052,826**
Real Estate Transfer Tax (RETT)	503,634	-	-	-	503,634
(C) EPRA Net Assets (including RETT)	**9,556,460**	**-**	**-**	**-**	**9,556,460**
(A/B) EPRA LTV	**46%**				**46%**
(A/C) EPRA LTV (including RETT)	**43%**				**43%**

(1) including advanced payments and deposits and excluding right-of-use assets

* EPRA BPR adjustments not disclosed have a zero value

The EPRA Loan-To-Value (LTV) is a metric which aims to assess the leverage of the shareholder equity within a real estate company. The greatest difference between the EPRA LTV and the Company calculated LTV metric is the wider categorization of liabilities in EPRA gross debt and assets in EPRA net assets with the greatest impact coming from the inclusion of the perpetual notes considered as debt. Under IFRS the Company's perpetual notes are accounted for as equity as a result of having no maturity date, being deeply subordinated and protective to all debt types, and not carrying any covenants and is considered as 100% equity also for the bond covenant calculations. EPRA LTV also adds net foreign currency derivatives on debt and working capital adjustments, such as net payables, if applicable to EPRA Gross Debt and the fair value of intangible assets, financial assets, and net receivables if applicable to EPRA net assets. Furthermore, EPRA LTV (including RETT) is further adjusted by adding back the Real Estate Transfer Taxes to the EPRA Net Assets. In its own LTV calculation, the Company does not make such adjustments.

GCP views its LTV calculation as a better measure of leverage and the debt position which is closer aligned with the bond covenant calculations. However, for enhanced transparency the Company presents both LTV metrics.

EPRA LTV stood at 44% as of December 2025, down from 46% in December 2024. EPRA LTV including RETT was 41%, compared to 43% a year earlier.

The improvement reflects an increase in EPRA net assets, mainly driven by positive property revaluations in 2025. EPRA net debt declined due to debt repayments during the year. Strong operational profits, proceeds from property disposals, vendor loan collections, and the suspension of dividends further strengthened the Company's cash position, contributing to the reduction in net debt.

EPRA Net Initial Yield (NIY) and EPRA "Topped-Up" NIY*

	Dec 2025	Dec 2024
	€'000	
Investment property	8,940,913	8,628,962
Investment properties of assets held-for-sale	87,718	224,705
Less: Classified as development rights and new buildings (1)	(135,566)	(187,692)
Complete property portfolio	**8,893,065**	**8,665,975**
Allowance for estimated purchaser's costs	664,774	651,269
(A) Gross up complete property portfolio valuation	**9,557,839**	**9,317,244**
End of period annualised net rental income (including impact from assets held-for-sale)	432,541	423,986
Operating costs (2)	(82,017)	(79,625)
(B) Annualised net rent, after non-recoverable costs	**350,524**	**344,361**
Notional rent expiration of rent-free periods or other lease incentives	N/A	N/A
(C) Topped-up net annualised rent	**350,524**	**344,361**
(B/A) EPRA NIY	**3.7%**	**3.7%**
(C/A) EPRA "topped-up" NIY	**3.7%**	**3.7%**

(1) including held-for-sale
(2) to reach annualised operating costs, cost margins were used for each respective period
* EPRA BPR adjustments not disclosed have a zero value

The EPRA Net Initial Yield (NIY) is intended to serve as a standardised portfolio valuation indicator. It is calculated by subtracting the passing non-recoverable operating costs from the passing net rental income as of the end of the period and dividing the result by the fair value of the full property portfolio (including held-for-sale properties and inventories – trading properties, excluding the value of properties classified as development rights and new buildings, as these are non-income generating assets), plus an allowance for estimated purchasers' costs. EPRA 'topped-up' NIY is an additional calculation that factors into consideration the effects of rent-free periods and other lease incentives.

EPRA Net Initial Yield (NIY) was 3.7% as of December 2025, remaining stable compared to December 2024. The annualized net rental income increased year over year, mainly driven by like-for-like rental growth and was further impacted by capital recycling where GCP acquired high quality assets at a higher yield, while disposing lower yielding properties. As valuations trended broadly in-line with operational growth, the impact of property revaluations on the EPRA NIY was not material. EPRA "topped-up" NIY stood at 3.7%, as GCP did not record material rent-free periods or other lease incentives.

EPRA Vacancy

	Dec 2025	Dec 2024
	€'000	
(A) Estimated rental value (ERV) of vacant space	16,243	16,196
(B) December annualised net rent including vacancy rented at ERV	445,196	428,745
(A/B) EPRA Vacancy Rate	**3.6%**	**3.8%**

EPRA Vacancy is an operational measure that calculates a real estate company's economic vacancy rate as based on the prevailing market rental rates. It is calculated by dividing the estimated market rental value of the vacant spaces in the portfolio by the market rental value of the entire portfolio, including vacancy rented at market rents.

EPRA Vacancy was 3.6% in 2025, down from 3.8% in 2024. This historic low reflects the Company's strong letting performance and underscores the high demand across GCP's portfolio locations. A breakdown of the EPRA Vacancy for the Company's main portfolio locations is disclosed in the Portfolio section of Board of Directors' report.

EPRA Cost Ratios*

	For the year ended 31 December	
	2025	2024
	€'000	
Property operating expenses, net (1)	58,001	56,429
Maintenance and refurbishment	23,297	22,953
Administrative and other expenses	10,613	10,632
Depreciation and amortisation	6,638	6,311
Exclude:		
Depreciation and amortisation	(6,638)	(6,311)
(A) EPRA Costs (including direct vacancy costs)	**91,911**	**90,014**
Direct vacancy costs	(6,110)	(7,196)
(B) EPRA Costs (excluding direct vacancy costs)	**85,801**	**82,818**
Revenue	601,457	597,018
Less: operating and other income	(172,707)	(174,325)
(C) Rental income, net	**428,750**	**422,693**
(A/C) EPRA Cost Ratio (including direct vacancy costs)	**21.4%**	**21.3%**
(B/C) EPRA Cost Ratio (excluding direct vacancy costs)	**20.0%**	**19.6%**

(1) including share of operating expenses recoverable from tenants

* EPRA BPR adjustments not disclosed have a zero value

The EPRA Cost Ratios provide a detailed analysis of a Company's operating costs structure and provide for increased comparability across companies. The cost ratio is derived by dividing the Company's direct administrative expenses and property operating expenses (including non-recoverable service charges as well as share-based payments) by the rental income for the year, excluding ground rents. The ratio is calculated both including and excluding the direct vacancy costs.

EPRA Cost Ratio including direct vacancy costs was 21.4% in 2025, compared to 21.3% in 2024. EPRA Cost Ratio excluding direct vacancy costs stood at 20%, up from 19.6% in the prior year. The slight increase was due to higher property operating expenses, which were partially offset by strong operational growth. The direct vacancy costs were impacted by the combined impact of lower vacancy and lower cost per vacant square meter.

EPRA Capital Expenditure*

	For the year ended 31 December	
	2025	2024
	€'000	
Acquisitions	191,267	45,337
Investment Properties:		
Pre-letting modifications and others	27,032	25,358
Repositioning capex	82,642	82,892
Modernisation	3,565	2,400
EPRA property-related capex	**304,506**	**155,987**

* EPRA BPR adjustments not disclosed have a zero value

The Company recorded EPRA property-related capex in the amount of €305 million in 2025, compared to €156 million in 2024. EPRA property-related capex includes expenditures pertaining to acquisitions, pre-letting modifications and other costs, repositioning investments, and modernisation projects. The increase in EPRA property-related capex was primarily due to the larger volume of acquisitions made during 2025. Further explanations on the acquisition and capex can be found in the notes above.

EPRA Like-for-like rental growth

EPRA like-for-like rental growth was 3.5% in 2025, representing an increase of €14 million in annualized rent for the like-for-like portfolio compared to December 2024. This growth breaks down into 3.6% from the German portfolio and 3.1% from London. Like-for-like rental growth measures the change in annualized net rent between two periods for properties held in both periods, December 2025 and December 2024. The calculation excludes properties classified as held-for-sale and development rights & invest. As of December 2025, the like-for-like portfolio comprised €8.5 billion of investment property, representing 97% of the total portfolio by value excluding held-for-sale and development rights & invest, with the remainder primarily relating to properties acquired in 2025 and thus not relevant for the like-for-like calculation. Foreign currencies are accounted for at constant exchange rates, eliminating the impact of currency fluctuations, with FX rates applied as of December 2025. (see note 2.3 of the notes to the financial statements).



Dresden

Alternative Performance Measures

In this section, GCP provides an overview of the use of its alternative performance measures.
For enhanced transparency and more industry specific comparative basis, the Company provides market and industry standard performance indicators. GCP provides a set of measures that can be utilised to assess the Company's operational earnings, net asset value of the Company, leverage position, debt and interest coverage abilities as well as liquidity headroom. The following measurements apply to the real estate industry's specifications and include adjustments where necessary that are in compliance with the standards.

Adjusted EBITDA

The adjusted EBITDA is an industry standard figure indicative of the Company's recurring operational profits before interest and tax expenses, excluding the effects of capital gains, revaluations, and other non-operational income statement items such as profits from disposal of buildings, share of profit from investment in equity-accounted investees and other adjustments. GCP starts from its *Operating profit* and adds back the item *Depreciation and amortisation* to arrive at the *EBITDA* value. Non-recurring and non-operational items are deducted such as the *Property revaluations and capital gains, Result on the disposal of buildings and Share of profit from investment in equity-accounted investees*. Further adjustments are labelled as *Equity settled share-based payment and other adjustments,* which are subtracted since these are non-cash expenses.

Adjusted EBITDA reconciliation
Operating Profit
(+) Depreciation and amortisation
(=) EBITDA
(+/-) Property revaluations and capital gains
(+/-) Result on the disposal of buildings
(+/-) Share of profit from investment in equity-accounted investees
(+/-) Equity settled share-based payments and other adjustments
(=) Adjusted EBITDA

Funds From Operations I (FFO I)

Funds From Operations I (FFO I) is an industry-wide standard measure of the recurring operational cash flow of a real estate company, often utilised as a key industry performance indicator. It is calculated by deducting the *Finance expenses*, *Current tax expenses, Contribution to minorities, Adjustment for perpetual notes attribution and adding the Contribution from joint ventures* if applicable, to the *Adjusted EBITDA*. To arrive at the *FFO I per share* the *FFO I* is divided by the *Weighted average number of ordinary shares (basic) in thousands, including impact from share-based payments,* which reflects the impact of the *Equity settled share-based payments* adjustment in the *Adjusted EBITDA*.

FFO I reconciliation
Adjusted EBITDA
(-) Finance expenses
(-) Current tax expenses
(-) Contribution from/(to) joint ventures and minorities, Net
(-) Adjustment for perpetual notes attribution [1]
(=) (A) FFO I [2]
(B) Weighted average number of ordinary shares (basic) in thousands, including impact from share-based payments
(=) (A/B) FFO I per share

(1) named as "Adjustment for accrued perpetual notes attribution" in FY 2017,2018, 2019
(2) named "FFO I after perpetual notes attribution" prior to FY 2020

Funds From Operations II (FFO II)

FFO II additionally incorporates on top of the *FFO I* the *results from asset disposals*, calculated as the difference between the disposal values and the property acquisition costs plus capex, reflecting the economic profit generated on the sale of the assets. Although, property disposals are non-recurring, disposal activities provide further cash inflow that increase the liquidity levels. As a result, this measure is an indicator to evaluate operational cash flow of a company including the effects of disposals.

FFO II reconciliation
FFO I
(+/-) Result from disposal of properties [1]
(=) FFO II

(1) the excess amount of the sale price, net of transaction costs and total costs (cost price and capex of the disposed properties)

Adjusted Funds From Operations (AFFO)

The Adjusted Funds From Operations (AFFO) is an additional measure of comparison which factors into the FFO I, the Company's repositioning capex, which targets value enhancement and quality increase in the portfolio. Modernisation and pre-letting capex are not included in the AFFO as it is considered as an additional investment program, similar to the property acquisitions, which is conducted at the Company's discretion. Therefore, in line with the industry practices, GCP deducts the *Repositioning capex* from the *FFO I* to arrive at the *AFFO*. As a result, AFFO is another widely used indicator which tries to assess residual cash flow for the shareholders by adjusting FFO I for recurring expenditures that are capitalised.

AFFO reconciliation
FFO I
(-) Repositioning capex
(=) AFFO

Rental Yield and Rent Multiple

The rental yield and rent multiple are industry standard measures that indicate the rent generation potential of a property portfolio relative to the value of that property portfolio and are generally used as key valuation indicators by market participants.

The *rental yield* is derived by dividing the *end of period annualised net rental income*, by the *Investment property*. The *end of period annualised net rental income* represents the annualised monthly in-place rent of the related *investment property* as at the end of the period. The rent multiple reflects the inverse of the rental yield and is derived by dividing the *Investment property* by the *end of period annualised net rental income*. As the Company's assets classified as *development rights & invest* do not generate material rental income, these are excluded from the calculation for enhanced comparability.

GCP additionally reports rental yield and/or rent multiple on a more granular basis, such as in its portfolio breakdown or in relation to specific transactions, to provide enhanced transparency and comparability on its property portfolio in specific locations and/or in relation to transaction activity.

Rental yield and rent multiple reconciliation
(A) end of period annualised net rental income [1]
(B) Investment property [1]
= (A/B) rental yield
= (B/A) rent multiple

(1) excluding properties classified as development rights & invest

Loan-to-Value (LTV)

LTV ratio is an acknowledged measurement of the leverage position of a given firm in the real estate industry. This ratio highlights to which extent financial liabilities are covered by the Company's real estate asset value as well as how much headroom of the fair value of real estate portfolio is available compared to the net debt. Following the industry specifications, GCP calculates the LTV ratio by dividing the total net debt to the total value at the balance sheet date. Total value of the portfolio is a combination of the *Investment property* which includes the *Advanced payments and deposits, inventories - trading properties, Investment properties of assets held-for-sale and the investment in equity-accounted investees and excludes right-of-use assets*. For the calculation of net debt, total *Cash and liquid assets* are deducted from the *Straight bonds, Convertible Bonds and Total loan and borrowings.* Total loan and borrowings include the *Short-term loans and borrowings, debt redemption,* and *Financial debt held-for-sale* while Straight bonds and Convertible bonds include *Bond redemption.* Cash and liquid assets is the sum of *Cash and cash equivalents, Financial assets at fair value through profit and loss,* and *Cash and cash equivalents held-for-sale.*

Loan-to-Value reconciliation
(+) Investment property[1]
(+) Investment properties of assets held-for-sale[2]
(+) Investment in equity-accounted investees
(=) (A) Total value
(+) Total debt[3]
(-) Cash and liquid assets[4]
(=) (B) Net debt
(=) (B/A) LTV

(1) including advanced payments and deposits, inventories - trading properties and excluding right-of-use assets
(2) excluding right-of-use assets
(3) including loans and borrowings held-for-sale
(4) including cash and cash equivalents held-for-sale

Unencumbered Assets Ratio

The unencumbered assets ratio is a liquidity measure as it reflects the Company's ability to raise secure debt over these assets and thus provides an additional layer of financial flexibility and liquidity. Moreover, the unencumbered assets ratio is important for unsecured bondholders, providing them with an asset backed security. Hence, the larger the ratio is, the more flexibility a firm has in terms of headroom and comfort to its debtholders. Unencumbered assets ratio is calculated by dividing the *Unencumbered investment property* of the portfolio by the *Total investment properties* which is the sum of *Investment property, Inventories - trading property* and *Investment properties of assets held-for-sale.*

Unencumbered Assets Ratio reconciliation
(A) Unencumbered assets
(B) Total investment properties[1]
(=) (A/B) Unencumbered Assets Ratio

(1) including investment properties, investment properties of assets held-for-sale and inventories - trading property

ICR and DSCR

Two widely recognised debt metrics Interest Coverage Ratio (ICR) and Debt Service Coverage Ratio (DSCR) are utilised to demonstrate the strength of GCP's credit profile. These metrics are often used to see the extent to which interest and debt servicing are covered by recurring operational profits and provides implications on how much of cash flow is available after debt obligations. Therefore, ICR is calculated by dividing the *Adjusted EBITDA* by the *Finance expenses* and DSCR is calculated by dividing the *Adjusted EBITDA* by the *Finance expenses* plus the *Amortisation of loans from financial institutions.* With this ratio, GCP is able to show that with its high profitability and long-term oriented conservative financial structure, GCP consistently exhibits high debt cover ratios.

ICR reconciliation
(A) Adjusted EBITDA
(B) Finance expenses
(=) (A/B) ICR

DSCR reconciliation
(A) Adjusted EBITDA
(B) Finance expenses
(C) Amortisation of loans from financial institutions
(=) [A/(B+C)] DSCR

Net Reinstatement Value according to EPRA (EPRA NRV)

The Net Reinstatement Value measure provides stakeholders with the value of net assets on a long-term basis and excludes assets and liabilities that are not expected materialise. Furthermore, real estate transfer taxes are added back, since the intention of this metric is to reflect what would be required to reinstate the Company through existing investment markets and the Company's current capital and financing structures.

The reconciliation of the EPRA NRV starts from the *Equity attributable to the owners of the Company* and adds back *Deferred tax liabilities on investment property and fair value measurements of derivative financial instruments.* Further, the EPRA NRV includes *real estate transfer tax* in order to derive the *EPRA NRV* and provide the reader with a perspective of what would be required to reinstate the Company at a given point of time. To arrive at the *EPRA NDV per share* the *EPRA NDV* is divided by the *Basic number of shares including in-the-money dilution effects (in thousands).*

EPRA NRV reconciliation
Equity attributable to the owners of the Company
(+) Deferred tax liabilities[1]
(+/-) Fair value measurements of derivative financial instruments, net[2]
(+) Real Estate Transfer Tax[1]
(=) (A) EPRA NRV
(B) Basic number of shares including in-the-money dilution effects (in thousands)
(=) (A/B) EPRA NRV per share

(1) including balances held-for-sale, and including deferred tax liabilities on derivatives
(2) not including net change in fair value of derivative financial instruments related to currency effect

Net Tangible Assets according to EPRA (EPRA NTA)

The Net Tangible Assets measure excludes the value of intangible assets while also taking into consideration the fact that companies acquire and dispose assets and, in the process, realise certain levels of deferred tax liabilities.

The reconciliation of the EPRA NTA begins at the *Equity attributable to the owners of the Company* and adds back *Deferred tax liabilities on investment property* excluding deferred tax liabilities related to the assets which are considered non-core, assets expected to be disposed within the following 12 months and the development rights in Germany. In addition, *intangible assets as per the IFRS Balance sheet* is subtracted and *fair value measurements of derivative financial instruments* are considered for this measure of valuation by EPRA. To arrive at the *EPRA NTA per share* the *EPRA NTA* is divided by the *Basic number of shares including in-the-money dilution effects (in thousands).*

EPRA NTA reconciliation
Equity attributable to the owners of the Company
(+) Deferred tax liabilities[1]
(+/-) Fair value measurements of derivative financial instruments, net[2]
(-) Intangible assets and goodwill
(=) (A) EPRA NTA
(B) Basic number of shares including in-the-money dilution effects (in thousands)
(=) (A/B) EPRA NTA per share

(1) excluding deferred tax liabilities on non-core assets, assets held-for-sale and development rights in Germany, including deferred tax liabilities on derivatives
(2) not including net change in fair value of derivative financial instruments related to currency effect

Net Disposal Value according to EPRA (EPRA NDV)

The Net Disposal Value measure is meant to provide stakeholders with the net asset value in the scenario that all assets are disposed and/or liabilities are not held until maturity. In this measure of net asset value, deferred tax liabilities, fair value measurements of financial instruments and certain other adjustments are considered to the full extent of their liabilities, without including any optimisation of real estate transfer tax.

Accordingly, to arrive at the EPRA NDV the starting point is the *Equity attributable to the owners of the Company* and includes the *Net fair value of debt.* The adjustment is the difference between the market value of debt and book value of debt. To arrive at the *EPRA NDV* per share the *EPRA NDV* is divided by the *Basic number of shares including in-the-money dilution effects (in thousands).*

EPRA NDV reconciliation
Equity attributable to the owners of the Company
(+/-) Net fair value of debt
(=) (A) EPRA NDV
(B) Basic number of shares including in-the-money dilution effects (in thousands)
(=) (A/B) EPRA NDV per share

EPRA Loan-To-Value (EPRA LTV)

The EPRA Loan-To-Value (EPRA LTV) is a key metric which aims to assess the leverage of the shareholder equity within a real estate company. The main difference between the EPRA LTV and the Company calculated LTV metric is the wider categorization of liabilities in EPRA gross debt and assets in EPRA net assets with the largest impact coming from the inclusion of the perpetual notes as debt. The *EPRA LTV* is calculated by dividing the *EPRA Net debt* by *EPRA Net Assets*. *EPRA Net debt* is composed of *EPRA Gross Debt* subtracted by *Cash and liquid assets*. *EPRA Gross Debt* is calculated from *Total financial debt* which is the sum of the current and non-current portions of *Loans and borrowings*, *Convertible Bonds, Straight Bonds* and adds to this *Foreign currency derivatives, Equity attributable to perpetual notes investors,* and *Net Payables* (if applicable). *EPRA Net Assets* is calculated by adding together *Owner-occupied property, Investment property* and *Investment properties of assets held-for-sale* (each excluding right-of-use assets), *Intangible assets, Financial Assets* and *Net receivables* (if applicable).

Net receivables or *Net payables* are *Payables* net of *Receivables*, and whichever item is greater is applicable to the calculation.

Additional items which are included in the calculation, but are currently not applicable to GCP include *Share of net debt of joint ventures* (in EPRA Gross Debt), *Share of Investment properties of joint ventures* (in EPRA Gross Assets), and the *Net minority impact of material minorities* (applicable to both assets and liabilities) which would be added to the EPRA LTV calculation if applicable.

EPRA updated the BPR guidelines in September 2024, introducing an updated methodology which includes *EPRA LTV (incl. RETT)*. *EPRA LTV (incl. RETT)* adds back *Real Estate Transfer Tax (RETT)* to the EPRA Net Assets.

EPRA Loan-To-Value (EPRA LTV) reconciliation*
(+) Total financial debt[1]
(+) Foreign currency derivatives
(+) Equity attributable to perpetual notes investors
(+) Net Payables[2]
(=) EPRA Gross Debt
(-) Cash and liquid assets[1]
(=) (A) Net debt
(+) Owner-occupied property
(+) Investment property[3]
(+) Investment properties of assets held-for-sale[3]
(+) Intangible assets
(+) Financial assets
(+) Net receivables, financial investments, and other [2] [4]
(=) (B) EPRA Net Assets
(=) (A/B) EPRA LTV
(+) Real Estate Transfer Tax (RETT)
(=) (C) EPRA Net Assets (including RETT)
(=) (A/B) EPRA LTV
(=) (A/C) EPRA LTV (including RETT)

(1) including balances held-for-sale
(2) net receivables to be used when receivables are greater than payables and net payables to be used when payables are greater than receivables
(3) including advance payments and deposits and excluding right of use assets
(4) named as „Net receivables" in FY 2024 and prior years

* EPRA BPR adjustments not disclosed have a zero value

EPRA Earnings

The EPRA Earnings indicator is intended to serve as a key indicator of the underlying operational profits for the year in the context of a real estate company, intended to measure the extent to which the Company's dividend distribution is covered by its operational income. GCP computes EPRA Earnings by excluding from its IFRS Earnings, *Property revaluations and capital gains, Result on the disposal of buildings, Changes in the fair value of financial assets and liabilities (net), Deferred tax expenses, its Share of profit from investment in equity-accounted investees, Contribution to minorities and adding the Contribution from joint ventures.* EPRA updated the BPR guidelines in September 2024, introducing an updated methodology for calculating *EPRA Earnings*. The updated methodology includes now an *Adjustment for perpetual notes attribution*, starting FY 2024. To arrive at the *EPRA Earnings per share* the *EPRA Earnings* is divided by the *Weighted average number of ordinary shares (basic) in thousands.*

In the FY 2024 report, GCP presented calculations under both the old and updated methodologies. Starting with this report, GCP will only disclose figures based on the updated methodology. For reference, the old methodology was reported in the FY 2024 report as "EPRA Earnings (excl. perp.)".

GCP also provides a reconciliation of the EPRA Earnings to the FFO I, another widely-recognized and key performance measure, as it believes it to be a better measure of recurring operational profits and given that its dividend payout policy is based on the FFO I, supporting its importance and relevance. In-line with the updated *EPRA Earnings* methodology, which now includes the *Adjustment for perpetual notes attribution*, such adjustment is no longer required in the bridge.

EPRA Earnings reconciliation*

EPRA Earnings
Earnings per IFRS income statement
Excluding:
(+/-) Property revaluations and capital gains
(+/-) Result on the disposal of buildings
(+/-) Change in fair value of financial assets and liabilities, net
(+) Deferred tax expenses
(-) Adjustments for perpetual notes attribution (1)
(+/-) Share in profit from investment in equity-accounted investees
(+/-) Contribution from joint ventures
(+/-) Contribution to minorities
(=) (A) EPRA Earnings
(B) Weighted average number of ordinary shares (basic) in thousands
(=) (A/B) EPRA Earnings per share

Bridge to FFO I

Excluding:
(+) Depreciation
(+) Finance-related costs
(+/-)Equity settled share-based payments and other adjustments
(-) Adjustment for perpetual notes attribution (1)
(=) (C) FFO I
(D) Weighted average number of ordinary shares (basic) in thousands, including impact from share-based payments
(=) (C/D) FFO I per share

(1) following EPRA methodology update Adjustment for perpetual notes attribution is included in the EPRA Earnings calculation starting FY 2024

* EPRA BPR adjustments not disclosed have a zero value

EPRA Net Initial Yield (NIY) and EPRA, topped-up' NIY

The EPRA Net Initial Yield (NIY) is intended to serve as a standardised portfolio valuation indicator. It is calculated by subtracting the passing non-recoverable operating costs from the passing net rental income as of the end of the period, and dividing the result by the fair value of the full property portfolio (including held-for-sale properties and inventories – trading properties) plus an allowance for estimated purchasers' costs. EPRA 'topped-up' NIY is an additional calculation that factors into consideration the effects of rent-free periods and other lease incentives.

The fair value of the full property portfolio is the sum of *investment property, share of investment properties in equity accounted investees, investment properties from assets held-for-sale as well as the inventories - trading properties.* Properties classified as development rights & invest are subtracted, as these are non-income generating assets and therefore not relevant to the NIY calculation. In addition, this sum is grossed up with an *allowance for estimated purchaser's cost.* The *annualised net rental income* is arrived by subtracting *non-recoverable property operating costs* based on cost margins for comparability.

EPRA NIY and 'topped-up' NIY reconciliation*

EPRA Net Initial Yield (NIY) and EPRA 'topped-up' NIY
(+) Investment property
(+) Investment properties – share of JV
(+) Investment properties of assets held-for-sale
(+) Inventories - trading properties
(-) Classified as development rights & invest [1]
(=) Complete property portfolio
(+) Allowance for estimated purchasers' costs
(=) (A) Gross up complete property portfolio valuation
(+) End of period annualised net rental income[2]
(-) Operating costs[3]
(=) (B) Annualised net rent, after non-recoverable costs
(+) Notional rent expiration of rent-free periods or other lease incentives
(=) (C) Topped-up net annualised rent
(=) (B/A) EPRA NIY
(=) (C/A) EPRA "topped-up" NIY

(1) named as "Classified as development rights and new buildings" in FY 2018 and 2019 prior to that, such classification did not exist.
(2) including net rental income from assets held-for-sale and GCP's share in equity-accounted investees
(3) to reach annualised operating costs, cost margins were used for each respective period

* EPRA BPR adjustments not disclosed have a zero value

EPRA Vacancy rate

EPRA Vacancy rate is a key disclosure that provides for the comparable and consistent reporting of vacancy across companies. EPRA Vacancy rate is expressed as a percentage, being the *Estimated Rental Value (ERV) of vacant space* divided by the *annualised rental value of the portfolio, including vacancy rented at ERV, for a given month.*

EPRA Vacancy rate reconciliation

(A) ERV of vacant space, for a given month
(B) annualised rental value of the portfolio, including vacancy rented at ERV, for a given month
(=) (A/B) EPRA Vacancy rate

EPRA Cost Ratios

EPRA Cost Ratio is a key measure to enable meaningful measurement of the changes in a company's operating costs as well as comparability between companies. EPRA Costs (including direct vacancy costs) is the sum of non-recoverable *operational expenses, maintenance and refurbishment, administrative expenses* and the *share of expenses from investments in equity accounted investees* related to the above. EPRA Costs (excluding direct vacancy costs) eliminate direct vacancy costs from the EPRA Costs (including direct vacancy costs).

EPRA Cost Ratios reconciliation*

EPRA Cost Ratios
(+) Property operating expenses, net
(+) Maintenance and refurbishment
(+) Administrative and other expenses
(+) Share of expenses from investments in equity accounted investees [1]
(=) (A) EPRA Costs (including direct vacancy costs)
(-) Direct vacancy costs
(=) (B) EPRA Costs (excluding direct vacancy costs)
Revenue
(-) Operating and other income
(+) Share of net rental income from equity-accounted investees
(=) (C) Rental income, net
(=) (A/C) EPRA Cost Ratio (including direct vacancy costs)
(=) (B/C) EPRA Cost Ratio (excluding direct vacancy costs)

(1) including share of operating expenses recovered from tenants

* EPRA BPR adjustments not disclosed have zero value

EPRA capital expenditure

The EPRA capital expenditure disclosure is based on EPRA guidelines, which aims to provide a detailed analysis of the Company's capital expenditures.

Acquisitions represent the amount spent for the purchase of investment properties including capitalized transaction costs.

Pre-letting modifications and others refer to costs related to snagging and the final preparation of new buildings as well as re-opening of converted/refurbished buildings prior to leasing.

Repositioning Capex comprise of costs involved in improving the long-term asset quality.

Modernisation refers to capex carried on a targeted basis aimed at further improving the quality of the portfolio and increasing rents.

EPRA capital expenditure reconciliation*

(+) Acquisitions
Investment Properties:
(+) Pre-letting modifications and others
(+) Repositioning Capex
(+) Modernisation
(=) EPRA property-related capex

* EPRA BPR adjustments not disclosed have a zero value

Responsibility Statement

To the best of our knowledge, the consolidated annual report of Grand City Properties S.A., prepared in accordance with the applicable reporting principles for financial statements, give a true and fair view of the assets, liabilities, financial position and profit and loss of the Group and the management report of the Group includes a fair view of the development of the business, and describes the main opportunities, risks, and uncertainties associated with the Group.

Disclaimer

The financial data and results of the Group are affected by financial and operating results of its subsidiaries. Significance of the information presented in this report is examined from the perspective of the Company including its portfolio. In several cases, additional information and details are provided in order to present a comprehensive representation of the subject described, which in the Group's view is essential to this report.

Luxembourg, 4 March 2026

Christian Windfuhr
Chairman and member
of the Board of Directors

Simone Runge-Brandner
Member of the
Board of Directors

Markus Leininger
Member of the
Board of Directors

02

CONSOLIDATED FINANCIAL STATEMENTS



Berlin

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

		Year ended 31 December	
		2025	2024
		Audited	Audited
	Note	€'000	
Revenue	6	**601,457**	**597,018**
Property revaluations and capital losses	7	272,518	44,028
Property operating expenses	8	(254,005)	(253,707)
Administrative and other expenses	9	(10,613)	(10,632)
Depreciation and amortisation	14	(6,638)	(6,311)
Operating profit		**602,719**	**370,396**
Finance expenses	10.1	(65,570)	(58,845)
Other financial results	10.2	(45,889)	(11,245)
Profit before tax		**491,260**	**300,306**
Current tax expenses	11.2	(39,660)	(41,275)
Deferred tax income (expenses)	11.3	136,012	(16,900)
Profit for the year		**587,612**	**242,131**
Profit attributable to:			
Owners of the Company		470,430	196,626
Perpetual notes investors		41,454	42,362
Non-controlling interests		75,728	3,143
		587,612	**242,131**
Net earnings per share attributable to the owners of the Company (in euro):			
Basic earnings per share	12.1	2.67	1.14
Diluted earnings per share	12.2	2.67	1.14

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Year ended 31 December	
	2025	2024
	Audited	Audited
	€'000	
Profit for the year	**587,612**	**242,131**
Other comprehensive income:		
Items that will not be reclassified to profit or loss in subsequent periods, net of tax:		
Gain on owner-occupied property revaluation	3,171	731
Items that may be reclassified to profit or loss in subsequent periods, net of tax:		
Foreign currency translation, net of investment hedges of foreign operations	(55,962)	28,198
Cash flow hedges and cost of hedging	(10,224)	(17,172)
Total other comprehensive income (loss) for the year, net of tax	**(63,015)**	**11,757**
Total comprehensive income for the year	**524,597**	**253,888**
Total comprehensive income attributable to:		
Owners of the Company	407,190	205,573
Perpetual notes investors	41,454	42,362
Non-controlling interests	75,953	5,953
	524,597	**253,888**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

		As at 31 December	
		2025	2024
		Audited	Audited
	Note	€'000	
ASSETS			
Investment property	15	8,940,913	8,628,962
Owner-occupied property	14	47,638	47,488
Equipment	14	10,903	11,772
Intangible assets and goodwill	14	3,356	4,785
Deposits and advance payments		32,757	21,081
Derivative financial assets	26	25,502	33,592
Other non-current assets	13	319,150	184,855
Deferred tax assets	11.3	70,409	84,424
Non-current assets		**9,450,628**	**9,016,959**
Cash and cash equivalents		1,531,767	1,372,859
Financial assets at fair value through profit or loss		90,739	141,439
Trade and other receivables	16	337,330	449,374
Derivative financial assets	26	5,241	5,486
Assets held-for-sale	24.2	87,718	232,694
Current assets		**2,052,795**	**2,201,852**
Total assets		**11,503,423**	**11,218,811**
EQUITY			
Share capital	17.1	17,619	17,619
Treasury shares	17.3	(1,323)	(1,920)
Share premium and other reserves	17.4/17.5	147,674	240,439
Retained earnings		3,913,314	3,444,063
Total equity attributable to the owners of the Company		**4,077,284**	**3,700,201**
Equity attributable to perpetual notes investors		1,225,132	1,212,444
Total equity attributable to the owners of the Company and perpetual notes investors		**5,302,416**	**4,912,645**
Non-controlling interests		635,171	501,560
Total equity		**5,937,587**	**5,414,205**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Note	As at 31 December 2025 Audited €'000	2024 Audited
LIABILITIES			
Loans and borrowings	19.1	936,719	917,223
Straight bonds	19.2	2,922,306	3,247,615
Derivative financial liabilities	26	51,673	49,953
Other non-current liabilities	21	189,617	192,899
Deferred tax liabilities	11.3	519,816	691,637
Non-current liabilities		**4,620,131**	**5,099,327**
Current portion of long-term loans	19.1	9,577	12,216
Current portion of straight bonds	19.2	540,303	258,245
Trade and other payables	20	267,818	279,230
Derivative financial liabilities	26	47,774	71,178
Tax payable		22,287	18,270
Provisions for other liabilities and charges	22	56,369	46,360
Liabilities held-for-sale	24.2	1,577	19,780
Current liabilities		**945,705**	**705,279**
Total liabilities		**5,565,836**	**5,804,606**
Total equity and liabilities		**11,503,423**	**11,218,811**

The Board of Directors of Grand City Properties S.A. authorised these consolidated financial statements to be issued on 4 March 2026.

Mr. Christian Windfuhr
Chairman and member of the Board of Directors

Ms. Simone Runge-Brandner
Member of the Board of Directors

Mr. Markus Leininger
Member of the Board of Directors

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Equity attributable to the owners of the Company												
€'000	Share capital	Treasury shares	Share premium	Cash flow hedge and cost of hedge reserves, net	Foreign exchange translation reserves, net	Revaluation surplus reserves, net	Other reserves	Retained Earnings	Total equity attributable to the owners of the Company	Equity attributable to perpetual notes investors	Total equity attributable to the owners of the Company and perpetual notes investors	Non-controlling interests	Total Equity
Balance as at 31 December 2024 (audited)	**17,619**	**(1,920)**	**322,860**	**(11,675)**	**(23,327)**	**2,633**	**(50,052)**	**3,444,063**	**3,700,201**	**1,212,444**	**4,912,645**	**501,560**	**5,414,205**
Profit for the year	-	-	-	-	-	-	-	470,430	470,430	41,454	511,884	75,728	587,612
Other comprehensive income (loss) for the year	-	-	-	(10,224)	(55,689)	2,673	-	-	(63,240)	-	(63,240)	225	(63,015)
Total comprehensive income (loss) for the year	**-**	**-**	**-**	**(10,224)**	**(55,689)**	**2,673**	**-**	**470,430**	**407,190**	**41,454**	**448,644**	**75,953**	**524,597**
Share-based payment [1]	-	597	-	-	-	-	1,352	-	1,949	-	1,949	-	1,949
Deconsolidation, transactions with, contributions from and distributions to non-controlling interests [2]	-	-	-	-	-	-	-	(1,179)	(1,179)	-	(1,179)	57,658	56,479
Payments to perpetual notes investors	-	-	-	-	-	-	-	-	-	(41,489)	(41,489)	-	(41,489)
Repayment to perpetual notes investors [3]	-	-	-	-	-	-	(30,877)	-	(30,877)	(571,594)	(602,471)	-	(602,471)
Issuance of perpetual notes [3]	-	-	-	-	-	-	-	-	-	584,317	584,317	-	584,317
Balance as at 31 December 2025 (audited)	**17,619**	**(1,323)**	**322,860**	**(21,899)**	**(79,016)**	**5,306**	**(79,577)**	**3,913,314**	**4,077,284**	**1,225,132**	**5,302,416**	**635,171**	**5,937,587**

(1) see note 17.3 and 18.
(2) see note 5, 17.8 and 24.1.
(3) see note 17.7.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Equity attributable to the owners of the Company												
€'000	Share capital	Treasury shares	Share premium	Cash flow hedge and cost of hedge reserves, net	Foreign exchange translation reserves, net	Revaluation surplus reserves, net	Other reserves	Retained Earnings	Total equity attributable to the owners of the Company	Equity attributable to perpetual notes investors	Total equity attributable to the owners of the Company and perpetual notes investors	Non-controlling interests	Total Equity
Balance as at 31 December 2023 (audited)	**17,619**	**(83,226)**	**322,860**	**5,497**	**(49,155)**	**2,342**	**(21,246)**	**3,282,936**	**3,477,627**	**1,236,693**	**4,714,320**	**515,789**	**5,230,109**
Profit for the year	-	-	-	-	-	-	-	196,626	196,626	42,362	238,988	3,143	242,131
Other comprehensive income (loss) for the year	-	-	-	(17,172)	25,828	291	-	-	8,947	-	8,947	2,810	11,757
Total comprehensive income (loss) for the year	**-**	**-**	**-**	**(17,172)**	**25,828**	**291**	**-**	**196,626**	**205,573**	**42,362**	**247,935**	**5,953**	**253,888**
Share-based payment	-	878	-	-	-	-	(1,661)	-	(783)	-	(783)	-	(783)
Disposal of treasury shares	-	80,428	-	-	-	-	-	(36,953)	43,475	-	43,475	-	43,475
Deconsolidation, transactions with and distributions to non-controlling interests	-	-	-	-	-	-	-	1,454	1,454	-	1,454	(20,182)	(18,728)
Payments to perpetual notes investors	-	-	-	-	-	-	-	-	-	(24,645)	(24,645)	-	(24,645)
Repayment to perpetual notes investors	-	-	-	-	-	-	(27,145)	-	(27,145)	(470,893)	(498,038)	-	(498,038)
Issuance of perpetual notes	-	-	-	-	-	-	-	-	-	428,927	428,927	-	428,927
Balance as at 31 December 2024 (audited)	**17,619**	**(1,920)**	**322,860**	**(11,675)**	**(23,327)**	**2,633**	**(50,052)**	**3,444,063**	**3,700,201**	**1,212,444**	**4,912,645**	**501,560**	**5,414,205**

CONSOLIDATED STATEMENT OF CASH FLOWS

		Year ended 31 December	
		2025	2024
		Audited	Audited
	Note	€'000	
CASH FLOWS FROM OPERATING ACTIVITIES:			
Profit for the year		**587,612**	**242,131**
ADJUSTMENTS FOR THE PROFIT:			
Depreciation and amortisation	14	6,638	6,311
Property revaluations and capital losses	7	(272,518)	(44,028)
Finance expenses and other financial results	10	111,459	70,090
Tax and deferred tax expenses (income)	11.4	(96,352)	58,175
Equity settled share-based payment	18.2	2,749	2,331
Change in working capital		(19,690)	(9,898)
Tax paid		(39,411)	(40,651)
Net cash provided by operating activities		**280,487**	**284,461**
CASH FLOWS FROM INVESTING ACTIVITIES:			
Acquisition of equipment and intangible assets, net	14	(2,488)	(2,635)
Acquisition of investment property, capex and advance payments	15.1	(247,571)	(109,319)
Disposal of investment property, net	24.1	76,438	77,454
Acquisition of investees and loans, net of cash acquired	15.1	(70,989)	-
Disposal of investees, net of cash disposed	24.1	210,077	125,341
Disposal of (Investment in) financial and other assets, net		(4,595)	(38,821)
Net cash provided (used) by (in) investing activities		**(39,128)**	**52,020**

CONSOLIDATED STATEMENT OF CASH FLOWS

		Year ended 31 December	
		2025	2024
		Audited	Audited
	Note	€'000	
CASH FLOWS FROM FINANCING ACTIVITIES:			
Amortisation of loans from financial institutions	19.3	(7,985)	(5,958)
Proceeds (repayments) of loans from (to) financial institutions and others, net	19.3	20,454	63,728
Proceeds from straight bonds, net	19.3	219,531	486,036
Redemptions and buy-back of straight bonds	19.3	(258,900)	(506,280)
Proceeds (payments) from (to) perpetual notes investors, net	17.7	(56,700)	(93,756)
Disposal of treasury shares	17.3	-	43,475
Transactions with and contributions from (distribution to) non-controlling interests, net	5/17.8	61,821	(15,609)
Finance expenses and other financial results paid, net	19.3	(62,752)	(65,010)
Net cash used in financing activities		**(84,531)**	**(93,374)**
Net increase in cash and cash equivalents		**156,828**	**243,107**
Change in cash and cash equivalents held-for-sale	24.2	376	(376)
Cash and cash equivalents at the beginning of the year		1,372,859	1,129,176
Effect of foreign exchange rate changes		1,704	952
Cash and cash equivalents at the end of the year		**1,531,767**	**1,372,859**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. GENERAL

1.1. INCORPORATION AND PRINCIPAL ACTIVITIES

Grand City Properties S.A. ("the Company") was incorporated in Grand Duchy of Luxembourg on 16 December 2011 as a Société Anonyme (public limited liability company). Its registered office is at 37, Boulevard Joseph II, L-1840 Luxembourg.

The Company is a specialist in residential real estate, investing in value-add opportunities in densely populated areas, predominantly in Germany as well in London. The Company's strategy is to improve its properties through targeted modernization and intensive tenant management, and create value by subsequently raising occupancy and rental levels.

These consolidated financial statements for the year ended 31 December 2025 comprise the Company and its investees ("the Group" or "GCP").

1.2. LISTING ON THE FRANKFURT STOCK EXCHANGE

Since 2012, the Company's shares are listed on the Frankfurt Stock Exchange. On 9 May 2017 the Company's shares were uplisted to the Prime Standard of the Frankfurt Stock Exchange.

The Company's shares are included in the SDAX index of the Deutsche Börse.

As at 31 December 2025, the issued share capital consists of 176,187,899 shares with a par value of euro 0.10 per share, of which 62,253 shares with suspended voting rights are held in treasury. For additional information see note 17.3.

1.3. CAPITAL INCREASE, PERPETUAL NOTES AND BOND ISSUANCES

Since 2012, the Company undertook several capital market transactions which included the issuance of straight bonds, convertible bonds, perpetual notes and equity.

In addition, the Company established Euro Medium Term Notes Programme ("the EMTN programme"). For more information see notes 17 and 19.2.

1.4. GROUP RATING

As at 31 December 2025, the Group has the following credit ratings from credit rating agencies:

	S&P	Moody's
Long-term corporate credit rating of the Company	BBB (stable outlook)	Baa1 (stable outlook)
Senior unsecured debt of the Company	BBB	Baa1
Subordinated perpetual notes	BB+	Baa3

S&P's rating is based on S&P's group rating methodology, the Company's stand-alone credit profile ("SACP") is bbb+. Additionally, S&P assigned GCP a short-term rating of A-2.

Since 2021 Moody's maintains its public rating of the Company on an unsolicited basis.

1.5. DEFINITIONS

In these consolidated financial statements:

The Company	Grand City Properties S.A.
The Group	The Company and its investees
Ultimate controlling party	Aroundtown SA
The parent company	Edolaxia Group Ltd
Subsidiaries	Companies that are controlled by the Company (as defined in IFRS 10) and whose financial statements are consolidated with those of the Company
Associates	Companies over which the Company has significant influence (as defined in IAS 28) and that are not subsidiaries. The Company's investment therein is included in the consolidated financial statements of the Company using equity method of accounting
Investees	Subsidiaries, jointly controlled entities and associates
Related parties	As defined in IAS 24

2. BASIS OF PREPARATION

2.1. STATEMENT OF COMPLIANCE

These consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards as issued by the International Accounting Standards Board ("IASB") and adopted by the European union (hereinafter referred to as "IFRS").

Certain consolidated statement of profit or loss, consolidated statement of financial position and consolidated statement of cash flows' items related to the year ended 31 December 2024 have been reclassified to enhance comparability with 2025 figures and are marked as "reclassified".

The consolidated financial statements were authorised for issue by the Company's Board of Directors on 4 March 2026.

2.2. BASIS OF MEASUREMENT

The consolidated financial statements have been prepared on a going concern basis, applying the historical cost convention, except for the measurement of the following:

- Financial assets at fair value through profit or loss;
- Investment properties are measured at fair value;
- Owner-occupied properties are measured at fair value, less accumulated depreciation and impairment losses;
- Derivative financial assets and liabilities;
- Assets and liabilities classified as held for sale;
- Deferred tax liability on fair value gain on investment property, Owner-occupied property and derivative financial instruments.

2.3. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of consolidated financial statements in accordance with IFRS requires from management the exercise of judgment, to make estimates and assumptions that influence the application of accounting principles and the related amounts of assets and liabilities, income and expenses. The estimates and underlying assumptions are based on historical experience and various other factors that are deemed to be reasonable based on current knowledge available at that time. Actual results may differ from such estimates.

The estimates and underlying assumptions are revised on a regular basis. Revisions in accounting estimates are recognised in the period during which the estimate is revised, if the estimate affects only that period, or in the period of the revision and future periods, if the revision affects the present as well as future periods.

Judgements

In the process of applying the Group's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the consolidated financial statements:

› **Leases**

- **Property lease classification (the Group as lessor)** - The Group has entered into property leases on its investment property portfolio. The Group has determined, based on an evaluation of the terms and conditions of the arrangements, such as the lease terms not constituting a major part of the economic life of the properties and the present value of the minimum lease payments not amounting to substantially all of the fair value of the properties, that it retains substantially all the risks and rewards incidental to ownership of these properties and accounts for the contracts as operating leases.

- **Revenue from contracts with customers**

  - **Determination of performance obligations** - In relation to the services provided to tenants of investment property as part of the lease agreements into which the Group enters as a lessor, the Group has determined that the performance obligation is the overall property management service and that the service performed each day is distinct and substantially the same. Although the individual activities that comprise the performance obligation vary significantly throughout the day and from day to day, the nature of the overall promise to provide management service is the same from day to day. Therefore, the Group has concluded that the services to tenants represent a series of daily services that are individually satisfied over time, using a time-elapsed measure of progress, because tenants simultaneously receive and consume the benefits provided by the Group. With respect to the sale of property, the Group concluded that the goods and services transferred in each contract constitute a single performance obligation.
  - **Principal versus agent considerations (services to tenants)** - The Group arranges for certain services provided to tenants of investment property included in the contract the Group enters into as a lessor, to be provided by third parties. The Group has determined that it controls the services before they are transferred to tenants, because it has the ability to direct the use of these services and obtain the benefits from them. In making this determination, the Group has considered that it is primarily responsible for fulfilling the promise to provide these specified services because it directly deals with tenants' complaints and it is primarily responsible for the quality or suitability of the services. Therefore, the Group has concluded that it is the principal in these contracts. In addition, the Group has concluded that it transfers control of these services over time, as services are rendered by the third-party service providers, because this is when tenants receive and, at the same time, consume the benefits from these services.
  - **Determining the timing of revenue recognition on the sale of property** - The Group has evaluated the timing of revenue recognition on the sale of property based on a careful analysis of the rights and obligations under the terms of the contract and legal advice from the Group's external counsels in various jurisdictions. The Group has generally concluded that contracts relating to the sale of completed property are recognised at a point in time when control transfers. For unconditional exchanges of contracts, control is generally expected to transfer to the customer together with the legal title. For conditional exchanges, this is expected to take place when all the significant conditions are satisfied.

- **Business combinations**

  - The Group acquires subsidiaries that own real estate. At the time of acquisition, the Group considers whether each acquisition represents the acquisition of a business or the acquisition of an asset. The Group accounts for an acquisition as a business combination where an integrated set of activities and assets, including property, is acquired. More specifically, consideration is given to the extent to which significant processes are acquired and, in particular, the extent of services provided by the subsidiary. When the acquisition of subsidiaries does not represent a business combination, it is accounted for as an acquisition of a group of assets and liabilities. The cost of the acquisition is allocated to the assets and liabilities acquired based upon their relative fair values, and no goodwill or deferred tax is recognised.

Estimates and assumptions

The key assumptions concerning future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

- **Valuation of investment property** - The Group uses external valuation reports issued by independent professionally qualified valuers to determine the fair value of its investment properties. The fair value measurement of investment property requires valuation experts and the Company's management to use certain assumptions regarding rates of return on the Group's assets, future rent, occupancy rates, contract renewal terms, the probability of leasing vacant areas, asset operating expenses, the tenants' financial stability and the implications of any investments made for future development purposes in order to assess the future expected cash flows from the assets. Any change in the assumptions used to measure the investment property could affect its fair value.
- **Valuation of financial assets and liabilities** - Some of the Group's assets and liabilities are measured at fair value for financial reporting purposes. In estimating the fair value of an asset or a liability, the Group uses market-observable data to the extent it is available. The fair value of financial instruments that are not traded in an active market is determined using valuation techniques. The Group uses its judgement to select a variety of methods and make assumptions that are mainly based on market conditions existing at the end of each reporting period.

- **Taxes** - Significant judgment is required in determining the provision for income taxes. There are transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made. Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits, together with future tax planning strategies. Significant judgement is also applied for deferred tax liabilities related to the investment property. Deferred tax liabilities consider the theoretical disposal of investment properties in the form of asset deals with a tax rate applied based on the nominal rate in the jurisdiction of the property.

  Impairment of financial assets measured at amortised cost - When measuring expected credit loss (ECL) the Group uses reasonable and supportable forward-looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect each other. Loss given default is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, taking into account cash flows from collateral and integral credit enhancements.

- **Property leases - estimating the incremental borrowing rate** - The Group cannot readily determine the interest rate implicit in leases where it is the lessee, therefore, it uses its incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available.

2.4. FUNCTIONAL AND PRESENTATION CURRENCY

The Group's consolidated financial statements are presented in euro, which is also the Company's functional currency, and rounded to the nearest thousand (€'000) unless stated otherwise.

For each entity, the Group determines the functional currency and items included in the financial statements of each entity are measured using that functional currency.

Transactions and balances

Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date.

Differences arising on settlement or translation of monetary items are recognised in profit or loss, with the exception of monetary items that are designated as part of the hedge of the Group's net investment of a foreign operation. These are recognised in other comprehensive income until the net investment is disposed of, at which time, the cumulative amount is reclassified to profit or loss. Tax charges and credits attributable to exchange differences on those monetary items are also recognised in other comprehensive income.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of gain or loss on change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in other comprehensive income or profit or loss are also recognised in other comprehensive income or profit or loss, respectively).

In determining the spot exchange rate to use on initial recognition of the related asset, liability, expense or income (or part of it) on the derecognition of a non-monetary asset or non-monetary liability relating to advance consideration, the date of the transaction is the date on which the Group initially recognises the non-monetary asset or non-monetary liability arising from the advance consideration. If there are multiple payments or receipts in advance, the Group determines the transaction date for each payment or receipt of advance consideration.

Group companies

On consolidation, the assets and liabilities of foreign operations are translated into euros at the rate of exchange prevailing at the reporting date and their statements of profit or loss are translated at the average exchange rates for the period, unless exchange rates fluctuated significantly during the period, in which case the exchange rates prevailing at the dates of the transactions are used. The exchange differences arising on translation for consolidation are recognised in other comprehensive income and accumulated in a separate component of equity under the header of foreign currency translation reserve. On disposal of a foreign operation, the component of other comprehensive income relating to that particular foreign operation is reclassified to profit or loss.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the spot rate of exchange at the reporting date.

The Group's main foreign exchange rates versus the euro were as follows:

	EUR/GBP	EUR/HKD	EUR/CHF	EUR/JPY
As of 31 December 2025	0.873	9.146	0.931	184.090
As of 31 December 2024	0.829	8.069	0.941	163.060
Change (%)	5.3%	13.4%	(1.0)%	12.9%
Average exchange rate during the year	0.857	8.810	0.937	169.044

3. MATERIAL ACCOUNTING POLICIES

3.1. CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES

The accounting policies adopted and methods of computation followed are consistent with those of the previous financial year, except for items disclosed below.

There were several new and amendments to standards and interpretations which are applicable for the first time in 2025, but either not relevant or do not have a material impact on the consolidated financial statements of the Group.

The following amendments were adopted for the first time in these consolidated financial statements, with effective date of 1 January 2025:

› **Amendments to IAS 21 The effects of Changes in Foreign Exchange Rates: Lack of Exchangeability (issued on 15 August 2023)**

IAS 21 sets out the exchange rate that an entity uses when it reports foreign currency transactions in the functional currency or translates the results of a foreign operation in a different currency. Until now, IAS 21 set out the exchange rate to use when exchangeability between two currencies is temporarily lacking, but not what to do when lack of exchangeability is not temporary.

On 15 August 2023, the IASB issued amendments to IAS 21 to help entities:

- assess exchangeability between two currencies; and
- determine the spot exchange rate, when exchangeability is lacking

An entity is impacted by the amendments when it has a transaction or an operation in a foreign currency that is not exchangeable into another currency at a measurement date for a specified purpose. A currency is exchangeable when there is an ability to obtain the other currency (with a normal administrative delay), and the transaction would take place through a market or exchange mechanism that creates enforceable rights and obligations.

Assessing exchangeability between two currencies requires an analysis of different factors such as the time frame for the exchange, the ability to obtain the other currency, markets or exchange mechanisms, the purpose of obtaining the other currency, and the ability to obtain only limited amounts of the other currency.

When a currency is not exchangeable into another currency, the spot exchange rate needs to be estimated. The objective in estimating the spot exchange rate at a measurement date is to determine the rate at which an orderly exchange transaction would take place at that date between market participants under prevailing economic conditions.

The amendments to IAS 21 do not provide detailed requirements on how to estimate the spot exchange rate. Instead, they set out a framework under which an entity can determine the spot exchange rate at the measurement date using:

a. an observable exchange rate without adjustment, for example:

i. a spot exchange rate for a purpose other than that for which an entity assesses exchangeability; or

ii. the first exchange rate at which an entity is able to obtain the other currency for the specified purpose after exchangeability of the currency is restored.

b. another estimation technique, for example, that could be any observable exchange rate adjusted as necessary to meet the objective of the new requirements.

These amendments had no material impact on the consolidated financial statements of the Group.

The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. See also note 3.23.

3.2. BASIS OF CONSOLIDATION

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at 31 December 2025. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date it ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

Unrealised gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. The carrying amounts of the Group's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity attributed to owners of the Company.

When the Group loses control over a subsidiary, profit or loss on disposal is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying amount of the assets (including goodwill), and liabilities of the subsidiary and any non-controlling interests and other components of equity, and is recognised in the consolidated statement of profit or loss under 'Property revaluation and capital gains'.

When assets of the subsidiary are carried at revalued amounts or fair values and the related cumulative gain or loss has been recognised in other comprehensive income and accumulated in equity, the amounts previously recognised in other comprehensive income and accumulated in equity are accounted for as if the Company had directly disposed of the relevant assets (i.e. reclassified to profit or loss or transferred directly to retained earnings as specified by applicable IFRS). The fair value of any investment retained in the former subsidiary at the date when control is lost is regarded as the fair value on initial recognition for subsequent accounting under IFRS 9 Financial Instruments or IAS 28 Investments in Associates and Joint Ventures.

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and have been applied by all entities in the Group. Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those of the Group.

3.3. PROPERTY ACQUISITIONS AND BUSINESS COMBINATIONS

Where property is acquired, via corporate acquisitions or otherwise, management considers the substance of the assets and activities of the acquired entity in determining whether the acquisition represents the acquisition of a business. Where such acquisitions are not

determined to be an acquisition of a business, they are not treated as business combinations. Rather, the cost to acquire the corporate entity or assets and liabilities is allocated between the identifiable assets and liabilities of the entity based on their relative values at the acquisition date. Such a transaction or event does not give rise to goodwill.

3.4. BUSINESS COMBINATIONS AND GOODWILL

The Group determines that it has acquired a business when the acquired set of activities and assets include an input and a substantive process that, together, significantly contribute to the ability to create outputs. The acquired process is considered substantive if it is critical to the ability to continue producing outputs, and the inputs acquired include an organised workforce with the necessary skills, knowledge, or experience to perform that process or it significantly contributes to the ability to continue producing outputs and is considered unique or scarce or cannot be replaced without significant cost, effort, or delay in the ability to continue producing outputs.

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value, and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure non-controlling interests in the acquiree that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation, at fair value or at the proportionate share of the acquiree's identifiable net assets. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date and included as part of the consideration transferred in a business combination. Contingent consideration classified as equity is not remeasured and its subsequent settlement is accounted for within equity. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of IFRS 9 Financial Instruments, is measured at fair value with the changes in fair value recognised in the statement of profit or loss in accordance with IFRS 9. Other contingent consideration that is not within the scope of IFRS 9 is measured at fair value at each reporting date with changes in fair value recognised in profit or loss.

Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively, with corresponding adjustments against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year from the acquisition date) about facts and circumstances that existed at the acquisition date.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date, except that:

- deferred tax assets or liabilities and liabilities or assets related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 Employee Benefits respectively;
- liabilities or equity instruments related to share based payment arrangements of the acquiree or share based payment arrangements of the Group entered into to replace share based payment arrangements of the acquiree are measured in accordance with IFRS 2 Share based Payment at the acquisition date; and
- Assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non current Assets Held for Sale and Discontinued Operations are measured in accordance with that standard.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, the gain is recognised in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units (CGUs) that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a CGU and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the CGU.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (see above), or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date.

Acquisition-related costs are expensed as incurred and included in administrative expenses.

3.5. REVENUE RECOGNITION

The Group's key sources of income include:

- Rental income
- Revenue from contracts with customers:
  - Services to tenants including management charges and other expenses recoverable from tenants
  - Sale of properties

The accounting for each of these elements is discussed below:

Rental income

The Group earns revenue from acting as a lessor in operating leases which do not transfer substantially all of the risks and rewards incidental to ownership of an investment property.

Rental income arising from operating leases on investment property is accounted for on a straight-line basis over the lease term and is included in revenue in the consolidated statement of profit or loss due to its operating nature, except for contingent rental income which is recognised when it arises. Initial direct costs incurred in negotiating and arranging an operating lease are capitalised to the investment property and recognised as an expense over the lease term on the same basis as the lease income.

Lease incentives that are paid or payable to the lessee are deducted from lease payments. Accordingly, tenant lease incentives are recognised as a reduction of rental revenue on a straight-line basis over the term of the lease. The lease term is the non-cancellable period of the lease together with any further term for which the tenant has the option to continue the lease, where, at the inception of the lease, the Group is reasonably certain that the tenant will exercise that option.

Revenue from services to tenants

For investment property held primarily to earn rental income, the Group enters as a lessor into lease agreements that fall within the scope of IFRS 16. These agreements include certain ancillary services offered to tenants (i.e., customers). The consideration charged to tenants for these services includes fees and reimbursement of certain expenses incurred. These services are specified in the lease agreements and separately invoiced. The Group has determined that these services constitute distinct non-lease components (transferred separately from the right to use the underlying asset) and are within the scope of IFRS 15. The Group allocates the consideration in the contract to the separate lease and revenue (non-lease) components on a relative stand-alone selling price basis.

In respect of the revenue component, these services represent a series of daily services that are individually satisfied over time because the tenants simultaneously receive and consume the benefits provided by the Group. The Group applies the time elapsed method to measure progress.

The Group arranges for third parties to provide certain of these services to its tenants. The Group concluded that it acts as a principal in relation to these services as it controls the specified services before transferring them to the customer. Therefore, the Group records revenue on a gross basis.

Sale of property

The Group enters into contracts with customers to sell properties that are either complete or under development.

The sale of completed property constitutes a single performance obligation and the Group has determined that this is satisfied at the point in time when control transfers. For unconditional exchange of contracts, this generally occurs when legal title transfers to the customer. For conditional exchanges, this generally occurs when all significant conditions are satisfied.

For contracts relating to the sale of properties under development, the Group is responsible for the overall management of the project and identifies various goods and services to be provided. In such contracts, the goods and services are not distinct and are generally accounted for as a single performance obligation. Depending on the terms of each contract, the Group determines whether control is transferred at a point in time or over time.

The Group has elected to make use of the following practical expedients:

- Contract costs incurred related to contracts with an amortization period of less than one year have been expensed as incurred.

- The Group applies the practical expedient in paragraph 121 of IFRS 15 and does not disclose information about remaining performance obligations for contracts in which the Group has a right to consideration from tenants in an amount that corresponds directly with the value to the tenant of the Group's performance completed to date.
- The Group does not adjust the transaction price for the effects of significant financing component since at contract inception it is expected that the period between when the entity transfers the services to tenants and when the tenants pay for these services will be one year or less.

3.6. FINANCE INCOME AND EXPENSES AND OTHER FINANCIAL RESULTS

Finance income comprises interest income on funds invested.

Finance expenses comprise interest expense on bank loans, third party borrowings and bonds.

Other financial results represent changes in the time value of provisions, changes in the fair value of traded securities, gains or losses on derivative financial instruments, borrowing and redemption costs, loan arrangement fees, dividend income and other one-off payments.

Financial expenses are recognised as they are incurred in the consolidated statement of profit or loss, using the effective interest method.

3.7. TAXES

Current tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted, or substantively enacted, at the reporting date in the countries where the Group operates and generates taxable income.

Current income tax relating to items recognised directly in other comprehensive income or equity is recognised in other comprehensive income (OCI) or in equity and not in the statement of profit or loss. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Current tax also includes taxes on the holding of real estate property and construction.

Deferred tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither accounting profit nor taxable profit or loss. In such case, no deferred tax liability is recognized either at initial recognition or in subsequent periods, even if the temporary difference reverses over time.
- In respect of taxable temporary differences associated with investments in subsidiaries, branches and associates and interests in joint arrangements, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, the carryforward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carryforward of unused tax credits and unused tax losses can be utilised, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss. In such case, no deferred tax liability is recognized either at initial recognition or in subsequent periods, even if the temporary difference reverses over time.
- In respect of deductible temporary differences associated with investments in subsidiaries, branches and associates and interests in joint arrangements, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

In accounting for the deferred tax relating to the lease, the Group considers both the lease asset and liability separately. The Group separately accounts for the deferred taxation on the taxable temporary difference and the deductible temporary difference, which upon initial recognition, are equal and offset to zero. Deferred tax is recognised on subsequent changes to the taxable and temporary differences.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

Tax benefits acquired as part of a business combination, but not satisfying the criteria for separate recognition at that date, are recognised subsequently if there is new information about changes in facts and circumstances. The adjustment is either treated as a reduction in goodwill (as long as it does not exceed goodwill) if it was incurred during the measurement period or recognised in profit or loss.

The Group offsets deferred tax assets and deferred tax liabilities if, and only if, it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

The Group has applied a temporary mandatory relief from deferred tax accounting for the impacts of the top-up tax and accounts for it as a current tax when it is incurred.

3.8. PROPERTY AND EQUIPMENT

Owner-occupied properties are measured at fair value less accumulated depreciation and impairment losses recognised after the date of revaluation. Valuations are performed with sufficient frequency to ensure that the carrying amount of a revalued asset does not differ materially from its fair value.

A revaluation surplus is recorded in other comprehensive income and credited to the asset revaluation surplus in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in profit or loss, the increase is recognised in profit or loss. A revaluation deficit is recognised in the statement of profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation surplus.

Equipment includes furniture, fixtures and office equipment and is measured at cost less accumulated depreciation and impairment losses.

Depreciation is recognised in profit or loss using the straight line method over the useful lives of each part of an item of equipment.

The annual depreciation rates used for the current and comparative periods are as follows:

	%
Furniture, fixtures and office equipment	**7.33**
Property	**3**

Depreciation methods, useful lives and residual values are reassessed at the reporting date.

Where the carrying amount of an asset is greater than its estimated recoverable amount, the asset is written down immediately to its recoverable amount.

Expenditure for repairs and maintenance is charged to profit or loss of the year in which it is incurred. The cost of major renovations and other subsequent expenditure are included in the carrying amount of the asset when it is probable that future economic benefits in excess of the originally assessed standard of performance of the existing asset will flow to the Group. Major renovations are depreciated over the remaining useful life of the related asset.

An item of equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the consolidated statement of profit or loss.

3.9. INTANGIBLE ASSETS AND GOODWILL

Expenditure on research activities is recognised in profit or loss as incurred.

Development expenditure is capitalised only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Otherwise, it is recognised in profit or loss as incurred. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortisation and any accumulated impairment losses.

Other intangible assets that are acquired by the Group and have finite useful lives are measured at cost less accumulated amortisation and any accumulated impairment losses.

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, is recognised in profit or loss as incurred.

Amortisation is calculated to write off the cost of intangible assets less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognised in profit or loss.

The estimated useful lives for current and comparative periods are as follows:

	%
Software	**20-30**

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

Goodwill arising on the acquisition of subsidiaries is measured at cost less accumulated impairment losses.

3.10. DEFERRED INCOME

Deferred income represents income which relates to future periods.

Prepayments

The Group receives prepayments from tenants for ancillary services and other charges on a monthly basis. Once a year, the prepayments received from tenants are settled against the operating cost receivables.

3.11. INVESTMENT PROPERTY

Investment property comprises property that is held, to earn rentals or for capital appreciation or both. Property held under a lease is classified as investment property when it is held to earn rentals or for capital appreciation or both, rather than for sale in the ordinary course of business or for use in production or administrative functions.

Investment property comprises principally properties that are not occupied substantially for use by, or in the operations of, the Group, nor for sale in the ordinary course of business, but are held primarily to earn rental income and capital appreciation. These buildings are substantially rented to tenants and not intended to be sold in the ordinary course of business.

Investment property is measured initially at cost, including directly attributable expenditure such as transfer taxes, professional fees for legal services and other transaction costs.

Subsequent to initial recognition, investment property is stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair values of investment property are included in profit or loss in the period in which they arise, including the corresponding tax effect.

Transfers are made to (or from) investment property only when there is evidence of a change in use (such as commencement of development or inception of an operating lease to another party). For a transfer from investment property to inventories, the deemed cost for subsequent accounting is the fair value at the date of change in use. If an inventory property becomes an investment property, the difference between the fair value of the property at the date of transfer and its previous carrying amount is recognised in profit or loss. The Group considers as evidence the commencement of development with a view to sale (for a transfer from investment property to inventories) or inception of an operating lease to another party (for a transfer from inventories to investment property).

Investment property is derecognised either when it has been disposed of (i.e., at the date the recipient obtains control of the investment property in accordance with the requirements for determining when a performance obligation is satisfied in IFRS 15) or when it is permanently withdrawn from use and no future economic benefit is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised in "Property revaluations and capital gains" in the consolidated statement of profit or loss in the period of derecognition. In determining the amount of consideration to be included in the gain or loss arising from the derecognition of investment property, the Group considers the effects of variable consideration, the existence of a significant financing component, noncash consideration, and consideration payable to the buyer (if any) in accordance with the requirements for determining the transaction price in IFRS 15.

3.12. NON-CURRENT AS ASSETS HELD FOR SALE

The Group classifies non-current assets (principally investment property) and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. Non-current assets and disposal groups classified as held for sale (except for investment property measured at fair value) are measured at the lower of their carrying amount and fair value less costs to sell. Costs to sell are the incremental costs directly attributable to the disposal of an asset (disposal group), excluding finance costs and income tax expense.

The criteria for held for sale classification is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn.

Management must be committed to the plan to sell the asset and the sale is expected to be completed within one year from the date of the classification.

Investment property held for sale continues to be measured at fair value. Assets and liabilities classified as held for sale are presented separately in the statement of financial position.

When the Group is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the Group will retain a non-controlling interest in its former subsidiary after the sale.

3.13. FINANCIAL INSTRUMENTS

A financial instrument is any contract that gives right to a financial asset of one entity and a financial liability or equity instrument of another entity.

I. FINANCIAL ASSETS

i. Initial recognition and measurement

Financial assets are classified at initial recognition as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), or fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial assets' contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under IFRS 15. See note 3.5.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

ii. Subsequent measurement

For the purposes of subsequent measurement, financial assets are classified in four categories:

1. Financial assets at amortised cost (debt instruments)
2. Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
3. Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon de-recognition (equity instruments)
4. Financial assets at fair value through profit or loss

Financial assets at amortised cost (debt instruments)

The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows, and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains or losses are recognised in profit or loss when the asset is derecognised, modified or impaired refer to expected credit loss model in determined impairment.

Financial assets at fair value through OCI (debt instruments)

The Group measures debt instruments at fair value through OCI if both of the following conditions are met:

- The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling, and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

For debt instruments at fair value through OCI, interest income, foreign exchange revaluation and impairment losses or reversals are recognised in consolidated statement of profit or loss and computed in the same manner as for financial assets measured at amortised cost. The remaining fair value changes are recognised in OCI. Upon de-recognition, the cumulative fair value change recognised in OCI is recycled to profit or loss.

Financial assets at fair value through OCI (equity instruments)

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under IAS 32 and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognised as other financial results in the consolidated statement of profit or loss when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment.

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets held for trading, financial assets designated upon initial recognition at fair value through profit or loss, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortised cost or at fair value through OCI, as described above, debt instruments may be designated at fair value through profit or loss on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Financial assets at fair value through profit or loss are carried in the consolidated statement of financial position at fair value with net changes in fair value recognised in the consolidated statement of profit or loss.

Dividends on listed equity instruments are also recognised as other financial results in the consolidated statement of profit or loss when the right of payment has established.

A derivative embedded in a hybrid contract, with a financial liability or non-financial host, is separated from the host and accounted for as a separate derivative if: the economic characteristics and risks are not closely related to the host; a separate instrument with the same terms as the embedded derivative would meet the definition of a derivative; and the hybrid contract is not measured at fair value through profit or loss. Embedded derivatives are measured at fair value with changes in fair value recognised in profit or loss. Reassessment only occurs if there is either a change in the term of the contract that significantly modifies the cash flows that would otherwise be required or a reclassification of a financial asset out of the fair value through profit or loss category.

A derivative embedded within a hybrid contract containing a financial asset host is not accounted for separately. The financial asset host together with the embedded derivative is required to be classified entirely as a financial asset at fair value through profit or loss.

iii. De-recognition

Financial asset (or, where applicable, part of a financial asset or part of a group of similar financial assets) is primarily de-recognised (i.e., removed from the Group's consolidated statement of financial position) when:

- The rights to receive cash flows from the asset have expired, or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of its continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on the basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

iv. Impairment of financial assets

The Group recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows

from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from defaults events that are possible within the next 12 months (a 12 month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL). The Group presumes that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due, unless the Group has reasonable and supportable information that demonstrates otherwise.

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

For trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Group considers a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group or when there is a breach of financial covenants by the debtor. Irrespective of the above analysis, the Group considers that default has occurred when a financial asset is more than 90 days past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

II. FINANCIAL LIABILITIES

i. Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

ii. Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the consolidated statement of profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, and only if the criteria in IFRS 9 are satisfied. The Group has not designated any financial liability as at fair value through profit or loss.

Financial liabilities at amortised cost

This is the category most relevant to the Group. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are de-recognised as well as through the EIR amortization process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

iii. De-recognition

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same

lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the consolidated statement of profit or loss.

III. INTERBANK OFFERED RATES (IBOR) REFORM

IIBOR reform Phase 2 requires, as a practical expedient, for changes to the basis for determining contractual cash flows that are necessary as a direct consequence of IBOR reform to be treated as a change to a floating rate of interest, provided the transition from IBOR to a risk-free rate (RFR) takes place on a basis that is 'economically equivalent'. To qualify as 'economically equivalent', the terms of the financial instrument must be the same before and after transition except for the changes required by IBOR reform. For changes that are not required by IBOR reform, the Group applies judgement to determine whether they result in the financial instrument being derecognised. Therefore, as financial instruments transition from IBOR to RFRs, the Group applies judgement to assess whether the transition has taken place on an economically equivalent basis. In making this assessment, the Group considers the extent of any changes to the contractual cash flows as a result of the transition and the factors that have given rise to the changes, with consideration of both quantitative and qualitative factors. Factors of changes that are economically equivalent include: changing the reference rate from an IBOR to a RFR; changing the reset days between coupons to align with the RFR; adding a fallback to automatically transition to an RFR when the IBOR ceases; and adding a fixed credit spread adjustment based on that calculated by the International Swaps and Derivatives Association (ISDA) or which is implicit in the market forward rates for the RFR.

IV. OFFSETTING OF FINANCIAL INSTRUMENTS

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

V. SHARE CAPITAL

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

VI. TREASURY SHARES

When shares recognised as equity are repurchased, the amount of the consideration paid including acquisition direct costs is recognized as a deduction from equity. Repurchased shares are classified as treasury shares, presented in the treasury share reserve and are not revalued after the acquisition. When treasury shares are subsequently sold or reissued, the amount received is recognized as an increase in equity and the resulting surplus or deficit on the transaction is presented in the equity.

VII. PERPETUAL NOTES

Perpetual notes have no maturity date and may be redeemed by the Company, at its sole discretion, on certain dates. The Perpetual notes are recognised as equity attributable to its holders, which forms part of the total equity of the Group. The Company may, at its sole discretion, elect to defer the payment of interest on the notes (referred to as Arrears of Interest). Arrears of Interest must be paid by the Company upon the occurrence of certain events, including but not limited to, dividends, distributions or other payments made to instruments such as the Company's ordinary shares, which rank junior to the Perpetual notes. Upon occurrence of such an event, any Arrears of Interest would be re-classified as a liability in the Group's consolidated financial statements. The deferred amounts shall not bear interest.

3.14. DERIVATIVE FINANCIAL INSTRUMENTS AND HEDGE ACCOUNTING

Initial recognition and subsequent measurement

The Group uses derivative financial instruments, such as forward and option currency contracts, interest rate swap and cross-currency swap contracts, to hedge its foreign currency risks, interest rate risks and fair value risks. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

For the purpose of hedge accounting, hedges are classified as:

- Fair value hedges when hedging the exposure to changes in the fair value of a recognised asset or liability or an unrecognised commitment.
- Cash flow hedges when hedging the exposures to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction or the foreign currency risk in an unrecognised firm commitment.
- Hedges of a net investment in a foreign operation.

At the inception of a hedge relationship, the Group formally designates and documents the hedge relationship to which it wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge.

The documentation includes identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the Group will assess whether the hedging relationship meets the hedge effectiveness requirements (including the analysis of sources of hedge ineffectiveness and how the hedge ration is determined). A hedging relationship qualifies for hedge accounting if it meets all of the following effectiveness requirements:

- There is 'an economic relationship' between the hedged item and the hedging instrument.
- The effect of credit risk does not 'dominate the value changes' that result from that economic relationship.
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Group actually hedges and the quantity of the hedging instrument that the Group actually uses to hedge that quantity of hedge item. Hedges that meet all the qualifying criteria for hedge accounting are accounted for and further described below:

Fair value hedges

The change in the fair value of a hedging instrument is recognised in the consolidated statement of profit or loss. The change in the fair value of the hedged item attributable to the risk hedged is recorded as part of the carrying value of the hedged item and is also recognised in the consolidated statement of profit or loss.

Where the Group designates only the spot element as a hedging instrument, the forward element is recognised in OCI and accumulated in a separate component of equity under cost of hedging reserve as time period related element and amortised to the consolidated statement of profit or loss over the hedged period.

If the hedged item is derecognised, the unamortised fair value is recognised immediately in profit or loss.

Cash flow hedges

The effective portion of the gain or loss on the hedging instrument is recognized in OCI and accumulated in the hedge reserves, while any ineffective portion is recognized immediately in the consolidated statement of profit or loss. The cash flow hedge reserve is adjusted to the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in fair value of the hedged item.

The forward element is recognized in OCI and accumulated in a separate component of equity under other reserve.

The amounts accumulated in OCI are accounted for, depending on the nature of the underlying hedged transaction. If the hedged transaction subsequently results in the recognition of a non-financial item, the amount accumulated in equity is removed from the separate component of equity and included in the initial cost or other carrying amount of the hedged asset or liability. This is not a reclassification adjustment and will not be recognized in OCI for the period. This also applies where the hedged forecast transaction of a non-financial asset or non-financial liability subsequently become a firm commitment for which fair value hedge accounting is applied.

For any other cash flow hedges, the amount accumulated in OCI is reclassified to profit or loss as a reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

If cash flow hedge accounting is discontinued, the amount that has been accumulated in OCI must remain in accumulated OCI if the hedged future cash flows are still expected to occur. Otherwise, the amount will be immediately reclassified to profit or loss as a reclassification adjustment. After discontinuation, once the cash flows hedge occurs, any amount remaining in accumulated OCI must be accounted for depending on the nature of the underlying transaction as described above.

Hedge of net investments in foreign operations

- Hedges of a net investment in a foreign operation, including a hedge of monetary item that is accounted for as part of the net investment, are accounted for as follows:
  - The Group designates only the spot element as a hedging instrument. The forward element is recognised in OCI and accumulated in a separate component of equity under cost of hedging reserve as time period related element and amortised to the consolidated statement of profit or loss over the hedged period.
  - Gains or losses on the hedging instrument relating to the effective portion of the hedge are recognised as OCI while any gains or losses relating to the ineffective portion are recognised in the consolidated statement of profit or loss.
  - On disposal of the foreign operation, the cumulative value of any such gains or losses recorded in equity is transferred to the consolidated statement of profit or loss.

› **Interbank offered rates (IBOR) reform**

The Group applies the temporary reliefs provided by the IBOR reform Phase 1 amendments, which enable its hedge accounting to continue during the period of uncertainty, before the replacement of an existing interest rate benchmark with an risk-free rate (RFR). For the purpose of determining whether a forecast transaction is highly probable, the reliefs require it to be assumed that the IBOR on which the hedged cash flows are based is not altered as a result of IBOR reform. The reliefs end when the Group judges that the uncertainty arising from IBOR reform is no longer present for the hedging relationships that are referenced to IBORs. This applies when the hedged item has already transitioned from IBOR to an RFR.

3.15. CASH AND CASH EQUIVALENTS

Cash and cash equivalents in the consolidated statement of financial position and in the consolidated statement of cash flow comprise cash at banks and on hand and short-term highly liquid deposits with an original maturity up to three months, that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

3.16. PROPERTY OPERATING EXPENSES

This item includes operating costs that can be recharged to the tenants and direct management costs of the properties. Maintenance expenses for the upkeep of the property in its current condition, as well as expenditure for repairs are charged to the consolidated income statement. Refurbishment that takes place subsequent to the property valuation, thus excluded in its additional value, will also be stated in this account, until the next property valuation.

3.17. OPERATING SEGMENTS

An operating segment is a component of the Group that meets the following three criteria:

- Is engaged in business activities from which it may earn revenues and incur expenses, including revenues and expenses relating to intragroup transactions;
- whose operating results are regularly reviewed by the Group's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance; and
- For which separate financial information is available.

The Group has one reportable operating segment which refers to rental income from owned investment properties.

3.18. COMPARATIVES

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current period.

3.19. EARNINGS PER SHARE

Earnings per share are calculated by dividing the net profit attributable to owners of the Company by the weighted number of Ordinary shares outstanding during the period. Basic earnings per share only include shares that were actually outstanding during the period. Potential Ordinary shares (convertible securities such as convertible debentures, warrants and employee options) are only included in the computation of diluted earnings per share when their conversion decreases earnings per share or increases loss per share from continuing operations. Further, potential Ordinary shares that are converted during the period are included in diluted earnings per share only until the conversion date and from that date in basic earnings per share. The Company's share of earnings of investees is included based on the earnings per share of the investees multiplied by the number of shares held by the Company.

3.20. SHARE-BASED PAYMENT TRANSACTIONS

The grant-date fair value of equity-settled share-based payment awards granted to employees is generally recognised as an expense, with a corresponding increase in equity, over the vesting period of the awards. The amount recognised as an expense is adjusted to reflect the number of awards for which the related service and non-market performance conditions are expected to be met, such that the amount ultimately recognised is based on the number of awards that meet the related service and non-market performance conditions at the vesting date.

3.21. PROVISIONS FOR OTHER LIABILITIES AND CHARGES

Provisions are recognised when there is a present obligation, either legal or constructive, vis-à-vis third parties as a result of a past event, if it is probable that a claim will be asserted, and the probable amount of the required provision can be reliably estimated. Provisions are reviewed regularly and adjusted to reflect new information or changed circumstances.

Provisions include provisions for operating and administrative liabilities, as well as accruals of interest on straight bonds and bank loans which have not become payable as at the reporting date.

3.22. LEASED ASSETS

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

I) Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Initially, the right-of-use assets are measured at cost and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

In addition, the Group leases properties that meet the definition of investment property. The right-of-use assets are classified and presented as part of the line item 'Investment property' in the consolidated statement of financial position and subsequently measured at fair value.

II) Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset. IFRS 16 requires certain adjustments to be expensed, while others are added to the cost of the related right-of-use asset.

The Group presents cash payments for interest portion of lease liabilities under "interest and other financial expenses, net" in the consolidated statement of cash flows.

III) Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to short-term leases of equipment (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Group as a lessor

Refer to accounting policies on rental income in note 3.5.

3.23. STANDARDS ISSUED BUT NOT YET EFFECTIVE

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Group's consolidated financial statements are disclosed below, if they are expected to have an impact on the Group's consolidated financial statements. The Group intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

The following amendments were adopted by the EU, but not yet effective in 2025:

- **Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7 (issued on 30 May 2024)**

  This publication summarises the amendments to IFRS 9 and IFRS 7 for the classification and measurement of financial instruments.

  The amendments clarify that a financial liability is derecognised on the 'settlement date' and introduce an accounting policy choice to derecognise financial liabilities settled using an electronic payment system before the settlement date.

  Other clarifications include the classification of financial assets with ESG linked features via additional guidance on the assessment of contingent features. Clarifications have been made to non-recourse loans and contractually linked instruments.

  Additional disclosures are introduced for financial instruments with contingent features and equity instruments classified at fair value through OCI.

  These amendments are not expected to have a material impact on the consolidated financial statements of the Group.

Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7 (issued on 18 December 2024)

On 18 December 2024, the International Accounting Standards Board (the IASB) published Amendments to IFRS 9 and IFRS 7 - Contracts Referencing Naturedependent Electricity ('the Amendments'). The Amendments:

- Clarify the application of the 'own-use' requirements for in-scope contracts
- Amend the designation requirements for a hedged item in a cash flow hedging relationship for in-scope contracts
- Add new disclosure requirements

The Amendments only apply to contracts that reference nature-dependent electricity. These are contracts that expose an entity to variability in an underlying amount of electricity because the source of electricity generation depends on uncontrollable natural conditions, typically associated with renewable electricity sources such as sun and wind ('in-scope contracts'). Contracts referencing nature-dependent electricity include contracts to buy or sell nature-dependent electricity, as well as financial instruments that reference such electricity.

The Amendments cannot be applied by analogy to other contracts, items or transactions.

The IASB has clarified that other contracts, for example, contracts for electricity generated from biofuel, are not within the scope of the Amendments because such electricity generation is not subject to the same uncertainty as in-scope contracts.

These amendments are not expected to have a material impact on the consolidated financial statements of the Group.

Annual Improvements Volume 11 (issued on 18 July 2024)

On 18 July 2024, the International Accounting Standards Board (IASB) issued the Annual Improvements to IFRS Accounting Standards-Volume 11. It contains amendments to IFRS 1, IFRS 7, IFRS 9, IFRS 10 and IAS 7.

The IASB's annual improvements are limited to amendments that either clarify the wording of an IFRS standard or correct relatively minor unintended consequences, oversights or conflicts between requirements in the standards.

The amendments contained in the Annual Improvements relate to:

- IFRS 1 First-time Adoption of International Financial Reporting Standards - Hedge Accounting by a First-time Adopter
- IFRS 7 Financial Instruments: Disclosures:
  - Gain or loss on derecognition
  - Disclosure of differences between the fair value and the transaction price
  - Disclosures on credit risk
- IFRS 9 Financial Instruments:
  - Derecognition of lease liabilities
  - Transaction price
- IFRS 10 Consolidated Financial Statements - Determination of a 'de facto agent'
- IAS 7 Statement of Cash Flows - Cost Method.

These amendments are not expected to have a material impact on the consolidated financial statements of the Group.

IFRS 18 Presentation and Disclosure in Financial Statements (issued on 9 April 2024)

In April 2024, the IASB issued IFRS 18, which replaces IAS 1 Presentation of Financial Statements. IFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new. The standard requires disclosure of newly defined management-defined performance measures, subtotals of income and expenses, and it also includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements (PFS) and the notes. In addition, narrow-scope amendments have been made to IAS 7 Statement of Cash Flows, which include changing the starting point for determining cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards. IFRS 18, and the amendments to the other standards, are effective for reporting periods beginning on or after 1 January 2027, but earlier application is permitted and must be disclosed. IFRS 18 will apply retrospectively.

The Group is currently assessing the potential impact of IFRS 18 on its consolidated financial statements.

The Group has not adopted any standard, early interpretation or amendment that has been issued but is not yet effective.

4. FAIR VALUE MEASUREMENT OF FINANCIAL INSTRUMENTS

The following table presents the Group's financial assets and financial liabilities measured and recognised at fair value at 31 December 2025 and 31 December 2024 on a recurring basis:

	As at 31 December 2025					As at 31 December 2024				
			Fair value measurement using					Fair value measurement using		
	Carrying amount	Total fair value	Quoted prices in active market (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Carrying amount	Total fair value	Quoted prices in active market (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
	€'000									
FINANCIAL ASSETS										
Financial assets at fair value through profit or loss(*)	301,487	301,487	43,857	204,543	53,087	244,311	244,311	97,878	95,013	51,420
Derivative financial assets	30,743	30,743	-	30,743	-	39,078	39,078	-	39,078	-
Total financial assets	**332,230**	**332,230**	**43,857**	**235,286**	**53,087**	**283,389**	**283,389**	**97,878**	**134,091**	**51,420**
FINANCIAL LIABILITIES										
Derivative financial liabilities	99,447	99,447	-	99,447	-	121,131	121,131	-	121,131	-
Total financial liabilities	**99,447**	**99,447**	**-**	**99,447**	**-**	**121,131**	**121,131**	**-**	**121,131**	**-**

(*) including non-current financial assets at fair value through profit or loss, see note 13.

The Group also has a number of financial instruments which are not measured at fair value in the consolidated statement of financial position. For the majority of these instruments, the fair values are not materially different to their carrying amounts, since interest receivable/payable is either close to current market rates or the instruments are short-term in nature.
Significant differences were identified for the following instruments as at 31 December 2025 and 31 December 2024:

	As at 31 December 2025					As at 31 December 2024				
			Fair value measurement using					Fair value measurement using		
	Carrying amount	Total fair value	Quoted prices in active market (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Carrying amount	Total fair value	Quoted prices in active market (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
	€'000									
FINANCIAL LIABILITIES										
Loans and borrowings[1]	946,296	940,232	-	940,232	-	929,439	928,767	-	928,767	-
Straight bonds[2]	3,462,609	3,421,028	3,244,227	176,801	-	3,505,860	3,397,216	3,213,409	183,807	-
Total financial liabilities	**4,408,905**	**4,361,260**	**3,244,227**	**1,117,033**	**-**	**4,435,299**	**4,325,983**	**3,213,409**	**1,112,574**	**-**

(1) including current portion of long-term loans.
(2) including current portion of straight bonds.

Fair value hierarchy

Level 1: the fair value of financial instruments traded in active markets (such as debt and equity securities) is based on quoted market prices at the end of the reporting period.

Level 2: the fair value of financial instruments that are not traded in an active market (for example, over-the-counter derivatives) is determined using valuation techniques which maximise the use of observable market data and rely as little as possible on entity-specific estimates. If all significant input required to fair value of financial instrument are observable, the instrument is included in level 2.

Level 3: if one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

The Group's policy is to recognise transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period.

There were no transfers between level 1, level 2 and level 3 during the year.

When the fair value of financial assets and financial liabilities recorded in the consolidated statement of financial position cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the discounted cash flows (DCF) model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of input such as liquidity risk, credit risk and volatility. Changes in assumptions relating to these factors could affect the reported fair value of financial instruments and is discussed further below.

Valuation techniques used to determine fair values:

The following methods and assumptions were used to estimate the fair values:

- The fair values of the quoted bonds are based on price quotations at the reporting date. The fair value of unquoted bonds is measured using the discounted cash flows method with observable inputs.
- There's an active market for the Group's listed equity investments and quoted debt instruments.
- For the fair value measurement of investments in unlisted funds, the net asset value is used as a valuation input and an adjustment is applied for lack of marketability and restrictions on redemptions as necessary. This adjustment is based on management judgment after considering the period of restrictions and the nature of the underlying investments.
- The Group enters into derivative financial instruments with various counterparties, principally financial institutions with investment grade credit ratings. Interest rate and foreign exchange swap and forward, collar and cap contracts are valued using valuation techniques, which employ the use of market observable inputs. The most frequently applied valuation technique includes forward pricing and swap models using present value calculations. The models incorporate various inputs including the credit quality of counterparties, foreign exchange spot and forward rates, yield curves of the respective currencies, currency basis spreads between the respective currencies, interest rate curves and forward rate curves.

5. ACQUISITIONS AND DISPOSALS OF NON-CONTROLLING INTERESTS

During the year, the Group changed its holdings rates in subsidiaries without losing control. The carrying amount of the Group's interest and non-controlling interests was adjusted to reflect the changes in their relative interest in the subsidiaries. During the year the Company disposed non-controlling interests in the amount of euro 10.8 million. The results of the transactions of euro 1.2 million are recognised directly in equity attributed to the owners of the Company.

6. REVENUE

	Year ended 31 December	
	2025	2024
	€'000	
Net rental income	428,750	422,693
Operating and other income	172,707	174,325
	601,457	**597,018**

The Group is not exposed to significant revenue derived from an individual customer.

Approximately 77% (2024: 77%) of the Group's net rental income derive from Germany, 22% (2024: 22%) derive from the United Kingdom and 1% (2024: 1%) from other countries.

7. PROPERTY REVALUATIONS AND CAPITAL LOSSES

	Year ended 31 December	
	2025	2024
	€'000	
Property revaluations (see note 15.1)	276,672	49,560
Capital losses (see note 24.1)	(4,154)	(5,532)
	272,518	**44,028**

8. PROPERTY OPERATING EXPENSES

	Year ended 31 December	
	2025	2024
	€'000	
Purchased services	(175,347)	(177,434)
Maintenance and refurbishment	(23,297)	(22,953)
Personnel expenses	(26,571)	(26,246)
Other operating costs	(28,790)	(27,074)
	(254,005)	**(253,707)**

As of 31 December 2025, the Group had 771 Full-Time Equivalent employees (FTE) (2024: 769 FTE). On an annual average, the Group had 753 FTE (2024: 759 FTE).

9. ADMINISTRATIVE AND OTHER EXPENSES

	Year ended 31 December	
	2025	2024
	€'000	
Personnel expenses	(4,674)	(4,613)
Audit and audit-related fees	(3,180)	(3,037)
Legal and professional consultancy fees	(2,129)	(2,283)
Marketing and other expenses	(630)	(699)
	(10,613)	**(10,632)**

During the year, the Group recorded euro 1.5 million (2024: euro 1.4 million) and euro 1.7 million (2024: euro 1.6 million) related to audit and audit-related fees provided by KPMG audit firms and other audit firms, respectively, and less than euro 0.1 million (2024: less than euro 0.1 million) and euro 0.2 million (2024: euro 0.4 million) related to tax and consultancy services provided by KPMG audit firms and other audit firms, respectively.

10. FINANCE EXPENSES AND OTHER FINANCIAL RESULTS

	Year ended 31 December	
	2025	2024
	€'000	
10.1. FINANCE EXPENSES		
Finance expenses from financial institutions and third parties, net	(6,433)	(3,852)
Finance expenses from straight bonds, net	(59,137)	(54,993)
	(65,570)	**(58,845)**
10.2. OTHER FINANCIAL RESULTS		
Changes in fair value of financial assets and liabilities, net	(38,878)	3,876
Finance-related costs	(7,011)	(15,121)
	(45,889)	**(11,245)**

11. TAXATION

11.1. TAX RATES APPLICABLE TO THE GROUP

The Company is subject to taxation under the laws of Luxembourg. The corporation tax rate for Luxembourg companies is 23.87% (2024: 24.94%).

In 2024, Luxembourg announced a reduction in the corporate income tax rates. The tax rate for companies with taxable income up to euro 175,000 decreased from 15% to 14%, and for companies with taxable income exceeding euro 200,000, it decreased from 17% to 16%. These changes impacted the measurement of deferred tax assets and liabilities, as well as tax provisions. The Company has proactively evaluated the potential effect of these changes and has adjusted its deferred tax balances accordingly for future periods. The newly enacted tax legislation is effective from 2025 fiscal year and the new corporation tax rate for Luxembourg companies is 23.87% (aggregated rate including also solidarity surtax and municipal business tax).

The German subsidiaries with property are subject to taxation under the laws of Germany. Income taxes are calculated using a federal corporate tax rate of 15% as of 31 December 2025 (2024: 15%), plus an annual solidarity surcharge of 5.5% (2024: 5.5%) on the amount of federal corporate taxes payable (aggregated tax rate: 15.825%). On 11 July 2025, the German Federal Council approved legislation to gradually reduce the federal corporate income tax rate from 15% to 10% over the years 2028 to 2032. Accordingly, deferred tax balances were remeasured, and the resulting impact was recognized as deferred tax income in the consolidated statement of profit or loss, except for the portion relating to items previously recognized in other comprehensive income, which was recorded in other comprehensive income.

German property taxation includes taxes on the holding of real estate property.

The Cypriot subsidiaries are subject to taxation under the laws of Cyprus. The corporation tax rate for Cypriot companies is 12.5% (2024: 12.5%).

In Decemeber 2025, The Cyprus Parliament approved a major tax reform, effective 1 January 2026, significantly changing corporate tax by increasing the rate from 12.5% to 15%.

Under certain conditions interest income of the Cypriot companies may be subject to defense contribution at the rate of 17% (2024: 17%). In such cases this interest will be exempt from corporation tax.

In certain cases, overseas dividend income of Cyprus tax resident companies may be subject to special defense contribution at a flat rate of 17%. In such case, this dividend income will be exempt from Cyprus income (corporation) tax. Under certain conditions, dividend income earned from Cyprus tax resident companies is exempt from special defense contribution and Cyprus income (corporation) tax.

The United Kingdom subsidiaries with property are subject to taxation under the laws of the United Kingdom. Income taxes are calculated using a federal corporate tax (that includes capital gains) of 25% for 31 December 2025 (2024: 25%).

Subsidiaries in other jurisdictions are subject to corporate tax rate of up to 27.9% (2024: 27.9%).

The OECD's Pillar Two framework, which introduces a global minimum tax of 15%, became effective in 2024 in several jurisdictions where the Group operates. The Group's consolidated revenue does not exceed euro 750 million, meaning it does not independently meet the applicability threshold of the Pillar Two rules.

However, as the Group's ultimate parent company exceeds the threshold, the Group may be subject to top-up tax assessments at the parent level or through jurisdictional-level implementations of Pillar Two rules.

In line with the amendments to IAS 12 (Income Taxes) issued in May 2023, the Group has applied the temporary exception to recognizing deferred taxes related to Pillar Two. The Group does not expect a material top-up tax charge under these rules for the 2025 financial year.

Among the jurisdictions in which the Group operates, Cyprus currently has a statutory corporate tax rate of 12.5% in 2025, hence below the 15% minimum threshold. However, based on the Group's current assessment, the impact of Pillar Two on 2025 annual results is expected as around euro 2.2 miliion.

The Group continues to monitor legislative developments and will provide further disclosures in future reporting periods as additional guidance and implementation details become available.

11.2. CURRENT TAX IN CONSOLIDATED STATEMENT OF PROFIT OR LOSS

	Year ended 31 December	
	2025	2024
	€'000	
Corporate income tax	(26,502)	(27,456)
Property tax	(13,158)	(13,819)
Charge for the year	**(39,660)**	**(41,275)**

11.3. MOVEMENT IN DEFERRED TAX ASSETS (LIABILITIES) NET

	Investment property	Owner-occupied property	Derivative financial instruments, net	Losses carried forward	Total
	€'000				
BALANCE AS AT 1 JANUARY 2024	**(652,651)**	**(6,566)**	**(2,817)**	**65,989**	**(596,045)**
Credit (charge) to profit or loss for the year	(38,949)	151	1,973	19,925	(16,900)
Credit (charge) to other comprehensive income for the year	(2,377)	(136)	826	48	(1,639)
Deconsolidation	3,850	-	(18)	(720)	3,112
Transfers	5,077	-	-	(818)	4,259
BALANCE AS AT 31 DECEMBER 2024	**(685,050)**	**(6,551)**	**(36)**	**84,424**	**(607,213)**
Credit (charge) to profit or loss for the year	149,379	101	266	(13,734)	136,012
Credit (charge) to other comprehensive income for the year	1,354	2,067	(1,151)	1,163	3,433
Deconsolidation	31,488	-	-	(895)	30,593
Transfers	(11,683)	-	-	(549)	(12,232)
BALANCE AS AT 31 DECEMBER 2025	**(514,512)**	**(4,383)**	**(921)**	**70,409**	**(449,407)**

As at 31 December 2025, the Group has unused tax losses for which no deferred tax assets have been recognised as it is not considered probable that there will be future taxable profits available. These deferred tax assets which have not been recognised amounted to approximate euro 82 million (2024: euro 83 million). The unused tax losses as at 31 December 2025 amounted to euro 343 million (2024: euro 346 million) and can be carried forward for up to 17 years starting from 2035 until 2040.

The Group has applied the initial recognition exception on acquisitions of investment property which did not meet the definition of business combination. As at 31 December 2025, the deferred tax liabilities which have not been recognised in the consolidated statement of financial position amounted to euro 75 million (2024: euro 102 million).

11.4. RECONCILIATION OF EFFECTIVE TAX RATE

	Year ended 31 December	
	2025	2024
	€'000	
Profit before tax	491,260	300,306
Statutory tax rate	23.87%	24.94%
Tax computed at the statutory tax rate	117,264	74,896
Decrease in taxes on income resulting from the following factors:		
Effect of different tax rates of subsidiaries operating in other jurisdictions	(35,548)	(4,353)
Effect of deferred tax assets not recognised in prior years	-	(11,688)
Effect of permanent differences	20,603	2,767
Effect of change in tax rate	(191,031)	-
Others	(7,640)	(3,447)
Tax and deferred tax (income) expenses	**(96,352)**	**58,175**



London

12. NET EARNINGS PER SHARE ATTRIBUTABLE TO THE OWNERS OF THE COMPANY

12.1. BASIC EARNINGS PER SHARE

The calculation of basic earnings per share as of 31 December 2025 is based on the profit attributable to ordinary shareholders of euro 470,430 thousand (2024: euro 196,626 thousand), and a weighted average number of ordinary shares outstanding of 176,121 thousand (2024: 172,587 thousand), calculated as follows:

PROFIT ATTRIBUTED TO ORDINARY SHAREHOLDERS (BASIC)	Year ended 31 December	
	2025	2024
	€'000	
Profit for the year, attributable to the owners of the Company	470,430	196,626

WEIGHTED AVERAGE NUMBER OF ORDINARY SHARES (BASIC)	Year ended 31 December	
	2025	2024
	Thousand of shares	
Issued ordinary shares, net of treassury shares on January 1	176,098	172,356
Share based payment	23	19
Disposal of treasury shares (see note 17.3)	-	212
Weighted average number of ordinary shares as at 31 December	**176,121**	**172,587**
Basic earnings per share (euro)	**2.67**	**1.14**

12.2. DILUTED EARNINGS PER SHARE

The calculation of diluted earnings per share at 31 December 2025 is based on profit attributable to ordinary shareholders of euro 470,430 thousand (2024: euro 196,626 thousand), and a weighted average number of ordinary shares outstanding after adjustment for the effects of all dilutive potential ordinary shares of 176,400 thousand (2024: 172,874 thousand), calculated as follows:

PROFIT ATTRIBUTED TO ORDINARY SHARE-HOLDERS (DILUTED)	Year ended 31 December	
	2025	2024
	€'000	
Profit for the year, attributable to the owners of the Company (basic)	470,430	196,626
Profit for the year, attributable to the owners of the Company (diluted)	**470,430**	**196,626**

WEIGHTED AVERAGE NUMBER OF ORDINARY SHARES (DILUTED)	Year ended 31 December	
	2025	2024
	Thousand of shares	
Issued ordinary shares, net of treassury shares on January 1	176,098	172,356
Share based payment	23	19
Disposal of treasury shares (see note 17.3)	-	212
Effect of equity settled share-based payment	279	287
Weighted average number of ordinary shares as at 31 December	**176,400**	**172,874**
Diluted earnings per share (euro)	**2.67**	**1.14**

13. OTHER NON-CURRENT ASSETS

	As at 31 December	
	2025	2024
	€'000	
Tenancy deposit[1]	48,906	46,622
Investment in other long-term assets	59,496	21,155
Financial assets at fair value through profit and loss[2]	210,748	102,872
Others	-	14,206
	319,150	**184,855**

(1) tenancy deposits mainly include 1-3 months net rent from the tenants which are paid at the beginning of the lease. The deposits are considered as a security payment by the tenant and the Group can use those funds mainly if the tenant has unpaid debts or causes damages to the property. Past experience shows that the majority of the leases are long term and therefore the deposits are presented as long term assets.

(2) investment in various equity and debt instruments as well as investment as minority stakes without significant influence, mostly connected with the real estate sector.

14. PROPERTY AND EQUIPMENT, INTANGIBLE ASSETS AND GOODWILL

	Owner-occupied property[*]	Furniture, fixtures and office equipment	Goodwill, softwares and other intangible assets	Total
	€'000			
COST				
Balance as at 1 January 2024	49,968	34,392	25,803	110,163
Additions, net	-	4,894	799	5,693
Revaluation adjustment	868	-	-	868
Deconsolidation	-	(133)	-	(133)
Balance as at 31 December 2024	**50,836**	**39,153**	**26,602**	**116,591**
Additions, net	-	2,541	844	3,385
Revaluation adjustment	1,105	-	-	1,105
Balance as at 31 December 2025	**51,941**	**41,694**	**27,446**	**121,081**
DEPRECIATION/AMORTISATION				
Balance as at 1 January 2024	2,391	23,831	20,013	46,235
Depreciation/Amortisation for the year	957	3,550	1,804	6,311
Balance as at 31 December 2024	**3,348**	**27,381**	**21,817**	**52,546**
Depreciation/Amortisation for the year	955	3,410	2,273	6,638
Balance as at 31 December 2025	**4,303**	**30,791**	**24,090**	**59,184**
CARRYING AMOUNTS				
Balance as at 31 December 2024	**47,488**	**11,772**	**4,785**	**64,045**
Balance as at 31 December 2025	**47,638**	**10,903**	**3,356**	**61,897**

(*) owner-occupied property measured at fair value less accumulated depreciation and impairment losses and classified in accordance with the fair value hierarchy (see note 4). Since one or more of the significant inputs is not based on observable market data, the fair value measurement is included in level 3.

15. INVESTMENT PROPERTY

15.1. RECONCILIATION OF INVESTMENT PROPERTY

	Year ended 31 December	
	2025	2024
	Level 3[1]	Level 3[1]
	€'000	
As at 1 January	**8,628,962**	**8,629,083**
Plus: investment property classified as held-for-sale [2]	224,705	195,641
Total investment property	**8,853,667**	**8,824,724**
Acquisitions of investment property [3]	191,267	45,337
Capital expenditure on investment property	113,239	110,650
Disposals of investment property [4]	(343,536)	(271,703)
Fair value adjustment	276,672	49,560
Effect of foreign currency exchange differences	(62,678)	95,099
Total investment property	**9,028,631**	**8,853,667**
Less: investment property classified as held-for-sale [2]	(87,718)	(224,705)
As at 31 December	**8,940,913**	**8,628,962**

(1) classified in accordance with the fair value hierarchy (see note 4). Since one or more of the significant inputs is not based on observable market data, the fair value measurement is included in level 3.
(2) see note 24.2.
(3) in 2025, the Group acquired properties in total amount of approximately euro 190 million primarily in London.
(4) see note 24.1.

As at 31 December 2025 and 2024, the fair values of the properties are based on valuations performed by accredited independent valuers.

15.2. GEOGRAPHICAL INFORMATION

	As at 31 December	
	2025	2024
	€'000	
Investment property (*)		
Germany	6,955,789	6,904,804
United Kingdom	1,876,047	1,770,263
Others	196,795	178,600
	9,028,631	**8,853,667**

(*) including assets held-for-sale.

15.3. MEASUREMENT OF FAIR VALUE

The fair value of the properties of the Group is determined at least once a year by external, independent and certified valuators, who are specialist in valuing real estate properties. As at 31 December 2025, the full portfolio of the Group has been revalued. The prime valuator, responsible for the major part of the portfolio is Jones Lang LaSalle GmbH (JLL) and is considered as one of the market leading valuators in the European real estate market. The fair value of the properties was prepared in accordance with the RICS Valuation- Professional Standards (current edition) published by the Royal Institution of Chartered Surveyors (RICS) as well as the standards contained within the TEGoVA European Valuations Standards, and in accordance with IVSC International Valuation Standard (IVS), the International Accounting Standard (IAS), International Financial Reporting Standards (IFRS) as well as the current guidelines of the European Securities and Market Authority (ESMA) based on the Market Value. This is included in the General Principles and is adopted in the preparation of the valuations reports of the valuators. Therefore, the valuation is based on internationally recognized standards.

As part of the engagement, the Company and the valuators confirm that there is no actual or potential conflict of interest that may have influenced the valuators status as external and independent. The valuation fee is determined on the scope and complexity of the valuation.

As of 31 December 2025, 96% (2024: 96%) of investment property have been valued using the discounted cash flows method, 3% (2024: 3%) comparable approach and 1% (2024: 1%) residual value approach.

› Discounted cash flow (DCF) method

Under the DCF method, fair value is estimated using assumptions regarding the benefits and liabilities of ownership over the asset's life including an exit or terminal value. This method involves the projection of a series of cash flows on a real property interest. To this projected cash flow series, an appropriate, market derived discount rate is applied to establish the present value of the income stream associated with the asset. The exit yield is normally separately determined and differs from the discount rate.

The duration of the cash flows and the specific timing of inflows and outflows are determined by events such as rent reviews, lease renewal and related re-letting, redevelopment, and refurbishment. The appropriate durations are typically driven by market behaviour that is a characteristic of the class of real property.

Periodic cash flows are typically estimated as gross income less vacancy, non-recoverable expenses, collection losses on future rents, lease incentives, maintenance cost, agent and commission costs and other operating and management expenses. The series of periodic net operating income, along with an estimate of the terminal value anticipated at the end of the projection period, is then discounted.

The key assumptions used to determine the fair value of the investment properties under the DCF method, which account for 96% (2024: 96%) of the investment property, are further discussed below

	Rent growth p.a. (%)		Long-term vacancy rate (%)		Discount rate (%)		Capitalization rate (%)	
	As at 31 December							
Regions	2025	2024	2025	2024	2025	2024	2025	2024
	Range (weighted average)							
Berlin	1.4 - 2.5 (1.8)	1.2 - 2.5 (1.9)	0.4 - 4.9 (2.8)	0.8 - 4.0 (2.5)	2.9 - 7.6 (5.0)	3.3 - 7.6 (5.0)	2.3 - 6.9 (3.9)	2.2 - 6.9 (3.9)
NRW	1.2 - 2.1 (1.8)	1.1 - 2.5 (1.8)	0.6 - 5.0 (2.7)	1.0 - 3.0 (2.5)	3.1 - 8.5 (5.3)	3.3 - 9.0 (5.4)	1.9 - 7.5 (4.0)	2.1 - 7.5 (4.1)
Dresden/Leipzig/Halle	1.4 - 2.2 (1.7)	0.6 - 2.2 (1.6)	1.0 - 4.8 (2.4)	1.0 - 3.9 (2.4)	4.6 - 8.3 (5.3)	4.6 - 8.3 (5.2)	3.1 - 5.5 (4.0)	3.1 - 6.5 (3.9)
Mannheim/KL/Frankfurt/Mainz	1.2 - 2.0 (1.7)	1.2 - 2.0 (1.6)	1.8 - 5.3 (2.7)	2.0 - 3.9 (2.8)	4.7 - 7.3 (5.4)	4.6 - 7.2 (5.3)	3.5 - 5.8 (4.1)	3.2 - 5.7 (4.1)
Nuremberg/Furth/Munich	1.5 - 2.2 (1.8)	1.4 - 2.4 (1.7)	1.0 - 5.2 (3.4)	1.0 - 4.4 (3.9)	4.5 - 9.2 (5.4)	4.5 - 9.2 (5.3)	3.1 - 6.7 (3.8)	3.0 - 7.0 (3.8)
Hamburg/Bremen	1.4 - 2.1 (1.9)	1.2 - 2.4 (1.8)	0.9 - 5.4 (2.2)	1.0 - 4.0 (2.3)	3.5 - 8.2 (5.4)	4.4 - 8.2 (5.4)	3.0 - 7.0 (4.4)	2.6 - 7.0 (4.5)
London	2.2 - 3.1 (3.0)	2.0 - 3.1 (2.9)	2.0 - 2.7 (2.5)	2.7 -2.7 (2.7)	6.3 - 8.5 (6.8)	6.3 - 8.5 (6.7)	4.5 - 6.8 (5.0)	4.5 - 6.8 (5.0)
Others	0.6 - 3.1 (1.7)	0.6 - 2.5 (1.6)	0.2 - 5.8 (3.3)	0.2 - 4.5 (3.1)	3.6 - 9.4 (5.7)	3.8 - 9.4 (5.7)	3.1 - 8.3 (4.7)	3.3 - 8.3 (4.8)
Total	**0.6 - 3.1 (1.9)**	**0.6 - 3.1 (1.8)**	**0.2 - 5.8 (2.9)**	**0.2 - 4.6 (2.7)**	**2.9 - 9.4 (5.4)**	**3.3 - 9.4 (5.4)**	**1.9 - 8.3 (4.2)**	**2.1 - 8.3 (4.2)**

Significant increases (decreases) in estimated rental value and rent growth per annum in isolation would result in a significantly higher (lower) fair value of the properties. Significant increases (decreases) in the long-term vacancy rate and discount rate (and exit yield) in isolation would result in a significantly lower (higher) fair value.

Generally, a change in the assumption made for the estimated rental value is accompanied by a directionally similar change in the rent growth per annum and discount rate (and exit yield), and an opposite change in the long-term vacancy rate.

Sensitivity analysis

The table below shows the percentage impact on values (under the DCF method) in the event of a change in the valuation parameters:

Regions	Discount Rate -25bps / +25bps	Capitalization rate -25bps / +25bps	Long-term vacancy rate -1% / +1% Void period -3M / +3M	Rent growth p.a +50bps / -50bps
	As at 31 December 2025			
Berlin	2.2 / -2.2	5.3 / -4.7	1.0 / -1.1	3.1 / -4.3
NRW	2.1 / -2.2	5.0 / -4.5	2.0 / -1.5	8.4 / -11.0
Dresden/Leipzig/Halle	2.1 / -2.1	4.9 / -4.4	1.7 / -1.9	8.6 / -13.4
Mannheim/KL/ Frankfurt/Mainz	2.2 / -2.0	5.0 / -4.3	1.8 / -1.5	8.1 / -12.1
Nuremberg/Furth/ Munich	2.2 / -2.1	5.5 / -4.6	0.8 / -0.8	4.1 / -7.8
Hamburg/Bremen	1.9 / -2.4	4.3 / -4.2	1.6 / -1.9	5.6 / -8.2
London	2.1 / -2.1	4.1 / -3.9	1.9 / -0.6	4.4 / -3.2
Others	2.0 / -2.0	3.8 / -3.6	1.7 / -1.9	8.1 / -8.4
Total	**2.1 / -2.1**	**4.8 / -4.3**	**1.5 / -1.4**	**6.2 / -8.3**

Comparable approach

Under the market comparable approach, a property's fair value is estimated based on comparable transactions. The market comparable approach is based upon the principle of substitution under which a potential buyer will not pay more for the property than it will cost to buy a comparable substitute property. The unit of comparison applied by the Group is the price per square meter (sqm).

In general, enquiries have been made of the valuers and public databases, local sales offices and recent transactions. The main components of the valuation are the location of the property, the condition of the property with its units; provision of concierge and residents facilities, provision and layout of accommodation, as well as market sentiment and how the individual units would be received by the market. The most recent sales data for individual units within the subject property and comparable evidence within the immediate area will be taken into account and adjusted by premium according to the specifics of the property and its units. The achieved market sales price per sqm will be multiplied by the area of the property to achieve the property specific market value.

The key assumptions used to determine the fair value of the investment properties under the comparable approach, which account for 3% (2024: 3%) of the investment property, are further discussed below:

Valuation technique	Significant unobservable inputs	As at 31 December	
		2025	2024
Market comparable approach	Price per sqm (in euro)	6,000 – 13,000 (8,800)	5,500 - 13,900 (9,200)

Residual value approach

The residual value assesses the various factors associated with a conversion or a new development of a property. The goal of this method is to calculate an objective value for the site, which is either undeveloped or suboptimally utilised. The residual value is determined by first calculating the net capital value of the property after completion of the planned development project. This figure is derived by subtracting the non-recoverable operating costs (e.g. maintenance and management costs) from the potential gross sale value. In order to determine the net capital value, the purchaser's costs have to be deducted. The costs for the assumed development are subtracted from the net capital value, resulting in the remainder (residuum). These costs include building fees as well as other required fees, which are necessary for the construction of a building, depending on its type of use.

The additional construction costs are also part of the total development costs. The following additional costs are common for constructions: planning, construction, official review and approval costs as well as financing required immediately for construction. The amount of additional construction costs depends on the type of building, its finishes and the location. All of the construction and additional building costs as well as other project costs including financing costs and developer's profit are subtracted from the calculated gross sale value of the completed development. The difference of the gross sale value and the development costs results in the remainder (residuum). In order to acquire the residual value, financing and additional purchasing costs for the property are deducted from this remainder. The residual value represents the amount, which an investor would spend for the development of the property under specific economic conditions.

The key assumptions used to determine the fair value of the investment properties under the residual value approach, which account for 1% (2024: 1%) of the investment property, are further discussed below:

Valuation technique	Significant unobservable inputs	As at 31 December	
		2025	2024
Residual value approach	Sale price per sqm (in euro)	3,400 – 8,200 (5,600)	3,400 – 7,900 (5,400)
	Rent price per sqm (in euro)	18.8 – 23.2 (19.1)	18.8 – 21.0 (19.2)
	Development cost per sqm (in euro)	1,000 - 5,300 (3,500)	1,300 - 5,200 (3,000)
	Developer margin (%)	8.0 – 15.0 (13.4)	5.0 – 12.7 (10.4)

Highest and best use

As at 31 December 2025, the current use of all investment property is considered the highest and best use, except for 2% (2024: 2%) of the investment properties, for which the Group determined that fair value based on the development and the sale of such properties is the highest and best use. These properties are currently being used to earn rental income, in line with the Group's business model of buying and holding investment property to earn rental income. By increasing the rental income and improving these properties, the value of these properties will grow and reach the level of properties being sold.

16. TRADE AND OTHER RECEIVABLES

	As at 31 December	
	2025	2024
	€'000	
Operating cost receivables [1]	196,094	193,832
Rent and other receivables	84,549	79,211
Prepaid expenses	8,106	8,992
Other short-term assets [2]	48,581	167,339
	337,330	**449,374**

(1) operating costs receivables represent a right to consideration in exchange for ancillary services that the Group has transferred to tenants and other charges billed to tenants. Once a year, the operating cost receivables are settled against prepayments received from tenants (see note 20).

(2) Include prepayments, Group's vendor loans, as well as loans connected with future real estate transactions, short term investment and deposits. The decrease in the balance is mainly related to vendor loans provided as part of disposal of investment property during the years 2023-2024, which have been repaid during 2025.

During the year, the Group recognised a loss allowance for expected credit losses on trade and other receivables for a total amount of euro 199 thousand (2024: euro 3,493 thousand).

17. EQUITY

17.1. SHARE CAPITAL

	As at 31 December			
	2025		2024	
	Number of shares	€'000	Number of shares	€'000
Authorised				
Ordinary shares of euro 0.10 each	400,000,000	40,000	400,000,000	40,000
Issued and fully paid				
Balance as at 1 January	176,187,899	17,619	176,187,899	17,619
Balance as at 31 December	**176,187,899**	**17,619**	**176,187,899**	**17,619**

17.2. AUTHORISED CAPITAL

The Company's authorised share capital as of 31 December 2025 amounts to euro 40,000,000.

17.3. TREASURY SHARES

As at 31 December 2025, the Group holds 62,253 (2024: 90,340) shares in treasury which represent 0.04% (2024: 0.1%) out of the total ordinary shares. These shares do not have voting rights.

	Year ended 31 December	
	2025	2024
	Thousand of shares	
As at 1 January	90	3,832
Disposal of shares (*)	-	(3,700)
Share based payment	(28)	(42)
As at 31 December	**62**	**90**

(*) in 2024, the Company sold most of its shares held in treasury to several investors fot total amount of euro 43.5 million.

17.4. SHARE PREMIUM

The share premium derives directly from the capital increases which were affected since the date of incorporation and from conversions of bonds into shares.

17.5. OTHER RESERVES

The other reserves include shareholder loans that have been converted to equity and therefore can be distributed at any time, and proceeds from financial instruments and share-based payments reserves which temporarily cannot be distributed.

In addition, the other reserves include results on buy-back and redemption of perpetual notes.

17.6. RESOLUTION OF DIVIDEND DISTRIBUTION

As part of the shareholders' annual meetings it was resolved upon the distribution of cash dividend for the following years:

For the year	Amount per share (in cents)	Gross amount (€'000)	Ex-date	Payment date
2014	20.00	24,344	25 June 2015	3 July 2015
2015	25.00	38,447	30 June 2016	1 July 2016
2016	68.25	112,468	29 June 2017	1 July 2017
2017	73.00	120,296	30 June 2018	17 July 2018
2018	77.35	129,002	27 June 2019	22 July 2019
2019	82.38	138,407	25 June 2020	14 July 2020
2020	82.32	136,433	1 July 2021	20 July 2021
2021	83.40	137,580	30 June 2022	19 July 2022

The Company has decided not to recommend a dividend payment for 2022-2024, following the increase in macro-economic uncertainty and volatility and preserve further liquidity.

17.7. PERPETUAL NOTES

Composition (€'000)	Note	Nominal amount outstanding (€'000)	Placement date	Coupon	Next call date	Next reset date	Coupon as of next reset date
Perpetual notes 200,000	(a), (c)	1,700	Sep-2016	6.332%	Jan-2026	Jan-2028	3.887% over five-year mid swap rate
Perpetual notes 350,000	(a), (c)	1,300	Apr-2018	5.901%	Oct-2026	Oct-2028	2.682% over five-year mid swap rate
Perpetual notes 700,000	(c)	602,700	Dec-2020	1.5%	Mar-2026	Jun-2026	2.184% over five-year mid swap rate
Perpetual notes 431,713	(a), (c)	38,488	Apr-2024	6.125%	Jan-2030	Apr-2030	3.508% over five-year mid swap rate
Perpetual notes 600,000	(b)	600,000	Dec-2025	4.75%	Mar-2031	Apr-2031	2.719% over five-year mid swap rate

Movement during 2024-2025

(a) On 2 April 2024, the Board of Directors approved a voluntary exchange and tender offer targeting the holders of two outstanding perpetual notes, with nominal values of euro 200 million and euro 350 million, carrying coupons of 6.332% and 5.901%, respectively (the "Existing Perpetual Notes").

The offer provided the holders of the Existing Perpetual Notes with two options:

1. Exchange option: exchange their holdings for newly issued perpetual notes at a specified exchange ratio.
2. Exchange and partial redemption option: exchange their holdings for new perpetual notes at the specified exchange ratio and redeem 15% of their exchanged notes at a small premium over the market prices prevailing prior to the offer.

On 10 September 2024, a second offer was approved for the same notes, allowing holders to:

1. Exchange option: exchange their holdings for new perpetual notes.
2. Exchange and partial redemption: exchange 80% of holdings and tender 20% for purchase at a small premium over the market prices prevailing prior to the offer.

The first offer period commenced on 2 April 2024 and closed on 9 April 2024. The second offer period commenced on 10 September 2024 and closed on 18 September 2024.

On 10 April 2024, the Company announced an acceptance of euro 449 million in aggregate nominal amount of Existing Perpetual Notes, reflecting an 82% acceptance rate. Subsequently, on 19 September 2024, the Company announced an additional acceptance of euro 25.3 million, leading to a combined acceptance rate of 85% for both offers.

On 16 April 2024, Grand City Properties Finance S.à r.l, a wholly-owned subsidiary of the Company (the "Perpetual Notes Issuer") issued euro 410 million in new perpetual notes and repurchased euro 34 million of the existing perpetual notes through the tender offer. On 26 September 2024, an additional euro 22 million in new perpetual notes were issued, and euro 1.6 million of Existing Perpetual Notes were repurchased via the tender offer.

The newly issued perpetual notes have a coupon of 6.125% and are undated, with an unlimited duration and can only be called by the Perpetual Notes Issuer on contractually agreed dates or specific occasions. They are subordinated and feature a first reset date on 16 April 2030. The coupon rate remains at 6.125% until this date. If the Perpetual Notes Issuer chooses not to exercise its call option at that time, the coupon will reset as follows:

- From April 2030 to April 2035: 3.508% over five-year swap rate.
- From April 2035 to April 2050: 3.758% over five-year swap rate.
- From April 2050 onwards: 4.508% over five-year swap rate.

The newly issued perpetual notes were admitted to trading on the Euro MTF Market operated by the Luxembourg Stock Exchange.

(b) On 8 December 2025, the Company issued euro 600 million in aggregate principal amount of perpetual notes. These notes were issued at a price of 97.976% of the principal amount. These Perpetual notes are of unlimited duration and can be called back by the Company only on certain contractually fixed dates or occasions. Up until the first reset date in 9 April 2031, the perpetual notes shall bear a coupon rate of 4.75% p.a. In case the Company does not exercise its call right at that point, the coupon rate applied until the next reset date (April 2036) shall correspond to the five-year swap rate plus a margin of 271.9 basis points p.a. The margin will increase by 25 basis points (to 296.9 basis points p.a.) as of April 2036 and by another 75 basis points (to 371.9 basis points p.a.) as of April 2051. The newly issued perpetual notes were admitted to trading on the Euro MTF Market operated by the Luxembourg Stock Exchange.

(c) On 9 December 2025 following the issuance of euro 600 million perpetual notes with a 4.75% coupon, the Company announced the results of a tender offer launched on 1 December 2025 in respect of its 6.125%, 6.322%, 5.901% and 1.5% perptual notes series.

The Company accepted tenders in the aggregate amounts of euro 393.2 million, euro 44.1 million, euro 23.8 million and euro 97.3 million, respectively. See note 32.

The Group has the option to redeem any perpetual note for which the first call date to voluntarily redeem has passed, at every future coupon payment date, or more frequently, as per the terms and conditions of each respective note series and these have been and will continue being accounted for as equity instruments in the consolidated statement of financial position.

These perpetual notes are presented in the consolidated statement of financial position as equity reserve attributable to its holders, which is part of the total equity of the Group. The coupon is de-ferrable until payment resolution of a dividend to the shareholders. The deferred amounts shall not bear interest.

17.8. NON-CONTROLLING INTERESTS

During the year, the Group has received contributions from non-controlling interests of euro 66.3 million and distributed dividends to non-controlling interests of euro 8.7 million.
The majority of the non-controlling interests is held indirectly by Aroundtown S.A. through a Luxembourgish minority fund. See note 5, 23.2.1 (a) and 24.1.

18. SHARE-BASED PAYMENT AGREEMENTS

18.1. DESCRIPTION OF SHARE-BASED PAYMENT ARRANGEMENTS

As of 31 December 2025, the Group had the following share-based payment arrangements:

- **Incentive Share plan**

  The incentive program for the directors, key management personnel and senior employees has up to four years vesting period with target to enhance employees's long-term commitment to the Company's strategic targets.

- **The key terms and conditions related to the programs are as follows:**

Vesting period	Number of shares	Weighted vesting period	Contractual life of the shares
1 March 2022 - 30 June 2029	753 thousands	1.67 years	Up to 4 years

18.2. RECONCILIATION OF OUTSTANDING SHARE OPTIONS

The number and weighted average of shares under the share incentive program and replacement awards were as follows:

	2025	2024
	Number of shares	Number of shares
	’000	
Outstanding as at January 1	483	558
Granted during the year	478	156
Exercised during the year (*)	(208)	(231)
Outstanding as at 31 December	**753**	**483**

(*) of which 28 thousand (2024: 41 thousand) shares have been transferred from the Company's shares held in treasury.

During the year, the total amount recognised as share-based payment was euro 2,749 thousand (2024: euro 2,331 thousand). It was presented as Property operating expenses and as Administrative and other expenses in the consolidated statement of profit or loss and as share-based payment reserve in the consolidated statement of changes in equity.

19. LOANS AND BORROWINGS AND STRAIGHT BONDS

19.1. LOANS AND BORROWINGS

	Weighted average interest rate (*)	Maturity	As at 31 December	
			2025	2024
			€’000	
Non-current				
Bank loans	3.2%	2027-2082	936,719	917,223
Total non-current			**936,719**	**917,223**
Current				
Current portion of long-term loans	3.2%	2026	9,577	12,216
Total current			**9,577**	**12,216**

(*) as at December 2025.

The bank loans are in general non-recourse loans with the related assets serving, among others, as a security. Approx. euro 2.6 billion (2024: euro 2.4 billion) of investment properties are encumbered, of which euro 0.2 billion (2024: euro 0.2 billion) pledged as security for non-recourse loans of non-controlling shareholders.

The financial covenants under the existing loan agreements include, among others, Debt-Service Coverage Ratio (DSCR) of 110%-150% and LTV of 50-70%. As at 31 December 2025, the Group is compliant with its financial covenants to the financing banks.

During the year the Group drew over euro 90 million in new secured debt and early repaid over euro 70 million in bank loans. The Group holds undrawn credit lines from several banks in the amount of euro 200 million, the financial covenants of which being aligned with the Group's bond covenants and not subject to a material adverse effect clause.

During the year the Group signed but did not draw a euro 12 million bank loan.

19.2. STRAIGHT BONDS

Composition	Note	Nominal amount outstanding	Effective coupon [1]	Placement	Maturity	As at 31 December	
						2025	2024
		'000				€'000	
STRAIGHT BONDS							
Non-current							
Straight bond series G			1.38%	Aug-17	Aug-26	-	404,288
Straight bond series H	(h)	EUR 505,000	2.00%	Oct-17	Oct-32	465,315	246,491
Straight bond series I		HKD 900,000	4.1475%	Feb-18	Feb-28	94,023	102,752
Straight bond series J	(d), (e)	EUR 583,300	1.50%	Feb-18	Feb-27	581,526	579,974
Straight bond series K			0.96%	Mar-18	Sep-26	-	132,641
Straight bond series L		JPY 7,500,000	1.20%	Jun-18	Jun-38	37,038	43,087
Straight bond series M		EUR 47,000	2.18%	Jul-18	Jul-33	51,120	48,677
Straight bond series N		EUR 88,000	1.71% + 3M Euribor	Feb-19	Feb-39	58,552	62,606
Straight bond series O		EUR 15,000	1.68% + 3M Euribor	Feb-19	Feb-34	11,805	12,010
Straight bond series P		HKD 290,000	4.30%	Mar-19	Mar-29	28,529	31,486
Straight bond series R		EUR 40,000	2.50%	Jun-19	Jun-39	39,844	39,833
Straight bond series V		EUR 70,000	2.293%	Aug-19	Aug-34	71,639	66,778
Straight bond series X		EUR 1,000,000	0.125%	Jan-21	Jan-28	993,127	989,742
Straight bond series Y	(c)	EUR 500,000	4.375%	Jul-24	Jan-30	489,788	487,250
						2,922,306	**3,247,615**
Current							
Straight bond series E	(d), (e), (f)		1.50%	Apr-15	Apr-25	-	178,268
Straight bond series G [2]	(d), (e)	EUR 407,300	1.38%	Aug-17	Aug-26	406,166	-
Straight bond series K [2]		CHF 125,000	0.96%	Mar-18	Sep-26	134,137	-
Straight bond series U	(g)		0.75%	Jul-19	Jul-25	-	79,977
Accrued interest straight bonds [3]						43,078	32,577
						583,381	**290,822**
Total straight bonds and accrued interest						**3,505,687**	**3,538,437**

(1) including hedging impact, where applicable.
(2) presented in current portion of straight bonds in the consolidated statement of financial position.
(3) presented in provisions for other liabilities and other charges in the consolidated statement of financial position.

As of 31 December 2025, the weighted average interest rate on the outstanding loans, borrowings and bonds, after taking into account hedging impact, is 2.1% (2024: 1.9%)

As of 31 December 2025, the Company has maintained a euro 10 billion EMTN programme. Notes issued under the EMTN programme are the direct obligation of the Company.

Movement during 2024-2025

(a) On 9 April 2024, the Company redeemed euro 148.8 million principal amount of straight bond series W.

(b) On 24 June 2024, the Company redeemed CHF 130 million principal amount of straight bond series Q.

(c) On 9 July 2024, under EMTN program, the Company issued euro 500 million of straight bond series Y due 2030, at an issue price of 97.774% of the principal amount with euro coupon 4.375%.

(d) On 1 July 2024, the Board of Directors decided to invite holders of three outstanding straight bonds euro 667.6 million, euro 600 million, and euro 550 million, series J, G, and E respectively to tender the notes for purchase by the Company for cash. The offer was open until 8 July 2024. As a result of the tender offer, on 10 July 2024, the Company repurchased euro 74.3 million, euro 149.5 million, and euro 14.5 million principal amount of straight bond series J, G, and E respectively, excluding any accrued interest.

(e) During 2024 and in addition to the offer to the holder, the Company bought back euro 1 million, euro 20.6 million and euro 10 million principal amount of straight bond series E, G, and J respectively for a cumulative amount of euro 31.6 million.

(f) On 17 April 2025, the Company repaid euro 178.9 million principal amount of straight bond series E.

(g) On 25 July 2025, the Company repaid euro 80 million principal amount of straight bond series U.

(h) On 17 December, 2025, the Company completed with the tap placement of additional euro 250 million (nominal value) of straight bond series H, issued at 87.522% of their principal amount, maturing in 2032 with a 2% euro coupon. The total aggregated principal amount of the straight bond series H increased to euro 505 million (nominal value).

COVENANTS

The Company's outstanding series of bonds contain a customary negative pledge clause that prohibits the Company, so long as any of the Senior Notes remain outstanding, from creating or having outstanding any Security Interest (other than a Permitted Security Interest) upon any of its present or future business, undertaking, assets or revenues (including any uncalled capital) to secure any Capital Markets Indebtedness, unless the Company, before or at the same time in the case of the creation of a Security Interest and, in any other case promptly, takes any and all action necessary to ensure that:

(i) all amounts payable by it under the Senior Notes and the Trust Deed are secured by the Security Interest equally and ratably with the Capital Markets Indebtedness to the satisfaction of the Trustee; or

(ii) such other Security Interest or other arrangement is provided either (i) as the Trustee in its absolute discretion deems not materially less beneficial to the interests of the Senior Noteholders or (ii) as is approved by an Extraordinary Resolution of the Senior Noteholders.

Under its outstanding bond series, the Company has covenanted, among other things, the following (capitalised terms have the meanings set forth in the relevant bond series):

1. The Company undertakes that it will not, and will procure that none of its subsidiaries will, up to (and including) the Final Discharge Date, incur any Indebtedness (other than Refinancing Indebtedness) if, immediately after giving effect to the incurrence of such additional Indebtedness and the application of the net proceeds of such incurrence:
    a. The sum of: (i) the Consolidated Indebtedness (less Cash and Cash Equivalents) as at the Last Reporting Date; and (ii) the Net Indebtedness (less Cash and Cash Equivalents) incurred since the Last Reporting Date would exceed 60% of the sum of (without duplication): (i) the Total Assets (less Cash and Cash Equivalents) as at the Last Reporting Date; (ii) the value of all assets acquired or contracted for acquisition by the Group as determined at the relevant time in accordance with IFRS and the accounting principles applied by the Company in the latest Financial Statements as certified by the auditors of the Company, since the Last Reporting Date; and (iii) the proceeds of any Indebtedness incurred since the Last Reporting Date (but only to the extent that such proceeds were not used to acquire Real Estate Property or to reduce Indebtedness);) and

b. The sum of: (i) the Consolidated Secured Indebtedness (less Cash and Cash Equivalents) as at the Last Reporting Date; and (ii) the Net Secured Indebtedness (less Cash and Cash Equivalents) incurred since the Last Reporting Date shall not exceed 45% of the sum of (without duplication): (i) the Total Assets (less Cash and Cash Equivalents) as at the Last Reporting Date; (ii) the value of all assets acquired or contracted for acquisition by the Group as determined at the relevant time in accordance with IFRS and the accounting principles applied by the Company in the latest Financial Statements as certified by the auditors of the Company, since the Last Reporting Date; and (iii) the proceeds of any Indebtedness incurred since the Last Reporting Date (but only to the extent that such proceeds were not used to acquire Real Estate Property or to reduce Indebtedness);

2. The Company undertakes that the sum of: (i) the Unencumbered Assets (less Cash and Cash Equivalents) as at the Last Reporting Date; and (ii) the Net Unencumbered Assets (less Cash and Cash Equivalents) newly recorded since the Last Reporting Date will at no time be less than 125% of the sum of: (i) the Unsecured Indebtedness (less Cash and Cash Equivalents) at the Last Reporting Date; and (ii) the Net Unsecured Indebtedness (less Cash and Cash Equivalents) incurred since the Last Reporting Date;

3. Up to and including the Final Discharge Date, the Company undertakes that, on each Reporting Date, the Consolidated Coverage Ratio will be at least 1.8;

"Financial Statements" means the annual audited consolidated financial statements (including the management report) of the Company or the consolidated interim financial statements (including the management report) of the Company, in each case as published by the Issuer Company as at the Last Reporting Date and prepared in accordance with IFRS.

As at 31 December 2025, under its outstanding bond series the Group is compliant with its financial covenants.



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19.3. RECONCILIATION OF MOVEMENT OF LIABILITIES TO CASH FLOW ARISING FROM FINANCING ACTIVITIES

The table below details changes in the Group's liabilities from financing activities after hedging impact, including both cash and non-cash changes. Liabilities arising from financing activities are those for which cash flows, or future cash flows will be, classified in the Group's consolidated statement of cash flows from financing activities.

		Finance cash flows		Non-cash changes			
€'000	31 Dec 2024	Finance expenses paid[6]	Other cash flows[1]	Foreign exchange effect	Other non-cash[2]	Other changes[3]	31 Dec 2025
Straight bonds [4]	3,538,437	(48,724)	(39,369)	-	(2,116)	57,459	3,505,687
Loans and borrowings[5]	929,439	(30,029)	12,469	-	8,063	26,354	946,296
Lease liabilities	117,790	(5,603)	-	(3,156)	3,790	5,603	118,424
	4,585,666	**(84,356)**	**(26,900)**	**(3,156)**	**9,737**	**89,416**	**4,570,407**

		Finance cash flows		Non-cash changes				
€'000	31 Dec 2023	Finance expenses paid[6]	Other cash flows[1]	Change in liabilities held-for-sale	Foreign exchange effect	Other non-cash[2]	Other changes [3]	31 Dec 2024
Straight bonds [4]	3,586,200	(45,376)	(20,244)	-	-	10,578	7,279	3,538,437
Loans and borrowings[5]	872,427	(37,160)	57,770	-	-	4,882	31,520	929,439
Lease liabilities	105,115	(5,637)	-	3,868	2,841	6,132	5,471	117,790
	4,563,742	**(88,173)**	**37,526**	**3,868**	**2,841**	**21,592**	**44,270**	**4,585,666**

(1) other cash flows include proceeds, repayment (including amortisation) from financial institutions and others, net of related derivatives.
(2) other non-cash changes include discount and issuance cost amortisation as well as fair value adjustment of bonds and remeasurement of lease liabilities.
(3) other changes include interest accruals, results on early repayment of debt and results on linked derivatives.
(4) including accrued interest and current portion of straight bonds. see note 19.2.
(5) including current portion of long-term loans. see note 19.1.
(6) excluding other financial income (expenses) received (paid) in cash.

20. TRADE AND OTHER PAYABLES

	As at 31 December	
	2025	2024
	€'000	
Trade and other payables	57,769	75,034
Prepayments received from tenants(*)	168,258	174,426
Deferred income	27,959	14,042
Other liabilities	13,832	15,728
	267,818	**279,230**

(*) the Group receives prepayments from tenants for ancillary services and other charges on a monthly basis. Once a year, the prepayments received from tenants are settled against the operating cost receivables.

21. OTHER NON-CURRENT LIABILITIES

	As at 31 December	
	2025	2024
	€'000	
Tenancy deposits	51,351	48,352
Lease liability (see note 21.1)	118,424	117,790
Long-term positions with non-controlling interest and others	19,842	26,757
	189,617	**192,899**

21.1. LEASE LIABILITIES

Set out below are the carrying amounts of lease liabilities of the Group as a lessee and the movements during the year:

	2025	2024
	€'000	
As at 1 January	117,790	105,115
Reclassification from held-for-sale	-	3,868
Expenses	6,556	14,610
Payments	(5,922)	(5,803)
As at 31 December	**118,424**	**117,790**

As at 31 December 2025, all lease liabilities are related to right-of-use assets accounted for as investment property.

22. PROVISIONS FOR OTHER LIABILITIES AND CHARGES

	€'000
Balance as at 1 January 2024	40,039
Movement during the year	6,321
Balance as at 31 December 2024	46,360
Movement during the year	10,009
Balance as at 31 December 2025	**56,369**

23. RELATED PARTY TRANSACTIONS

23.1. DIRECTORS AND EXECUTIVE MANAGEMENT PERSONNEL REMUNERATION

For the year ended 31 December 2025

	Chairman of the Board of Directors	Non-Executive Director	Independent Director	Independent Director	Independent Director	Total
	Mr. Christian Windfuhr	**Ms. Simone Runge-Brandner [2]**	**Mr. Markus Leininger [2]**	**Ms. Monica Porfilio**	**Mr. Scot Wardlaw [3]**	
	In €					
Salary, consultancy fees and supplementary payments [1]	176,470	50,000	50,000	60,000	60,000	396,470
Multi years fixed share incentives plan	100,000	-	-	-	-	100,000
Total remuneration	**276,470**	**50,000**	**50,000**	**60,000**	**60,000**	**496,470**

(1) based on employer's costs, excluding VAT
(2) Ms. Simone Runge-Brandner and Mr. Markus Leininger serve also as independent director in Aroundtown SA's board of directors
(3) Mr. Scot Wardlaw serves as a director in an associate held indirectly by Aroundtown SA, and is not part of the Group

Executive management personal

Mr. Refael Zamir, the Company's CEO as at 31 December 2025, was entitled to a total remuneration of euro 1,926 thousand, of which euro 1,122 thousand refer to multi years fix and vairable share incentive plan.

During the year, the Group granted an interest-bearing loan of euro 1.5 million to the Company's CEO. The loan was repaid in full by 31 December 2025. There was no outstanding balance as of the reporting date.

Mr. Idan Hadad, the Company's CFO as at 31 December 2025, was entitled to a total remuneration of euro 501 thousand, of which euro 125 thousand refer to multi years fix and vairable share incentive plan.

Mr. Michael Bar-Yosef, was appointed to the Company's CCMO in November 2025, his total remuneration for this period was euro 103 thousand, of which euro 45 thousand refer to multi years fix and vairable share incentive plan.

The remuneration of executive management personal includes monthly salary, annual bonus and supplementary payments based on employer cost.

Multi-year fixed and variable share incentive program value is measured based on the share price on the grant date unless the incentive is paid.

There were no other material transactions between the Group and its directors and executive management during the year. For further information on the share incentive program see note 18.

23.2. OTHER RELATED PARTY TRANSACTIONS AND BALANCES

Some of the Group's transactions arrangements are with Aroundtown SA and its investees, and the effect of these on the consolidated financial statements is stated below:

23.2.1

	For the year ended 31 December	
	2025	2024
	€'000	
Provided services	7,347	6,857
Purchased services	(15,302)	(2,812)
Receivables	1,724	2,885
Payables	1,916	9,589

a. During the year, the Group acquired investment property of euro 143 million in London together with Turnaround Capital Investment Fund (Luxembourg) SCSp RAIF (TAC). The acquisitions were partly funded by TAC in total amount of over euro 60 million, which are presented as contributions from non-controlling interests in the consolidated statement of changes in equity and in the consolidated statement of cash flows. TAC was established in 2024 to capitalize on market opportunities by acquiring quality real estate properties in strong locations and at attractive price levels and with high upside potential. The fund was set up together with Aroundtown SA.

b. During the year, the Group acquired an investment property of euro 1.4 million (2024: euro 0), at a price reflecting its fair value.

c. The purchased services for 2024 do not include an amount of approximately euro 200 thousand for facility services (caretaker, etc.) between the Group and a facility services company ("FSC"). Until March 2024 the registered shareholder of FSC was a related party of the Group who in the opinion of the Group did not exercise any control over FSC.

24. DISPOSALS

24.1. DISPOSALS OF INVESTMENT PROPERTY DURING THE YEAR

During the year, the Group disposed several investment properties and subsidiaries which held investment properties. The following table describes the amounts of assets and liabilities disposed:

	Year ended 31 December	
	2025	2024
	€'000	
Investment property	343,536	271,703
Net deferred tax liabilities	(30,593)	(3,112)
Other net assets (liabilities)	921	2,140
Total net assets disposed	**313,864**	**270,731**
Non-controlling interests disposed	10,720	3,136
Total consideration	298,990	(*)262,063
Loss from disposal of investment property and subsidiaries	(4,154)	(5,532)

(*) in 2024, the consideration including euro 60 million vendor loans provided to facilitate and optimize transactions. As of 2025 the vendor loan have been fully repaid.

24.2. ASSETS AND DISPOSAL GROUP HELD-FOR-SALE

The Group resolved an intention to sell several properties. These properties were identified by the Group as either non-core, primarily due to the location of the properties, or mature properties with lower-than-average upside potential in their current condition. The intention of the Group to dispose non-core and mature properties is part of its capital recycling plan of is following a strategic decision to increase the quality of its portfolio.

Some properties are expected to be disposed through sale of subsidiaries. Accordingly, assets and liabilities relating to these subsidiaries ("Disposal Group") and some properties which are expected to be disposed through asset deals are presented as assets held-for-sale and as liabilities held-for-sale in the consolidated statement of financial position.

Efforts to sell the properties have started and a sale is expected within twelve months. As of 31 December 2025, the Group has signed contracts to sell approximately euro 16.5 million of investment property.

The major classes of assets and liabilities comprising the Disposal Group classified as held-for-sale are as follows:

	As at 31 December	
	2025	2024
	€'000	
ASSETS CLASSIFIED AS HELD-FOR-SALE		
Investment property (see note 15.1)	87,718	224,705
Cash and cash equivalents	-	376
Deferred tax assets	-	949
Other assets	-	6,664
Total assets classified as held-for-sale	**87,718**	**232,694**
LIABILITIES CLASSIFIED AS HELD-FOR-SALE		
Deferred tax liabilities	1,577	14,758
Other liabilities	-	5,022
Total liabilities classified as held-for-sale	**1,577**	**19,780**

25. FINANCIAL INSTRUMENTS AND RISKS MANAGEMENT

25.1. FINANCIAL ASSETS

Set out below, is an overview of financial assets, held by the Group as at 31 December 2025 and 31 December 2024:

	As at 31 December	
	2025	2024
	€'000	
FINANCIAL ASSETS AT AMORTISED COST:		
Cash and cash equivalent[1]	1,531,767	1,373,235
Trade and other receivables[2]	313,103	[*]427,612
Other non-current assets[3]	108,402	81,983
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS:		
Financial assets at fair value through profit or loss[4]	301,487	244,311
Derivative financial assets[5]	12,360	4,412
Total	**2,267,119**	**2,131,553**

(*) reclassified

(1) including assets held for sale.
(2) including assets held for sale, excluding prepead expenses, tax and VAT receivables.
(3) excluding non-current financial assets at fair value through profit or loss.
(4) including non-current financial assets at fair value through profit or loss included in other non-current assets (see note 13).
(5) excluding derivative financial assets designated as hedging instruments in hedge relationships (see note 26).

25.2. FINANCIAL LIABILITIES

Set out below, is an overview of financial liabilities, held by the Group as at 31 December 2025 and 31 December 2024:

	As at 31 December	
	2025	2024
	€'000	
FINANCIAL LIABILITIES AT AMORTISED COST:		
Trade and other payables[1]	71,601	[*] 94,481
Loans and borrowings[2]	946,296	929,439
Straight bonds[3]	3,462,609	3,505,860
Accrued interest on straight bonds	43,078	32,577
Other long-term liabilities[4]	189,617	193,943
FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS:		
Derivative financial liabilities[5]	4,635	505
Total	**4,717,836**	**4,756,805**

(*) reclassified

(1) including liabilities held-for-sale, excluding deferred income and prepayments received from tenants.
(2) including current portion of long-term loan.
(3) including current portion of straight bonds.
(4) including assets held for sale.
(5) excluding derivative financial assets designated as hedging instruments in hedge relationships (see note 26).

25.3. RISKS MANAGEMENT OBJECTIVES AND POLICES

As at 31 December 2025, the Group's principal financial liabilities, other than derivatives, comprise loans and borrowings, straight bonds, trade and other payable and non-current liabilities. The Group's principal financial assets include trade and other receivables, cash and cash equivalent and other non-current asset. The Group also holds investments in debt and equity instruments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Board of Directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Board of Directors is supported by a risk committee that advices on financial risks and the appropriate financial risk governance framework for the Group. The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and in the Group's activities.

25.3.1 MARKET RISK

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: interest rate risk, currency risk and other price risk, such as equity price risk.

Interest rate risk

The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term debt obligations with floating interest rates. The Group manages its interest rate risk by hedging long-term debt with floating rate using swap and cap contracts. For additional information see note 26.

As at 31 December 2025, after taking into account the effect of the hedging, the interest profile of the Group's interest-bearing debt, as follows:

	Nominal amount outstanding as at 31 December	
	2025	2024
	€'000	
Fixed rate	4,301,768	4,298,552
Capped rate	22,310	13,370
Floating rate	221,000	222,000
	4,545,078	**4,533,922**

Interest rate sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of long-term debt affected, after the impact of hedging as of the reporting date. With all other variables held constant, the Group's profit before tax and pre-tax equity are affected through the impact on floating rate long-term debt, as follows:

	Increase/decrease in basis points	Effect on profit before tax and pre-tax equity
	€'000	
2025	100	(2,316)
	-100	2,433
2024	100	(2,325)
	-100	2,354

The Group had no long-term debt for which the benchmark rate had been replaced with an alternative benchmark rate as at 31 December 2025.

FOREIGN CURRENCY RISK

The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's net investment in foreign subsidiaries and to several straight bonds issued in a foreign currency.

The Company issued several straight bonds in different currencies and in fixed and floating interest. The Company used cross currency swap contracts to hedge the foreign currency risk as explained in note 26.1 and 26.2.

In addition, the Company used forwards and option contracts to hedge the foreign currency risk of its net investment in foreign operation which operates in British pound (GBP) as explained in note 26.3.

EQUITY PRICE RISK

The Group's listed and non-listed equity investments are susceptible to market price risk arising from uncertainties about future values of the investment securities. The Group manages the equity risk through diversification and by placing limits on individual and total equity instruments. Reports on the equity portfolio are submitted to the Group's senior management on a regular basis.

As at 31 December 2025, the exposure to listed equity instruments was euro 53,839 thousand (2024: euro 81,261 thousand).

25.3.2 CREDIT RISK

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily trade and other receivables) and from its financing activities, including cash and cash equivalents held in banks, derivatives and other financial instruments.

TRADE AND OTHER RECEIVABLES

Customer credit risk is managed by the property managers subject to the Group's established policy, procedures and control relating to customer credit risk management. Outstanding customer receivables are regularly monitored.

An impairment analysis is performed at each reporting date using a provision to measure expected credit loss. The calculation reflects the probability-weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions. The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic condition may also not be representative of customer's actual default in the future.

The Group has no significant concentration of credit risk.

The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets disclosed in note 25.1.

The aging of rent receivables at the end of the reporting period that were not impaired was as follows:

	As at 31 December	
	2025	2024
	€'000	
Neither past due and past due 1–30 days	27,438	26,618
Past due 31–90 days	10,097	11,217
Past due above 90 days	4,373	10,183
	41,908	**48,018**

Management believes that the unimpaired amounts that are past due by more than 30 days are still collectible in full, based on the historical payment behavior and extensive analysis of customer credit risk, including underlying customers' credit ratings if they are available.

FINANCIAL INSTRUMENTS AND CASH AND CASH EQUIVALENTS

Credit risk from balances with banks and financial institutions is managed by the Group's treasury department in accordance with the Group's policy. Investments of surplus funds are made only with approved counterparties and within credit limits assigned to each counterparty. The limits are set to minimise the concentration of risks and therefore mitigate financial loss through a counterparty's potential failure to make payments.

The Group's investment in financial instruments at fair value through profit or loss consist of quoted debt and equity securities that are graded in the investment category.

The Group holds its cash and cash equivalents in high rated countries with high-rated financial institutions. Concentration risk is mitigated by limiting the exposure to a single counter party.

As at 31 December 2025, the Group has recorded euro 1,177 thousand (2024: euro 695 thousand) ECL allowance on its cash and cash equivalents.

25.3.3 LIQUIDITY RISK

Liquidity risk is the risk that arises when the maturity of assets and liabilities does not match. An unmatched position potentially enhances profitability, but can also increase the risk of loss. The Group has procedures with the objective of minimizing such losses such as maintaining sufficient cash and other highly liquid current assets and by having available an adequate amount of committed credit facilities.

The following are the remaining contractual maturities at the end of 2025 end of 2024 of financial liabilities, including estimated interest payments, the impact of derivatives and excluding the impact of netting agreements:

		Contractual cash flows including interest					
As at 31 December 2025	Carrying amount	Total	2 months or less	2-12 months	1-2 years	2-3 years	More than 3 years
				€'000			
FINANCIAL LIABILITIES							
Loans and borrowings[1]	946,296	1,115,766	269	37,926	50,185	267,538	759,848
Straight bonds[2]	3,462,609	3,922,564	39,620	561,649	639,479	1,140,780	1,541,036
Lease liabilities	118,424	2,997,473	-	5,921	5,921	5,921	2,979,710
Trade and other payables[3]	71,601	71,601	11,934	59,668	-	-	-
Derivative financial liabilities[4]	43,567	46,970	41,885	2,585	2,500	-	-
Total	**4,642,497**	**8,154,374**	**93,708**	**667,749**	**698,085**	**1,414,239**	**5,280,594**

		Contractual cash flows including interest					
As at 31 December 2024	Carrying amount	Total	2 months or less	2-12 months	1-2 years	2-3 years	More than 3 years
				€'000			
FINANCIAL LIABILITIES							
Loans and borrowings[1]	929,439	1,110,594	286	34,064	35,510	97,607	943,127
Straight bonds[2]	3,505,860	3,965,485	40,276	275,958	595,501	635,122	2,418,628
Lease liabilities	117,790	2,797,519	-	5,631	5,631	5,631	2,780,626
Trade and other payables[(*)] [3]	90,762	90,762	15,127	75,635	-	-	-
Derivative financial liabilities[4]	68,161	82,856	1,710	72,949	8,197	-	-
Total	**4,712,012**	**8,047,216**	**57,399**	**464,237**	**644,839**	**738,360**	**6,142,381**

(*) reclassified

(1) including current portion of long-term loans.
(2) including current portion of straight bonds.
(3) excluding deferred income and prepayments received from tenants.
(4) foreign currency forward and option contracts - see note 26.3.

25.3.4 OPERATING RISK

Operational risk is the risk that derives from the deficiencies relating to the Group's information technology and control systems as well as the risk of human error and natural disasters. The Group's systems are evaluated, maintained and upgraded continuously.

25.3.5 OTHER RISKS

Through ordinary course of business, the Company is exposed to various external risks. The Risk Committee is constantly determining whether the infrastructure, resources, and systems are in place and adequate to maintain a satisfactory level of risk. The potential risks and exposures are related, inter alia, to volatility of interest rate risk, liquidity risks, credit risks, regulatory and legal risks, collection and tenant deficiencies, the need for unexpected capital investments, and market downturn risk.

The Company sets direct and specific guidelines and boundaries to mitigate and address each risk, hedging and reducing to a minimum the occurrence of failure or potential default.

› Risk Factors — Macroeconomic, Geopolitical, Inflationary and Interest Rate Environment

The Group operates in a dynamic macroeconomic and geopolitical environment characterised by heightened uncertainty, shifting policy responses, and periodic capital market volatility. These factors are interrelated and can reinforce one another (e.g., geopolitical developments influencing energy prices and inflation, which in turn affect interest rates, financing conditions, asset valuations and tenant affordability). While the Group has no direct operational or portfolio exposure to the regions most affected by current conflicts or political tensions, it remains exposed to the indirect economic consequences of these developments. The risks described below, individually or collectively, could have a material adverse effect on the Group's business, net assets, financial condition, cash flows and results of operations.

› Geopolitical Uncertainty

Global geopolitical uncertainty has increased in recent years, driven by tensions among major powers, regional conflicts, evolving trade and industrial policies, sanctions and other restrictive measures. Although the Group does not have direct exposure to the regions most affected by current conflicts, it is exposed to indirect consequences such as energy market volatility, supply chain disruptions, shifts in migration patterns within Europe, and changes in regulatory priorities.

These dynamics have contributed to elevated operating costs (particularly energy and heating), may affect tenants' ability to meet rent and recoverable operating costs, and can increase broader inflationary pressure. Volatility in capital markets linked to geopolitical events can also reduce the Group's ability to raise capital on attractive terms, increasing its cost of capital and potentially limiting growth opportunities. Geopolitical developments have additionally influenced migration across Europe, which can intensify demand pressure in residential real estate markets, exacerbate supply–demand imbalances, and increase political focus on housing availability, regulatory intervention and construction. The timing, scope and impact of further escalation or new conflicts are inherently uncertain; the Group continues to monitor developments.

› Inflationary Environment

A sequence of global events, including the pandemic, supply chain disruptions, evolving geopolitical tensions across multiple regions, and expansive monetary and fiscal interventions, has contributed to a period of elevated inflation. Price pressures have been particularly notable in energy (oil, gas and electricity) and in construction and maintenance materials. While inflationary pressures have continued to ease, the risk of renewed increases remains, given continued sensitivity of energy markets to geopolitical events and the vulnerability of supply chains to disruption.

Higher price levels may affect tenants' ability to bear operating costs passed through under lease agreements. As a result, future rent losses or delays in the recovery of operating expenses cannot be ruled out. To mitigate these risks, the Group provides guidance to tenants on reducing energy consumption and managing utility usage efficiently. Persistently high energy and materials inflation could also raise the cost of supplies for capital expenditure projects, increase ongoing utility expenses, or cause delays in operational execution. Broader inflationary trends may increase personnel and external service costs, negatively affecting profitability. In addition, elevated inflation has been associated with rapid increases in interest rates and heightened capital market volatility, adversely impacting the cost and availability of new financing and putting upward pressure on discount and capitalisation rates used in real estate valuations.

› Interest Rates and Financing Conditions

In response to elevated inflation across the Eurozone, the European Central Bank ("ECB") raised policy rates rapidly. This tightening led to higher interest rates in Germany and across the Eurozone, which reduced real estate valuations and transaction volumes and dampened investment activity. Starting in mid 2024, the ECB began gradually easing rates, which alleviated some pressure; however, rates remain above levels seen in prior years, and the risk of renewed increases cannot be excluded. Adverse impacts on the Group may include:

- **Valuation effects:** Discount and capitalisation rates used to determine the fair value of investment properties under IAS 40 typically increase in rising rate environments, which would reduce the fair value of the Group's assets recorded on the balance sheet.
- **Financing and refinancing risk:** While the Group's current debt structure primarily involves fixed rate instruments or, where variable rates apply, is largely hedged, higher market rates may negatively affect the Group's ability to refinance upcoming maturities or raise additional financing on favourable terms. Lenders may reduce exposure to real estate or face stricter capital and regulatory requirements, limiting debt availability and increasing borrowing costs. Rising rates, or expectations of further increases, could make funding for refinancing, acquisitions, capital expenditure and other activities more expensive, reducing profitability.
- **Negotiation constraints and hedging:** In elevated rate environments, it may be more challenging to secure financing terms that align with profit targets. Hedging instruments may not be available on acceptable terms or may entail higher costs. A prolonged period of high rates would likely increase overall financing and hedging costs, with corresponding negative effects on profitability.
- **Perpetual notes:** The Group's equity includes perpetual notes that reset their interest rate every five years based on a margin plus the prevailing 5 year swap rate. If a reset date occurs during a period of high rates, future coupons may rise materially, reducing profits available to shareholders. The Company generally aims to replace such notes at the first call date; however, if new issuance costs exceed reset rates, calling the notes may be uneconomical.
- **Market liquidity and transactions:** Higher rates can reduce buyer appetite for real estate, particularly where acquisitions rely on mortgage financing or similar instruments, thereby constraining the Group's ability to dispose of properties on favourable terms when desired.

› Interdependencies, Uncertainty and Monitoring

The above risks are interdependent and may reinforce one another. For example, geopolitical events may increase energy prices, feeding inflation and driving tighter monetary policy, which can depress valuations and transaction activity. While some price and rate pressures have eased, renewed volatility remains possible. The Group actively monitors macroeconomic and geopolitical developments, reviews financing options and maturity profiles, employs interest rate hedging where appropriate, engages with tenants to support energy efficiency measures, and assesses selective timing of capital expenditure. Nevertheless, these actions cannot fully eliminate the risks described.

› Climate related risks

The significant impact of human activity on ecosystems and the climate have become apparent in recent years. Climate change mitigation but also adaptation have become challenges for governments, society and businesses. The Company does not only face increasing physical climate risks but also transitional climate risks resulting from international pressure to move to a decarbonized world. This pressure is linked to changes in investor and consumer demand, from regulatory changes as well as from other societal factors.

To better understand its physical climate risk exposure, the Company uses a renowned third-party tool for asset-level physical risk assessment taking into account multiple climate scenarios and time horizons . This analysis serves the identification of assets at higher risk exposure and to subsequently analyse their sensitivity and vulnerability. Based on their outcome, any remaining risks will trigger develop asset-specific adaptation plans. Besides gradually developing adequate adaptation plans, the Company is considering other measures to mitigate the impact of such physical climate risks, for example through insurance coverage. However, the increased occurrence of severe weather events will likely result in high insurance premiums.

The Building Resilience Task Force, an interdepartmental team set up to further cooperation in the Company on climate adaptation, continues to further develop control mechanisms and risk mitigation measures for physical climate risks.

In addition to physical climate risks, the Company also faces transitional risks. As a result of the more apparent impact of climate change in recent years, regulators have increased their efforts to mitigate current, as well as potential future impacts of climate change, through a wide range of regulations. Emerging regulations in the Group's regions pursuing a phase-out of fossil fuels and improved energy efficiency in the real estate sector present technological risks to the Company. These require careful attention when planning maintenance and capex measures. At the EU level, the Energy Performance of Buildings Directive (EPBD) includes new minimum energy performance requirements for buildings that progressively increase over time, although the specific requirements can only be known once national-level implementation commences among member states. EU Member States have until May 2026 to transpose the EPBD into national law. Noncompliance with these new energy requirements would result in an inability to let the assets and requires increased capital expenditures to become compliant. The Company continuously monitors changes in regulations and aims to minimise the financial risk through pro-active carbon reduction and energy efficiency policies and programmes. Furthermore, the Group's sustainability strategy incorporates self-set targets for material environmental, social and corporate

governance matters (ESG). If any of these self-set ESG goals are not met, this could damage the Group's reputation. Considering the increasing focus of market participants and lenders on sustainability and "green financing", this could have a negative impact on the Group's refinancing and access to further financing, for example, via the capital market or by taking out loans, at all or on attractive terms. If the Group fails to meet expectations and trends related to sustainability aspects in a timely manner or at all, there could be a decline in demand from tenants.

Furthermore, this could also lead to investors divesting from the Group's bonds or shares, as they also expect ESG goals to be met. From a regulatory perspective, failure to achieve sustainability goals may also have a negative impact on the Group. To take on a proactive approach towards mitigating transitional climate risks and meet its environmental targets, the Company has developed a Climate Transition Plan to guide the investment in on-site renewable energy and building energy efficiency improvements needed to achieve it's 2030 emission reduction target while enabling further emission reductions down the line. The size and scope of the investment program depends on the availability of governmental subsidies and grants, as is also subject to increasing cost of material. Furthermore, potential new requirements set by the regulators or set as a market standard, could increase the amount the Company would need to invest and potentially accelerate the execution time of the investment program.

In 2022, the Company began the process of aligning to the Task Force on Climate-Related Financial Disclosures (TCFD) Recommendations framework. Although the TCFD has been disbanded and integrated into the International Sustainability Standards Board (ISSB), the framework's core principles for corporate climate-related risk disclosures have also been adopted by the European Sustainability Reporting Standards (ESRS) E1 Standard. The early decision to align to best practices on climate-related risk disclosures leaves the Company in a good position for ensuring compliance, although it is a process requiring continuous effort. As part of this process, the Company updates its climate-related risk assessment each year.



Berlin

26. HEDGING ACTIVITIES AND DERIVATIVES

The Group is exposed to certain risks relating to its ongoing business operations. The primary risks managed using derivative instruments is interest rate risk and currency risk.

The Group's risk management strategy and how it is applied to manage risk are explained in note 25.3.

		As at 31 December	
		2025	2024
		€'000	
CURRENT AND NON-CURRENT DERIVATIVE FINANCIAL ASSETS			
Derivatives that are designated as hedging instruments in fair value hedge	26.1	6,751	18,768
Derivatives that are designated as hedging instruments in cash flow hedge	26.2	11,074	15,898
Derivatives that are designated as hedging instruments in net investment hedge	26.3	558	-
Derivatives that are not designated in hedge accounting relationships	26.4	12,360	4,412
		30,743	**39,078**
CURRENT AND NON-CURRENT DERIVATIVE FINANCIAL LIABILITIES			
Derivatives that are designated as hedging instruments in fair value hedge	26.1	46,578	42,103
Derivatives that are designated as hedging instruments in cash flow hedge	26.2	4,667	10,362
Derivatives that are designated as hedging instruments in net investment hedge	26.3	43,567	68,161
Derivatives that are not designated in hedge accounting relationships	26.4	4,635	505
		99,447	**121,131**

26.1. DERIVATIVES DESIGNATED AS HEDGING INSTRUMENTS IN FAIR VALUE HEDGE

As at 31 December 2025, the Group had foreign exchange rate swap agreements in place, as follows:

Hedging instrument (*)	Group receives	Group pays
	'000	
Swap	HKD 900,000	Euro 92,631
Swap	JPY 7,500,000	Euro 75,500
Swap	HKD 290,000	Euro 32,768

(*) all swaps are linked to bonds' maturity.

In addition, the Group has entered into several interest rate swap agreements. For further information regarding the effective coupon rate see note 19.2.

The swaps are being used to hedge the exposure to changes in fair value of the Group's straight bonds which arise from foreign exchange rate and interest rate risks.

There is an economic relationship between the hedged items and the hedging instruments as the terms of foreign exchange rate and interest rate swaps match the terms of the hedged items as described above. The Group has established a hedge ratio of 1:1 for the hedging relationships as the underlying risk of the foreign exchange rate and the interest rate swaps is identical to hedged risk component. To test the hedge effectiveness, the Group uses the hypothetical derivative method and compares the changes in the fair value of the hedging instruments against the changes in fair value of the hedged items attributable to the hedged risk.

The hedge ineffectiveness can arise from:

- Different foreign exchange and interest rates' curve applied to the hedge items and hedging instruments
- Differences in timing of cash flows of the hedged items and hedging instruments
- The counterparties' credit risk differently impacting the fair value movements of the hedging instruments and hedged items

The impact of the hedging instruments on the consolidated statement of financial position is, as follows:

Risk category	Carrying amount		Line item in the consolidated financial statements	Net change in fair value used for measuring ineffectiveness for the year
	Assets	Liabilities		
	€'000	€'000		€'000
As at 31 December 2025				
Foreign exchange rate and interest rate	6,751	46,578	Derivative financial assets / liabilities	(16,516)
As at 31 December 2024				
Foreign exchange rate and interest rate	18,768	42,103	Derivative financial assets / liabilities	(43,456)

The impact of the hedged items on the consolidated statement of financial position is, as follows:

	Carrying amount	Line item in the consolidated financial statements	Net change in fair value used for measuring ineffectiveness for the year
	€'000		€'000
As at 31 December 2025			
Straight bonds	352,706	Straight bonds	16,601
As at 31 December 2024			
Straight bonds	367,396	Straight bonds	40,760

The ineffectiveness recognised in the consolidated statement of profit or loss was euro 85 thousand (2024: euro 2,696 thousand).

26.2. DERIVATIVES DESIGNATED AS HEDGING INSTRUMENTS IN CASH FLOW HEDGE

As at 31 December 2025, the Company had interest rate Cap and Swap agreements in place, as follows:

Hedging instruments	Hedged item	Carrying amount of hedged item
		€'000
Swap	Interest rate on straight bonds	245,311
Swap and Cap	Interest rate on loans and borrowings	651,791

The caps and swaps are being used to hedge the exposure to variability in cash outflows of the Group's straight bonds and loans which arise from interest rate risks.

There is an economic relationship between the hedged items and the hedging instruments.

The Group chose to designate the intrinsic value of the cap contracts as the hedging instrument. The terms of the hedging instruments match the terms of the hedged items as described and the Group has established a hedge ratio of 1:1 for the hedging relationships as the underlying risk of the interest rate and the caps and swaps are identical to hedged risk component.

To test the hedge effectiveness, the Group uses the hypothetical derivative method and compares the changes in the fair value of the hedging instruments against the changes in fair value of the hedged items attributable to the hedged risk. The hedge ineffectiveness can arise from:

- Different foreign exchange and interest rates' curve applied to the hedge items and hedging instruments.
- Differences in timing of cash flows of the hedged items and hedging instruments.
- The counterparties' credit risk differently impacting the fair value movements of the hedging instruments and hedged items.

The impact of the hedging instruments on the consolidated statement of financial position is, as follows:

Risk category	Carrying amount		Line item in the consolidated financial statements	Net change in fair value used for measuring ineffectiveness for the year
	Assets	Liabilities		
	€'000	€'000		€'000
As at 31 December 2025				
Interest rate	11,074	4,667	Derivative financial assets/ liabilities	(4,007)
As at 31 December 2024				
Interest rate	15,898	10,362	Derivative financial assets / liabilities	(11,724)

The impact of the hedged items on the consolidated statement of financial position is, as follows:

	Carrying amount	Line item in the consolidated financial statements	Net change in fair value used for measuring ineffectiveness for the year
	€'000		€'000
As at 31 December 2025			
Straight bonds	245,311	Straight bonds	(314)
Loans and borrowings	651,791	Loans and borrowings	2,174
As at 31 December 2024			
Straight bonds	249,693	Straight bonds	7,148
Loans and borrowings	574,078	Loans and borrowings	4,576

The ineffectiveness recognised in the consolidated statement of profit or loss was euro 2,147 thousand (2024: euro 0).

26.3. DERIVATIVES DESIGNATED AS HEDGING INSTRUMENTS IN NET INVESTMENT IN FOREIGN OPERATION

The Group uses derivatives, such as forward contracts and options, to hedge its GBP foreign exchange risk on its investments in foreign subsidiaries.

The Company designates the spot element of forward contracts or the intrinsic value of options as the hedging instruments. Changes in the fair value of the spot element of forward contracts and in the intrinsic value of options are transferred to OCI to offset any gains or losses on translation of the net investments in the subsidiaries.

The Company transfers changes in fair value of the forward element in forward contracts and of the time value of options are transferred to OCI and reclassified to the consolidated statement of profit or loss on a straight-line basis as cost of hedge.

There is an economic relationship between the hedged item and the hedging instruments as the net investment creates a translation risk that will match the foreign exchange risk on the hedging instruments. The hedge ineffectiveness will arise when the amount of the investment in the foreign subsidiaries becomes lower than the amount of the netional amount hedged.

The impact of the hedging instruments on the consolidated statement of financial position is, as follows:

Risk category	Notional amount outstanding	Carrying amount		Line item in the consolidated financial statements	Net change in fair value used for measuring ineffectiveness for the year
		Assets	Liabilities		
	£'000	€'000	€'000		€'000
As at 31 December 2025					
Foreign exchange rate	1,375,000	558	43,567	Derivative financial assets and derivative financial liabilities	40,507
As at 31 December 2024					
Foreign exchange rate	1,275,000	-	68,161	Derivative financial assets and derivative financial liabilities	(48,431)

The impact of the hedged item on the consolidated statement of financial position is, as follows:

	Foreign currency translation reserves	Net change in fair value used for measuring ineffectiveness for the year
	€'000	
As at 31 December 2025		
Net investment in foreign subsidiaries	(94,236)	(40,507)
As at 31 December 2024		
Net investment in foreign subsidiaries	75,719	48,431

The hedging gains and losses recognised in OCI before tax are equal to the change in fair value used for measuring effectiveness. There is no ineffectiveness recognised in profit or loss.

26.4. DERIVATIVES NOT DESIGNATED AS HEDGING INSTRUMENTS

The Group uses interest rate swaps, collars, caps and floors to manage its exposure to interest rate movements on its bank borrowings. These derivative financial instruments are linked to the bank loans maturity.

27. CAPITAL MANAGEMENT

The Group manages its capital to ensure that it will be able to continue as a going concern while increasing the return to owners through striving to keep a low debt to equity ratio. The management closely monitors Loan to Value ratio (LTV), which is calculated, on an entity level or portfolio level, where applicable, in order to ensure that it remains within its quantitative banking covenants and maintain a strong credit rating. The Group seeks to preserve its conservative capital structure with a LTV to remain at a target below 45%. As at 31 December 2025 and 2024, the LTV ratio was 31% and 33%, respectively, and the Group did not breach any of its financial covenants, nor did it default on any other of its obligations under its loan agreements. LTV covenant ratio may vary between the subsidiaries of the Group. The Company regularly reviews compliance with Luxembourg and local regulations regarding restrictions on minimum capital. During the years covered by these consolidated financial statements, the Company complied with all externally imposed capital requirements.

28. LEASES

The Group has entered into long-term rent agreements as a lessor of some of its investment property. The future minimum rental income receivable under non-cancellable operating leases is as follows:

	As at 31 December	
	2025	2024
	€'000	
First year	45,448	44,788
Second year	40,380	38,020
Third year	31,986	35,385
Fourth year	26,720	28,937
Fifth year	22,648	24,068
More than five years	136,429	144,661
	303,611	**315,859**

29. COMMITMENTS

As at the reporting date, the Group had several financial obligations in total amount of approximately euro 167 million (2024: euro 135 million).

Commitments primarily relate to capital expenditure obligations over several years in connection with bank loans, as well as other investments.

30. CONTINGENT ASSETS AND LIABILITIES

The Group does not have significant contingent assets and liabilities as at 31 December 2025 and 2024.

31. GROUP SIGNIFICANT HOLDINGS

The details of the significant holdings in the Group as at 31 December 2025 and 2024 are as follows:

			As at 31 December	
	Place of incorporation	Principal activities	2025 Holding %	2024 Holding %
Significant subsidiaries held directly by the Company:				
Grandcity Property Ltd.	Cyprus	Holding of investments	94.8%	94.8%
Grandcity Holdings Ltd.	Cyprus	Holding of investments	100%	100%
Grand City Properties Holdings B.V.	the Netherlands	Holding of investments	100%	100%
Grand City Properties Holdings S.à r.l	Luxembourg	Holding of investments	100%	100%
Grand City Properties Finance S.à r.l	Luxembourg	Financing	100%	100%

			As at 31 December	
	Place of incorporation	Principal activities	2025 Holding %	2024 Holding %
Significant subsidiaries held indirectly by the Company:				
Grandcity Towers Ltd	Cyprus	Holding of investments	100.0%	100.0%
Sparol Limited	Cyprus	Holding of investments	89.1%	89.1%
Gutburg holding Limited	Cyprus	Holding of investments	94.8%	94.8%
Noeran Limited	Cyprus	Holding of investments	94.8%	94.8%
Carmiliana Limited	Cyprus	Holding of investments	94.8%	94.8%
Garnet 1 Property S.à r.l	Luxemburg	Holding of investments	100.0%	100.0%
Garnet 2 Property S.à r.l	Luxemburg	Holding of investments	100.0%	100.0%
GCP Real Estate Holdings GmbH	Germany	Holding of investments	94.8%	94.8%

Significant Group entities releated to investing in real estate properties in Germany and London and their parent companies.

The holding percentage in each entity equals to the voting rights the holder has in it.

There are no material restrictions on the ability of the Group to access or use the assets of its subsidiaries to settle the liabilities of the Group.

32. EVENTS AFTER THE REPORTING PERIOD

- In January 2026, the Company signed contracts to acquire investment properties with an aggregate purchase price of approximately euro 75 million.
- In February 2026, following the tender offer, the Company exercised its option to fully redeem the outstanding principal amount in respect of its 6.125%, 6.322% and 5.901% perpetual notes series in an aggregate amount of euro 41.5 million. See note 17.7.
- In February 2026, the Company signed and drew a GBP 20 million bank loan.



Cologne

To the Shareholders of
Grand City Properties S.A.
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Luxembourg

REPORT OF THE REVISEUR D'ENTREPRISES AGREE

Report on the audit of the consolidated financial statements

Opinion

We have audited the consolidated financial statements of Grand City Properties S.A. and its subsidiaries (the "Group"), which comprise the consolidated statement of financial position as at 31 December 2025, and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information and other explanatory information.

In our opinion, the accompanying consolidated financial statements give a true and fair view of the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Accounting Standards as adopted by the European Union.

Basis for opinion

We conducted our audit in accordance with the EU Regulation N° 537/2014, the Law of 23 July 2016 on the audit profession (the "Law of 23 July 2016") and with International Standards on Auditing ("ISAs") as adopted for Luxembourg by the Commission de Surveillance du Secteur Financier (the "CSSF"). Our responsibilities under the EU Regulation N° 537/2014, the Law of 23 July 2016 and ISAs as adopted for Luxembourg by the CSSF are further described in the « Responsibilities of "réviseur d'entreprises agréé" for the audit of the consolidated financial statements » section of our report. We are also independent of the Group in accordance with the International Code of Ethics for Professional Accountants, including International Independence Standards, issued by the International Ethics Standards Board for Accountants ("IESBA Code") as adopted for Luxembourg by the CSSF together with the ethical requirements that are relevant to our audit of the consolidated financial statements, and have fulfilled our other ethical responsibilities under those ethical requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of the audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of Investment Properties

Refer to notes 15 and 24.2 to the consolidated financial statements for related disclosures. In notes 2.3, 3.11 and 3.12 to the consolidated financial statements you find the corresponding significant accounting judgements, estimates and assumptions, and the accounting policies, respectively.

a) Why the matter was considered to be one of most significance in our audit of the consolidated financial statements

As at 31 December 2025 the Group held a portfolio of investment properties with a fair value of TEUR 8,940,913 (31 December 2024: TEUR 8,628,962) and investment properties within assets classified as held for sale with a fair value of TEUR 87,718 (31 December 2024: TEUR 224,705).

The valuation of investment properties is a significant judgement area and is underpinned by a number of assumptions.

The fair value measurement of investment property is inherently subjective and requires valuation experts and the Group's management to use certain assumptions regarding discount and capitalization rates on the Group's assets, future rent, occupancy rates, contract renewal terms, the probability of leasing vacant areas, asset operating expenses, the tenants' financial stability and the implications of any investments made for future development purposes in order to assess the future expected cash flows from the assets. Any change in the assumptions used to measure the investment property could cause a significant change on the resulting fair value. The Group uses external valuation reports issued by external independent professionally qualified valuers to determine the fair value of its investment properties.

The external valuers were engaged by the Board of Directors and performed their work in compliance with the Royal Institute of Chartered Surveyors Valuation – Professional Standards, TEGoVA European Valuations Standards and IVSC International Valuation Standard. The valuers used by the Group have the necessary experience of the markets in which the Group operates. In determining a property's valuation, the external valuers take into account property-specific characteristics and information such as the current tenancy agreements and rental income.

They apply assumptions for yields and estimated market rent, which are influenced by prevailing market yields and comparable market transactions, to arrive at the final valuation.

The significance of the estimates and judgments involved, coupled with the fact that only a small percentage difference in individual property valuations, when aggregated, could result in a material misstatement in the consolidated statement of profit or loss and consolidated statement of financial position, warrants specific audit focus in this area.

b) How the matter was addressed during the audit

Our procedures over valuation of investment properties included but were not limited to the following:

- We tested the design and implementation of the key controls around the determination and monitoring of the fair value measurement of the investment properties;
- We assessed the competence, capabilities, qualifications, independence and integrity of the external valuers and read their terms of engagement with the Group to determine whether there were any matters that might have affected their objectivity or may have imposed scope limitations on their work;
- Through the involvement of our own property valuation specialists, on a sample basis, and through instruction to the component auditors to involve their property valuation specialists, we assessed that the valuation approach applied by the external valuers was in accordance with relevant valuation and accounting standards and suitable for use in determining the carrying value in the consolidated statement of financial position;
- Through the involvement of our own property valuation specialists, on a sample basis, and through instruction to the component auditors to involve their property valuation specialists, we tested the integrity, accuracy and completeness of inputs used by the external valuers, as well as appropriateness of valuation parameters used, such as discount and capitalisation rates, market rents per square meter and capital expenditure, vacancy rates, comparable price per square meter and development cost;
- Through the involvement of our own property valuation specialists, on a sample basis, and through instruction to the component auditors to involve their property valuation specialists, we assessed the valuation process, significant assumptions and critical judgement areas by benchmarking these to external industry data and comparable property transactions, in particular the yields applied; and
- We considered the adequacy of the disclosures in the consolidated financial statements, and the Group's descriptions regarding the inherent degree of subjectivity and the key assumptions in estimates.

Other information

The Board of Directors is responsible for the other information. The other information comprises the information stated in consolidated annual report including the Board of Directors' report but does not include the consolidated financial statements and our report of the "réviseur d'entreprises agréé" thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon as part of our engagement to audit the consolidated financial statements. We have performed an assurance engagement on the consolidated Sustainability Statement that forms part of the other information and provided a separate assurance practitioner's conclusion thereon that is included within the other information.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report this fact. We have nothing to report in this regard.

Responsibilities of the Board of Directors and Those Charged with Governance for the consolidated financial statements

The Board of Directors is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards as adopted by the European Union, and for such internal control as the Board of Directors determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

The Board of Directors is responsible for presenting and marking up the consolidated financial statements in compliance with the requirements set out in the Delegated Regulation 2019/815 on European Single Electronic Format ("ESEF Regulation").

In preparing the consolidated financial statements, the Board of Directors is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Responsibilities of the "réviseur d'entreprises agréé" for the audit of the consolidated financial statements

The objectives of our audit are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue a report of the "réviseur d'entreprises agréé" that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the EU Regulation N° 537/2014, the Law of 23 July 2016 and with ISAs as adopted for Luxembourg by the CSSF will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

Our responsibility is to assess whether the consolidated financial statements have been prepared in all material respects with the requirements laid down in the ESEF Regulation.

As part of an audit in accordance with the EU Regulation N° 537/2014, the Law of 23 July 2016 and with ISAs as adopted for Luxembourg by the CSSF, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Board of Directors.
- Conclude on the appropriateness of the Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our report of the "réviseur d'entreprises agréé" to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our report of the "réviseur d'entreprises agréé". However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities and business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our report unless law or regulation precludes public disclosure about the matter.

Report on other legal and regulatory requirements

We have been appointed as "réviseur d'entreprises agréé" by the Shareholders on 24 June 2025 and the duration of our uninterrupted engagement, including previous renewals and reappointments, is 14 years.

The Board of Directors' report is consistent with the consolidated financial statements and has been prepared in accordance with applicable legal requirements.

The Corporate Governance Statement is included in the Board of Directors' report. The information required by Article 68ter paragraph (1) letters c) and d) of the law of 19 December 2002 on the commercial and companies register and on the accounting records and annual accounts of undertakings as amended, is consistent with the consolidated financial statements and has been prepared in accordance with applicable legal requirements.

We confirm that the audit opinion is consistent with the additional report to the audit committee or equivalent.

We confirm that the prohibited non-audit services referred to in the EU Regulation N° 537/2014 were not provided and that we remained independent of the Group in conducting the audit.

We have checked the compliance of the consolidated financial statements of the Group as at 31 December 2025 with relevant statutory requirements set out in the ESEF Regulation that are applicable to consolidated financial statements.

For the Group it relates to:

- consolidated financial statements prepared in a valid xHTML format;
- The XBRL markup of the consolidated financial statements using the core taxonomy and the common rules on markups specified in the ESEF Regulation

In our opinion, the consolidated financial statements of Grand City Properties S.A. as at 31 December 2025, identified as 5299002QLUYKK2WBMB18-2025-12-31-1-en.zip, have been prepared, in all material respects, in compliance with the requirements laid down in the ESEF Regulation.

Our audit report only refers to the consolidated financial statements of Grand City Properties S.A. as at 31 December 2025, identified as 5299002QLUYKK2WBMB18-2025-12-31-1-en.zip, prepared and presented in accordance with the requirements laid down in the ESEF Regulation, which is the only authoritative version.

Luxembourg, 4 March 2026

KPMG Audit S.à r.l.
Cabinet de révision agréé

Alessandro Raone
Partner

